Ashoka Buildcon (ASHOKA)

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The Department of Corporate Services The Listing Department
BSE Limited National Stock Exchange of India Limited
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August 17, 2022
Sub: Call Transcript
In continuation to letter of the Company dated August 16, 2022, in respect of the captioned subject, please find enclosed herewith the revised copy of transcript of the Earnings Call held on August 11, 2022 in respect of Unaudited Standalone and Consolidated financial results for the quarter ended June 30, 2022.
The date of Earnings Call was inadvertently mentioned as August 11, 2021 instead of August 11, 2022 on the 1st page of the transcript.
Inconvenience caused is regretted.
Kindly take the matter on your record.
For Ashoka Buildcon Limited
(W
Manoj A. Kulkarni
(Company Secretary)
ICSl Membership No.: FCS-7377
Regd. Office S. No. 861 Ashoka House, Ashoka Marg, Vadala, Nashik 422 011 Maharashtra, India. • Tel +91 253 6633705
Fax +91 253 22367041 • vvwashokabuildcon.com
CIN: L45200MH1993PLC071970

"Ashoka Buildco n Limited
Q1 FY20 23 Earnings Conference Call"

August 1 1, 2022

ANALYST : MR. ASHISH SHAH – CENTRUM BROKING LIMITED

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR - ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER - ASHOKA BUILDCON LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY2023 earnings conference call of Ashoka Buildco n Limited hosted by Centrum Broking Limited. As a reminder , all participant lines will be in the listen -only m ode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this confere nce is being recorded. I now hand the conference over to Mr. Ashish Shah from Centrum Broking Limited . Thank you and over to you Ashish !
Ashish Shah : Thank you Margaret . On behalf of Centrum Broking I welcome everyone to the Q1 FY20 23 earnings conference call of Ashoka Buildcon Limited . We have from the management Mr. Satish Parakh – Managing Director and Mr. Paresh Mehta – Chief Financial Officer and we also have Stellar Investor Relations connected on the call so let us begin the call and o ver to you Sir for the opening remarks .
Satish Parakh : Good afternoon. We would like to extend a very warm welcome to everyone on earnings call for the first quarter that ended June 30, 202 2. Along with me, I have Mr. Paresh Mehta , our Chief Financial Officer on the call . Let me start with key developments in the first quarter of FY 2023. Company recorded an order book of 14780 Crores backed by healthy order intake. Let me now give an update about projects. As mentioned earlier we have entered an asset sale transaction of Ashoka Co nstruction Limited of 5 SPVs by entering into a share subscription and share purchase agreement with Galaxy Investments Private Limited II Private Limited an affiliate entity of KKR.

The agreement is to be completed soon after receiving require d approvals from ven dors, NHAI and other relevant stake holders and completion of certain conditions previous requisites . We have received approvals from few vendors and other stakeholders. We are in process of completing the en tire process and balance EPs. The deal wil l transfer the entire share capital of these five BOT projects, SPVs including repayments of shareholders loan for an aggregate consideration of 1337 Crores.
The total proceed received will be utilized for the fac ility by exit of Macquarie of A shoka Const ruction Limited allowing SBI Ma

cquarie exit the company fully. Further transfer of these
five SPVs we have reduced the consolidated project debt of ABL by 3014 Crores. Also we have executed a share purchase agreeme nt with National Investment and Infrastruc ture Fund Limited for sale of 100% equity of CORR for an aggregate financial consideration of 686 Crores. Around 686 Crores ABL is expected to receive around 150 Crores. 150 Crore s towards loan increment and 200 Cr ores towards, 50% equity, state electricit y, post this transaction the company will remain with the following venture, Highways and Minor Ports Department . 74% equity stake in one toll project, Jaora -Nayagaon, three fully owned annuity projects, Mudhol Nip ani, Bagewadi Saundatti and fully owned projects.
As mentioned earlier we are in discussion to introduce Jaora -Nayagaon BOT toll project. We have executed a construction agreement with NHAI 1079 Crores for development of six lane, Greenfield highway fr om Baswantpur to Singondi Section of NH 150 C, and hybrid annuity

 model under Bharatmala Pariyojana. The construction period is 112 days and t he operation period is 15 years. The total equity requirement for 11 HAM projects including PIM was 1335 Crores of which we have already invested 11 07 Crores including PIM as of June 2022.
Coming to the order book as mentioned we have achieved robust order inflow. Some of the key and large order received from first April are as follows: As I said earlier, we have executed a construction agreement fo r 1079 C rores development of six lane Greenfield N ational Highway from Baswantpur to Singondi kilometer 162.5 2 to 203.1, LOA from Government of Republic of Guyana USD 106 million for construction of East Coast Road Link age at Guyana , LOA for a project cons truction f or the Fintech Digital Institute from Government of Rajasthan for Rs.600 Crores. This project is through JV where Ashoka is having 6 5% stake and Ashoka Buildcon is the bidder. This project is to be completed i n 18 months.
LOA from East Central R ailway of 208.89 Crores for provision of 10 collision advance system. This project is to be completed in 24 months. The breakup of 147 80 Crores order book as of June 2023 the breakup of 14780 Crore s order book as on Jun e 30 2022 is road project compromise about 8929 Crores, which is 60.4% of the total order book . Among the road project order book HAM road project s is to the tune of 3162 Crores and EPC project s are to the tune of 5857 Crores. Power TND order s were around 2355 Cro res which is approximately 15 .9% of the total order book. The EPC building segment contributed 2302 Crores which is 15.6 Crore s of the total order book and railways stood at 1142 Crore s which is 7.7% on the total order book.
EPC work for CGD business compromise the balance of 51 C rores and the current order book including project received as of June 2022 stand s at Rs.15355. Let me reitera te that our focus remains to bid strong EPC business in the segment of highways, railways, power TND and build ings. The current order book of 15355 C rores provi de us with a good visibility of EPC business growth.
On the asset portfolio front we have already built 11 new HAM project s portfolio in terms of new project bidding . Our priority will remain more HA M projects to strengthen the hand project portfolio furt her. This is all from my side. I would now request Mr. Paresh Mehta to present the financial performance of Q1 FY2023. Thank you.
Paresh Mehta : Thank you Sir. Good afternoon everyone. The results pres entation and the press release for the quarte r have been uploaded on the stock exchanges and on the company’s website. I believe you all may have had gone through the same. Now, I would like to present the financial result for the first quarter ended June 30, 2022.
Starting with the consolidated res ults, the t otal

income for Q 1 FY2023 grew by 46% year -on-
year to Rs.1916 Crores as compared to Rs. 1310 Crores in Q 1 FY2022. EBITDA stood at Rs. 521 Crores in Q 1 FY2023 with a margin of 27.2%,. PAT is at Rs. 135 Crores in Q1 FY 2023. The revenue mix has change d and it is higher on the EPC side compared to which margins are impacted. Coming to the standalone numbers, the total income for Q 1 FY2023 stands at Rs.1510 Crores as compared to Rs .1058 Crores in corresponding quarter last fiscal, registering a growth

Page 4 of 16 of 43%. EBITD A for the quarter was at Rs.1 76 Crores with EBITDA margin of 11.6%. The company reported net profit after tax of Rs.1 04 Crores in Q 1 FY2023. During Q 1 FY2023, BOT division recorded a toll collection of Rs. 287 Crores as against Rs. 207 Crores in Q1 FY 2022 and Rs.26 8 Crores in Q4 FY 2022. Total consolidated debt as on 30th June 2022 stood at Rs. 7127 Crores, of which project debt is 6014 Crores of which Rs.3014 Crore s stands for project debts of five BOT projects NCD stood at Rs.250 Crores at ACL leve l. The stan dalone debt is at Rs.862 Crores, which comprises of 1 87 Crores of equipment loan s and Rs. 674 Crores of working capital loans. The standalone debt has increased because of delays in collection with the road checker typically in Q1; however things will have improved since July. However the total consolidated debt of Rs.7127 Crores Rs.3040 will be transferred along with five SPVs of BOT project. Post the sale transaction, EPC consolidate d debt will be 4113 Crore s.
With this we now open the floor fo r question and answer s. Thank you.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from DAM Capital. Please go ahead.
Moh it Kumar : Good afternoon Sir and congratulations on the good set of numbers. Sir my first question is on the working capital, as you had alluded to the fact that the working capital ha s increase d primarily because of delay in getting some receivables, is i t from the EPC or HAM and at what level we expect ed to norma lize in next five months?
Paresh Mehta : Historically if you see the September and the December quarter generally working capitals are slightly higher than what is normal so if you see the first co uple of weeks in July certain delayed payments of June end w e have received for more than 100 -odd Crores and going forward for the HAM projects the disbursement would happen in this month so they would take care of the additional burden of debt . We believe going forward this working capital requirement w ould be in the range of 400 -odd Crores plus equipment debt of 180 -odd Crores.
Mohit Kumar : Understood Sir. 400 Crores is the number which we would see by the end of Q2 or fiscal is my understanding correct S ir?
Paresh Mehta : Yes, around Q2 400 Crores to 43 0 Crores.
Mohit Kumar: My second question is on the monetization bit, you are working on parallel multiple things but out of which Jaora -Nayagaon let us say the sale of HAM through InvIT or to investor which one do you think likely to happen in near term a nd if the H AM you are looking for InvIT that will take some time right. Is my understanding correct?
Paresh Mehta : Right, as regards the BOT projects five BOT projects and the Chennai ORR project we expect t o close the deal by September end or around Septe mber or may be a month or so plus minus . As far as the other projects are concerned they are under pipe line. The HAM projects the 11 HAM project or rather 10 which are almost 106 except for one, which is on the HC these are expected

Page 5 of 16 either there could be a buyer for it or we may so begin with, InvIT definitely there is some time away.
Mohit Kumar : Okay. Sir Chennai ORR what is the inflow which one can exp

ect from this sale to us ?
Paresh Mehta : As we said the total consideration is 686 Crores of which approx imately ATL expects to get around 450 Crores of which 250 would be against debt financing to the SPV and 200 against its equity.
Mohit Kumar : So 200 Crore s will be the free cash flow to us is that right Sir?
Paresh Mehta : Right.
Mohit Kumar : Understood Sir . Thanks a lot and all the best. Thank you.
Moderator : Thank you. The next question is from the line of Vibhor Singhal from PhillipCapital . Please go ahead.
Vibhor Singhal : Good afternoon Sir. Thanks for tak ing my question and congrats on strong execution once again. Sir my question was basically pertaining to the couple of new orders that we have procured, one order as we had re-announced is for the railways in terms of the Kavach scheme that we have announc ed, that is a decent 186 Crores kind of an order and there i s also one more order from Government of Rajasthan for IT and Communication can you just may be give us some highlight as to what exactly is a nature of our work or the scope of work for these pro jects?
Paresh Mehta : Kavach is typically the sing le lane sys tem anti -collision system which we are will be addressing and Rajasthan project is pertaining to a building construction for Fintech Digital institute.
Vibhor Singhal : So the Rajasthan project is just about constructing a building for The Digita l Institute right?
Paresh Mehta : Approximately 11.56 lakh square feet .
Vibhor Singhal : Okay so our scope of work is just constructing the building?
Paresh Mehta : Right.
Vibhor Singhal : And Sir for the Kavach project what is our scope of work what we will b e doing?
Paresh Mehta : We will be providing all the necessary equipment for avoiding collision and other railway signaling system.
Vibhor Singhal : So are we going to layout the optical fiber cables or are we going to basically help them provide

the equipme nt for the anti-collision system itself, so our work will be mainly EPC only right in terms of laying down the cables and all that?

 Paresh Mehta : Right it is a total solution for fixed part of the contract.

Vibhor Singhal : Sir just wanted to get more colou r on these a nd I think we have been bidding for variety of projects now I mean of co urse we have power transmission, railways and roads which are our bread and butter, building s, of course, something which we have already excelled in but these seems to be entirely a dif ferent kind of a domain so I just wanted to understand why are we going into this kind of a domain in which we will never venture before, the opportunity also is not a huge oppo rtunity if you look at it in terms of if you compare it with road s and building s or railways so what is the specific reason that we have gone for this kind of a project? Sir basically as you mentioned that the details about the Kavach project what I wanted to understand was Sir what is our specific reason for going for this kind of a project . This is completely unchartered territory for us, we have never done these kind of projects before, opportunity wise also I am sure this project this domain cannot be a s big as the railways or roads or any other domain that we have a lready very ex perienced in so is that we are seeing some very strong opportunity in the segment and the margins in this segment better so what is the specific reason for us going into this ve ry niche segment of laying out this optical fiber cables and this project?

Satish Parakh : See this is an anti-collision safety point of view, railways is now putting up this project for the entire railways. So it is definitely going to be a big opportunity and only few players are there in this segment and we have a goo d control on d oing such projects because we ha d been dealing with smart infra headwinds, hardware and software project

s so this actually we have skills which are required completely for this kind of works and therefore we have entered into this and we see a good opportu nity going ahead.

Vibhor Singhal : Sir just may be if I ask my first question again, what is exactly going to be our scope in this project? Is it only going to be laying out off cables or are we going to provide some electronic equipment also for this anti -collision project that we are talking about?

Satish Parakh : Laying of cable is a very s mall portion of the whole order. Primarily it includes the hardware and software, 50 locat ions we have to cover and around 403 kilometers of length of rail ways in Jharkh and and Uttar Pradesh and Bihar we have to cover. It is completely anti-collision system atomization as far as collision is concerned.

Vibhor Singhal : Sir these kind of let say I would say electronics related optical fiber cables proje cts are we going to bid for them ahead and also if they come from let say not from railways but other departments also are we going to go ahead with those projects also?

Satish Parakh : We ha d been d oing this last two years . KPON, which is Kerala Optic Fiber Netwo rk which we have already done and more than around 20,000 kilometers of fiber laying we have already done. In all our highway projects we do around 300 kilometers in each project so this is n ot new for us and as far as software and technology is concerned, we are well v ersed with since last two years. So this is a segment which we look forward, automization, digitization will be another focus areas for the company.

 Vibhor Singhal : Great to hea r that. Sir similar question was on the projects from Guyana so I think Sir aft er Mauritius and Maldives this is the third basically overseas location that we are kind of venturing into so just wanted to again we have a strategy here are there some specifi c geographies that are there in mind that okay we will go to thes e countries an d if there is an opportunity and we will focus on only in these countries, or are we like open to working I mean in the vicinity of India are we open to working in any country w here we find a good opportunity?

Satish Parakh : After completing the first phas e of Maldives we bagged second phase which is also now nearing completion and there is a third project which is building or housing project which we are likely to start may be Q 3 or Q4 of this year. So all this have been one strong areas othe r than these w e have bagged Guyana and we are focusing on African region. We are lowest in EXIM Bank for that project of Bangladesh also. We are developing in different vertical . After doing Maldives in last four years there is an independent vertical for doing internat ional projects and wherever an opportunity wherever there EXIM Bank funded where funding is guaranteed and margins are intact we are focusing on those areas. So this vertical ma y be independent and grow with like we are building, power and ra ilways.

Vibhor Singhal : Sir any target that we have set for ourselves let say may be five years down the line we want an international order book to be may be 10% or 15% or nothing like that will be all opportunity based?

Satish Parakh : 100% opportunity ba sed.

Vibhor Si nghal : Just last book keeping question if you could just provide I mean after the first quarter results

what is the overall revenue for FY2023 and the margin that we are looking for in terms of
guidance what we are looking for FY2023 revenue margins?
Pares h Mehta : From revenue perspective, we target approximately 15% to 20% growth minimum in this quarter, based on order book now and new orders to come in we will keep on reassessi ng these value in Q4 probably otherwise 15% to 20% is generally o kay for the ye ar.
Vibhor Singhal : Sir margins?
Paresh Mehta : Margins based on today's costing a

nd other things, would be in the range of 9% to 10% is what we strongly believe going forward, e ven based on what is for Q1. These are basically because of high cost and certa in project s which are taken at prices considering increase from an entry's perspective.
Vibhor Singhal : Got it. Sir many of the players are saying that from Q3 onwards they migh t see some uptake in margins because by then the commodity prices most likely probably might be cool off and also a newer projects will start coming into execution do we expect a similar kind of a thing or for us it could be just a straight line walk ?

 Pare sh Mehta : It happen depends on also our international project tak ing up because there margins could be slightly better so it will all depend on the mix of the project as well as whatever you have suggested changing commodity prices.
Vibhor Singhal : Got it, great Sir. Thank you so much for taking my questions and wish yo u all the best .
Moderator : Thank you. The next question is from the line of Jiten Rushi from Axis Capital . Please go ahead.
Jiten Rushi : Good afternoon Sir. Thank you for taking my question. Sir my first question is on the revenue breakup, can you please p rovide the rev enue breakup segment wise for Q1 and competitive comparable Y-o-Y?
Paresh Mehta : Our road EPC was 1050 Crore s against 830 Crore s for last quarter.
Jiten Rushi : Sir cannot hear y our voice can you repeat ?
Paresh Mehta : Road turnover for Q1 was 1050 Crores ag ainst 830 Crore s for Q1 FY22 in the power division we had turnover of 160 Crore s against 41 Crores railways 153 Crore s against 99 Crore s CGD business was approximately 13 Crore s over 6 Crore s and RNC and other sales 50 Crores against 25 Cror es.
Jiten Rushi : Sir buildings any execution building any progress?
Paresh Mehta : It is still tenuous not very significant in two months, we need to pickup in the Q3 -Q4 quarters.
Jiten Rushi : In terms of the order backlog are these international projects co vered by cost escalation or it is fixed price contract and we build better margin as you said in previous question so this all it was like the international contract?
Satish Parakh : These are fixed price contract international contracts are fixed price con tracts and we do get benefit of dollar going up and we have to estimate in contingency escalation or whatever with our experience we need to estimate that. If we go wrong there we can get a hit and if we are positive, definitely it goes positive but some c overage is the re because of the appreciation of dollar or depreciation of rupee whatever.
Jiten Rushi : Mark to market risk we have to take into account while bidding for such projects?
Satish Parakh : Yes international definitely.
Jiten Rushi : Sir then wha t is the mix b etween fixed price contract and the variable price contract in this order backlog of almost more than 3500 Crores so, can you give us the breakup in terms of percentages?

 Satis h Parakh : These are all 80 -20, 80% is around which is covered by e scalation and 20% are fixed price contract where we have to estimate escalation.
Jiten Rushi : This sh ould be mostly overseas contract, fixed price one?
Satish Parakh : One of the contract in India like which we have taken from Adani 's for West Bengal projec t.
Jiten Rush i: Sir you had said in the opening remarks about the equity, the balance equity would be HAM project so what I can see is like total equity invest ed is 812 Crores and PIM over 2 95 Crore s so what is the total equity required including PIM and e xcluding PIM and how much have we invested if you can give breakup including PIM and excluding PIM and then in terms of years ?
Paresh Mehta : Yes so excluding PIM which is typically will depe nd on how the inflation index moves but excluding PIM a

nd as well as including the last project Baswantpur to Singondi HAM project total equity requirement is 247 Crore s for the HAM project s which typically is…
Jiten Rushi : So total would be how much inclu ding all the 11 excluding PIM?
Paresh Mehta : That is 247 plus 813 Crores.
Jiten Rushi : Okay and how much you invested so far?

Paresh Mehta : 813 Crore s as I said. See 813 we invested 247 too we have invested over two years 2023 and 2024 163 in 2023 and 84 i n 2024.
Jiten Rushi : Sir including PMI what could be that number S ir?
Paresh Me hta: Including PMI the PMI number will vary but based on our view current budgeted PMI we are approximately against estimated 380 Crores of PMI we have received 294 so another 7 0-80 Crore s to be received. This will change as project will go, this is one va riable the committed equity is what we have already given.
Jiten Rushi : Basically Sir this would be fully invested in all the time of operational projects, and only 180 Crores i n construction and operational mix?
Paresh Mehta : Yes, so out of 2 47 approximat ely 115 is pertaining to the last pro ject, project Baswantpur which is yet to be financially closed so if we reduce that then the net investment to be done is 130 Crore s on the already under execution HAM projects.
Jiten Rushi : Sir on the exec ution side so you said Maldives project is expected to start by Q3 and Q4 but what about this NTPC solar and the Mumbai SPV project any updates, they are quite some time now and the solar is nonrenewable.
Paresh Mehta : Could you repeat your question ?

Jiten Rushi : Sir in terms of the order backlog so NTPC Solar project what is the status, is there anything you want to remain order backlog or you cancel it because the module prices are very hig h?
Satish Parakh : NTPC Solar project is only going on so it is in the order bac klog.
Jiten Rushi : But what about the encouraging model price Sir, any cushion we have or we have to pay penalty for that or what is the status as of now Sir?
Satish Parakh : As of now we are progressing without model and we have discussion wit h the authori ties. So till now we have reached any solution.
Jiten Rushi : Last question from my side on the deals with KKR and NISS what is the outstanding equity and debt in Chennai ORR ?
Paresh Mehta : Debt is approximately 650 Crores in Chennai ORR and eq uity is appro ximately 189 Crore s.
Jiten Rushi : This is including loss funding and sub -debt the equity of 189 Crore s is?
Satish Parakh : This is basic equity and support given by Ashoka Buildc on is 250 Crores which will be returned when the deal happens.
Jiten Rushi : Sir on this five projects, Bhandara so what is the current status of outstanding debt and the equity in terms of equity and support?
Paresh Mehta : On the five projects the BOT proj ects?
Jiten Rushi : Yes.
Paresh Mehta : In these projects approximat ely 2200 was the invested equity and support debt which we are liquidating at 30 -37 so this is the position and as of 1st April 2022 project typically is this we are just finishing the, we a re taking care once the funds transfer happens it will be their pr oject.
Jiten Rushi : So basically what is the breakup between the equity and sub -contract if it is possible to give?
Paresh Mehta : The equity is approximately 735 Crores and debt is the balan ce. This debt is inclusive of both kinds of debt s some constructio n is very tim e funded part equity debt and also debt is also in the form of supportive debt majorly for projects like Sambalpur .
Jiten Rushi : That is it from my side. For further question wi ll come back in the queue. Thank you.
Moderator : Thank you. The ne xt question i s from the line of Harsh Shah from Elara Capital. Please go ahead.

Harsh Shah : Thank you so much for the opportu

nity. Sir I had two questions basically, first have you started with the Adani Road Project in West Bengal I mean start from Q2 onw ards so if yo u can just provide an update on that?
Paresh Mehta : Yes this project is already started and 12% we are funding around this project.
Harsh Shah : The second question is so we rece ive around 600 Crores so 140 Crores from the KKR deal as well as 4 50 Crore s from Chennai ORR by September or probably Q3 onwards so what are we going to use that money for is it are we going to pay off our debt on standalone basis or are we going to give i t as a dividend to the shareholders or something if you could prov ide some guidance on that?
Paresh Mehta : I think we will come to the stage when we are ready. There could be both options we have to check out debt on certain projects, but otherwise I think we will take the step when we are pretty close to the realization of the cash.
Harsh Shah : By when will we get the money ?
Paresh Mehta : The long stop date is September so somewhere around that period may be de pending on permission from NHAI, it may be plu s minus one month to two month s but otherwise we expect that Septe mber is the l ong stop date.

Harsh Shah : Okay thank you so much Sir.
Moderator : Thank you. The next question is from the line of Nikhil Abyankar from DAM Capital. Please go ahead.
Nikhil Abya nkar : Thanks for the opportunity Sir. Most of my questions have be en answered b ut I would like to go back to the margin, Sir historically our margin has been in the range of 11% to 12% and some of the companies has also seen an sequential increase in the m argins in Q1 so what exactly is the reason you are saying that wil l take around 10% irrespective of the international orders?
Paresh Mehta : See our order book is a mix of projects w hich are bid at various margins, the HAM project would be bid at 13% EPC ar ound 11% and the new entry 11 project s may be slightly will be adj usted from an entry perspective. From that perspective the mix would typically result in a 10% which is also taking into account that the escalation continues to be as it is . If the escalati on improves the commodity prices would reduce the margins could go up.
Nikhil A byankar : So is it fair to assume that the share of EPC execution will be way higher in this financial year?
Paresh Mehta : Yes that is true.
Nikhil Abyankar : Can you give us the breakup of it what can be the revenue share from each segment?

 Paresh Mehta : Immediately I would not be in a position to tell you what is HAM is approximately 3000 -odd Crore s of which almost 65% to 70%, 60% would get over by March 2023 so rest all would be EPC contract s. Out of the total revenue estimate of around say 50 00-5500, 2000 would be contributed by HAM projects and rest could be EPC either road or other sector.
Nikhil Abyankar: Understood Sir. That is all from my side. Thank you.
Moderator: The nex t question is from the line of Parvez Akhtar Qazi from Edelweiss S ecurities . Please go ahead.
Parvez Akhtar Qazi: Good afternoon Sir and thanks for taking my question. Sir couple of questions on my side ; first how do you see the competitive intensity in th e various segments where we are bidding and going ahead what is th e kind of mix in terms of order intake from various segments is what we are targeting?
Satish Parakh : Our f ocus remains on highways. This could be mix of HAM and EPC, NHAI, MoRTH , NHAIBCL or it could be even states like UP, Bundelkhand Expressway and all, so it is all the opportunities which are coming up in Q3 -Q4 will decide the mix but our definite strength is highways and our focus also remains. In addition to highways simultaneously devel oping our power portfolio railways portfolio and building portfoli o and while d oing this definitely there are challenges in terms of PQ -TQ and gett

ing JV partners and bidding like getting entry into this sector and getting established so this is a phase wh ere we are developing new verticals so little overheads are also g oing up.
Parv ez Akhtar Qazi : Okay but what is our terms on the competitive scenario for NHAI and especially post COVID we are seeing very significant competition where do we expect that it w ill moderate this year or we expect it will probably remain at the se levels onl y?
Satish Parakh : It is very uncertain to predict the competitive aggression in the market. Last year we have seen a huge aggression. Going ahead I do not know Q3 -Q4 should show enough order and those people have taken aggressive projects also will underst and what exactly they have done. The reasonable thing should prevail but looking at the qualifications which have been diluted we do not know whether new players come in jump in will the aggression will remain not remain and that is why we hav e decided to ourselves put into various sectors and become all round EPC players.
Parvez Akhtar Qazi : So what is the status of the land availability for the 11 HAM project and also for the Banur – Kharar project?
Paresh Mehta : The land availability most of the project is 80% plus , I said one project which we are suffering is Punjab which is IT Chowk project other than that we are comfortable on land as well as other HAM projects are comfort . NHAI straight forward in giving PCOD and COD and if land is not available they are even ready to descope it so land is not going to really affect the portfolio to a major extent.

 Parvez Akhtar Qazi : Okay and just one book keeping question, what is the Cape x that we incurred in Q 1 and what is the equity that we infused in Q1?
Paresh M ehta: Capex in Q1 approximately 15 Crores and equity invested in Q1 was 77 Crores.
Parvez Akhtar Qazi: Thanks Sir. All the best.
Moderator : Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi : Thank you for taking my question. Sir on the capex front what is the target because you have done 15 Crore s now and full year target.
Paresh Mehta : We have approximately budgeted the total Capex of approximately 150 -odd Crores where the

new project which will ta ke off in Q3 -Q4 will require so this is approximately 120 -150 Crore s is
what Capex we intend to do by last 2023.
Jiten Rushi : So this high capex we can expect in 2024 also many projects will come in so FY2023 will see
that high capex before we see suppress in Capex any thought on that Sir?
Paresh Mehta : I think so this capex should be sufficient to take new orders also and FY24 should be typically
not so high.
Jiten Rushi : Sir fe w a more questions from my side, if you can give the June ending n umbers for de btors
creditors inventory mobilization advance retention and debtor?
Paresh Mehta : For the June ended the debtor position was around 1000 -odd Crores and against which advance
was around 442 Crores and credit payables 847 Crores and unbilled re venue around 1200 Crore s.
Jiten Rushi : Retention Sir in inventory?
Paresh Mehta : Inventory is what 120 Crore s, WIP which is called unbilled revenue around 1200.
Jiten Rushi : Retention is how much?
Paresh Mehta : Retention money could be approximately 183 Cr ores.
Jiten R ushi: Sir in terms of order book what is your guidance for this year because our first quarter have been
very good and Q4 the order inflow has been very good and we are accumula ting the order
backlog and the focus is on execution so any though t on what is the target for order book this
year and also what is the current executable order backlog?
Paresh Mehta : So order backlog I have told you it is 15000 -odd C rores …
Jiten Rushi : I am asking executable so there could be projects which are yet to s tart executio n what is the
current execut

ive order backlog

 Paresh Mehta : There are only two three projects which are yet to start this will all t ake off in Q3 -Q4, may be all
one or three pr ojects will commence in Q1 of next year so we can say around 13500 to 14000 is
what will come into existence next year.
Jiten Rushi : Sir the order inflow target for this year end what could be the mix in terms of order backlog.
Paresh Mehta : NHAI and Minis try has been aggressively announcing that they want a very bid out more than
8000 kilometer this year and what we have done is only 2600 in Q1 or till date Q3 -Q4 should
throw up lot of bidding opportunity particularly with Ministry of Road and Transport an d other
states would throw up a good opportunity. Other than this we see a good opportunity.
Jiten Rushi : How much Sir?
Paresh Mehta : Order intake we would be around 6000 to 8000 Crore s we should bag in Q3 -Q4.
Jiten Rushi : This is additional amount for next eight -nine months. Yes on the Jaora -Nayagaon when can we
expect any conclusio n in terms of bid?
Paresh Mehta : We are almost in serious discussion s from the documentation part and we should be completing
any time soon may be a week or two's time to see so me light.
Jiten Rushi : Okay Sir, that is all from my side and all the best.
Mod erator : The next question is from the line of Mohit Kumar from DAM Capital. Please go ahead.
Mohit Kumar : Sir thanks for the opportunity once again. Sir my first question is can you talk about power
segment are we talking primarily about TN D, state TND opp ortunity or do you still think you
would like to do more fuller or so there is compete no-no going forward?
Paresh Mehta : If you see can be TND or it can be solar now only what precaution we need to take going forward
is not taking any fixed p rice contract . So our focus will be on book contracts where escalation is
pass through.
Mohit Kumar : So it means that you look at the private EPC contract because all the PSU contracts are t here?
Paresh Mehta : No all the P SUs is also coming up, they are re ady to pass t hrough, particularly for solar the
modules are now being provided by government so we are getting into the new policy they will
come after this probably this policy and the plan t will be taken care by them.
Mohit Kumar : Secondly from the sale of Macquarie I believe there will be a tax shield available right, so that
will reduce our outgo from the share which we will do on future is that a fair assessment?
Paresh Mehta : Tax shield from what perspective Sir?

 Mohit Kumar : For the sale of the toll road which were doing at lower than book value right?
Paresh Mehta : I do not, no tax there would be minimal tax that are capital gain tax but other than no tax shield
available.
Mohit Kumar : Okay I will take it offline Sir. Thirdly there was a m argin aspir ation in medi um term? Are we
aspiring go back to the year on year half percent?
Paresh Mehta : This will all depend ent on commodity prices, bidding intensities so I think it will be in the ra nge
of 9% to 11% or may be 12% .
Mohit Kumar : Lastly Sir are we see ing any BOT o pportunity from NHAI or some other sta tes?

Paresh Mehta : Not really anything significant.
Mohit Kumar : Thank you and all the best Sir.
Moderator : Thank you. The next question i s from the lin e of Vibhor Singhal from PhillipCapital . Please go ahead.
Vibhor S inghal : Thank you Sir for taking my question again. Sir just following up on Mohit's question which he asked just now I think what we trying to ask is that, as you mentioned th at we have invested 2200 Crores of equity into the Macquarie portfo lio and we ar e selling it for 1300 Crores so is there a capital loss that we would be booking which will give us the benefit of any tax credit that we can utilize thereon ?
Satish Par

akh : There would be capex process which will be available in the ATL level to be absorb ed in future.
Vibhor Singhal : Okay so that would be a ATL level right but because the investment have been made from Ashoka Buildcon level would that also result in some tax be nefit so what he meant by tax shield is only tax benefit that we wo uld get from this sale which you can utilize in future years and if yes is there an quantum to it that you can probably provide at this point of time?
Satish Parakh : At present at ATL level there would not be any significant movement because ATL will conti nue to hold A CL as a subsidiary.
Vibhor Singhal : Okay got it. So the benefit will all at the ACL level?
Satish Parakh : Right.
Vibhor Singhal : Got it. Sir one small question on the order boo k Sir two projects one is the Banur - Kharar project in the EPC road segment and the other is the Kwaram Taro in Assam these projects have not seen any execution for the past four to five quarters so any specific reason that these projects are not basically showing any progress, are they stuck from here?

 Satish Parakh : The Assam projec t we just received appoint ed date. The progress will start in Q3 -Q4, we have
done something done in Q4 also and which was the other one.
Vibhor Singhal : Banur - Kharar ?
Satish P arakh : That also likely to start in Q3 .
Vibhor Singhal : But these o rders were in our book since Q1 last year ?
Satish Parakh : See after only getting we will complete land acquisition then only account will be done.
Vibhor Singhal : Sir now the follow up ques tion is are there any projects in the order book right now which do not have tha t appointed date and which could see no execution for the four five or may be two three quarters?
Satish Parakh : Two three quarters there is only one building project of hospit al PPT it will be executed in the next two quarters.
Vibhor Singhal : Okay apart from that all the projects that we have in the order book they are all under execution and they have land acquisition in appointed date.
Satish Parakh : Yes.
Vibhor Singhal : Got it. Great Sir. Thank you so much for taking my questions and wish you all the best.
Moderator : As there are no further questions from the participant I will now hand the conference over to Mr. Ashish Shah for closing comments.
Ashish Shah : On behalf of C entrum Broking I like to thank all the participants for attending t his call and also thank you to the management for giving us the opportunity to host the call. Sir any closing comments from your side.
Paresh Mehta : We thank all the investors who have join ed the call and if you have any follow up questions or any queries or enquiries you can always connect with me or Stellar Advisory for further clarifications. Thank you.
Moderator: Thank you. On behalf of Centrum Broking Limited that concludes this confe rence call for today. Thank you for joining us. Y ou may now disconnec t your lines.

Call: Aug 2022

Ashoka Buildcon Limited

Regd. Office : S.No. 861, Ashoka House, Ashoka Marg , Vadala, Nashik – 422 011, Maharashtra, India
hh hhTel. + 91 253 6633705 hh hhFax +91 253 2236704 hh hh www.ashokabuildcon.com
CIN : L45200MH1993PLC071970

To, To,
The Manager, The Manager,
The Department of Corporate Services The Lis ting Department
BSE Limited National Stock Exchange of India Li mited
Floor 25, P. J. Towers, Exchange P laza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandr a (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA EQ .

August 16, 2022

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on August 11, 2022 in r espect of Unaudited Standalone and Consolidated financial results for the quarter ended June 30, 2022.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildco n Limited
Q1 FY20 23 Earnings Conference Call”

August 1 1, 2021

ANALYST : MR. ASHISH SHAH – CENTRUM BROKING LIMITED

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR - ASHOKA
BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER -
ASHOKA BUILDCON LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY2023 earnings conference call of Ashoka Buildco n Limited hosted by Centrum Broking Limited. As a reminder , all participant lines will be in the listen -only m ode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this confere nce is being recorded. I now hand the conference over to Mr. Ashish Shah from Centrum Broking Limited . Thank you and over to you Ashish !

Ashish Shah : Thank you Margaret . On behalf of Centrum Broking I welcome everyone to the Q1 FY20 23 earnings conference call of Ashoka Buildcon Limited . We have from the management Mr. Satish Parakh – Managing Director and Mr. Paresh Mehta – Chief Financial Officer and we also have

Stellar Investor Relations connected on the call so let us begin the call and o ver to you Sir for the opening remarks .
Satish Parakh : Good afternoon. We would like to extend a very warm welcome to everyone on earnings call for the first quarter that ended June 30, 202 2. Along with me, I have Mr. Paresh Mehta , our Chief Financial Officer on the call . Let me start with key developments in the first quarter of FY 2023. Company recorded an order book of 14780 Crores backed by healthy order intake. Let me now give an update about projects. As mentioned earlier we have entered an asset sale transaction of Ashoka Co nstruction Limited of 5 SPVs by entering into a share subscription and share purchase agreement with Galaxy Investments Private Limited II Private Limited an affiliate entity of KKR. The agreement is to be completed soon after receiving require d approvals from ven dors, NHAI and other relevant stake holders and completion of certain conditions previous requisites . We have received approvals from few vendors and other stakeholders. We are in process of completing the en tire process and balance EPs. The deal wil l transfer the entire share capital of these five BOT projects, SPVs including repayments of shareholders loan for an aggregate consideration of 1337 Crores.
The total proceed received will be utilized for the fac ility by exit of Macquarie of Ashoka Const ruction Limited allowing SBI Macquarie exit the company fully. Further transfer of these five SPVs we have reduced the consolidated project debt of ABL by 3014 Crores.

Also we have
executed a share purchase agreeme nt with National Investment and Infrastruc ture Fund Limited for sale of 100% equity of CORR for an aggregate financial consideration of 686 Crores. Around 686 Crores ABL is expected to receive around 150 Crores. 150 Crore s towards loan increment and 200 Cr ores towards, 50% equity, state electricit y, post this transaction the company will remain with the following venture, Highways and Minor Ports Department . 74% equity stake in one toll project, Jaora -Nayagaon, three fully owned annuity projects, Mudhol Nip ani, Bagewadi Saundatti and fully owned projects.
As mentioned earlier we are in discussion to introduce Jaora -Nayagaon BOT toll project. We have executed a construction agreement with NHAI 1079 Crores for development of six lane, Greenfield highway fr om Baswantpur to Singondi Section of NH 150 C, and hybrid annuity
 model under Bharatmala Pariyojana. The construction period is 112 days and t he operation period is 15 years. The total equity requirement for 11 HAM projects including PIM was 1335 Crores of which we have already invested 1107 Crores including PIM as of June 2022.
Coming to the order book as mentioned we have achieved robust order inflow. Some of the key and large order received from first April are as follows: As I said earlier, we have executed a construction agreement for 1079 C rores development of six lane Greenfield N ational Highway from Baswantpur to Singondi kilometer 162.5 2 to 203.1, LOA from Government of Republic of Guyana USD 106 million for construction of East Coast Road Link age at Guyana , LOA for a project construction f or the Fintech Digital Institute from Government of Rajasthan for Rs.600 Crores. This project is through JV where Ashoka is having 6 5% stake and Ashoka Buildcon is the bidder. This project is to be completed i n 18 months.
LOA from East Central Railway of 208.89 Crores for provision of 10 collision advance system. This project is to be completed in 24 months. The breakup of 147 80 Crores order book as of June 2023 the breakup of 14780 Crore s order book as on Jun e 30 2022 is road project compromise about 8929 Crores, which is 60.4% of the total order book . Among the road project order book HAM road project s is to the tune of 3162 Crores and EPC project s are to the tune of 5857 Crores. Power TND order s were around 2355 Cro res which is approximately 15.9% of the total order book. The EPC building segment contributed 2302 Crores which is 15.6 Crore s of the total order book and railways stood at 1142 Crore s which is 7.7% on the total order book.
EPC work for CGD business compromise the balance of 51 C rores and the current order book including project received as of June 2022 stand s at Rs.15355. Let me reitera te that our focus remains to bid strong EPC business in the segment of highways, railways, power TND and build ings. The current order book of 15355 Crores provi de us with a good visibility of EPC business growth.
On the asset portfolio front we have already built 11 new HAM project s portfolio in terms of new project bidding . Our priority will remain more HA M projects to strengthen the hand project portfolio furt her. This is all from my side. I would now request Mr. Paresh Mehta to present the financial performance of Q1 FY2023. Thank you.
Paresh Mehta : Thank you Sir. Good afternoon everyone. The results pres entation and the press release for the quarter have been uploaded on the stock exchanges and on the company’s website. I believe you all may have had gone through the same. Now, I would like to present the financial result for the first quarter ended June 30, 2022.
Starting with the consolidated results, the t otal income for Q 1 FY2023 grew by 46% year -on-year to Rs.1916 Crores as compared to Rs. 1310 Crores in Q 1 FY2022. EBITDA stood at Rs. 521

Crores

in Q 1 FY2023 with a margin of 27.2%,. PAT is at Rs. 135 Crores in Q1 FY 2023. The revenue mix has changed and it is higher on the EPC side compared to which margins are impacted. Coming to the standalone numbers, the total income for Q 1 FY2023 stands at Rs.1510 Crores as compared to Rs .1058 Crores in corresponding quarter last fiscal, registering a growth

of 43%. EBITD A for the quarter was at Rs.1 76 Crores with EBITDA margin of 11.6%. The company reported net profit after tax of Rs.1 04 Crores in Q 1 FY2023. During Q 1 FY2023, BOT division recorded a toll collection of Rs. 287 Crores as against Rs. 207 Crores in Q1 FY 2022 and Rs.26 8 Crores in Q4 FY 2022. Total consolidated debt as on 30th June 2022 stood at Rs. 7127 Crores, of which project debt is 6014 Crores of which Rs.3014 Crore s stands for project debts of five BOT projects NCD stood at Rs.250 Crores at ACL level. The stan dalone debt is at Rs.862 Crores, which comprises of 1 87 Crores of equipment loan s and Rs. 674 Crores of working capital loans. The standalone debt has increased because of delays in collection with the road checker typically in Q1; however things will have improved since July. However the total consolidated debt of Rs.7127 Crores Rs.3040 will be transferred along with five SPVs of BOT project. Post the sale transaction, EPC consolidate d debt will be 4113 Crore s.

With this we now open the floor for question and answer s. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

Moh it Kumar : Good afternoon Sir and congratulations on the good set of numbers. Sir my first question is on the working capital, as you had alluded to the fact that the working capital ha s increase d primarily because of delay in getting some receivables, is i t from the EPC or HAM and at what level we expected to norma lize in next five months?

Paresh Mehta : Historically if you see the September and the December quarter generally working capitals are slightly higher than what is normal so if you see the first co uple of weeks in July certain delayed payments of June end w e have received for more than 100 -odd Crores and going forward for the HAM projects the disbursement would happen in this month so they would take care of the additional burden of debt . We believe going forward this working capital requirement would be in the range of 400 -odd Crores plus equipment debt of 180 -odd Crores.

Mohit Kumar : Understood Sir. 400 Crores is the number which we would see by the end of Q2 or fiscal is my understanding correct S ir?

Paresh Mehta : Yes, around Q2 400 Crores to 430 Crores.

Mohit Kumar: My second question is on the monetization bit, you are working on parallel multiple things but out of which Jaora -Nayagaon let us say the sale of HAM through InvIT or to investor which one do you think likely to happen in near term and if the H AM you are looking for InvIT that will take some time right. Is my understanding correct?

Paresh Mehta : Right, as regards the BOT projects five BOT projects and the Chennai ORR project we expect t o close the deal by September end or around September or may be a month or so plus minus . As far as the other projects are concerned they are under pipe line. The HAM projects the 11 HAM project or rather 10 which are almost 106 except for one, which is on the HC these are expected

either there could be a buyer for it or we may so begin with, InvIT definitely there is some time away.

Mohit Kumar : Okay. Sir Chennai ORR what is the inflow which one can expect from this sale to us ?

Paresh Mehta : As we said the total consideration is 686 Crores of which approximately ATL expects to get around 450 Crores of

which 250 would be against debt financing to the SPV and 200 against its equity.

Mohit Kumar : So 200 Crore s will be the free cash flow to us is that right Sir?

Paresh Mehta : Right.

Mohit Kumar : Understood Sir. Thanks a lot and all the best. Thank you.

Moderator : Thank you. The next question is from the line of Vibhor Singhal from PhillipCapital . Please go ahead.

Vibhor Singhal : Good afternoon Sir. Thanks for tak ing my question and congrats on strong execution once again. Sir my question was basically pertaining to the couple of new orders that we have procured, one order as we had re-announced is for the railways in terms of the Kavach scheme that we have announc ed, that is a decent 186 Crores kind of an order and there i s also one more order from Government of Rajasthan for IT and Communication can you just may be give us some highlight as to what exactly is a nature of our work or the scope of work for these pro jects?

Paresh Mehta : Kavach is typically the single lane sys tem anti -collision system which we are will be addressing

and Rajasthan project is pertaining to a building construction for Fintech Digital institute.
Vibhor Singhal : So the Rajasthan project is just about constructing a building for The Digital I nstitute right?
Paresh Mehta : Approximately 11.56 lakh square feet .
Vibhor Singhal : Okay so our scope of work is just constructing the building?
Paresh Mehta : Right.
Vibhor Singhal : And Sir for the Kavach project what is our scope of work what we will be doing?
Paresh Mehta : We will be providing all the necessary equipment for avoiding collision and other railway signaling system.
Vibhor Singhal : So are we going to layout the optical fiber cables or are we going to basically help them provide the equipment for the anti-collision system itself, so our work will be mainly EPC only right in terms of laying down the cables and all that?

 Paresh Mehta : Right it is a total solution for fixed part of the contract.
Vibhor Singhal : Sir just wanted to get more colour on these a nd I think we have been bidding for variety of projects now I mean of co urse we have power transmission, railways and roads which are our bread and butter, building s, of course, something which we have already excelled in but these seems to be entirely a dif ferent kind of a domain so I just wanted to understand why are we going into this kind of a domain in which we will never venture before, the opportunity also is not a huge oppo rtunity if you look at it in terms of if you compare it with roads and building s or railways so what is the specific reason that we have gone for this kind of a project? Sir basically as you mentioned that the details about the Kavach project what I wanted to understand was Sir what is our specific reason for going for this kind of a project . This is completely unchartered territory for us, we have never done these kind of projects before, opportunity wise also I am sure this project this domain cannot be a s big as the railways or roads or any other domain that we have already very ex perienced in so is that we are seeing some very strong opportunity in the segment and the margins in this segment better so what is the specific reason for us going into this ve ry niche segment of laying out this optical fiber cables and this project?
Satish Parakh : See this is an anti-collision safety point of view, railways is now putting up this project for the entire railways. So it is definitely going to be a big opportunity and only few players are there in this segment and we have a good control on d oing such projects because we ha d been dealing with smart infra headwinds, hardware and software projects so this actually we have skills which are required completely for this kind of works and therefore we have entered into this and we see a good opportu nity go

ing ahead.
Vibhor Singhal : Sir just may be if I ask my first question again, what is exactly going to be our scope in this project? Is it only going to be laying out off cables or are we going to provide some electronic equipment also for this anti -collision project that we are talking about?
Satish Parakh : Laying of cable is a very s mall portion of the whole order. Primarily it includes the hardware and software, 50 locat ions we have to cover and around 403 kilometers of length of railways in Jharkh and and Uttar Pradesh and Bihar we have to cover. It is completely anti-collision system atomization as far as collision is concerned.
Vibhor Singhal : Sir these kind of let say I would say electronics related optical fiber cables proje cts are we going to bid for them ahead and also if they come from let say not from railways but other departments also are we going to go ahead with those projects also?
Satish Parakh : We ha d been d oing this last two years . KPON, which is Kerala Optic Fiber Network which we have already done and more than around 20,000 kilometers of fiber laying we have already done. In all our highway projects we do around 300 kilometers in each project so this is n ot new for us and as far as software and technology is concerned, we are well v ersed with since last two years. So this is a segment which we look forward, automization, digitization will be another focus areas for the company.

 Vibhor Singhal : Great to hea r that. Sir similar question was on the projects from Guyana so I think Sir aft er Mauritius and Maldives this is the third basically overseas location that we are kind of venturing into so just wanted to again we have a strategy here are there some specifi c geographies that are there in mind that okay we will go to these countries an d if there is an opportunity and we will focus on only in these countries, or are we like open to working I mean in the vicinity of India are we open to working in any country w here we find a good opportunity?
Satish Parakh : After completing the first phas e of Maldives we bagged second phase which is also now nearing completion and there is a third project which is building or housing project which we are likely to start may be Q 3 or Q4 of this year. So all this have been one strong areas other than these w e have bagged Guyana and we are focusing on African region. We are lowest in EXIM Bank for that project of Bangladesh also. We are developing in different vertical . After doing Maldives in

last four years there is an independent vertical for doing internat ional projects and wherever an opportunity wherever there EXIM Bank funded where funding is guaranteed and margins are intact we are focusing on those areas. So this vertical ma y be independent and grow with like we are building, power and railways.

Vibhor Singhal : Sir any target that we have set for ourselves let say may be five years down the line we want an international order book to be may be 10% or 15% or nothing like that will be all opportunity based?

Satish Parakh : 100% opportunity based.

Vibhor Si nghal : Just last book keeping question if you could just provide I mean after the first quarter results what is the overall revenue for FY2023 and the margin that we are looking for in terms of guidance what we are looking for FY2023 revenue margins?

Pares h Mehta : From revenue perspective, we target approximately 15% to 20% growth minimum in this quarter, based on order book now and new orders to come in we will keep on reassessi ng these value in Q4 probably otherwise 15% to 20% is generally okay for the ye ar.

Vibhor Singhal : Sir margins?

Paresh Mehta : Margins based on today’s costing and other things, would be in the range of 9% to 10% is what we strongly believe going forward, e ven based on what is for Q1. These are basically because of high cost and

certa in project s which are taken at prices considering increase from an entry’s perspective.

Vibhor Singhal : Got it. Sir many of the players are saying that from Q3 onwards they migh t see some uptake in margins because by then the commodity prices most likely probably might be cool off and also a newer projects will start coming into execution do we expect a similar kind of a thing or for us it could be just a straight line walk ?

 Pare sh Mehta : It happen depends on also our international project taking up because there margins could be slightly better so it will all depend on the mix of the project as well as whatever you have suggested changing commodity prices.

Vibhor Singhal : Got it, great Sir. Thank you so much for taking my questions and wish you all the best .

Moderator : Thank you. The next question is from the line of Jiten Rushi from Axis Capital . Please go ahead.

Jiten Rushi : Good afternoon Sir. Thank you for taking my question. Sir my first question is on the revenue breakup, can you please provide the rev enue breakup segment wise for Q1 and competitive comparable Y-o-Y?

Paresh Mehta : Our road EPC was 1050 Crore s against 830 Crore s for last quarter.

Jiten Rushi : Sir cannot hear y our voice can you repeat ?

Paresh Mehta : Road turnover for Q1 was 1050 Crores ag ainst 830 Crore s for Q1 FY22 in the power division we had turnover of 160 Crore s against 41 Crores railways 153 Crore s against 99 Crore s CGD business was approximately 13 Crore s over 6 Crore s and RNC and other sales 50 Crores against 25 Cror es.

Jiten Rushi : Sir buildings any execution building any progress?

Paresh Mehta : It is still tenuous not very significant in two months, we need to pickup in the Q3 -Q4 quarters.

Jiten Rushi : In terms of the order backlog are these international projects covered by cost escalation or it is fixed price contract and we build better margin as you said in previous question so this all it was like the international contract?

Satish Parakh : These are fixed price contract international contracts are fixed price contract s and we do get benefit of dollar going up and we have to estimate in contingency escalation or whatever with our experience we need to estimate that. If we go wrong there we can get a hit and if we are positive, definitely it goes positive but some coverage is the re because of the appreciation of dollar or depreciation of rupee whatever.

Jiten Rushi : Mark to market risk we have to take into account while bidding for such projects?

Satish Parakh : Yes international definitely.

Jiten Rushi : Sir then what is the mix b etween fixed price contract and the variable price contract in this order backlog of almost more than 3500 Crores so, can you give us the breakup in terms of percentages?

 Satis h Parakh : These are all 80 -20, 80% is around which is covered by escalation and 20% are fixed price contract where we have to estimate escalation.

Jiten Rushi : This sh ould be mostly overseas contract, fixed price one?

Satish Parakh : One of the contract in India like which we have taken from Adani ’s for West Bengal project.

Jiten Rush i: Sir you had said in the opening remarks about the equity, the balance equity would be HAM project so what I can see is like total equity invest ed is 812 Crores and PIM over 2 95 Crore s so what is the total equity required including PIM and excluding PIM and how much have we

invested if you can give breakup including PIM and excluding PIM and then in terms of years ?
Paresh Mehta : Yes so excluding PIM which is typically will depe nd on how the inflation index moves but excluding PIM and as well as including the last project Baswantpur to Singondi HAM project total equity requirement is 247 Crore s for the HAM project s which typically is…
Jiten Rushi : So tota

l would be how much inclu ding all the 11 excluding PIM?
Paresh Mehta : That is 247 plus 813 Crores.
Jiten Rushi : Okay and how much you invested so far?
Paresh Mehta : 813 Crore s as I said. See 813 we invested 247 too we have invested over two years 2023 and 2024 163 in 2023 and 84 i n 2024.
Jiten Rushi : Sir including PMI what could be that number Sir?
Paresh Me hta: Including PMI the PMI number will vary but based on our view current budgeted PMI we are approximately against estimated 380 Crores of PMI we have received 294 so another 7 0-80 Crore s to be received. This will change as project will go, this is one va riable the committed equity is what we have already given.
Jiten Rushi : Basically Sir this would be fully invested in all the time of operational projects, and only 180 Crores i n construction and operational mix?
Paresh Mehta : Yes, so out of 247 approximat ely 115 is pertaining to the last pro ject, project Baswantpur which is yet to be financially closed so if we reduce that then the net investment to be done is 130 Crore s on the already under execution HAM projects.
Jiten Rushi : Sir on the execution side so you said Maldives project is expected to start by Q3 and Q4 but what about this NTPC solar and the Mumbai SPV project any updates, they are quite some time now and the solar is nonrenewable.
Paresh Mehta : Could you repeat your question ?
 Jiten Rushi : Sir in terms of the order backlog so NTPC Solar project what is the status, is there anything you want to remain order backlog or you cancel it because the module prices are very hig h?
Satish Parakh : NTPC Solar project is only going on so it is in the order bac klog.
Jiten Rushi : But what about the encouraging model price Sir, any cushion we have or we have to pay penalty for that or what is the status as of now Sir?
Satish Parakh : As of now we are progressing without model and we have discussion with the authori ties. So till now we have reached any solution.
Jiten Rushi : Last question from my side on the deals with KKR and NISS what is the outstanding equity and debt in Chennai ORR ?
Paresh Mehta : Debt is approximately 650 Crores in Chennai ORR and equity is appro ximately 189 Crore s.
Jiten Rushi : This is including loss funding and sub -debt the equity of 189 Crore s is?
Satish Parakh : This is basic equity and support given by Ashoka Buildc on is 250 Crores which will be returned when the deal happens.
Jiten Rushi : Sir on this five projects, Bhandara so what is the current status of outstanding debt and the equity in terms of equity and support?
Paresh Mehta : On the five projects the BOT proj ects?
Jiten Rushi : Yes.
Paresh Mehta : In these projects approximate ly 2200 was the invested equity and support debt which we are liquidating at 30 -37 so this is the position and as of 1st April 2022 project typically is this we are just finishing the, we a re taking care once the funds transfer happens it will be their project.
Jiten Rushi : So basically what is the breakup between the equity and sub -contract if it is possible to give?
Paresh Mehta : The equity is approximately 735 Crores and debt is the balan ce. This debt is inclusive of both kinds of debt s some construction is very tim e funded part equity debt and also debt is also in the form of supportive debt majorly for projects like Sambalpur .
Jiten Rushi : That is it from my side. For further question wi ll come back in the queue. Thank you.
Moderator : Thank you. The next question i s from the line of Harsh Shah from Elara Capital. Please go ahead.
 Harsh Shah : Thank you so much for the opportunity. Sir I had two questions basically, first have you started with the Adani Road Project in West Bengal I mean start from Q2 onwards so if yo u can just provide an update on that?
Par

esh Mehta : Yes this project is already started and 12% we are funding around this project.
Harsh Shah : The second question is so we rece ive around 600 Crores so 140 Crores from the KKR deal as well as 450 Crore s from Chennai ORR by September or probably Q3 onwards so what are we going to use that money for is it are we going to pay off our debt on standalone basis or are we

going to give i t as a dividend to the shareholders or something if you could provide some guidance on that?
Paresh Mehta : I think we will come to the stage when we are ready. There could be both options we have to check out debt on certain projects, but otherwise I think we will take the step when we are pretty close to the realization of the cash.
Harsh Shah : By when will we get the money ?
Paresh Mehta : The long stop date is September so somewhere around that period may be de pending on permission from NHAI, it may be plu s minus one month to two month s but otherwise we expect that September is the l ong stop date.
Harsh Shah : Okay thank you so much Sir.
Moderator : Thank you. The next question is from the line of Nikhil Abyankar from DAM Capital. Please go ahead.
Nikhil Abya nkar : Thanks for the opportunity Sir. Most of my questions have been answered b ut I would like to go back to the margin, Sir historically our margin has been in the range of 11% to 12% and some of the companies has also seen an sequential increase in the m argins in Q1 so what exactly is the reason you are saying that will take around 10% irrespective of the international orders?
Paresh Mehta : See our order book is a mix of projects w hich are bid at various margins, the HAM project would be bid at 13% EPC ar ound 11% and the new entry 11 project s may be slightly will be adjusted from an entry perspective. From that perspective the mix would typically result in a 10% which is also taking into account that the escalation continues to be as it is . If the escalati on improves the commodity prices would reduce the margins could go up.
Nikhil A byankar : So is it fair to assume that the share of EPC execution will be way higher in this financial year?
Paresh Mehta : Yes that is true.
Nikhil Abyankar : Can you give us the breakup of it what can be the revenue share from each segment?

 Paresh Mehta : Immediately I would not be in a position to tell you what is HAM is approximately 3000 -odd Crore s of which almost 65% to 70%, 60% would get over by March 2023 so rest all would be EPC contract s. Out of the total revenue estimate of around say 5000 -5500, 2000 would be contributed by HAM projects and rest could be EPC either road or other sector.
Nikhil Abyankar: Understood Sir. That is all from my side. Thank you.
Moderator: The nex t question is from the line of Parvez Akhtar Qazi from Edelweiss Securities . Please go ahead.
Parvez Akhtar Qazi: Good afternoon Sir and thanks for taking my question. Sir couple of questions on my side ; first how do you see the competitive intensity in th e various segments where we are bidding and going ahead what is the kind of mix in terms of order intake from various segments is what we are targeting?
Satish Parakh : Our f ocus remains on highways. This could be mix of HAM and EPC, NHAI, MoRTH , NHAIBCL or it could be even states like UP, Bundelkhand Expressway and all, so it is all the opportunities which are coming up in Q3 -Q4 will decide the mix but our definite strength is highways and our focus also remains. In addition to highways simultaneously devel oping our power portfolio railways portfolio and building portfolio and while d oing this definitely there are challenges in terms of PQ -TQ and getting JV partners and bidding like getting entry into this sector and getting established so this is a phase wh ere we are developing new verticals so little overheads are also going up.
Parv ez Akh

tar Qazi : Okay but what is our terms on the competitive scenario for NHAI and especially post COVID we are seeing very significant competition where do we expect that it w ill moderate this year or we expect it will probably remain at these levels onl y?
Satish Parakh : It is very uncertain to predict the competitive aggression in the market. Last year we have seen a huge aggression. Going ahead I do not know Q3 -Q4 should show enough order and those people have taken aggressive projects also will underst and what exactly they have done. The reasonable thing should prevail but looking at the qualifications which have been diluted we do not know whether new players come in jump in will the aggression will remain not remain and that is why we have decided to ourselves put into various sectors and become all round EPC players.
Parvez Akhtar Qazi : So what is the status of the land availability for the 11 HAM project and also for the Banur – Kharar project?
Paresh Mehta : The land availability most of the project is 80% plus , I said one project which we are suffering is Punjab which is IT Chowk project other than that we are comfortable on land as well as other HAM projects are comfort . NHAI straight forward in giving PCOD and COD and if land is not available they are even ready to descope it so land is not going to really affect the portfolio to a major extent.

 Parvez Akhtar Qazi : Okay and just one book keeping question, what is the Cape x that we incurred in Q 1 and what is
the equity that we infused in Q1?
Paresh M ehta: Capex in Q1 approximately 15 Crores and equity invested in Q1 was 77 Crores.
Parvez Akhtar Qazi: Thanks Sir. All the best.
Moderator : Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi : Thank you for taking my question. Sir on the capex front what is the target because you have done 15 Crore s now and full year target.
Paresh Mehta : We have approximately budgeted the total Capex of approximately 150 -odd Crores where the new project which will ta ke off in Q3 -Q4 will require so this is approximately 120 -150 Crore s is what Capex we intend to do by last 2023.
Jiten Rushi : So this high capex we can expect in 2024 also many projects will come in so FY2023 will see that high capex before we see suppress in Capex any thought on that Sir?
Paresh Mehta : I think so this capex should be sufficient to take new orders also and FY24 should be typically not so high.
Jiten Rushi : Sir fe w a more questions from my side, if you can give the June ending numbers for de btors creditors inventory mobilization advance retention and debtor?
Paresh Mehta : For the June ended the debtor position was around 1000 -odd Crores and against which advance was around 442 Crores and credit payables 847 Crores and unbilled revenue around 1200 Crore s.
Jiten Rushi : Retention Sir in inventory?
Paresh Mehta : Inventory is what 120 Crore s, WIP which is called unbilled revenue around 1200.
Jiten Rushi : Retention is how much?
Paresh Mehta : Retention money could be approximately 183 Crores.
Jiten R ushi: Sir in terms of order book what is your guidance for this year because our first quarter have been very good and Q4 the order inflow has been very good and we are accumula ting the order backlog and the focus is on execution so any thought on what is the target for order book this year and also what is the current executable order backlog?
Paresh Mehta : So order backlog I have told you it is 15000 -odd C rores …
Jiten Rushi : I am asking executable so there could be projects which are yet to start executio n what is the current executive order backlog

 Paresh Mehta : There are only two three projects which are yet to start this will all t ake off in Q3 -Q4, may be all
on

e or three pr ojects will commence in Q1 of next year so we can say around 13500 to 14000 is what will come into existence next year.
Jiten Rushi : Sir the order inflow target for this year end what could be the mix in terms of order backlog.
Paresh Mehta : NHAI and Minis try has been aggressively announcing that they want a very bid out more than 8000 kilometer this year and what we have done is only 2600 in Q1 or till date Q3 -Q4 should throw up lot of bidding opportunity particularly with Ministry of Road and Transport an d other states would throw up a good opportunity. Other than this we see a good opportunity.
Jiten Rushi : How much Sir?
Paresh Mehta : Order intake we would be around 6000 to 8000 Crore s we should bag in Q3 -Q4.
Jiten Rushi : This is additional amount for next eight -nine months. Yes on the Jaora -Nayagaon when can we expect any conclusio n in terms of bid?
Paresh Mehta : We are almost in serious discussion s from the documentation part and we should be completing any time soon may be a week or two's time to see so me light.
Jiten Rushi : Okay Sir, that is all from my side and all the best.
Mod erator : The next question is from the line of Mohit Kumar from DAM Capital. Please go ahead.
Mohit Kumar : Sir thanks for the opportunity once again. Sir my first question is can you talk about power segment are we talking primarily about TN D, state TND opp ortunity or do you still think you would like to do more fuller or so there is compete no-no going forward?
Paresh Mehta : If you see can be TND or it can be solar now only what precaution we need to take going forward is not taking any fixed price contract . So our focus will be on book contracts where escalation is pass through.
Mohit Kumar : So it means that you look at the private EPC contract because all the PSU contracts are t here?
Paresh Mehta : No all the P SUs is also coming up, they are ready to pass t hrough, particularly for solar the modules are now being provided by government so we are getting into the new policy they will come after this probably this policy and the plan t will be taken care by them.
Mohit Kumar : Secondly from the sale of Macquarie I believe there will be a tax shield available right, so that will reduce our outgo from the share which we will do on future is that a fair assessment?
Paresh Mehta : Tax shield from what perspective Sir?

Page 15 of 16 Mohit Kumar : For the sale of the toll road which were doing at lower than book value right?
Paresh Mehta : I do not, no tax there would be minimal tax that are capital gain tax but other than no tax shield available.
Mohit Kumar : Okay I will take it offline Sir. Thirdly there was a m argin aspiration in medi um term? Are we aspiring go back to the year on year half percent?
Paresh Mehta : This will all depend ent on commodity prices, bidding intensities so I think it will be in the ra nge of 9% to 11% or may be 12% .
Mohit Kumar : Lastly Sir are we seeing any BOT o pportunity from NHAI or some other sta tes?
Paresh Mehta : Not really anything significant.
Mohit Kumar : Thank you and all the best Sir.
Moderator : Thank you. The next question i s from the lin e of Vibhor Singhal from PhillipCapital . Please go ahead.
Vibhor S inghal : Thank you Sir for taking my question again. Sir just following up on Mohit's question which he asked just now I think what we trying to ask is that, as you mentioned th at we have invested 2200 Crores of equity into the Macquarie portfolio and we ar e selling it for 1300 Crores so is there a capital loss that we would be booking which will give us the benefit of any tax credit that we can utilize thereon ?
Satish Parakh : There would be capex process which will be available in the ATL level to be absorb ed in future.
Vibhor Singhal : Okay so that would be a ATL level right but because the investment have been made from Ashoka

Buildcon level would that also result in some tax be nefit so what he meant by tax shield is only tax benefit that we would get from this sale which you can utilize in future years and if yes is there an quantum to it that you can probably provide at this point of time?
Satish Parakh : At present at ATL level there would not be any significant movement because ATL will continue to hold A CL as a subsidiary.
Vibhor Singhal : Okay got it. So the benefit will all at the ACL level?
Satish Parakh : Right.
Vibhor Singhal : Got it. Sir one small question on the order boo k Sir two projects one is the Banur - Kharar project in the EPC road segment and the other is the Kwaram Taro in Assam these projects have not seen any execution for the past four to five quarters so any specific reason that these projects are not basically showing any progress, are they stuck from here?

Page 16 of 16 Satish Parakh : The Assam projec t we just received appoint ed date. The progress will start in Q3 -Q4, we have done something done in Q4 also and which was the other one.
Vibhor Singhal : Banur - Kharar ?
Satish P arakh : That also likely to start in Q3 .
Vibhor Singhal : But these orders were in our book since Q1 last year ?
Satish Parakh : See after only getting we will complete land acquisition then only account will be done.
Vibhor Singhal : Sir now the follow up ques tion is are there any projects in the order book right now which do not have tha t appointed date and which could see no execution for the four five or may be two three quarters?
Satish Parakh : Two three quarters there is only one building project of hospit al PPT it will be executed in the next two quarters.
Vibhor Singhal : Okay apart from that all the projects that we have in the order book they are all under execution and they have land acquisition in appointed date.
Satish Parakh : Yes.
Vibhor Singhal : Got it. Great Sir. Thank you so much for taking my questions and wish you all the best.
Moderator : As there are no further questions from the participant I will now hand the conference over to Mr. Ashish Shah for closing comments.
Ashish Shah : On behalf of C entrum Broking I like to thank all the participants for attending this call and also thank you to the management for giving us the opportunity to host the call. Sir any closing comments from your side.
Paresh Mehta : We thank all the investors who have join ed the call and if you have any follow up questions or any queries or enquiries you can always connect with me or Stellar Advisory for further clarifications. Thank you.
Moderator: Thank you. On behalf of Centrum Broking Limited that concludes this confe rence call for today. Thank you for joining us. Y ou may now disconnect your lines.

Call: Nov 2022

Ashoka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Listing Department
BSE Limited National Stock Exchange of India Limited
Floor 25, P. J. Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA EQ.

November 17, 2022

Sub: Call Transcript

Please find enclosed herewith the copy of transcript of the Earnings Call held on November 14, 2022 in respect of Unaudited Standalone and Consolidated financial results for the quarter and half year ended September 30, 2022.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildcon Limited Q2 FY23 Earnings
Conference Call”

November 14, 2022

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR ,
ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER ,
ASHOKA BUILDCON LIMITED
MR. SUYASH SAMANT , STELLAR INVESTOR
RELATIONS ADVISORS PRIVATE LIMITED
MODERATOR : MR. MANGESH BHADANG – NIRMAL BANG EQUITIES
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Ashoka Buildcon Limited 2Q FY23 results conference call hosted by Nirmal Bang Equities Private Limited. As a reminder, all the participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need a ssistance during the conference call, please signal for an operator by pressing "*" and then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr Mangesh Bhadang from Nirmal Bang Equities. Thank you, and over to you, sir.

Mangesh Bhadang: Good afternoon everyone. On behalf of Nirmal Bang Institutional Equity, we welcome everyone to the second quarter FY23 results conference call of Ashoka Buildcon Limited. From the management, we have with u s today Mr Satish Parakh – Managing Director and Mr Paresh Mehta – Chief Financial Officer of the company. We also have Suyash Samant from Stellar Investor Relations team on the call with us today.

Without further ado, I now hand over the conference to M r. Satish Parakh for his opening remarks on the results which we will follow it up with the question & answer session. Over to you, Mr. Parakh.

Satish Parakh: Good afternoon everyone. I'd like to extend my warm welcome to everyone on this earnings call for the second quarter and half year ended September 30, 2022. Along with me, I have Mr. Paresh Mehta, our CFO, on the call.

Let me now give an update on the equity sale of ACL projects. As mentioned earlier, we have successfully signed up for the asset sale transaction of Ashoka Concessions Limited of 5 SPVs by entering into a share subscription and share purchase agreement with Galaxy Investments II Private Limited, an affiliated entity of KKR. The deal is to be completed soon after receiving required approv als from lenders, NHAI, and other relevant stakeholders and completion of certain conditions precedent.

We have received approvals from a few lenders and other stakeholders. We are in the process of completing the balance CPs. Meanwhile, we have received an extension of the period for the fulfillment of CPs from an investor. The deal transfers the entire share capital of these 5 BOT SPVs, including repayment of shareholders' loan, for an aggregate consideration of Rs. 1,337 crores. The total proceeds received will be utilized to facilitate the exit of SBI Macquarie from Ashoka Concessions Limited, allowing SBI Macquarie to exit the company fully.

Further, transfer of these 5 SPVs will reduce the consolidated project debt of ABL by Rs. 2,930 crores. Als o, we have executed a share purchase agreement with National Investment and Infrastructure Fund for sale of 100% equity of Chennai ORR project for an aggregate financial consideration of Rs. 686 crores. Out of Rs. 686 crores, ABL is expected to receive Rs. 450 crores – Rs. 250 crores towards loan repayment and around Rs. 200 crores towards its 50% equity stake in SPV. Post this transaction, the company will remain with the following major projects in

highway portfolio: 74% equity in 1 toll project, which is Jaora -Nayagaon; 3 fully owned annuity projects which is Hungund -Talikot, Bagewadi -Saundatti and KSHIP; and the fully owned portfolio of 11 HAM projects. As mentioned earlier, we are in discussion of equity sell of Jaora - Nayagaon BOT toll project.
Coming t o HAM projects, we have executed a concession agreement with NHAI worth Rs. 1,079 crores for the development of 6 -lane access controlled greenfield highway project from kilometer 162.5 to 203.1, Baswantpur to Singnodi section of NH 150C on hybrid annuity m ode under the Bharatmala Pariyojana. The construction period is 912 days and the operation period is 15 years, and also achieved

financial closure for the same. We are expecting an appointed date very soon.
We also received pre -COD for our TS -1, which is M allasandra -Karadi of NH 206. The total equity requirement of all 11 HAM projects is about Rs. 1,096 crores of which we have already invested Rs. 848 crores as of September 2022.
Coming to our order book, as mentioned, we have achieved a robust order inflow . Some of the key and large orders received from 1st August are as follows. We have received the LOA for East Central Railways, Rs. 208.89 crores project for provision of Train Collision Avoidance System to be completed in 24 months. LOI for a project for Department of IT & Communication, Government of Rajasthan, of Rs. 600 crores. It is a joint venture with Cube Construction Engineering Limited for construction and maintenance of Rajiv Gandhi Fintech Digital Institute at Jodhpur. LOI for Provident Housing Limited of Rs. 254.5 crores for a project of civil and structural for residential project at Kalyan. The construction is 42 months from the commencement date. We have received an LOA from South Western Railways for Rs. 258.12 crores for the construction of new BG line between chainage 192 to 171, including electrical and telecommunication works between T olahun se and Bhar masagara stations on EPC mode. The completion period is 24 months from the date of appointed date.
The breakup of Rs. 14,901 crores orde r book as of September 30, 2022 is: Roads and Railways projects comprise around Rs. 9,760 crores which is 65% of the total order book. Among the road projects order book, HAM projects are worth Rs. 2,689 crores and EPC road projects are worth Rs. 5,573 cro res. And Railways is around Rs. 1,498 crores. Power T&D and others account for around Rs. 2,233 crores which is approximately 15% of the total order book. The EPC building segment contributes to Rs. 2,867 crores which is 19% of the total order book. And EP C work of CGD business comprises of balance of Rs. 41 crores.
Let me reiterate that our focus remains to build strong EPC business in the segments of highways, railways, power T&D, and buildings. The current order book of Rs. 14,900 crores provides us with good visibility of EPC business growth.
On assets portfolio, we have already built 11 HAM projects' portfolio. In terms of new project bidding, our priority will remain on HAM projects and strengthen the HAM project portfolio.

That is all from my side. I would now request Mr. Paresh Mehta to present the financial performance of H1 and Q2 FY23.
Paresh Mehta: Good afternoon everyone. The result presentation and press release for the quarter have been uploaded on the stock exchanges and the company's website. I believe you all may have gone through the same. Now I would present the financial results for the second quarter ended September 30, 2022.
Starting with the consolidated results. The total income for Q2 FY23 grew by 41% year on year to Rs. 1,845 crores as compared to Rs. 1,305 crores in Q2 FY22. EBITDA stood at Rs. 467 crores in Q2 FY23, with a margin of 25%. Profit after tax is at Rs. 65.7 crores in Q2 FY23.
In H1 FY23, total revenue was Rs. 3,761 crores, up by 44% year on year. The EBITDA stood at Rs. 988 crores, with a margin of 26.3%. Profit after tax stood at Rs. 200 crores.
Coming to the stand -alone numbers, the total income for Q2 FY23 stands at Rs. 1,310 crores as compared to Rs. 976 crores in the corresponding quarter last fiscal, registering a growt h of 34%. EBITDA for the quarter was at Rs. 142 crores, with an EBITDA margin of 10.8%. The company reported a net profit after tax of Rs. 65.5 crores in Q2 FY23. In H1 FY23, total revenue was Rs. 2,820.2 crores, up by 39% year on year. The EBITDA stood at Rs. 317 crores, with a margin of 11.3%. Profit after tax stood at Rs. 169.8 crores.
As you are all aware, due to equity sales transactio

ns, we are not recognizing interest income from SPV in our books, and it has reduced the EBITDA. And also, EBITDA margi ns have gone down, impacted mainly due to the inflationary environment and higher competitive bidding in some of the projects.

During Q2 FY23, BOT division recorded a toll collection of Rs. 275 crores as against Rs. 243 crores in Q2 FY22 and Rs. 287 crores in Q1 FY23. Total consolidated debt as on September 30, 2022, is at Rs. 7,079.7 crores, of which project debt is Rs. 5,961 crores, of which Rs. 2,930 crores stand for project debt of 5 BOT projects. NCD stood at Rs. 250 crores at ACL level. The stand -alone de bt is at Rs. 869 crores which comprises of Rs. 167 crores of equipment loans and Rs. 702 crores of working capital loans. The stand -alone debt has increased because of delays in collection in certain road projects, which will be collected in the coming 2 q uarters.

Out of the total consolidated debt of Rs. 7,079.7 crores, Rs. 2,930 crores will be transferred along with 5 SPVs of BOT projects. Post the sale transaction, the effective consolidated debt would be around Rs. 4,149 crores.

With this, we open the f loor for questions & answers.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Mohit Kumar from DAM Capital. Please go ahe ad.

Mohit Kumar: My first question is on this EBITDA margin. The margins have been tracking much lower than our historical margins. Can I expect the margins to go back to more than 10.5% in FY23? Or do you think there is a downside risk to that? And in the quarter, is it that we have executed the NTPC solar order, that's the reason the margin is slightly lower? Is that a fair assumption?

Paresh Mehta: EBITDA margins are typically lower because certain projects which have been bid competitively are getting i nto execution in this phase. In the previous quarters, the projects which were at better EBITDA margins were being executed. Now those projects have come to an end, and cost overheads have had an impact on the overall margins. We believe that this level of margins will continue for a couple of more quarters, after which, we will get back to our normal.

Mohit Kumar: Sir, your guidance for short -term to medium -term, let's say, in FY24, FY25, are we looking at this kind of number? Or you think that it will go back to 12% kind of number which we were doing earlier?

Paresh Mehta: For FY24, we would try to maintain a range of 9% to 10% of EBITDA margins.

Mohit Kumar: Sir, on the monetization, if the Jaora -Nayagaon to happen in this quarter? Secondly, is there any plan to monetize the HAM asset which you already have? I think 4 or 5 are operating, right?

Paresh Mehta: Yes. On the monetization, as already explained by our managing director, five of the BOT projects are already in the process. CPs are almost getting o ver. And we should expect within 1 to 2 months for the transactions to get a closure. On the Chennai ORR also, the CPs most of the lenders have already given permission, and we are just waiting for one banker and the authorities' permission to get the clea rance. That should get done in the next 2 months' time. On the Jaora - Nayagaon project, we are in the last stages of finishing the documentation with the potential investors and we should get that done anytime. We are waiting for that. As far as HAM project is concerned, we are definitely looking out for potential buyers for the whole portfolio of 11 projects, and we definitely see a lot of interest by many strategic as well as the financial investors for the same.

Moderator: The next question is from the line of Ash Shah from Elara Capital. Please go ahead.

Ash Shah: Can you just give the revenue breakup for this quarter as well as Q2 FY23 and

FY22 both,
segment -wise?

Paresh Mehta: For EPC road, we were Rs. 665 crores previous year, which is Rs. 820 crores this quarter. In the power sector, we were Rs. 52 crores last year. We are now Rs. 140 crores. On the railway, we were Rs. 142 crores in last year, quarter 2. Now we are Rs. 184 crores. On miscellaneous projects, we were approximately Rs. 30 crores in the last Q2 FY22, which is now approximately Rs. 80 crores in Q2 FY23.

Ash Shah: Also one more thing. On the EBITDA margin front, you said that a lot of competitive projects are under execution. Could you just give us a rough idea that how much portion of the order book is fixed price right now and how much portion has a pass-through contract?

Satish Parakh: Typically, most of the road projects are in the range of 8% to 9%. The international projects are at a higher margin, but they will get into execution after Q4, where huge executions come in. They have just kicked off. It will take some time for them to move on. And on the power and other sectors, they are in the range of 8% to 9%. And certain projects which are getting over, there we are seein g an impact of escalation on handing over. That impact is coming in this quarter. Some projects are getting over like the Bundelkhand project got over. We will get a couple of projects get done in the coming 2 quarters.

Moderator: The next question is from the line of Ashish Shah from Centrum Broking. Please go ahead.
Ashish Shah: Sir, on the working capital side, we have seen the increase in the level of debtors as well as the unbilled and other current assets, etc. Is it possible for us to break down what is the amount of debtors, let's say, from highways and non -highways, and also on the unbilled side? Just to get a sense where this increase is happening majorly from.
Paresh Mehta: On the working capital side, if you see vis -a-vis March, it has increased, but vis -a-vis June, we have almost maintained that. And as far as the breakup of debtors is concerned, the major change in the debt is in the road sector with the incremental approximately Rs. 300 crores of HAM and EPC contracts. Total debtors plus unbill ed revenue is approximately Rs. 1,400 crores which is up by around Rs. 300 crores. Other sectors like power, approximately exposure is Rs. 330 crores. Railway is around Rs. 300 crores. And miscellaneous projects are around Rs. 300 crores. Overall, debtors and unbilled revenue is around Rs. 2,400 crores.
Ashish Shah: Sir, this plus Rs. 300 crores is on a year -on-year basis or sequential, in the HAM and EPC?
Paresh Mehta: Vis-à-vis March.
Ashish Shah: And the power and railways, corresponding numbers if you h ave handy?
Paresh Mehta: In power, I just said, we are Rs. 330 crores; previous of Rs. 341 crores, March 2022 numbers. In the railways, we at Rs. 308 crores against a number of around Rs. 195 crores.
Ashish Shah: Sir, in the HAM and EPC side, typically, th e counterparty tends to be NHAI. We usually don't see a working capital buildup there. So, why would this increase would have happened, sir, on the road side?
Paresh Mehta: We are slowly shifting towards milestone billing also. That is also one of the reas ons some billings are done on milestone because projects are coming to an end. The Karadi -Mallasandra and Karadi -Banwara, then Ankleshwar, these are all milestone based. Their billing will get over. In the other projects like Bundelkhand, final billing is pending. So, that will get over in a couple

of months' time. Total by December, we should get most of these receivables cleared off. And the EPC contracts with the Adani project – the Panagarh project – and it has typically just taken off. So, their paymen t is a bit delayed. It is as per the contract, but initial investment is there on mobilization and e

xecution.
Ashish Shah: Sir, sorry to just continue on this point, but it has been in the HAM side. The payments have been on milestone actually for quite so me time, and even EPC has been milestone -based only. I am just trying to understand what seems to have sort of changed over the last 6 months for this to go so much higher?
Paresh Mehta: If you see the last 4 -5 months, we have had almost 4 to 5 projects un der PCOD. They have achieved PCOD. At the last stages, these final billing and milestone billing take time to get cleared. And also on an operational basis if you see, the turnover has increased vis -a-vis last year. That has a corresponding impact on the o utsetting also.
Ashish Shah: By the end of the year, would you expect the overall working capital and debt situation to normalize? Or do you think it should broadly remain in the vicinity of Rs. 800 crores to Rs. 900 crores of debt?
Paresh Mehta: It will b roadly remain almost in the same range, marginally improved but generally remain in the same range because certain contracts are also back -ended contracts with the other sectors. So, overall working capital will remain the very same for another 2 quarters.
Ashish Shah: And sir, on the solar NTPC project, if you can just update on where are we currently in the process of execution or any discussion with the clients, it would be helpful.
Satish Parakh: Yes. In solar, it is absolutely status quo as far as pane ls are concerned. Other works are getting completed, and they have been paying regularly.
Ashish Shah: But sir, my point in that if the project keeps getting delayed, then obviously, our economics keep getting inferior in the project. What is the end resul t of this? Would they agree for an increase in the quoted cost of the project or on what lines are we discussing with them?
Satish Parakh: We have been discussing to descope this panel part of it, which most of the players in the industry are either delayi ng it or trying to delay this because the prices have really gone haywire. So, this government is considering as a policy what they can really help the industry. Till that time, they are also not insisting and we are proceeding with all the balance works.
Ashish Shah: And sir, does this project have any guarantees, etc., from our side? Have we given any BGs from the construction point of view?
Satish Parakh: We have performance BG for the project.
Ashish Shah: Would that be around 5%?

Satish Parakh: Yes, 5% .
Moderator: The next question is from the line of Riya Mehta from Aequitas. Please go ahead.
Riya Mehta: My first question would be in respect of ordering activity by NHAI. Almost, in the first half, we have seen a 60% decline within this last year. How is the ordering happening and what kind of pipeline do we see for road projects for the H2? That would be my first question.
Satish Parakh: Yes, H1 has been slow, as you said. But H2, we are seeing there is a good pipeline, and the target – basically N HAI target – of 8,700 against 6,300 last year. It is likely to be achieved in H2.
Riya Mehta: And then our market share from there will be or what kind of order inflows for Ashoka?
Satish Parakh: We are now bidding for around Rs. 55,000 crores of orders, which we have selected for bidding. Out of Rs. 75,000 crores which are in pipeline, Rs. 55,000 is what we are going to attempt. And there are bids we have already bid for around Rs. 10,000 crores, which are still unopened. So, this Rs. 65,000 crore s is what is our visibility going ahead.
Riya Mehta: NHAI has been reducing the upfront payment by 20% and they would rather give it on a milestone basis. Are we seeing any such kind of impact, and hence, our working capital is bloated for the future order s?
Satish Parakh: This would actually come from January. Till then, they are paying monthly.
Riya Mehta: From J

anuary, we would see more bloating in the working capital. Is my understanding right?
Satish Parakh: If they do not continue the benefit given, t hen definitely, the payment cycles will get delayed .
Riya Mehta: In terms of margins for the future orders, which we are bidding, the Rs. 55,000 crores worth of pipeline which you have bid, what kind of margins are we bidding at for the future orders?
Satish Parakh: These are a little aggressive than what we used to do earlier. Because the aggression in the industry still remains. The qualification norms are the same and there are many players in the system. So, our focus is though our margins may go a litt le bit down, but if our order book is good, we still, on a gross basis, would be able to make up our EBITDA and profits.
Riya Mehta: So, we are on track for the order book levels of Rs. 15,000 crores to Rs. 16,000 crores as guided for FY23?
Satish Parakh: Yes, Rs. 15,000 crores is our current balance order book approximately. And definitely going ahead, we look at another Rs. 5,000 crores.
Riya Mehta: So, almost Rs. 20,000 crores is what we look for order book for the year?

Satish Parakh: Rs. 3,000 crores t o Rs. 3,500 crores may get executed also in H2. So, we should be opening the year with around Rs. 17,000 crores to Rs. 18,000 crores of balance order.
Riya Mehta: But the margin levels would be similar to 9% to 10%?
Satish Parakh: Our target is to be in th e range between 9% to 11%.
Riya Mehta: And for the asset sale, in terms of quantitative terms, how many lenders are still pending for approval for ACL?
Paresh Mehta: In ACL, we have 5 projects. At 3 projects, the final NOCs are ready and we should receive them any time. For one of the projects, typically, there are 6 lenders. Only lead lender has just released their NOC, so the balance will fall in line. There are five more lenders there. They will take their due course to release their NOC s in, say, 3 to 4 weeks' time. NHAI already is in the process of processing those NOCs, and they are just waiting for the final NOCs from the lenders.
Riya Mehta: So, almost in 1 month, we should see completion of…. I think by December year -end, we target this to get completed?
Paresh Mehta: We should be able to get the NOCs from both NHAI as well as lenders in 45 to 60 days.
Riya Mehta: So, this would happen in Q4 FY23?
Paresh Mehta: Yes, transactions get over and cash probably will move somewhere in the month of January - February.
Riya Mehta: So, maybe in Q4, we would see Rs. 3,000 crores reduction in our debt levels and just pursuing downwards?
Paresh Mehta: Right, consol debt would change.
Riya Mehta: Currently, what is the cost of borrowing?
Paresh Mehta: Cost of borrowing for the BOT projects is in the range of 8.5% to 9% and in the HAM projects in the range of 7% to 8.5%.
Moderator: The next question is from the line of Rohit from Antique. Please go ahead.
Rohit: Sir, my question has more to do with your margin spurt. Currently, as I see, we have Rs. 15,000 crores of order backlog, and out of that, 55% is occupied by roads, and the remaining 45% is roughly, say, Power T&D, Railways, and EPC buildings. If you could give us some color on what the c urrent order backlogs' margin profile would be segregated into? How much is roads making and how much is non -roads making?

Paresh Mehta: The current portfolio growth project should be at a profit margins would be in the range of 8% to 9%, 9.5%. That would be the range based on today's cost escalation and other variables. On the Railways, also, it would be almost similar. On the international projects of roads, it would be better. It would be more than 12% to 13%. And in the other miscellaneous sectors, it w ould be approximately in the range of 8% to 10%.
Rohit: The

competitive intensity in your future order inflows that you see, how much can it translate into margins? Will we be back to that 11% to 12% plus kind of number anytime soon?
Paresh Mehta: It will remain at the same levels which are there today.
Rohit: Sir, finally, on the fund -based limits and nonfund -based limits if you could give us some color on it how much is it utilized and how much is it currently right now?
Paresh Mehta: On the nonfund -based , we are almost 75% utilized out of our Rs. 5,000 crores of limit. And on the fund -based, we are approximately 80% to 85% utilized along with our short -term borrowings inclusive.
Rohit: How much is that limit, sir, the amount?
Paresh Mehta: As we have said , around Rs. 800 crores in total. We are borrowing Rs. 800 crores to Rs. 900 crores.
Moderator: The next question is from the line of Nikhil Abhyankar from DAM Capital. Please go ahead.
Nikhil Abhyankar: Sir, I am not sure if you answered this question ear lier, but you have grown at around 35% of the revenue in the H1, and we had earlier given a guidance of 15% to 20%. Would we like to revise our guidance for the remainder of the year?
Paresh Mehta: Based on our H1 orders to be executed on H2, we should be in the range of 25% to 30%.
Nikhil Abhyankar: 25% to 30% with a margin guidance of 10%?
Paresh Mehta: EBITDA around 9% to 9.5%.
Nikhil Abhyankar: Any targets on order inflow?
Paresh Mehta: Around Rs. 5,000 crores, of which around 70% to 80% would be in the Roads and Railways sector and balance in the other sectors.
Nikhil Abhyankar: Sir, my second question is regarding Shivamogga -Tumkur package 2 and 3, Banur -Kharar, and Kwaram Taro. These projects are relatively moving slow. Any specific reason for that?
Satish Parakh: Tumkur -Shivamogga package 1, as I said, we have got PCOD TS 1. And Tumkur -Shivamogga 2 also we will be getting in Q3. In Q3, package 2 also we will get the PCOD. In Q4, we should

target our package 3. So, 2 we are getting in Q3; in Q4, we wi ll get 3; and 4, we got it late, so this will go to next year.
Nikhil Abhyankar: The total interest cost has gone up around 40% to 50% YoY. Can you just give a comparison as to cost of borrowing for this quarter and the last quarter – September 2022 as to September 2021?
Paresh Mehta: Definitely, the interest scenario has changed from the quarter 2 of last year to quarter 2 of this year. We have seen almost 50% to 55% jump in our short -term borrowing for WCTL, and CCs are up by almost 35% and 40% interest r ate. And borrowings also comparatively are more than what it was there. And there was a certain increase in the mobilization advance which was taken for the projects, which has contributed to the increase in the interest cost.
Nikhil Abhyankar: And just a bookkeeping question. Can you just give us the numbers for retention money and mobilization advance?
Paresh Mehta: Mobilization advance is to the tune of approximately Rs. 590 crores. Retention money on all sectors included is approximately about Rs . 185 crores.
Nikhil Abhyankar: And the unbilled revenue?
Paresh Mehta: Unbilled revenue Rs. 1,152 crores.
Moderator: The next question is from the line of Subruto Sarkar from Mount Infra Finance. Please go ahead.
Subruto Sarkar: Sir, partly my question ha s been answered. My question is, again, on the KKR deal. When the deal will actually get over and we will be able to start reflecting in our financials? Is it from Q4 of this year?
Paresh Mehta: As I explained, CPs would get over in this Q3 definitely. And Q4, we should get the transfer of shares and cash in Q4 first part. So, March 2023 numbers would definitely reflect the deal.
Subruto Sarkar: March 2024 will reflect X of the deal, basically. The numbers will get reflected there?
Paresh Mehta: Yes, by that time… .
Moderator: The next question is fr

om the line of Vasudev from Nuvama. Please go ahead.
Vasudev: Most of my questions are answered. Just a few data -related questions. If you can help me with what is the CapEx that we did in Q2 and how much are w e planning for H2 now?
Paresh Mehta: CapEx for H2 was approximately Rs. 24 crores to Rs. 25 crores, and going forward, we would typically end up with another Rs. 20 crores to Rs. 25 crores.

Vasudev: Next thing, the equity that we infused in Q2 and for the balance equity infusion, if you can give the breakup in H2 FY23, FY24, and FY25?

Paresh Mehta: On the HAM projects was Rs. 32 crores invested in Q2. And for the balance 2023 half year, equity to be invested in HAM is Rs. 136 crores; for 2024, Rs. 84 crores ; and 2025, Rs. 30 crores. All put in, equity to be invested as of date is Rs. 251 crores in the HAM projects.
Vasudev: And lastly, out of the order book currently that we have, how much is under execution and how much of that part is a fixed price contrac t?
Satish Parakh: Our international projects are on fixed price. Then our Panagarh Palsit is on fixed price. Our NTPC solar is on fixed price.
Vasudev: And out of the current order book, how much is under execution?
Satish Parakh: Except in Buildings segme nt, in Roads segment, almost everything is under execution now because appointed date of Punjab's Ambala -Kharar has also come and appointed date for Kwaram Taro Assam one also has come. This Rs. 1,000 crores which was stuck up, these appointed dates have already come in July and October. As far as building Maldives, still we are hoping to start by Q4, which is Rs. 1,000 crores. And the rest are already in progress.
Moderator: The next question is from the line of Ash Shah from Elara Capital. Please go ahea d.
Ash Shah: Could you just give us the breakup of the Buildings segment order book? I mean the Maldives project, the hospital at Navi Mumbai, then the sewage treatment plant. If you could just give the detailed order book breakup?
Satish Parakh: Maldives is Rs. 1,000 crores, Rs. 600 crores is around D Y Patil Hospital, Rs. 600 crores is the buildings project for Fintech University at Rajasthan. Then, we have two builder -ship projects taken from builder Rs. 250 crores and Rs. 100 crores.
Ash Shah: Also, one more thing. The Banur -Kharar project, have we received the appointed date for that project because it is almost 2 years since we have received this project?
Satish Parakh: Yes, we have received, I said. That is Ambala -Kharar. That appointed date we got on 10th of October.
Moderator: The next question is from the line of Riya Mehta from Aequitas. Please go ahead.
Riya Mehta: This is a followup question. Basically, I wanted to know since the cash inflows will happen in Q4, what kind of interest cost do we see for the full year?
Paresh Mehta: On the short term, definitely, interest cost, we believe another 50 bps would be increased. Otherwise, we believe that other costs will remain the same.
Riya Mehta: And in terms of international side, what kind o f demand and what kind of pipeline orders are we seeing?

Satish Parakh: Internationally, presently, we are working in Guyana, Maldives, and Benin is one power distribution project which we have picked up, and one in Bangladesh. This is all we are focusing on international. Maybe a few orders we may see in Africa going ahead.
Riya Mehta: But are we seeing any major orders like the one in Maldives?
Satish Parakh: Nothing major immediately in the pipeline.
Riya Mehta: What kind of margin will the Maldives orde r have?
Satish Parakh: Looking at today's dollar rate, we are still hopeful of making 11% to 12% margin.
Moderator: We have the next question from the line of Mangesh Bhadang from Nirmal Bang. Please go ahead.
Mangesh Bhadang: Sir, a co

uple of questions fr om my side. One is on the industry. I just wanted to understand what could be the reason for this slowdown in order and awarding activity in the NHAI. According to you, what is the reason? You mentioned that second half you expect it to improve, but at lea st for the time being, we have seen some slowdown. And in the past also, we have seen NHAI probably not meeting its targets that have been given earlier. Do we expect this year could turn out to be the same again? That's the first question. The second ques tion is on the HAM portfolio that we have. Now that we have more than 6 PCOD and COD achieved, how do we look to monetize the same? Is there any timeline that you have internally given yourself?
Satish Parakh: Industry -wise H1, we have seen slowdown only b ecause NHAI has already awarded a good number of projects, and for further projects, the land acquisition, particularly for NHAI, was becoming more and more challenging. And they are disciplined in giving the appointed date only after 80% of physical posse ssion is achieved. There, we saw a lot of challenges, and therefore, bidding activity was slowed down. A lot of work has been done on most of the projects. So H2, we feel we should see NHAI meeting the target or nearing the target. That was the main reason according to us.

About HAM projects you said, definitely, we have 11 HAM projects, out of which we have achieved PCOD of 6 projects. And balance, as I explained; Q3, one will happen; Q4, one will happen; and then balance in next year as TS -4 we will be completing next year and the other two will be starting. This is all on the HAM projects. We are in the process of looking at divesting HAM projects also.
Mangesh Bhadang: Any timelines on it, sir? And it has to be on a piecemeal basis .
Satish Parakh: It should be another 2 quarters.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the management for their closing remarks.

Satish Parakh: Thank you Nirmal Bang and the team. Thank you Mangesh. Thank you all the participants. If any other queries are remaining, then definitely, most welcome. Our Stellar Investor Advisors are also available, and our CFO, Paresh Mehta, is always available to clarify any queries. Thank you e veryone.
Moderator: Ladies and gentlemen, on behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2023

Ash oka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Lis ting Department
BSE Limited National Stock Exchange of India Li mited
Floor 25, P. J. Towers, Exchange Pla za, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA EQ .

February 17, 2023

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on February 13, 2023 in respect of Unaudited Standalone and Consolidated fi nancial results for the quarter and nine months ended December 31, 2022.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildcon Limited
Q3 FY '23 Earnings Conference Call ”
Febru ary 13, 202 3

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR –
ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER –
ASHOKA BUILDCON LIMITED

MODERATOR : MR. ASHISH SHAH – CENTRUM BROKING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Ashoka Buildcon Limited hosted by Centrum Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by p ressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Shah from Centrum Broking Limited. Thank you, and over to you, sir.

Ashish Shah: Yes. Thank you. On behalf of C entrum Broking, I welcome all the participants to the Q3 FY '23 Results Earnings Call of Ashoka Buildcon Limited. We have from the management, Mr. Satish Parakh, Managing Director: Mr. Paresh Mehta, the CFO of the company. We will have the opening remarks from the management and we'll be following that with the Q&A. So over to you, sir.

Satish Parakh: Thank you, Ashish. Good afternoon, everyone. I would like to extend my warm welcome to everyone on this earnings call for third quarter and 9 months that ended December 31, 2022. I have Mr. Paresh Mehta, our CFO, along with me on the call.

Let me now give an update on the equity sales of ACL project. As mentioned earlier, we have signed a foreign asset sale transaction of Ashoka Concessions Limited for 5 SPVs by entering into a share subscription and share purchase agreement with Galaxy Inve stment II Private Limited, an affiliated entity of KKR. The deal needs to be completed soon after receiving required approvals from the lender and HA M and other relevant stakeholders and completion of certain condition procedures.

We have received approva ls for a few lenders and other stakeholders. We are still in process of completing the balance. Meanwhile, we have received an extension of peer for the fulfilment of CPs from our investors. The deal transfers the entire share capital of these five BOT SPV s, including repayment of shareholders' loan for an aggregate consideration of INR 1,337 crores. The total proceeds received will be utilized to facilitate the exit of SBI Macquarie from Ashoka Concessions Limited and allowing SBI Macquarie to exit the com pany fully. Further transfer of these 5 SPVs will reduce the consolidated project debt of ABL by INR 2,833 crores.

Also, we have executed a share purchase agreement with National Investment and Infrastructure Fund for sale of 100% equity of Chennai ORR. For an aggregate financial consideration of INR 686 crores. Of INR 686 crores, ABL is expected to receive INR 450 cro res and INR 250 crores towards loan repayment, around INR 200 crores towards 50% equity stake in SPV.

Recently, we have executed a share purchase agreement with National Investment and Structure Funds for sale of equity of Jaora Nayagaon project for an ag gregate financial contribution of INR 691 crores. Post this transaction, the company will remain with the following major projects

in highway portfolio. Three fully owned annuity projects, which is Hungund -Talikot, Bagewadi - Saundatti and the fully owned portfolio of 11 HAM projects.

Coming to HAM projects. We have execution of concession agreement with NHI about INR 1,079 crores for the development of six lanes Access Controlled Greenfield project at Baswantpur to Singnodi section of NH 150C on Hybrid Annuity Mode under Bharatmala Pariyojana.
The construction period is 912 days, and the operation period is 15 years. We've also achieved financial closure for the same. And we have received appointed date on 13, November 2022. We received pre -COD of our TS1 which is Mallasandra Karadi on NH 206. Also received Pre -COD of Kandi to Ramsanpalle of NH 1

61. The total equity requirement of 11 HAM projects is about
INR 1,096 crores of which we have already invested INR 901 crores as of December 2022.
Coming to our order book, as mentioned, we have achieved a robust inflow. Some of the key large orders received from 1st October are as follows ; so we were L1 in EPC project in Kerala of INR 1,668.5 crores in November 2022 fo llowed by an LOA we've got for the same project in December 2022. And now the appointed date also is given from 1st February 2023.
Secondly, we received the LOA for EPC project in Bihar of INR 2,161 crores in January 2023. This is a project of Constructio n of Four Lane Elevated Corridor of Danapur -Bihta on EPC mode. When we were awarded project of INR 754.57 crores for Madhya Pradesh PoorvKshetra Vidyut Vitaran Company for power distribution infra in Balaghat circle, Satna circle and Rewa circle of MP. We also received LOI from UP Power Distribution Utility company for a project of INR 807.64 crores in January 2023. Again, for development of distribution infrastructure at Aligarh and Agra zone.
Our balance order book as on date is INR 19,150 crores. The br eakup of INR 19,150 crores order book. As on date is, roads and railway projects comprise around INR 12,455 crores, which is 65% of the total order book. Among the road project order book, HAM projects are to the tune of INR 2,363 crores and EPC road proje cts are worth INR 8,653 crores and railway is around INR 1,439 crores. Power T&D and others account for around INR 3,669 crores, which is approximately 90% of that total order book. The total EPC building segment is INR 2,996 crores , which is 16% o f the total order book and EPC work of CGD business comprises of around INR 29 crores.
Let me reiterate that our focus rema ins to build strong EPC business in segments of highways, railways, power T&D and buildings. The current order book of INR 19,150 crores providers with good visibility of EPC business growth. Our asset portfolio, we have already built 11 HAM projects. In t erms of new project building , our priority will remain on HAM projects and strengthen the HAM project portfolio.
This is all from my side. I would now request Mr. Paresh Mehta to present the financial performance of Q3 and nine months of FY '23. Tha nk you.

Paresh Mehta : Hello. Good afternoon. The result presentation in this press release for the quarter have been uploaded on the stock exchange and the company website . I'm sure you must have had time to go through the same. Now I will present the financial results for the third quarter dated December 31, 2022. Starting with the consolidated results. The total income for Q3 FY '23 grew by 35% year-on-year to INR 1,996 c rores as compared to INR 1,475 crores in Q3 FY '22. EBITDA stood at INR 530 crores for Q3 FY '23 with a margin of 26.6%. Profit after tax is at INR 138 crores in Q3 FY '23.
For 9 months FY '23, total revenue was INR 5,757 crores, up by 41% year -on-year. T he EBITDA stood at INR 1,518 crores with a margin of 26.4%. Profit after tax stood at INR 339 crores.
Coming to the standalone numbers. The total income for Q3 FY '23 stood at INR 1,590 crores as compared to INR 1,133 crores in the corresponding quarter la st year, registering a growth of 40%. EBITDA for the quarter was INR 147 crores with an EBITDA margin of 9.3%. The company reported a net profit after tax of INR 67 crores in Q3 FY '23.
For 9 months FY '23, total revenue was INR 4,140 crores, up by 39% yea r-on-year. The EBITDA stood at INR 465 crores with a margin of 10.5%. Profit after tax stood at INR 237 crores. As you are all aware, due to equity sales transitions, we are not recognizing interest from SC in our books, and it has reduced the EBITDA. Also , EBITDA margins have been impacted mainly due to inflationary pressures and higher competitive biddings in s

ome of the projects in the -- during
the COVID period.
During Q3 FY '23, BOT division recorded a total collection of INR 291.4 crores as against INR 251 crores in Q3 FY '22 and INR 275 crores in Q2 FY '23. Total consolidated debt as on 31st December 2022 stood at INR 6,987 crores of which project debt INR 5,942 crores, of which

INR 283 crores stand for the 5 BOT projects. NCD stood at INR 200 crores at ACL level. The standalone debt is at INR 846 crores, which comprises of INR 146 crores of equipment loan and INR 699 crores of working capital.

Out of the total consolidated debt of INR 6,987 crores, INR 2,833 crores will be transferred along with the 5 assets of the BOT projects and also INR 130 crores of the Jaora -Nayagaon project on exit. Post the sale transaction, the effective consolidate would be around INR 4,024 crores. With this , we now open the floor for question -and-answer. Thank you.

Moderator: The first question is from the line of Mohit Kumar from DAM Capital.

Mohit Kumar: My first question is on the margins. While our top line has grown at a very healthy pace, EBITDA and other income. In fact, our EBITDA margin is below around 8%. I think it was 8% over last 3 quarters. So to -- how do -- how should one look forward to, let's say, for FY '24, FY '25? Can you go back to 10% given the current o rder book?

Satish Parakh: Yes. As we had spoken in the last con call for September '22, our margins have been subdued due to a couple of reasons like competitive bidding during our COVID period where competition was high. Escalation has also contributed to that because -- which has changed the budgets have been revised per site. In certain cases, when projects have been completed, and they are on completion stage 4 PC OD. There are also extra cost incurred for closing the completion

certificates. Costs had to be incurred for handing over the asset to the authority. So these were reasons which contributed to the low margins. We believe that this probably will go up to another couple of quarters when then we can start looking at better EBITDA numbers because the recent contracts are at a better margin.

Mohit Kumar: So you say better margins are aspiring to 10%, 11%. What kind of margin we are looking at ?

Satish Parakh: In the range of 9.5 -10% should be definitely looked at .

Mohit Kumar: And my second question is on the deal which we -- I think we have done around 3 sale deal now. When do expect all of them to close? And how much money will flow to the company post all the sales and executing all liabilities?

Paresh Mehta : So as described, the KKR deal will purchase 1,337. That is expected to close by Q2 of next year, Q1 -- between Q1 and Q2 of next year, we should be able to close it, wherein 1,337 will flow in. On the Chennai ORR deal, we expect to close it before the Q1 of next year. So by June, definitely, we should be through the transaction, which will fetch the company around INR 450 crores. And on the Jaora -Nayagaon sale, I believe Q2 next yea r would be the time when the transition would get over, which will fetch us approximately INR 400-odd crores.

Mohit Kumar: And we're to pay INR 12 billion to Macquarie, is that a fair number?

Paresh Mehta : Yes, that's right. SBI Macquarie exit, we will be -- we'll have to pay INR 1,200 crores from these receipts.

Mohit Kumar: Do we need to pay anything extra sir, over and above because of delay in closing the transaction …

Paresh Mehta : At present, there is definitely not any -- it's a freeze amount.

Mohit Kumar: Lastly, sir, on the distribution. We are looking to get more and more order in UP or let's say, and MP, mostly, it looks like is reform development linked savings scheme tenders. So what is the EBITDA margin expectations in these tenders ?

Paresh Mehta : On the utility -- power utility contract we h

ave in past, we are expecting a range of 10% to 11% of EBITDA margins in these projects.

Mohit Kumar: And how do you see these portfolios are going forward? I think the large am ount of order I think is this in pipeline?

Paresh Mehta : So we'll continue to pick for power project also. There is the pipeline, but we target that our ratio of ro ads and other projects would be in the range of 60 to 65%.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Sir, the agreement with KKR, I think earlier expectations was that we will close by March. Now we are talking about Q2 next year. So why we're loo king for a 6 months of extension?

Paresh Mehta : So we expect all our CPs to get over by -- between March and May. And then when they do a drawdown, they'll take another 40, 45 days. Basically, the delay is on account of what you call NOCs from the lenders and NHAI. NHAI also takes its own time to sort out claims and other

matters. So as to fetch the NOC from them.
Mahesh Bendre: And sir, the margins -- operating margins have come up significantly over the last 7 quarters. So you said another 2 quarters, it will take time to recover.
Paresh Mehta : Right.
Mahesh Bendre: So will it go further down or they will stabilize here for at least next 2 quarters?
Paresh Mehta : We believe that it should be okay. We should maintain the -- at minimum, this will probably increase after a couple of quarters.
Operator We have the next question from the line of Jitendra Petkar from JD Capital.
Jitendra Petka r: My question is to Mr. Paresh Mehta, and this is about the EPS for the 9 months ended 31st December this year '22. I believe there was some correction and clarification after the results were initially published. And then EPS stands at 11.91. Am I right?
Paresh Mehta : Yes.
Jitendra Petkar: And as compared to the previous year, it is 8.07 for the 9 months ende d 31st December '21, right? And the -- and then we see the -- for the year -- last year ended 31st March 2022, the EPS has grown almost twice from 8 to 16. We can understand that the last quarter which is more accruals, but do we expect the same thing for this 9 months to the next quarter as well?
Paresh Mehta : There was a exceptional item of INR 326 crores reversal of liability for our -- exit of our ..
Jitendra Petkar: I'm talking without the exceptional item. The last 2 rows, that is without the exceptional item.
Paresh Mehta : Yes. So that is generally -- so for the quarter, for -- generally, the March quarter fetches more revenue and profitability. So we expect that, that should happen in the same way.
Jitendra Petkar: This time al so. It is -- yes, because it's quite a sudden jump as we can see. Almost 3 quarters earnings are accruing just the last quarter? So is that guidance also for this time as well.
Paresh Mehta : Bonuses and other recognized. But at present, we will maintain, s ay, 15%, 20% higher quarter -on-quarter. But we'll see at the end of the quarter how the performance of all the projects and completions happen based on which maybe any bonus or otherwise is expected .
Moderator: The next question is from the line of Nikhil Abhyankar from DAM Capital.
Nikhil Abhyankar: We have got around 190 billion of orders now, and we are clocking a revenue of around 6 or 3 book -to-bill ratio. So should we expect that there will be a certain or a gradual revenue ramp up in the next 2 years?

Paresh Mehta : Yes. Based on the order book, we should definitely see a ramp up in the execution. For the quarter, for the 9 months, we are already 39% up. So coming quarters also, we see ramp -up and '23, '24 also should see better performance.
Nikhil Abhyankar: Sir, wh at kind of numbe

r should we con sider for '24?
Paresh Mehta : I belie ve a 20%, 25% minimum should be feasible growth.
Nikhil Abhyankar: And sir, given this order size, will we go slow on any new order inflows ?
Satish Parakh: See now going ahead, since our order project is already achieve d. Going ahead, we will be selective in bidding. But definitely, bidding activity will continue.
Nikhil Abhyankar: And sir, just on the executable order book as of December '2 2?
Satish Parakh: Can you repeat your question?
Nikhil Abhyankar: What is the executable order book? Like everything is right now being executed?
Satish Parakh: See, the building order book is a little delayed. Around INR 1,500 crores. Otherwise, everything is executable.
Nikhil Abhyankar: And sir, can you also give me the inventory, trade receivables, contract asset , trade payable for that liability as of December ?
Paresh Mehta : You w ant the inventory …
Nikhil Abhyankar: Yes, trade receivables, contract assets, trade payables and contract liab ilities ?
Paresh Mehta : So receivables, all net of ECL would be INR 1,192 crores. The unbilled revenue would be INR 1,528 crores. And advances, again, that would be around INR 815 crores.
Nikhil Abhyankar: So pay ables, you said how much?
Paresh Mehta : Payabl es would be approximately INR 1,147 crores.
Nikhil Abhyankar: INR 1,147 crores. That's helpful.
Satish Parakh: And sto ck would be INR 297 crores.
Nikhil Abhyankar: Inven tory, I forgot inventory ?
Satish Parakh: INR 297 crores.
Nikhil Abhyankar: INR 1,297 crores ?
Satish Parakh: INR 297 crores.
Moderator: The next question is from the line of Prem Khurana from Anand Rathi Shares and Stock Brokers.

Prem Khurana: Congratulations, good set of numbers this quarter especially on the order booking side. Just to understand our KKR transaction a little better. So as far as I know I think Dhankuni Kharagpur, we don't have CoD in place and the concession agreement s ays you're allowed to exit only if you have CoD. I think we were in discussion wi th the NH going to get corrected. What's the status there? And also can you help us understand on Chennai ORR, the partner or under NCLT there. I mean, have you made any progress in terms of acquiring the stake from the partner that we are supposed to ?
Paresh Mehta : Right. So on the Dhankuni project, let me clarify, we received CoD in September '21. So already 1.5 years is over. So that is the status of Dhankuni. So , their exit is not a challenge. We are already requesting for -- there is already a circular for reduction to 1 year. So I think that is possible.
On the Chennai ORR transaction, our partner who was under NCLT, he is already out of the NCLT proceedings and one of the investors have already -- the potential bidders have already bought it out. So now they are free from any restrictions of doing busines s.
Satish Parakh: The challenge there is putting off those switch .
Prem Khurana: Sure. And on the KKR transaction because there are 5 assets involved. So all these 5 will go together and we could sell these on an place business so let' s say if we have approvals and everything in place, CPs are complied 4 out of 5. Is it possible to sell 4 and then wait for the fiscal year have everything in place and then transfer? Or is it that we would have to transfer all the 5 as a single bu nch?
Paresh Mehta : To do it as a bunch, only what would happen is , there may be a timing difference. Once they have a circular , all the 5 is happening.
Prem Khurana: And sir, on order addition you had previously good order addition until this time. But how much more are we targeting in Q4 and possible to share? I mean, how many tenders we would have already created bid for and how the prospect pipeline looking like?
Satish Parakh: So looking at order book, our target order

book is almost done like. And we'll be very selective in bidding projects now. Our focus would remain on HAM projects and some specialized structures. As far as power distribution is concerned, we have enough orders in hand. As far as railways is concerned, we still will off for bidding in some selective stitches.
Prem Khurana: And just to clarify on the recent NHI -EPC orders, I think, numbers that we have in place, it seems that our bids are lower than the base cost estimate. So how do you explain the discount, the base cost estimate. And will it be possible for us to kind of deliver the kind of margin that we target, I mean, if it has been below the base cost ? I think at Bihar we are at a larger variance and even Ke rala was below the base cost which was from the NHI ?
Satish Parakh: Yes. Basically, these are all design win structures. So cost of every builder will vary. We had bid at a good margin, both the projects in Bihar and Kerala.

Prem Khurana: Okay. So will be contribute 10 -odd percent that we target on a blended basis ….
Satish Parakh: Absolutely, there is nothing to worry.
Moderator: We have the next question from the line of Vishal Periwal from IDBI Capital.
Vishal Periwal: One, first is on revenue guidance, which you have given for FY '23, which is like around 25%, 27% -- 25-odd percent range. if you can do the working imply it for the fourth quarter, it come in like flattish to marginal decline. So , will that be a fair understanding?
Satish Parakh: So see, overall for the year, we'll close around 30%.
Vishal Periwal: And next is on our margins. I think you did mention like the initial commentary from -- so it was comment like for the next few quarters, it will be like a weakish margin. So when you say few quarters, would you like to quantify a number of quarters that we'll have this kind of marg ins?
Satish Parakh: So this basically will depend on completion of projects, which we have picked up at aggressive, major in COVID period. When all the qualifications were diluted. So until the completion of that, so maybe another three, four quarters, our margins will be depressed. The new orders which we are taking are again at comfortable margins. So that will start improving as the mix changes.
Vishal Periwal: So is it coming from any particular segment, if not any particular project you want to highlig ht. Any segment roads or maybe non -roads?
Satish Parakh: Some road projects, building projects, even the railway projects where we have taken a JV where JV charges are to be paid. So it's all mix. So this maybe three, four, five projects, will get over

by another three, four quarters and our mix will start improving.
Vishal Periwal: And one last, which is more of a -- from a number point of view, I think there was a clarification from a project like Chennai ORR, which we have sold being fetch around INR 450-odd crores, but the PPT mentioned the equity is something like in the range of INR 690 crores or INR 700 crores. So what is the difference, if you can clarify?
Paresh Mehta: So INR 690 crores is the total consideration. There will be some year -end, adj ustment of working capital adjustments on the SPV, which will net fetch the shareholders INR 650 crores, of which INR 450 crores will be paid to Ashoka Buildcon and INR 200 crores will be paid to the JV, the other partners. Our equity at to equity and deb t profile for the SPV, INR 200 crores plus, INR 250 crores.
Vishal Periwal: So we have as an investment, we have done like INR 450 crores, same in terms of like the same that we are getting back is the same or? That's fair to understand?
Paresh Mehta: Pardon.
Vishal Periwal: No, you mentioned like INR 200 crores of debt, INR 250 is the equity.

Satish

Parakh: INR 250 crores is the debt and equity is INR 100 crores, which we put in INR 98 crores we put in against which we'll get around INR 200 cr ores.
Moderator: The next question is from the line of Rikesh Parikh from Rockstud Capital LLP.
Rikesh Parikh: So I just wanted to understand more of the KKR deal side. Now we are targeting a Q1 or Q2 of the next year. So do you think further delay will be possible or this will be the final timeline by which we should be receiving the money?
Satish Parakh: I don't th ink there's any other delay. I think this should conclude by June; I'm just keeping a safety margin. June should be the period when we should be able to conclude.
Rikesh Parikh: And second thing is on our HAM project, we have been mentioning that we are lo oking at elevate our sale to investor. Any movement on that side?
Satish Parakh: So we have bankers working on the transaction, and we'll see as soon as we get proper offers, we'll come back to the investors for what is actually happening on the -- but we are already exploring the cost.
Rikesh Parikh: And then last thing, once we have this exit of the stake, probably in FY '24, we'll be comfortable on the debt equity side. So how do we look at it from the debt equity point of view we'll be looking at from t he going forward basis post that?
Paresh Mehta: So generally, as we have disclosed in the previous quarters, we would like to be a multi -sector EPC player. Though in the road sector, HAM is one model, which is typically for a few -- for the initial period, it is a captive project, but we would like to monetize it. So we'll generally try to keep a low consolidate going forward once these transactions are true, including the HAM transaction.
Moderator: The next question is from the line of Ash Shah from Elar a Capital.
Ash Shah: So can you just provide some timeline on the non -moving projects from the building segment. So for example, the Maldives or the D.Y. Patil or the new airport, Patil hospital and other projects which are not moving? When do we expect t hat?
Satish Parakh: So Maldives, we expect in the coming quarter to -- by March, it should be cleared. D.Y. Patil may take some more time. And other all projects are moving smoothly.
Ash Shah: Why is the delay for the D.Y. Patil? I mean, if you could prov ide some color on that?
Satish Parakh: For D.Y. Patil, this was a concession agreement between port authority and D.Y. Patil and there is some dispute between the parties. So the EPC take -off has been delayed.
Ash Shah: Next is, have we started working on the sewage treatment plant that we have received from MCGM?
Satish Parakh: MCGM work has already started now.

Ash Shah: And coming back to the earlier participant's question on the asset monetization. Could you just throw some light on how many HAM assets are we planning to sell and what is the equity that we have invested in those assets?
Paresh Mehta: From an overall concept, we are planning to sell all the 11 projects, though a couple of projects are still under construction. I mean substantial construc tion is spending. The total equity to be invested in these projects are in the range of INR 1,050 -plus crores, of which INR 900 crores is

already invested. So that's what we intend to monetize.
Ash Shah: And last question, can you just provide what will be the users of the excess cash that we received from all the transactions for example, KKR or Chennai ORR . What will be the capital allocation for the sale?
Paresh Mehta: Currently, we have not -- we have a couple of options, which we have taken like to reduce working capital debt or to -- with the two -- paid by investors certain money in the form of buyback contributed. But those options will be exercised once we come to that stage with good certainty of cash in hand. So w

e are in Q2 next year.
Moderator: The next question is from the line of Rohit Natarajan from Antique Stock Broking.
Rohit Natarajan: So my question is more to do with the monetization of BOT projects. W e are -- I mean, post the payment to SBI Macquarie, I think somewhere INR 1,500 -odd crores of cash will be there. But those will be at ACL level. Is there any withholding tax or some tax consideration to upstream to the parent level?
Satish Parakh: No. So the instruments which held by ABL in ACL or to be held by ABL in ACL would be in the form of CCDs end typically would not attract any withholding tax kind of a structure. It will be a redemption of CCDs or repayment of loans of ABL to ACL.
Rohit Natarajan: Sir, in the HAM projects that we have in the portfolio at this point in time, I understand the equity is almost at INR 900 -odd crores you have invested in. What are the loan advances to these projects?
Paresh Mehta: So as already in the loans, on just tell you the number. Total loans on HAM projects is to the tune of INR 2,563 crores as of date.
Rohit Natarajan: Advances from your side, the parent side to this HAM projects not the loans on the books.
Paresh Mehta: Whatever equity we have communicated. That is all that has been invested from ABL either through ACL or directly by ABL, INR 901 crores.
Rohit Natarajan: Sir, my final question is more to do with I understand that you have said on the margin part, it will be -- maybe there will be some pressure on the more quarters, but in the longer -term horizon, are we looking at those double -digit what we used to do in the past? Is that something in the horizon?

Paresh Mehta: Yes, definitely. I mean we are looking at a dou ble-digit margin going forward. And this is the way we have bid for the projects also, which are new projects added to the portfolio.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: So a couple of questions fro m my side. Can we get the equity inclusion schedule for what is the pending, equity that you need to do?
Paresh Mehta: So approximately INR 197 crores of equity will be pending as of date. Of which INR 64 crores will be invested by March end. INR 92 crores will be spent between '23 -'24 and in '24 -'25, INR 41crores. That is the schedule of investment of equity for the HAM projects.
Parvez Qazi: And what was the revenue breakup for Q3, would it be possible to break it in terms of various segments?
Paresh Mehta: For the quarter?
Parvez Qazi: Yes, for the quarter.
Paresh Mehta: In the road sector, it was INR 1,121 crores; in the power, it was INR 152 crores; railway, it was INR 139 crores; CGD and other sector was approximately INR 80 crores; and RM C, INR 61 crores.
Parvez Qazi: And lastly, what was the capex that we incurred in Q3 or nine months and whatever number that's available?
Paresh Mehta: For nine months approximately, INR 51 crores was spent on capex, of which in Q3 it was INR 28 crores.
Moderator: The next question is from the line of Jiten Rushi from Axis Capital.
Jiten Rushi: Sir, on the revenue pickup. So can you give us the nine-month revenue breakup segment wise?
Paresh Mehta: Yes, for road, it is INR 2,973 crores; power, INR 452 cr ores, railway, INR 476 crores, CGD and other segments is approximately INR 240 crores, and RMC, INR 160 crores.
Jiten Rushi: And sir, on the capex you said nine months is INR 51 crores. So what would be the Q4 capex number and next year because of the high order backlog, so we expect execution to pick up from next year? So what would be the capex number for Q4 and next year, sir?
Satish Parakh: Coming five quarters, where we will invest approximately INR 250 crores.
Jiten Rushi: INR 250 crores. Okay.
Satish Parakh: Coming five quarters...
Jiten Rushi: Basical

ly next, Q4 and next year, you will be investing INR 250 crores combined?

Satish Parakh: Yes.
Jiten Rushi: And sir, obviously, you've given the details like on the order inflow, you will not be look ing for order inflows in this quarter aggressively. But sir, any view on the next year order inflow target in terms of segment? And also at what kind of margin we'll look at? Obviously, we have, as you said, currently, that margins have been compromised th is time because of aggressive bidding. But what about the recoup in margins from next year. Are we looking to recoup? Or we will see aggressive bidding to continue, and we will participate in that, or we'll lower exchange from participants because of the h igh order backlog.
Satish Parakh: See, now going ahead, we definitely will be selective. As a company, if you see the history of Ashoka, we have been conservative in bidding. Only during COVID period, we have been aggressive. And going ahead, definitely we will come back to our original margins.
Jiten Rushi: The projects which you have won this year, are in double -digit EBITDA, like 12%, 13% of what you saw last time or…
Satish Parakh: Current projects are all in double digits.
Jiten Rushi: Any guidance in terms of order inflows next year?
Satish Parakh: Next year order inflow will be like we will be focusing more on HAM projects than EPC roads. Definitely power and railways.
Moderator: There is a follow -up question from the line of Ash Shah fro m Elara Capital.
Ash Shah: I just wanted to know that we were planning to monetize our CGD business also. So is there any update on that front? Or how is it right now?
Paresh Mehta: Yes, so on the CGD business, we are at a very, very advanced stage, and we should be coming to the investors shortly on what is the transaction.
Ash Shah: And how much have we invested in this business till now, till date?
Satish Parakh: So approximatel y INR 66 crores invested in this business.
Ash Shah: And this will be…
Paresh Mehta: Ashoka Buildcon share, both parties put together approximately INR 135 crores.
Ash Shah: INR 135 crores ?
Paresh Mehta: INR 135 crores, yes.
Ash Shah: And by when will we come to know approximately, I mean by March this end, or it will get postponed to the next FY?
Paresh Mehta: Definitely before March.

Moderator: The next question is from the line of Harshil Kothari, an Individual Investor.
Harshil Kothari: So my que stion is regarding the arbitrage award that we have got for the rural project, which is going to be eventually transferred to KKR. So previously, it was mentioned that whatever arbitrage award we will win, it will be taken by a Ashoka Construction. So now how the proceeds are going to be?
Paresh Mehta: Yes. So whatever extension of days we have got in this project, the project will be converted into value, and they'll be paid upfront to ABL.
Harshil Kothari: So have become kind of the amount or still its p ending?
Paresh Mehta: We've already discussed the amount. Once we have a final transition in place, we'll definitely communicate.
Harshil Kothari: And regarding the solar project, what is the update on that? And how the things are proceeding there?
Satish Parakh: In solar projects, MNRE has given guidelines for giving extension to these projects as well as giving this BCD exemption. And even the sola r module prices have come down. As of now, we are still focusing on completing all bands of works, which should happen by March end. And module placement negotiations are underway, and which should be able to place the orders very soon.
Harshil Kothari: And regarding the INR 500 crores NCD or the debt that we are looking to raise in the new Board meeting. So what's the ba

sic reason to raise these ones?
Paresh Mehta: So basically if you see our working capital debt, approximately around INR 800 -odd crores, I NR 860 crores. This money, which will be raised will be used to replace certain short -term debt into a slightly longer -term debt so that there is a continuity of cash flows available for better periods

of time.
Harshil Kothari: And the last question. So in the total NHI claim that we expect? Of course, not the period, but the claim amount?
Satish Parakh: So with respect to arbitration, arbitration is still on certain are still on. And conciliation process is still also initiated. So we are still to see the result of the same.
Harshil Kothari: And so the amount that we have asked for or claimed for?
Satish P arakh: So claims would be in the tune of approximately INR 1,200 crores to INR 1,500 crores for all the five projects, of which a couple of projects we have already settled, Bhandara, Indore. It should be including extension of days for certain projects.
Moderator: The next question is from the line of Hari Kumar S, an Individual Investor.

Hari Kumar S: My first question is regarding these assets held for sale. Like for the timing difference, like do we get the interest or recognize the income in our book s, sir?
Satish Parakh: Timing difference from accounting purpose will be -- there'll be a carry on these transactions, but it will be recognized only at the time of final exchange of cash.
Hari Kumar S: So will be recognized in the revenue in our books, s ir?
Satish Parakh: So it will be just in the consideration.
Hari Kumar S: And second question, sir, the sub work obtained from Adani Road , like how are the receivables are the secure, like payment. Are the pass -through or something like that?
Satish Parak h: See, Adani, we are doing two projects. One is inaudible 0:50:32], which is a INR 1,400 crores project, where we already completed around INR 400 crores, and we are getting payments in time. This is a BOT project for them. So loans have already been tied -up, and we are getting our payments in time. Also for the EPC project, which we are doing for Navi Mumbai airport, there also we're getting our payments in time.
Hari Kumar S: And last question regarding this huge order growth, like what is the source of funds and the required capital, sir?
Paresh Mehta: I think so from an order book perspective, the captive order book, which is there, we've already communicated that total equity requirement for the balance is INR 197 crores. Otherwise, there's no other capital requirement, equity capital requirement.
Hari Kumar S: Like going ahead, what is the expected quarterly toll collection, sir, run rate like? They're going to improve from here, sir?
Paresh Mehta: So it will continue to remain similar. So last quarter, revenue was approximately INR 291 crores. And so this quarter also, we should be approximately around INR 300 crores.
Hari Kumar S: There won't be any huge ramp -ups?
Paresh Mehta: January has been slightly better, but we have to see the whole ye ar out. February again is another three, four days traffic short, 28 days kind of.
Moderator: The next question is from the line of Akhilesh Babri, an Individual Investor.
Akhilesh Babri: Sir, my question is on this NTPC project, as you mentioned, that o rdering for modules will also begin soon. So is there any loss that you anticipate we will have to take on this project?
Satish Parakh: Yes, only on finalization of modules will be able to face. But as of now, prices are already coming to our target price. Only hit which happen is the dollar fluctuation, which has happened over the years. So we will come to you, by next quarter it will be clear.

Akhilesh Babri: A

nd sir, on this transaction with KKR. Just to understand, there is no major structural issue wit h this deal, right, because it's getting extended. You have given some reasons, but you have no reason to believe that there were any risks to this deal?
Satish Parakh: Well, as of now, there is no risk to the deal. Slowly, we are getting all the clearance s. Though it is taking time, but all the clearance are getting in place.
Moderator: The next question is from the line of Vikash Banerjee, an Individual Investor.
Vikash Banerjee: So we are an investor. So we count a lot on the guidance that you gave us. What has been disappointing is over the last so many months, every quarter, we have given some new timelines for the deal closure, which largely impacts the overall view that we have on the business or in the commentary that's given by the manage ment.
Given this quarter, you see a view that it would be closed by June the possibility of second quarter, which is September. Sir, can you give us give as to what is spending in concrete manner

so that we know that only A or B or C is left so that we don't keep asking the same questions every time. So that's a request. As an investor, we believe that we have been in business for 20 or 30 years, you would have good visibility as to how much time should it take, disappointed on the fact that every time i t is getting extended sir.
Satish Parakh: Yes. I fully agree with you. Even for us, our estimated timelines have gone beyond, our estimation and the reasons are completely beyond our control. Because all these deals need NOC from the employer, which is pri marily NHI. And NHI has been doing a concession agreement and model concession agreement then there have been changes.
So every time they have to come out with a circular for a specific agreement, like Dankuni - Kharagpur was one project, where pre -COD provi sions were not there. So we had to get -- though it was not affecting our cash flow toll collections were there from day one. But COD as such has to be taken up. And unless we have complete 100% land, they were not giving COD. So we had to come to a settle ment agreement where certain descope was done. Descope values were arrived. And we had to freeze the COD after COD, the concession agreement states that till two years you cannot transfer 100% shareholding.
Now there was a relaxation to be sought from NHI . So NHI came up with a circular of one year. So NHI welcoming with circular came up with MC Agreements only. Now unfortunately, Dankuni was before the MC agreements, Model Concession Agreement. So again, we had to go back to Board and request them to cons ider this also as part of their relaxation.
So that process is now on. So this all is dealing with government and definitely, nobody will go out of concession agreement to help us. So it is taking time. Those are value is freezed, there is a carry cost. S o there is a huge comfort which we are giving to investors, but actual deal is taking time because ease of doing in India still remains where it is.
Vikash Banerjee: So sir, just answer one layman question. So the delay that's happening, how does it impact we as investors and you as company. The delay from an initial thought of let's say six months to

now let's say 18 months, would we be at any loss, or will it be neutral to us from a consolidation perspective?
Satish Parakh: The losses from the avail ability of cash and use of that cash. Otherwise, INR 1,337 crores does have a carry cost till the end of the deal. That is up to September end. We'll still enjoy a carry cost. But if you say, is carry cost enough for businesses which we do? No. If we get c ash in hand, our equity returns will be much more.
Vikash Banerjee: So wish you luck, and we all count on you and your leadership to steer us through get us good return

s, sir.
Satish Parakh: Yes, to give you comfort like, all of our -- we are trying to be pure EPC players, and we are -- even our HAM projects portfolio is on an advanced stage of sale. Our CGD, definitely before March, we'll be able to announce that. Jaora -Nayagaon is another typical case where governments may take a little more time, because they are typical conditions in the concession agreement where delay may happen for NOC. Even Claim settlement is what is insisted by NHI and other parties before they give us an exit. So all this takes a little more time than estimated and it is not for us, but for almost all the players in the industry.
Moderator: The next question is from the line of Narendra Samar from Samar Chemicals.
Narendra Samar: Congratulations management team for giving a wonderful result . Sir, my main concern is that what is our debt reduction program because that is a main killing our profit margin impact?
Satish Parakh: I didn't follow, sir. What did you say?
Narendra Samar: Debt reduction program because if they -- it will be killing our profit margin.
Paresh Mehta: Yes. So on the consumer side, definitely, we have a large debt, which majorly is all pertaining to project funding. So these are the direct project -based funding. As and when we monetize these assets, this will go off our balance sheet. Other they are still sufficient to take care of their own cash flows. They have no -- they don't have a pressure on the ABS, EPC business to fund them. So that is one of the characteri stics except for one project, simple project, which typically has that problem. Otherwise, all projects are independent.
As far as standalone debt is concerned, this is more related to the EPC business and the credit cycle in that business. We believe tha t as time goes by, this cycle will slightly reduce, and this debt amount should go down in this couple of quarters.
Narendra Samar: Sir, this raw material prices has come down considerably. And what is the reason that we are having such a constrained in th e margin?
Satish Parakh: See, raw material prices have not come down. In fact, they have gone up in recent years. There has been some dip only in steel otherwise, cement and oil has always remained high, and fuel is also very high. And some of the projects have been fixed price contracts. So most of the projects

are pass through kind of.

Narendra Samar: And final question, that again the shareholder will be rewarded from the management because patiently they are waiting for the result.
Satish Parakh: Could you just repeat?
Narendra Samar: See when shareholders will be rewarded this year because they are waiting patiently with you.
Paresh Mehta: Yes. As we said the cash flow of the company is expecting through monetization of this assets. I think it is typically will throw a substantial cash in the ABL equity and apart from a few debts amount I think there is a good opportunity to return capital t o the investors to improve their EPS. So let's hope that this '23 -'24 somewhere in quarter 2, quarter 3, we'll be able to demonstrate something on that account.
Moderator: The next question is from the line of Yachna Bhatia, an Individual Investor.
Yachna Bhatia: I wanted to find out the status of the INR 200 crores Kavach project that we had received from East Central Railways, if you could update on the current status of that?
Satish Parakh: Yes. This is in the ini tial phase of its working. Though the projects have started. So we are getting all the approvals of the OEMs.
Yachna Bhatia: So in particular, I wanted to understand that India Railways had approved only three players for Kavach. So my understanding was th at you would need to go through a technology tie -up for that? I wanted to know has that been completed?
Satish Parakh: We are in the p

rocess of tying -up with one of them here.
Yachna Bhatia: So have you frozen on your technology partner yet?
Satish Para kh: No, we are under negotiation with them.
Yachna Bhatia: And is there a deadline to complete this thing?
Satish Parakh: Yes, it's an advance stage of negotiations. So maybe – by this March end will be completing.
Moderator: Thank you. Ladies and gentl emen, that was the last question for today. I would now like to hand the conference over to Mr. Ashish Shah for closing comments. Over to you sir.
Ashish Shah: Yes, Sir, any closing comments from you.
Paresh Mehta: Nothing significant. We thank everybody for joining the call. And trying to understand what is our mission ahead, and we are available for any responses or replies or queries, directly or through Stellar Investor Relations. Thank you.
Ashish Shah: On behalf of Centrum Broking, we thank a ll the participants for attending the call and thank you to the management for letting us host the call. Thank you.

Moderator: Thank you, sir. On behalf of Centrum Broking Limited, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Call: May 2023

Ashoka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Listing Department
BSE Limited National Stock Exchange of India Limited
Floor 25, P. J. Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA EQ.

May 31, 2023

Sub: Call Transcript

Please find enclosed herewith the copy of transcript of the Earnings Call held on May 25, 2023 in respect of Audited Standalone and Consolidated financial results for the quarter and year ended March 31, 202 3.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

"Ashoka Buildcon Limited Q4 FY'23 Earnings Conference Call "

May 25, 202 3

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR , ASHOKA BUILDCON LIMITED .
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER , ASHOKA BUILDCON LIMITED .
MODERATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED .

Moderator : Ladies and gentlemen, good day and welcome to the Q4FY'23 Earnings Conference Call of Ashoka Buildcon Limited hosted by PhillipCapital (India) Private Limited .
This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all parti cipant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital (India) Private Limited . Thank you and over to you sir.
Vikram Suryavanshi : Good afternoon and a very warm welcome to everyone. Thank you for being on the call of Ashoka Buildcon Limited.
We are happy to have the Management with us here today for question - and-answer session with the Investment Community. The management is represented by Mr. Satish Parakh – Managing Director, and Mr. Paresh Mehta – Chief Financial Officer. Before we start with the question and answer session, we will have some opening remarks from the management.
Now I hand over the call to Mr. Satish Parakh for opening comments. Over to yo u, sir.
Satish Parakh : Good afternoon, everyone. I would like to extend a warm welcome to everyone on this Earnings Call for the 4th Quarter and Full Year Ended 31st

March 2023. I have Mr. Paresh Mehta – our CFO and SGA our Investor Relation partner along with me on the call.
During the quarter gone by in March '23 Company along with the North Haven India Infrastructure Fund an India focused infrastructure managed by Morgan Stanley Investment Management Private Limited has entered into a share purchase agre ement with Mahanagar Gas Limited to sell its equity stake in its subsidiary Unison Enviro Private Limited (UEPL) for a total consideration of INR 531 crores for 100% stake. The transaction is subject to satisfaction of some customary conditions including a pproval by Petroleum and Natural Gas Regulatory Board and lenders of UEPL and is expected to be completed by 31st March 2024. Just to reiterate the Company has a 51 % stake in Unison Enviro.
Similarly, the Company has earlier entered into SPA with National

Investment and Infrastructure Fund (NIIF) for sale of Jaora -Nayagaon BOT Toll Project and Chennai ORR Project. The Company continues to work towards achieving specific condition s precedent as per the respective S PAs.
Now I would like to touch upon the mutual termination of SPA with Galaxy Investments II Private Limited which is an affiliate of KKR. We have been in continuous discussion with Galaxy for achieving the various CPs as per the SPA. However there has bee n unanticipated delays, based on our discussions with KKR we have mutually reassessed the transaction and then agreed to terminate the SPA without any financial implication to either parties.
I would like to highlight that we have reinitiated the divestmen t process and are in discussion with various investors and parties. We are also divesting 11 HAM projects and discussions are at an advanced stage. We will keep all of you abreast on the progress of the same.
Today on this call, I would like to clarify reg arding the debarment of Company and subsequent cancellation of EPC project on 7th March 2023. We

received communication from MoRTH regarding the Company 's debarment for 45 days on 25th Jan. We h

ave received the LoA of the EPC project towards Rs. 2,161 cror es. Subsequently the authority has annulled the bidding process and has invited a fresh bid for the said project. I would like to highlight that the debarment expired on 15th April 2023 and the Company is eligible to participate in all the bids being calle d by various authorities including NHAI.
Coming to the order book status :
As on 31st March 2023 order book stands at Rs. 15,805 crores. And as on date it stands at Rs. 18,090 crores including projects awarded after 31st March 2023.
In Road Construction, Company has bagged another award from Ministry of Transport and Bridges, Government of Bangladesh for the project improvement of Baraiyerhat -Heanko -Ramgarh widening and reconstruction of existing pavement for an accepted contract value of USD $80 million.
In Power T&D infrastructure development Company received notification of awards in the State of Maharashtra from Maharashtra State Electricity and Distribution Company (MSEDCL). And in Bihar, from North as well as South Bihar Power Distribution Company Limit ed for development of distribution of infrastructure for an accepted contract value of INR 2,285 crores and 632 crores respectively.
In Railways Company received Letter of Acceptance from Ministry of Railways for an EPC project in connection with Gwalior -Sheopurkalan GC Project from North Central Railway for accepted contract value of Rs. 285 crores. Let me reiterate that our focus remains on build strong EPC business in segments of Highway, Railways, Power T&D and Buildings and Hybrid Annuity Projects of N HAI.

Our balance order book as on 31st March 2023 is INR 15,805 crores. The breakup of the order book for Roads and Railways projects comprise of Rs. 9,595 crores, which is 61% of the total order book. Among the Road project order book, HAM projects are to the tune of Rs. 1,728 crores and EPC Road projects are worth Rs. 6,318 crores and Railway is around Rs. 1,549 crores.
Power T&D and others are going for around Rs . 3,965 crores which is approximately 25% of the total order book. The total EPC building segment is INR 2,221 crores which is 14% of the total order book and EPC work of CGD business compromises of balance Rs. 25 crores.
This is all from my side. I would now request Mr. Paresh Mehta to present the financial performance of Q4 and Full Fiscal Year 2023. Thank you.
Paresh Mehta : Good afternoon to one and all present on this call. The “Result Presentation”

and the “Press Release” for the quarter have been uplo aded on the Stock Exchange and the Company 's website. You must have had an opportunity to go through the same. Here let me introduce that SGA Growth Advisors have been appointed as our IR from this quarter onwards. So, they will be taking care of all the r equirements of the investors, information as well as any guidance from the Company 's side of course Company also will be available at any time for information.
Now I will present the Financial Results for the 4th Quarter ended March 31, 2023 :
Starting with the standalone numbers :
The total income for Q4 FY'23 stood at INR 2,067.9 crores as compared to INR 1,622.7 crores in the corresponding quarter last year registering a growth of 27%.
EBITDA for the quarter was Rs. 174.4 crores with an EBITDA margin of 8.4%. EBITDA margins have been impacted mainly due to inflationary pressure, high competitive bidding in some of the projects.

Profits before tax stands at Rs. 108.7 crores before accounting of exceptional gains of INR 349.2 crores which is on account of reversal of impairments on its investments and loans in its subsidiaries including ACL. The reported PBTis INR 457.8 crores and PAT is INR 434.8 crores. For the Full Fiscal Year 2023, total revenue was INR 6,478 cror

es up by 35% year -on-
year. The EBITDA st ood at INR 639.4 crores with the margin of 9.9%. The profit before tax stands at INR 424.1 crore before accounting for exceptional gains as highlighted earlier. If you recollect during FY'22 we had recognized Rs. 769.6 crores as exceptional expenses on acc ount of impairment of investment loans in subsidiaries including ACL.
Just to elaborate during FY'22 the exceptional expenses of Rs. 769.6 crores pertaining to an impairment of our investments in ACL and measurement of our obligation towards the investors in ACL. However, during for FY'23 we have reversed these impairments on our investments in ACL and also reversed obligation towards investors in ACL due to increase in valuation of ACL, mainly on account of increased cash flow in its HAM project consent to increase in interest receivables on annuity payments. Reported profit after tax for FY'23 stood at INR 671.3 crores.
Coming to the consolidated results :
The total income of Q4 FY'23 grew by 20% year -on-year to INR 2 ,478 crores as compared to INR 2,057 cro res in Q4 FY'22. EBITDA stood at INR Rs. 585.2 crores for Q4 FY'23 with the margin of 23.6%. Reported profit after tax is at INR 335. 2 crores in Q4 FY'23.
For Full Fiscal Year 2023 on consolidated basis, total income was INR 8,235.1 crores up by 34% year -on-year. EBITDA stood at INR 2,103.4 crores and the margin of 25.5%. Reported profit after tax stood at INR 372.9 crores.
During Q4 FY'23 BOT division recorded a total collection of INR 309.9 crores as against INR 262.6 crores in Q4 FY'22 and INR 291.4 cror es in Q3 FY'23. It

may be noted here that the year -on-year growth on the five BOT projects where we are have signed an SPA with KKR there the revenues have grown in the last year from Rs. 725 crores to Rs. 910 crores with the 22% jump in revenue. So, the r evenue growth has been robust in the past two years.
Coming to debt :
The total consolidated as on 31st March 2023 stood at Rs. 6,895 crores of which project debt was INR 5,819 crores , of which Rs. 2,732 crores stand for the five BOT projects. NCD stood at INR 200 crores at ACL level. The standalone debt is at INR 876 crores which comprises of Rs. 134 crores of equipment loan and Rs. 742 crores of working capital loans.
With this we now open the floor for question and answers. Thank you.

Moderator : Thank you very much, sir. We will now begin the question -and-answer session. We have the first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar : My first question is on the deal which f ell through, why there was delay due to NHAI or and wasn't there any scope for renegotiations with the same buyer? And the related question is realistically when do you think the new deal you will be able to close?
Satish Parakh : See this deal we ha d been negotiating and we had almost taken 15 months. Basically, the biggest project Dankuni was a typical concession agreement where pre -COD condition was not envisaged or mention ed, w e are final COD. And the final COD happened very late because of the land acquisition issues in the project. And our contract agreement started two years after final COD. But we were trying with NHAI to get relaxation which they have given to HAM projects. But finally, we could not suc ceed in that and the re also timel ines elapsed. So, in this the deal completely got cancelled.

As far as new deal, yes we have already soft launch , the process has started. We have good inquiry. And as Paresh has said, the revenues have also gone in last ye ar we have seen around 22% average growth in the revenues. So, we feel we will be able to close this deal in this year, financial year.
Mohit Kumar : My second question is on this of course the execution wise last year was decent , b

ut EBITDA margins were be low par , of course we have ask ed this question again and again, but Q4 also there was more jump in EBITDA margin compare d to Q3. So, realistically based on the current order book , what is the kind of EBITDA margin one should bake in, should be 9% a fair assumption based on the c urrent order book .
Paresh Mehta : So, you are right what we discussed in Q3 , the same situation will continue for another Q4 which is visible. And another two to three quarters we believe Q4 margins will correct themselves to the normal margins which we used to declare in the previous year s. So, there are certain contract s of low margin which will get executed in this next three quarters. And m ost of it will get executed and completed then.
Mohit Kumar : So, we expect to get back to 10% post --
Paresh Mehta : Yes, right.
Mohit Kumar : My last question, we are again taking state distribution projects, I understand these are the reform development linked scheme. This is something where working capital has been an issue in the past. Do you think under the new RDSS scheme it is expected to be far better, do you think payments would b e more regular? And have you got any comfort from the discounts about the payment?
Satish Parakh : Yes, earlier the 10% payment used to get locked for final completion and even after completion of defect liability we use d to get. Here we are going to get on part completion , so the payment terms are a little better than what we use d to have earlier.

Mohit Kumar : What is the kind of working capital do you think in six months, last time it was six to eight months was the regu lar, if I remember correctly, yes.
Paresh Mehta : So, here the working capital would be in the range of 3 to 3.5 months better than that, on an average collection point of view though there will be process es of payment on completion but there will be part p ayments in -between which will take care of the overall work , kind of a life of the working capital for these projects.
Moderator : Thank you. The next question is from the line of Vasu Gupta from Green Portfolio Private Limited. Please go ahead.
Vasu Gupta : Yes, my question is on the recent order win of Rs. 2,284 crores from MSEDCL. Just wanted to know th e management view on the counterparty risk in it since MSEDCL in financial distress and is not able to pay it dues to

power generators?
Satish Parakh : Yes, these are 100% funded by PFC, they have a 60% grant and 40% loan being given for this project from PFC . It is completely funded, centrally funded, yes.
Vasu Gupta : So, can you tell me what are the payment terms, any mobilization or advance received for the project?
Satish Parakh : Yes these have mobilization advance d to the tune of 10%. We have not yet received which we will get in may be this month or next month . Earlier they used to pay only 90% till the completion now as you complete the section you will get even for part completion you are going to get your 100% payment and only performance securities which will remain up to different liability period .
Mohit Kumar : My second question is on the investigations of the bribery case, what are the views of the management on it?

Satish Parakh : See this is still, we have yet to receive complete information on this -- just what it was in the last call.
Mohit Kumar : So, the 45 days --
Satish Parakh : The de barment period is over on 15th of April. Now we are able to bid for all the projects.
Mohit Kumar : The negative effect of the de barment will not be in the future?
Satish Parakh : No, and there is no negative impact from the de barment or anybody .
Moderator : Thank you. The next question i s from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.
Nikhil Abhyankar : So, you said tha

t we are looking to monetize around 11 operational asset s that we have so what is the mode of monetization and that we are looking at?
Paresh Mehta : Excuse me, we didn't follow what was that 7?
Nikhil Abhyankar : I said we are looking to monetize our operational assets almost 11 operational assets we have --?
Paresh Mehta : The HAM projects?
Nikhil Abhyankar : So, what will be mode of monetization, that's we are looking at.
Paresh Mehta : It could be a sale to property fund.
Nikhil Abhyankar : And why aren't we looking at something like an InVIT or something?
Paresh Mehta : We believe that we would like to exit 100% and not be an invested party because then you end up holding more than at least 20%, 25% of the equity , continue to hold it for another three years. So, we believe that instead of

being a sponsor for InVIT rather than sell it to a fund who intends to create an InVIT and accordi ngly we are negotiating for the pricing.
Nikhil Abhyankar : And I understand you have mentioned earlier about the margins as well so should we consider that by FY'25 we will be coming back to double digits margins?
Paresh Mehta : Yes sir.
Nikhil Abhyankar : So, around 10%, 11%.
Paresh Mehta : Yes 10% to 11% be in the range of that, definitely.
Nikhil Abhyankar : What is the kind of order inflow guidance that we have for FY'24 ?
Paresh Mehta : So, FY'24 we will continue to bid for a Road projects definitely and we will try to take up Roads project in the range of Rs. 6,000 to Rs. 8,000 crores for this year, partially in EPC business and partially in HAM projects. And the other sectors also we will continue to bid and try to take orders to the tune of in the Power approximately Rs. 3,000 to Rs. 4,000 crores and other businesses in the range of Rs. 2,000 to Rs. 3,000 crores.
Nikhil Abhyankar : So, in power you mention ed there will be link to RDSS or will this be T&D as well?
Satish Parakh : Basically, RDSS schemes which are centrally funded . We will be working in four sectors basically Roads, Railways, Buildings and Power . So, Roads will be

our focused area to bag maximum orders. And HAM would be a preferred road going ahead.

Moderator : Thank you. The next question is from the line of Sanjeev Kumar Damani from SKD Consulting. Please go ahead.

Sanjeev Kumar Damani : My first question is regarding the fact that you have just now said that in three quarters of this year you will be completing the low margin

businesses pending orders. So, can I know the quantum that we are targeting to complete in the next three target of the old orders. And can I also know the amount of high margin business that we will execute in three quarters of current yea r?

Paresh Mehta : I clearly don’t have that information in that kind of a format which you are asking for. You could take it offline.

Sanjeev Kumar Damani : Second thing is that our balance sheet is very heavily loaded and there are lot of subsidiaries . I me an is there any thinking of the management to reduce the subsidiaries and make it a single Company for better understanding of the analyst community. Is there any such plan of reducing the subsidiaries in coming days?

Paresh Mehta : So, our asset monetization plan is typically directed towards that. All these subsidiaries which are below our Hold ing company subsidiar y that is ACL, this is what we intend to monetize . So, there are 11 HAM projects under various SPVs which are subsidiary of a subsidiary. And there are six BOT projects, one big annuity project and the CGD business. So, all this we have already put it on the block for monetization and we expect that within a year and so we should be able to clean up , monetize most of it.

Sanjee v Kumar Damani : My last question is regarding the PAT that the time we were negotiating to sell certain projects to monetize those Road projects or some other projects. Now the revenue from the toll collection must have gone up, so do we see that we will be able to better realize the money from same asset now when we are negotiating?

Paresh Mehta : Definitely that’s what the trend definitely shows when we did the valuation in 2021, when we signed up a deal with KKR , that time revenues and the growth rates w ere not looking as positive, but things have changed substantially for the last two years. And definitely we see a better valuation stacking up for these BOT projects.

Moderator : Thank you. The next question is from the line of Riya from Aequitas Investmen ts. Please go ahead.

Riya : My first question is in regard with the debt levels. So, currently we are at around Rs. 6,800 odd crores at consolidated level. So, what are the plans to reduce this, I understand the majority part of it is because of the project s. So, what are the plans in the coming two years, how do we plan to reduce the debt levels?

Paresh Mehta : It’s a follow on effect of the monetization of assets. Once we have the assets monetize d almost Rs. 6,000 crores of our debt will go of the consol ba lance sheet. And also once we recognize or get the equity money into the Company , the standalone debt also could be reduce d substantially so that the debt levels could be substantially low in the coming two years time.

Riya : I believe that the monetization is completed by the year end , it would take some time to get consummated. So, in FY'24 it seems difficult to reduce the debt levels, is it fair to assume?

Paresh Mehta : So, FY'24, at least on the HAM projects the Chennai ORR project and the Jaora -Nayagaon and KKR. So, the KKR five projects which we had sold to them will come on block two, and there is a good possibility that this could exchange hands . Just to back up the reas on being that most of the process be run at NHAI level and at the lenders level were done for the previous deal, now everything is ready for, so we will be in a better position to crunch the timings. And if not FY'24 definitely first half of FY'25 we should see most

of the assets, the process over for monetization.
Riya : My second question is in regards with the order book . I understand you said that our growth area would be Roads and we are focusing on Power as well. So, I believe that post elections ordering for Roads would see a little slowdown. So, for the next year where do you see the demand coming from and what kind of pipeline do you see pre- and post -election ?

Satish Parakh : The focus on Roads of government pre or post -election would remain same , that is what we understand because there is lot of work being done and there is lot of focus on building good infrastructure. And Railways would be another area which we will catch up. So, these two are going to give major opportunities going ahead.
Riya : And what would be your guidance for order book for FY'24?
Satish Parakh : So, we should cross Rs. 20,000 next year we should open with at least Rs. 20,000 crores plus. So, we are having currently Rs. 18,000, we do work this year -- after d elivering that another fresh order of around 8000 to 10,000 we should be able to add.
Riya : And in terms of working capital what changes or what activities are we doing to reduce the working capital?
Paresh Mehta : So, in the light of the growth in the execution, defin itely working capital also will grow, requirements will grow. So, today's level approximately would continue with our increase turnover of like we have increase d from Rs. 4,000 crore to Rs. 6,000 crore this year and then we expect to grow another at least 25% to 30% every year. So, I think these levels of debt on the working capital si de would be there for som

e time. Subject to monetization of assets probably this would go down, well that will be --
Riya : What was your cost of funding, average cost of fundi ng?
Paresh Shah : So, this would be in the range of weighted average of around 9% to 9.25%.
Riya : So, going forward we assume that our interest cost toward only increase going forward. Is that the right assumption?
Satish Parakh : No, so it should, it has al ready increased if you see the FY'23 numbers which will continue to remain same because the volume and the interest rates, interest rates we expect to stabilize or probably move south. Volumes if

they continue then I think so these interest rates would, th e interest amount would continue to be approximately same or slightly go down.
Riya : And we also have an order which I think the government had given it to us but then we were not qualified so it was again put to bid for. So, right now why did we have the disqualification in the first place and what is the current situation there? And do we have any projects from there?
Satish Parakh : See we have explain ed we were debarred for 45 days because of the Patna bribery case. There is an alleged allegation wherein our employees were implicated in that. So, this 45-debarment period exactly came in between when this agreement was being entered. But they had to debar us and it has gone for reinvitation of the bid which we are eligible to bid now.
Riya : So, we would be L1 there?
Satish Parakh : That's a fair competition will decide.
Riya : And in current pipeline could you specify which all major projects are there?
Satish Parakh : So, currently NHAI is very aggressive in coming up with lot of express ways and four to six lane projects. So, we have a pipeline of around Rs. 72,000 crores. So, we have identified around Rs. 30,000 crores which we will be bidding in by the end of this quarter.
Riya : And in Power and Railways?
Satish Parakh : Power and Railway opportunities are c oming in. So, Railways is throwing another Rs. 20,000 crores around. So, we will be participating in various bids of Railways. Power is very unpredictable like most of the states have bid before March so maybe this quarter we may not see much Power activity,

but maybe next quarter onwards.
Moderator : Thank you. We have the next question from the line of Anupam Gupta from IIFL Securities. Please go ahead.

Anupam Gupta : A couple of questions from my side. Firstly, what is the equity commitment for FY'2 4 and FY'25 for the HAM projects?
Paresh Mehta : So, for the HAM projects which are going to be executed last three or four HAM major projects are which are pending for to be funded for , for FY'23-'24 the amount would be Rs. 113 crores and for FY'24- '25 it would be Rs. 56 crores. So, the total is Rs. 169 crores which will be required for HAM projects.
Anupam Gupta : The second question is of this Rs. 15,800 crore of order book, what number would be under execution at this point of time and what is the balance?
Paresh Mehta : So, most of the projects are under execution except for a few projects on the bidding vertical which are not taken off due to back -to-back funding by the employers. Otherwise, other all projects are in the execution stage.
Anupam Gupta : So, the building, if you can kind of quantify what number and which are the projects which are yet to start off?
Satish Parakh : So, it is basically Maldives project which is around Rs. 1,100 crores it is yet to start. Otherwise all other projects ar e absolutely on.
Anupam Gupta : And one more question, now this the KKR deal is not happening so what happens to the Rs. 1,200 crore payout which we have to do to SBI Macquarie, will that link ed to fresh deal or do you go ahead paying that still?
Paresh Meh ta: So, the payment of Rs. 1,200 crores

is link ed to monetization of asset. So, any asset monetization only will give an opportunity for Macquarie to get its Rs. 1,200 crores. So, both the partners are working towards monetization though the KKR deal has fallen off so we are still looking at alternative potential investors and we believe that as soon as this monetization happened in the next 12 months we should be in a position to give them exit. Basically, there is no talk or intent ion of giving them an exit without monetization done.

Anupam Gupta : And one last question so the strong 22% toll revenue growth which you have reported, does it have some component of double sort of toll which let's say because of FASTag not being there or this is actual number which is there in terms of revenue --?
Satish Parakh : These are actual numbers yes.
Anupam Gupta : So, this year obviously would have got high toll increase because of the inflation, but next year onwards once the inflation normalizes it should normalize, right you don't expect that to continue for the next year as well, FY'25 --?
Paresh Mehta : Yes, so next year expectation for inflation is around between the range of 5% to 7%. So, keeping the growth in mind I think so we should, it may not be 22% but it will be definitely on the more than 11% to 12%.
Anupam Gupta : So, for this year for deals the five projects what was the toll rate hike broad number?
Paresh Mehta : Approximately for FY'22-'23 it was around 10 .5% on the toll rate raise and the balance was yes.
Anupam Gupta : And just one last question what is your revenue guidance for this year?
Paresh Mehta : So, as we suggested based on order book and new orders we would target for a growth of 25% to 30%, we wo uld try to see that.
Satish Parkh: Guidance would be of 20% to 25%.
Moderator : Thank you, sir. The next question is from the line of Rikesh Parikh from Rockstud Capital LLP. Please go ahead.
Rikesh Parikh : I wanted to understand on the divestment front whether this Chennai ORR or Jaora -Nayagaon will we face the same kind of problem what we faced with the first deal?

Satish Parakh : See all th ese projects are at advance stage of getting approvals so we hope we will be able to clear Chennai ORR by September it should be through. And Jaora -Nayagaon will go up to December, because Jaora -Nayagaon was the last project which was signed.
Rikesh Parikh : Because e ven in the first phase you were suggesting by 1st Quarter of this year we would be able to go through and we were not able to get the approval from the NHAI. So, just wanted to understand do we have the same kind of concern over here in th ese two deal s also?
Satish Parakh : See concerns are there because we have to deal with states. And dealing with state is little slow, the whole mechanism is very slow. So, we are taking little time, but we think we will go through all this.
Rikesh Parikh : And as you just said previously in the question you suggested that the exit to Macquarie is depend ent upon the deal getting close d. So, hypothetically assuming these two deals get close d so would it mean that we will have to make payout of partial exit to them?
Paresh Mehta : So, whatever cash comes in, we would like to pay th em off and I mean that’s how it will happen, so Chennai ORR and Jaora -Nayagaon will give that much cash by December end we will pay them off and we stacks up to 1200 plus so then we will pay them off.
Rikesh Parikh : Means that revised IRR between the Macqu arie the deal at Rs. 1,200 crores so does the same amount stands true or we have to pay more since there is a lapse of time .
Paresh Mehta : So, the understanding if we get t he carry on the monetization of assets we will pass part of it to them. So, they will get some kind of an additional amount based on whatever w

e get so typically it would be in the range of 8% around.

Moderator : Thank you. The next question is from the line of Anant Mundra from Mytemple Capital Advisors LLP. Please go ahead.
Anant Mundra : My question is around the exit that we are obligated to give towards SBI, Macquarie, so initially before we had close d the deal, I think the amount was more Rs. 1,500 crores the deal with KKR , then it was renegotiated to Rs. 1,200 crores . Now that the deal is off I just want to be sure that the numbers still remain Rs. 1,200 crores, right there is no scope for renegotiations here, is that assumption correct?
Paresh Mehta : So, as I explain ed just now it will be Rs. 1,200 crores plus any carry , the understanding then also was that Rs. 1,200 crores plus any carry which we get from monetization would be passed to them based on their Rs. 1,200 crores investment. So, that kind of understanding has been reached to say approximately 8% which will be paid to them based on what we get from the monetization process.
Anant Mundra : From the monetization of only the BOT assets whatever carry we get or any kind of monetization?
Paresh Mehta : BOT or HAM, yes it’s ACL bucket.
Anant Mundra : So, there is 8% basically carrying cost on whatever the --
Paresh Mehta : It could be yes in the range .
Anant Mundra : NHAI premium, on the liability side there is an NHAI premium and then NHAI deferred payment liabilities on the five BOT assets when we see that balance sheet, how much would that figure be at the end of March '23 for these five projects?
Paresh Mehta : So, there is only two major projects where deferment premium has happened one is the Dankuni project and Belgaum project. I think the total default premium there is in the range of approximately Rs. 700 odd crores. I will come back to you offline on exact amount.

Anant Mundra : Because there has been a very good jump up in toll revenues in March '23 for th ese five assets , do we expect to continue providing funding support to these five BOT projects or now all of them will be self -sufficient?
Paresh Mehta : No, except for Sambalpur all others are self -sufficient. Sambalpur will still need support though they already have a, ICE recommendation for increase in concession period b y six years which will take care of the projects IRR. But in the short t erm they will require cash still , other projects could be self - sufficient.
Anant Mundra : And my final question is on two subsidiaries namely I think Viva Highways and Viva Infrastructure, they are holding a lot of land bank, right . So, are there any, I mean is there some plans to monetize this for some kind of development that we plan to do ourselves on these land assets that are there in these two subsidiaries.
Paresh Mehta : So, we are looking at opportunities wherever it is possible we would like to do that, but at the right opportunity and time we will definitely monetize that, preferably through direct sale or a joint development process.
Anant Mundra : So, these lands are majorly in Nashik , which geography are they in?
Paresh Mehta : They would be at Nashik, Pune and maybe in the MP on the highway at Indore -Edelabad which we own ed some time back.
Anant Mundra : And what is the book value of these land parcels that we hold?
Paresh Mehta : I think it would be around Rs. 270 odd crore .
Moderator : Thank you. The next question is from the line of Vasudev from Nuvama. Please go ahead.
Vasudev : I just had one question if we look at our standalone balance sheet of capital work in progress has gone up substantially in FY'23 so what is the reason for that? And how much CAPEX do we plan to do in FY'24 ?

Paresh Mehta : So, we did a CAPEX of Rs. 81 crores last year. And i

n this coming year the
CAPEX will be in the range of another Rs. 80 to Rs. 90 crores.
Vasudev : If we see our CWIP as on and FY'2 2 was 17 odd crores.
Paresh Mehta : Yes so that will be capitalize d, these are for the new projects which we have started in the Kerala project, so accordingly that will immediately put to use and we will capitalize ; major CAPEX required is for couple of these projects like the Kerala project.
Moderator : Thank you. The next question is from the line of Nikhil Kanodia from HDFC Securities Li mited. Please go ahead.
Nikhil Kanodia : So, if I heard correctly that in the bid pipeline is around Rs. 72,000 crores, right.
Paresh Mehta : Right.
Nikhil Kanodia : And on the MGL deal so when do you expect to get that deal to conclude?
Paresh Mehta : Which deal, sir?
Nikhil Kanodia : MGL deal.
Paresh Mehta : MGL deal, by October /November we should be able to close it.
Nikhil Kanodia : And with all these three -deal expected to be completed in this year, what is the kind of cash that we are expecting in this year and the balance payment of the cash what would be the breakup?
Paresh Mehta : So, see approximately Rs. 450 crores in Chennai ORR project, around net 300 crores in Jaora -Nayagaon project , and Rs. 260 crores in the MGL deal, so that's the immediate cash w ill come in. Then there are HAM projects.
Nikhil Kanodia : This is end of FY'24, right.

Paresh Mehta : FY'23 -'24 yes.
Nikhil Kanodia : And any spillover in the next financial year like what sort of amount of are we expecting in the next financial year from this deal ?

Paresh Mehta : No this will complete the deals as far as these three projects are concerned.
Nikhil Kanodia : And on your margin front I understand th at you mention ed that for the first two or three quarters you would be executing the lower margin project. And in the Q4 you are expecting the margins to normalize. So, on an annual basis , if you were to give any guidance on a blended level, so what sort o f number could we assume.
Paresh Mehta : I think it will in the range of -- between the range of 8.75% to 9.25%.
Moderator : Thank you. The next question is from the line of Vaibhav Shah from JM Financial Limited , please go ahead.
Vaibhav Shah : Have we removed any building order in this quarter , last quarter your backlog was around Rs. 3,000 crores and this quarter it is around Rs. 2,200 crores.
Satish Parakh : Yes Grand Port Hospital is what we have removed from the order book.
Vaibhav Shah : So, the Zodiac Hospital.
Satish Parakh : Grand Port Hospital in Mumbai , that order was not starting only so that has been deleted by mutual understanding with the owners.
Vaibhav Shah : And value would be somewhere around Rs. 600 crore.
Satish Parakh : Rs. 600 cro res, right exactly.
Vaibhav Shah : Secondly what would be the current debt in the five BOT assets that was supposed to be sold to KKR?

Paresh Mehta : That would be Rs. 2,700 crores.
Vaibhav Shah : And what would be the funding that would be , doing expected in Sambalpur asset for FY'24?
Paresh Mehta : Around Rs. 60 crores to Rs. 70 crores.
Vaibhav Shah : And what was the same number for FY'23?
Paresh Mehta : Almost, slightly lower but almost similar number.
Moderator : Thank you. We have the next question from the line of Saif Gujar from ICICI Prudential AMC. Please go ahead.
Saif Gujar : My first question is on the Bangladesh order, this $80 million project, so who is funding that, what type of pass -through agreements that they have here, when will the execution is expected to start and whether we have all approvals at place for this ?
Satish Parakh : Yes, here all approvals are in place. Work has already started. And this is a completely Exim Bank funded project.
Saif Gujar : And what type of pass thr

ough we have here, in terms of some cost escalation or something or it is a fixed cost agreement.
Satish Parakh : It is a fixed price contract .
Saif Gujar : And we are not hedge d for FX or something, right. So, it is a fixed cost the USD $80 million is fi xed.
Satish Parakh : Yes, only advantage of what we got is appreciation in the dollars.
Saif Gujar : And my second question if we have other overseas projects so any further update on those, anything which we can expect to start any mo vement seen ?

Satish Par akh: Guyana has already started now; we have almost completed 6% of the work. And now there is a monsoon there so post monsoon maybe after two months that will pick up and move fast. Maldives, we are yet to start , so we are still hoping for clearance from Exim Bank , this was a buyers credit project a different nature of project which requires approval from Exim Bank, particularly from insurance point of view. So, this we are expecting maybe next quarter we should g et.
Saif Gujar : So, the question is regarding the debt structure, how is it, it is fixed, floating whether it is link ed to repo rate or bank rate, how is it?
Paresh Mehta : So, in the working capital side almost everything is for floating, with certain debt linked to what we call bank rates - repo rate. And on the toll projects or the HAM projects , few projects are link ed to repo rate and otherwise most

are link ed to MCLR three months or six months MCLR.
Moderator : Thank you. We have the next question from the line of Prem Khurana from Anand Rathi Shares. Please go ahead.
Prem Khurana : My question was with respect to the KKR transaction which fell through, just want to understand, I mean I think in your comments you said the deal did not go through because y ou couldn't have approval from NHAI because there was some issue with the concession agreement for Dankuni in terms of COD and pre-COD issue. Given the fact that the planning and recommence our efforts for these assets and again I am assuming in Dankuni si nce it's a large project, it will still be a part of the transaction. So, do we have that comfort now, have we been kind of made to believe by NHAI that this time around you will get to have it and the concession would be changed according and then we can go ahead with the transaction.
Satish Parakh : See this time what happens two years get completed on August 2023. So, anyway post operative issue doesn't remain. So, we are very sure that we will be able to close this getting NOCs in time.

Prem Khurana : But I mean if that is the case, I mean KKR could have stayed back for another few months, I mean they waited for this transaction all this while and you cancelled it in the month of May and the August is I mean by when you would be able to have it even withou t change in the concession so we couldn't convince them to stay back for another two to three months?
Paresh Mehta : I think see it is more also related to their fund life, that's what we gather. So, there also fund life was ending August, that's what I understand. So, that would be too close I mean my permissions would have started by August and we would have got it by say September end or October. In the new set of deals, we will be able to pull it t hrough once our negotiations are over and the NOCs will fall in line along with the August dates.
Prem Khurana : Second question was, so when I look at the balance sheet it seems that the SBI Macquarie payout which was around Rs. 1200 crore it has gone to Rs. 1272 crore now, am I right in my reading?
Paresh Mehta : Correct, as I explained just now 8% carry which we have calculated from 1st July 22.
Prem Khurana : If you could help us with revenue breakup for the quarter plus and in terms of segments Road, EPC and Railway and other verticals?

Paresh Mehta : You want it for the quarter?
Prem Khurana : Yes the quarter
Paresh Mehta : So, on the EPC Roads it was Rs. 1410 crores, on the Power front it was Rs. 222 crores, on the Railway front Rs. 163 crores and balance approximately including all smart infra building all put together around Rs. 190 crores.
Prem Khurana : How much would be CGD and how much be sale of --?
Paresh Mehta : CGD would be small, around say Rs. 8 crores.

Prem Khurana : We also had the sale of RMC so how much would that be?
Paresh Mehta : Sale of RMC would be Rs. 56 crores. This is above what I said Rs. 190 crores. So, RMC is over and above Rs. 190 crores so Rs. 56 crore is on RMC.
Prem Khurana : CGD is a part of that Rs. 190 crore right?
Paresh Mehta : Yes.
Moderator : Thank you. The next question is from the line of Ash Shah from Elara Capital. Please go ahead.
Ash Shah : Can you give the revenue breakup for FY23 as well?
Paresh Mehta : For FY '23 Road is Rs. 4,393 crores, Power is Rs. 675 crores, Railway is Rs. 640 crores, CGD is Rs. 51 crores, RMC is Rs. 217 crores and other verticals Rs. 380 crores.
Ash Shah : Also how much have we invested in the CGD business till now?
Paresh Mehta : CGD business Rs. 67 crores.
Moderator : Thank you. The next question is f rom the line of Bharani Vijay Kumar from

Spark Capital. Please go ahead.
Bharani Vijay Kumar: Can you refresh a bit on the Chennai ORR and Jaora Nayagaon project total value for us and how we get to say Rs. 450 and Rs. 300 for Jaora Nayagaon?
Paresh Mehta : So, on the Chennai ORR the total value which we will get is approximately Rs. 650 crores of which Rs. 450, the Rs. 650 crores includes debt given by ABL to the SPV that is shareholder's loan ,so Ashoka Buildcon will Rs. 450 crores out of that monetization. And in the Jaora Nayagaon project , Ashoka Buildcon will get approximately Rs. 500 odd crores of which Rs. 180 crores is already drawn by Ashoka Buildcon from the SPV in the past so net receipt would be around Rs. 300 crores.

Bharani Vijay Kumar : And the M ahanagar deal it will be full 50% on the total deal value?
Paresh Mehta : FY31 so 51% of Rs. 531 --
Bharani Vijay Kumar : And coming to the Dankuni project COD which is the reason why the deal got cancelled so just can you let me understand how this project, because it's been operational for quite some times so how is this pre -COD and COD it's been delayed for so long?
Satish Parakh : See we had pre -COD long back around 8 years back, but COD was delayed because some of the underpasses could not be carried out, because of land acquisition issues. And this particular project pre -COD provision is not there. So, commercial operation actually started from Day 1 this was a 4 to 6 lane project. We could get COD only on completion of all the underpasses they finally co uld give us. And technically since only COD condition was there , 2 years from COD is the timeline which they have to adhere to , for which we tried for relaxation through various forums but we could not achieve that.
Bharani Vijay Kumar: So, if I understand right the project has been collecting toll and been in operation for 8 years, but we have not been able to get final COD because of land acquisition for these underpasses?
Satish Parakh : Correct , so it has nothing to do with the revenues part. Revenues we were getting full from Day 1, we got our revisions of toll in time, but the technical issue of getting project completion . –
Bharani Vijay Kumar : That will now be obtained in August of 2023 ?
Satish Parakh : The COD we already got and two years will be complete by August 23. So, in August 21 we got the final COD, so two years from that date is August 23 after which they can permit us to sell our shares.
Bharani Vijay Kumar : But isn't it one year now,

the new n orms for BOT projects?

Satish Parakh : New norms for year those who are for model concession agreement, this was an agreement before that so that correct again was to be done which was in the process and could not be done.
Moderator : Thank you. The next que stion is from the line of Akhilesh B an Individual Investor. Please go ahead.
Akhilesh B : What is the status of the project with NTPC?
Satish Parakh : See NTPC almost entire land acquisition and possession part of the land is yet to be transferred to NTPC, all the pre -work which has to be carried out like doing pilling and putting up the entire structure s, doing the entire cabelling, 90% of it is over. And only ordering of modules for which we have given the LOA and we are yet to finalize on the PO of the mo dules which we would do in the month of June or July. And we have an extension up to 2024 without any penalty to us.
Akhilesh B : And now do you anticipate any loss to us on the modules?
Satish Parakh : Yes, in the given extensions we are negotiating for price variation with them, if we get price variation then there won't be any loss, if we do not get price variation , only on the ordering of module we will be able to identify what exact loss we need to book. But the prices have substantially corrected fro m the peak and we expect them to by June or July, they should come to our expected levels.

Akhilesh B : Just want to reconfirm a couple of things you mentioned that the funding support to these BOT projects is only to Sambalpur and there is Rs. 60 to Rs. 70 crores that you expect in FY '25 is that right?
Satish Parakh : Right.
Akhilesh B : And these deferred NHAI premium on these five projects is only around Rs. 700 crores in total?

Paresh Mehta : Yes, I will confirm that but that's what, I don't have that number off hand but approximately that.
Satish Parakh : Yes Rs. 750 crores to be exact.
Akhilesh B : You suggested that you were expecting a better valuation this time around for these BOT assets compared to what we signed in FY'21, is that right?
Paresh Meh ta: Yes, definitely I mean seeing the revenues stacking more then what was considered at the time of valuation when it was given in FY'21, there is the model would be running in the same way definitely through a substantially large variation to Rs 1,337 crore. In fact Rs 1,337 crore two years have passed of fy'21 valuation now it will become FY'23 or FY'24 also, so that kind of a yearly increase will definitely happen and based on the traffic incremental and even WPI way more than which was there in the pas t say three or four years back valuation should be substantially better.
Akhilesh B: My last question is on the HAM disinvestment; do you expect to close something by the end of Q1 or will it take much longer?
Paresh Mehta : So, we expect to sign the SPA, we are working on the SPA with potential investors, trying to close it. And try to do it as early as possible giving a timeframe of around 8 weeks time maximum. And then work on the projects which are already pre -COD done and 6 m onths are over, when the permission is available, it can be giving by NHAI.
Akhilesh B : So, we could avoid the issues like we had in the KKR transaction in terms of --?
Paresh Mehta : Here the SOPs of NHAI are quite clear and simple so and there is not much issue, there is not long drawn issues also in these transactions, these are hardly two years hold projects so issues and the NOC should be given faster.
Akhilesh B : So, these would be comparatively much more straightforward.

Paresh Mehta : Yes.
Moderator : Thank you. The next question is from the line of Ash Shah from Elara Capital. Please go ahead.
Ash Shah : Can you just repeat the order inflow guidance for FY24?
Satish Parakh : Yes so in the Road sector we expect around 5,000 to 7,000 then others like Railw ays and Power and the Buildings on the 2,000 to 3,000. So, we expect around 8,000 to 10,000 should be what we should be able to clock this year.
Moderator : Thank you. The next question is from the line of Hari Kumar, an individual investor. Please go ahead .
Hari Kumar : First question is regarding the interest of Rs. 1 ,100 crores on consolidated debt of Rs. 6 ,900 crores like are we paying higher rate of interest or any other reason is there for these high rates? Also, a related question is there any interest that is being capitalized in the books?
Paresh Mehta : So, the asset is, there is IND -AS policy which is being adopted for amortizing the asset and providing of the interest. So, the interest rate is in the range of, as I said in the range of 9% to 10% for the term -loan assets, like BOT assets and HAM assets are lower.
Hari Kumar : Is there any other debt than this Rs. 6 ,900 crores because we are paying Rs. 1,100 crores of interest?
Paresh Mehta : Give me some time, I will come back.
Hari Kumar : Second question is on the impairment which we have written back like once we resell it again we have like for the impairments again?
Paresh Mehta : So, the moment of impairment was created by the reduction in the interest

rate re gime in the HAM projects two years back, that is 2021 and due to that
valuations of HAM projects got impaired. Due to the increase in interest

rates in the past 8 months, these valuations have been restated and
whatever impairment was taken then has been r eversed.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to han d the conference over to the management for closing comments. Over to you sir.

Paresh Mehta : We thank all the investors who have joined this call. I know there are a couple of queries which you would be left, we are free to answer them once on an offline basis. The details of contacts are given in our presentations, so we are available to give any replies. And thanks again for joining the call.

Moderator : Thank you very much sir. On behalf of PhillipCapital (India) Private Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Ash oka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Li sting Department
BSE Limited National Stock Exchange of India L imited
Floor 25, P. J. Towers, Exchange P laza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA E Q.

August 17, 2023

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on August 11, 2023 in respect of Unaudited Standalone and Consolidated fi nancial results for the quarter ended June 30, 2023.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildcon Limited
Q1 FY202 4 Earnings Conference Call ”

August 11, 202 3

ANALYST: MR. MUDIT BHANDARI - IIFL SECURITIES LIMITED

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR -
ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER -
ASHOKA BUILDCON LIMITED

Moderator : Ladies and gentlemen good day , and welcome to the Q1 FY2024 Earnings Conference Call of Ashoka Buildcon Limited hosted by IIFL Securities Limited . This conference call may contain forward looking s tatements ab out the company which are based on the belief, opinions and expectations of the company as on date of this call . These statements are not the guarantees of future performance and involved risk and uncertainties that are difficult to predict . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" then " 0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mudit Bhandari from IIFL Securities Limited . Thank you and over to you, Sir!
Mudit Bhandari : Thank you Rico. Good afternoon everybod y, on behalf of IIFL Securities I welcome you all to the first quarter FY20 24 earning confidence call of Ashoka Buildcon Limited. We are pleased to have with us Mr . Satish Parakh , Managing Director and Mr . Paresh Mehta , Chief Financia l Officer of the compa ny. Firstly we will have opening remarks by the management followed by question and answer session. Now I will hand over the call Mr. Satish Parakh . Over to you sir.
Satish Parakh : Thank you Mudit . Thank you, good afternoon everyone . I would like to ex tend warm welcom e to everyone on this earnings call for the quarter ended 3 0th June 2023 . I have Mr Paresh Mehta our CFO and SGA our investor relation partner along with me on the call. Let me start by the sector update . Year to date FY2024 NHAI road construct ion standard 844 kilometers compared to 863 kilometers i n the same period last year in FY2023 . The average length of roads constructed by MRTH per day was 30.1 kilometer . If the present momentum in the construction of road continues reports indicate that t he average l ength of roads constructed per day will jump to 33 kilometers in FY2024 . To fall on NHAI and Ministry plans to award 8700 kilometers or highways requiring over 1.5 trillion investment in current fiscal under the hybrid and efficient with the sh are likely to be 65 % HAM projects and 35% EPC projects . On our projec t fund let me share an d update , in the last month of April 2023 , company has received letter of awards for power distribution infrastructure development on seven circles in the state of M aharashtra f rom MSEDCL Maharashtra State Distribution Company Limited for an accepted contract value of 2285 Crores. The seven circles are Latur , Nanded , Gadchiroli , Nashik, Akola Buldhan a, Hingoli and Malegaon . Work has started in most of them from July o nwards . On asset monetization , during the previous year the company entered into a share purchase agreement with Mahanagar Gas Limited for the s ale of 100% stake in Unison

Private Limited , a subsidiary of the company where we expect to close the transactio n by October 2023 . Additionally we are awaiting NOC from TIDC for our Chennai ring road and expect the transaction to close by October 2023 . Also the previous year ACL and Viva Highways limited had entered into HP for sale of their stake in Jayas wals compa ny private l imited a subsidiary of Ashoka Buildcon and we expect the NOCs for the transaction and expect to close this transaction by December 2023 . On our HAM portfolio we are in advan ce stage of signing SPA for 11 HAM projects and we expect the transacti on closure for seven projects where we already have pre COD by December 2023 , so about seven project s are HAM we are expecting to close by 2023 and for two projects by March 2024 and balance two p

rojects by December 2024 . On five BOT toll
projects we are e ngaging with potential investors and inten t to close the transaction by March 2024. Coming to the order book status as on 30th June 2023 , our balance on the book stands at 16920 Crores. The breakup of the order book is for roads and railway project compris e around 866 9 Crores which is 51 % of the total order book . Among the road projects HAM to the tune of 1455 Crores. EPC projects to the tune of 5802 Crores and railway is around 1412 Crores. Power DND and other account for 6060 Crores which is approximately 36% of the order book . This also includes project awarded in MSEDCL as mentioned earlier . The total EPC building segment is Rs.2179 Crores which is 13% of the total order book and CGD comprises of around 12 Crores. Let me reiterate that a focus remains to build susta inable E PC business and hybrid MOT business in highways . EPC in railways , TND and Indian buildings . This is all from my si de. I would now request Mr . Paresh Mehta to present the financial performance for the quarter . Thank you.

Paresh Mehta : Good afternoon to one and all present on this call. The presentation and press release for the quarter have been uploaded on the stock exchanges and t he company's website . I am sure you must have had the time to go through the same . I will now present the fi nancial results for the quarter ended June 30 , 2023 starting with the standalone numbers. The total income for Q1 FY2024 stood at INR 1557 Crores as compared to Rs.1510 Crores in corresponding quarter last year , registering a growth of 3%. EBITDA for the q uarters was Rs.96 Crores with an EBITDA margin of 6.1 %. EBITDA margins have been impacted and subdued mainly due to inflationary pressures and one time provision taken related to execution of our solar plant, power plant project which is on EPC basis amoun ting to Rs.56 Crores . The reported PBT stood at 22 Crores and PAT at 16 Crores. Our debt to equity ratio stood at 0.34 times as on 30th June , 2023. Coming to the consolidated results, the total income for Q1 FY2024 grew again by 3% year on year to Rs. 1973 Crores as compared to Rs.1916 Crores in Q1 FY2023. EBITDA stood at Rs.5 111 Crores for Q1 FY2024 with a margin of 25.9%. Reported profit after tax is at 72 Crores in Q1 FY2024 .

In the financial year in FY2023 , the company ACL Viva Highways and SBI Macquarie had entered into an agreement to elaborate on the terms of assisting relation to the exit options to the investors and towards the obligation assumed by the company which may be discharged to the sale of restructuring of identif ied assets based on terms o f the sale agreement including the subsequent extension letters signed between the party, the company has recognized the liability of 25 Crores of finance cost in current quarter and 72 Crores a s an exceptional item in the previous year. On one of the ACS BOT projects , Sambalpur Bargarh road project, we have done refinancing with SBI against our current loan, this refinanced amount based interest cost of 9% per annum against the current interest rate of 11.7% within additional debt on 72 Crores for funding of the major maintenance cost and the def erred principle payment with the corporate guarantee of Ashoka Buildcon. This will enab le the project to have cash flow for another eight years and still there will be a date period for the project of three years . Going to the BOT division , during Q1 FY2024 it recorded a gross total collection of 317 Crores as against Rs.281 Crores in Q1 FY2023 with robust revenue growth of 13 % split as 5% as tol l rate rise and traffic growth of 8% and comparatively 310 Crores in Q4 FY2023 . Tota l consolidated debt as on 30th June 2023 stood at Rs.6 978 Crores of which project debt was 5840 Crores . NCD stood at 150 Crores at AC L level . The standal

one debt is at 988
Crores which comprises of 132 Crores of equipment loan and 856 Crores of working capital loan. With this we can open the floor for question and answers . Thank you.

Moderator: Thank you very much . We will now begin the question and answer session . The first question is from the line of Ashish Narendra Shah from JM Financial Lim ited. Please go ahead .

Ashish Narendra Shah : Hi thank you for the opportunity . Sir you did talk about some 25 Crores some provision in related to one of the assets but I missed it if you can just elaborate a little bit on that part 25 Crores recognition of liability a nd also about some refinancing in Sambalpur if you can just again discuss the same ?

Paresh Mehta : So one subject was the provision of 24 Crores which was related to the carry amount payable to SBI Macquarie on 1200 Crores of basic exit amount w hich is to b e paid to Macquarie so this is on the carry cost to be paid to Macquarie along with 1200 Crores of which another 72 Crores already provided in the previous year March 2023 so total stands at 96 Crores plus 1200 Crores pay able to SBI Macquarie. On the secon d aspect Sambalpur Bargarh project which is our project where there is a lot of funding support was done by Ashoka Buildcon in the past years has been now refinanced with another banker, State Bank of India wherein the interest has been reduced to 9% per a nnum and

also the repayment schedule has been stretched by another 8 years thereby resulting into susten ance of the project from a cash flow perspective so that it will not require any support from ABL and there will still be a three years reta il left out and another extension of the toll concession period for this project based on target traffic which is approximately six years so this is the net sale on the Sambalpur project . On the provisioning of , so you can go ahead?

Ashish Narendra Shah : No, no please complete.

Paresh Mehta : I think so another related question which you are talking about provisioning of expenses , I think so you referred for the provisioning of expenses on the solar project of 56 Crores which is a one -time hit which has been taken on th e P&L for the project as a whole the project we get over by March 2024 so going on further whatever revenue is recognized in the coming quarters . There will be no impact on the P&L account on the same .

Ashish Narendra Shah : Right so this 24 Crores liabilit y that we carry on to SBI Macquarie this is part of which line item is there in consol or standalone accounts .

Paresh Mehta : It is on the consol .

Ashish Narendra Shah : It is on the consol right and as far as Sambalpur is concerned you did also mention some thing about corporate guarantee so did we say that we do not have the corporate guarantee after the refinancing or that thing still ?

Paresh Mehta : No so we had a n undertaking even in the past which has been now treated as a corporate guarantee for the proj ect so presently there is a corporate guarantee .

Ashish Narendra Shah : Got it sir right also coming back to the order book if you can just give some clarity on when do we expect some of our international projects to start execution especially l et us say Ma ldives or Bangladesh or when do we expect that part of the order books to start moving ?

Satish Parakh: So Bangladesh we hav e already started in last quarter and Maldives we are expecting to get the final order in this quarter .

Ashish Narendra S hah: Okay.

Satish Parakh: Gana is already working , Benin is also started .

Ashish Narendra Shah : Got it sure sir. T hank you I will come back if I have more questions thank you .

Moderator : Thank you . Our next question is from the line of Harshil an Individua l Investor . Please go ahead .

Harshil :

So I just like to know the exact amount of one time provision that is done for the power projects ?

Paresh Mehta : That is 56 Crores.

Harshil : 56. Okay and sir regarding the old road which we have already sold and what i s the proces s so when we expect it to be completed for Chennai and one I just missed the name, can you just?

Satish Parakh: Chennai are we expect to close by October and Jaora -Nayagaon by December.

Harshil : Okay and all this amount that we are about to receive, can we expect that this will be used to exit the investors that we have in arrear?

Satish Parakh: Yes. This all amount will go to Macquarie’s exit.

Harshil : Okay. Thank you.

Moderator: Thank you . Our next question is from the line of Narendra an Individual Inves tor. Please go ahead.

Narendra : Yes, thanks for the opportunity . I would like to know more about the interest cost and as to why it has gone up this quarter from the usual 290 Crores to 320 Crores .

Paresh Mehta: Basically the interest rates in the past on e year have increased from almost repo rates have increased from 4% to 6.5% this being the major impact. Second also our utilization in the working capital has been higher vis-a-vis execution. So from that perspective in the

last 6 -8 months the execution i s high from t hat perspective the interest cost rate
increased. Also in the mobilization advances which we receive from the client we have
almost 600 Crores of interest bearing mobilization advance which is part of this 51
Crores .
Narendra : Okay and what ki nd of topline growth are you expecting this year and what kind of order
inflows are you expecting?

Satish Parakh: So order inflow has been weak in the first quarter. So in balance we expect around 5 to
7000 Crores which we have we have reduced f rom 6 to 80 00 Crores to 5 to 7000 Crores
and topline growth we see around 15% this year.
Narendra : Okay. Thank you. Al l the best.
Moderator : Thank you . Our next question is from the line from Parikshit Kandpal from HDFC
Securities . Please go ahead.
Pariksh it Kandpal : Sir my q uestion is this 75 Crores of financial cost, so this will keep coming every quarter
until the Macquarie 1 200 Crores is paid?
Satish Parakh : Can you just repeat ?
Parikshit Kandpal : This 7 5 Crores of financial c ost we have taken on that SBI Macquari e 1200 Crores of
outstanding, so this will keep coming every quarter until we repay this amount to them ?
Paresh Mehta: Right.
Parikshit Kandpal : On this solar project now y ou said that all the provisions entire cost overruns, so is it right
to assume that we would not be, I mean we will not be breaking even. So now the project
is breaking even we will not be making any margins and on our standalone basis, our
margins have come back to 8% and then eventually move to double digit by fourth
quarter.
Paresh Meh ta: Yes, fourth or 2024-2025 somewhere in that, depending on execution, but you are right.
Parikshit Kandpal : On BOT monetization, so what is the stage of monetization right now and do you expect
that the valuation which can be last time we thin k we can b etter than valuation in this
round?
Paresh Mehta: Right. On the five BOT projects we the amount which was indicated in the last deal it
does not carry in that and traffic revenue also has been far better than what was estimated
in the sale model. So we exp ect a substantially good price over and above the offer ed
price in the last process.
Parikshit Kandpal : Sir just the last questions on the HAM project so this monetization of 11 assets , so when
do you expect to sign the SPA because this has been for quite some time in the media and

some valuation that have been talked of. What kind of realistic timeline we have to sign
the SPA?
Paresh Mehta: So in the

next year, two to four weeks which we expect to sign out the SPA.
Parikshit Kandpal : Ok and gener ally the v aluation should be in line with the recent deals upwards of like
anywhere from 1.5 to 1.6 of book value ?
Paresh Mehta: Yes, that should not be a challenge.
Parikshit Kandpal : Okay sir and what will be the total value of all these 11 assets in ter ms of equ ity
investment?
Paresh Mehta: So fully invested approximately 1200 Crores.
Parikshit Kandpal : So including the PIM part o r excluding the pin part.
Paresh Mehta: Excluding the PIM part.
Parikshit Kandpal : So how do we rea d the pin part in this so when we ar rive at the multiple we add the PIM
part or it should be excluding the PIM part, which is 1200 I think and you have an 300.
What will be the PIM part over and above this 1200 Crores.
Paresh Mehta: No so whatever realization will happen, will be co mpared to what we have been invested,
the PIM part is not invested.
Parikshit Kandpal : 1200 w ill be measured on the 1200 Crores of investments which we have done in these
assets?
Paresh Mehta: Yes.
Parikshit Kandpal : And what will be the balance equity req uirement of these 1 1 assets?
Paresh Mehta: 170 Crores.
Parikshit Kandpal : 1370 will be the total equity investment so the deal valuation will happen on that ?
Paresh Mehta: Yes.
Parikshit Kandpal : Thank you and all the best. Those are my question.

Moderato r: Thank you. Our next question is from the line of Rohit Natarajan from Antique . Please go ahead.
Rohit Natarajan : Thank you for this opportunity. Sir, could you just guide us I understand there were some of one off in the EBITDA margin at this standalone level, w hat will be the secular normalized EBITDA margins going forward?
Paresh Mehta: Going forward for the next two to three quarters, the EBITDA margin s would be in range of 8 to 8 .5% and post 2024, 2025 the n it will be go back to numbers like 10 , 10.5%.
Rohit Natarajan : My second question is on the transaction of the 11 assets. In the classification of consolid ated debt I see that the consolidated debt asset held for sale which is for the ol d transaction that we are talking about the five assets, right 51 billi on that I see the figure , 5104 Crores?
Paresh Mehta: I did not gather, what was the question ?
Rohit Natarajan : The project debt of asset held for sale. This is attributable to the old transaction of the SBI Macquarie transaction, the KKR deal that did not take off?
Paresh Mehta: The total debt on the books including HAM projects, BOT projects and annuity projects together is approximately 5640 Crores.
Rohit Natarajan : Okay. Apart from that when you say standalone debt, project debt and CD's is all put toget her close to 7000 Crores but when I look at the project debt excluding asset held for sale is 1800 Crores . For asset held for sale is 5100 Crores s o this one is the one that we are talking about the BD?
Paresh Mehta: So the 1800 is pertaining to three asse ts, the assets which are still under construction which are under ABL under construction.
Rohit Natarajan : I got it. So finally the distribution circle order, if you could just help us understand what this project is about. The Maharashtra circles ?
Satish Parakh: So Maharashtra has come out with this RDSS scheme which are completely centrally funded projects for 2285 Crores is what we have received orders and these are to be completed in timeline of 24 months.
Rohit Natarajan : How will the margin p rofile wo uld look like?

Satish Parakh: So these are at normal margins, so here will make EBITDA of 10% plus.
Rohit Natarajan : Sure. Thank you. That is it from my side.
Moderator : Thank you . Our next question is from the line of Nikhil Abhyankar from ICICI Securitie s.

Please go ahead.
Nikhil Abhyankar : Thank you Sir. Just a clarification. Sir you have mentioned the revenue growth of 10% order inflow of 5 to 6000 Crores and margins 8.5. So I wanted to understand why exactly are our margins going up because ev eryone el se is a flat or improving on their margins?
Paresh Mehta: For the past two to three quarters, the margins have been down basically some projects which have been taken during COVID period a nd at a competitive price and another reason being that cos t escalat ion, which was compared to what we had bid for way back in 2020. So this is the impact of the margins of being lower. Going forward we expect and whatever bids we have done post 20 22 these are typically at fair margins in the range of 10 to 11%.
Nikhil Abh yankar : So FY2025 should we expect around double digit margin?
Paresh Mehta: Yes.
Nikhil Abhyankar : Sir what exactly the reason for reducing the order inflow target , are w e?
Satish Parakh : See have seen NHAI bidding not happening in last four or f ive month s, actually, April, May there was absolutely no bidding and June, July we have seen, now July has picked up bi dding activity. Again , the election maybe like announced in February or March, so we see four five months of bidding cycle going ahead.
Nikhil Abh yankar : Okay and sir we have also participated in the …
Satish Parakh : Aggression in the market again remains , so certainty of bagging bids is also not there . As we see lot of players and lot of cut throat comp etition.
Nikhil Abhyankar : But sir at least in the transmission segment, I guess some visibility over the medium term this year as well as next. So anything over there?
Satish Parakh : Yes in distribution sector , we do expect another lot of orders.

Nikhil Abhyankar : Same transmission ?
Satish Pa rakh : And some in private sector.
Nikhil Abhyankar : Okay.
Satish Parakh : If all this put together will range between 5 to 7000.
Nikhil Abhyankar : Understood. The proceeds from the sale Jaora Nayagaon , will they be used to set SBI Macquarie ?
Paresh Mehta: Yes, so whatever the intent is that whatever of monetization money comes in first will be utilized to give exit to Macquarie and then applicable on the balance sheet for A BL to use.
Nikhil Abhyankar : So for next two quarters we take a hit of 25 Crores .
Pare sh Meht a: Yes. Each .
Nikhil Abhyankar : Thank you and all the best.
Moderator : Thank you . Our next question is from the line of Bhavya from Sambhavna Securities . Please go ahead.
Bhavya : Hello Sir so just wanted to know whether we have any plan s to monetize any o ther assets and what would the time frame when would it be up for m onetize and how many as sets?
Paresh Mehta : So we do have a land pool available and we are looking at monetizing that asset . A couple of transactions we already entered into and where the mo ney are being released slowly on a periodical basis through our joint development agreement where we are just the land provider and getting it for the land. It is a slow process and other chunk of land other pieces of land as and when opportunities a vailab le we will monetize.
Bhavya : Understood. Thank you.
Moderator : Thank you. Our n ext question is from the line of Balasubramanian from Arihant Capital . Please go ahead.
Balasubramanian : Thank you so much for taking my question sir. I just want to under stand our current order book around 16,92 0 Crores like I just wanted to understand the margin profile of HAM,

EPC, power and railways what will be the margin difference if you could throw some light on that?
Paresh Mehta : So it is mix of certain projects w here t he range of margins could be in the range of 6.5-7% to 9.5-10%, so various projects are at various p ricing level

s . On road sector typically the existing range of margins in the range of 8.5-9% and on the railways also in the range of 8.5% -9%. In the power in the range of 9% and other projects in the range of 6 to 7%. They are smaller project and on the b uilding side definitely the range is 10-11% but execution will come over a period of time.
Balasubramanian : Got it sir. Thank you, Sir.
Moderator : Thank you . Our next question is on the line of Prem Khurana from Anand Rathi Shares . Please go ahead.
Prem Khurana : So my question was with respect to the agreement that were restructured with SBI Macquarie where in there is carry t hat would have to pay now till th e time the transaction are closed, s o is there any cap in terms of what to what extent that amount could go to the last time so original agreement that we had capped the number at 1575 odd Crores and as I see it is I think 72 is what we provide last year and 24 providers, there is almost 1300 , this is reflecting in the balance sheet now as a liability, s o I mean is it there is no cap o n this number or this is again get the cap at 1575 the original amount that was there a nd what is the coupon order to carry that you are paying at 8% or 9%?
Paresh Mehta : So the cap of 1526 Crores which was there continues to exist.
Prem Khurana : Okay.
Paresh Mehta : and the carry of 8%, approximately 8% which is there, which is provided for in the books is what, is accru ing quarter by quarter?
Prem Khurana : Sure, and when you say monetization proceeds would go to exit to SBI Macquarie to buy them out first, but when I look at our HAM portfolio so there is technically some of these assets are with ACL and then some of thes e asse ts are held through ABL directly. s o could there be a situation I mean you plan is sort of entire portfolio but some of these settled with ABL could you use that money from these assets whenever you get through this monetization proceeds come to you, would you be in a position to use this to when you provide an exit or I mean only the assets from the ACL portfolio would be used to kind of buy the amount?

Paresh Mehta : So all road portfolio monetization typically first be applied to given exit to SBI Macquar ie that ability to do by ABL is there .
Prem Khurana : We are awaiting for certain permission to when the share transferred in our name which is where we will be in a position to close the transactions so where are we in that process as the permission come f rom for MPRDC for the transfer of the share s.
Paresh Mehta : So we are pursuing it in MPRDC on the same and we expect to get a favorable decision.
Prem Khurana : Sir just one last if you could help me with the revenue breakup for the quarter please, segment wise?
Paresh Mehta : On the road sector it is 1156 Crores .
Prem Khurana : Okay.
Paresh Mehta : The power it is 119 Crores . Railway 149 Crores and other businesses is approximately 65 Crores .
Prem Khurana : Sure sir . Thank you and all the very best .
Moder ator: Thank you. Our next question is from the line of Nikhil Kanodia from HDFC Securities . Please go ahead.
Nikhil Kanodia : Thanks for the opportunity . Sir I want the capex guidance for the year?
Paresh Mehta : So total capex done update for the quarter wa s around 47 Crores. We expect to do approximately as indicated around 100 Crores of capex by the year end.
Nikhil Kanodia : So 100 will be total FY2024 right?
Paresh Mehta : FY2024 total.
Nikhil Kanodia : Anything on equity infusion.
Paresh Mehta : Equity infu sion as you said 169 Crores is what to be yet to be deployed in HAM Projects of which 107 Crores will be done in 23, 24 and balance 56 Crores in 2024, 2025.
Nikhil Kanodia : Understood. Sir, what is your current build pipeline ?

Satish Parak

h : Build pipeline is around 25,000 Crores?
Nikhil Kanodia : Thank you sir and all the best .
Moderator : Thank you. Our next question is from the line of Ash Shah from Elara Capital . Please go ahead.
Ash Shah : Hi good afternoon sir. Thank you for the opportunity. So my first questi on would be on the debt level, so if I go back in FY2022 our debt was 488 Crores on standalone level which has now increase d to 990 Crores, it is more than d ouble d so is any guidance on why it has doubled on first place and secondly what is the futur e expe cted number because all the procedures are going to be used towards SBI Macquarie initially so what do you think will do the debt number eventually by FY2024 end?
Paresh Mehta: So definitely debt numbers have gone up from 2022 to 2023 by almost 400 Crores to 500 Crores, it is more because of the larger execution and larger turnover and larger order book also which is typically pushed that up . This will continue to remain as it is with respective of the payments required to be made to SBI Macquarie from the cash flow proceeds. We believe that the cash proceed will be more than what is required for SBI Macquarie so that will definitely be helpful in reducing the standard debt .
Ash Shah : Okay thank you . Also the second question would be also on the Maldiv es project so right now if I was just reading through t wo of our competitors they are also building the same projects o rders and they are on the verge of they have already started so why is that case that we are not able to yet stop because it has been alm ost tw o and a half years since we have received the project but there is no execution on that part ?
Satish Parakh : Last two and half year our was the last awarded project. Only what was awarded earlier has started now. There is no new project which has sta rted.
Ash Shah : No I was talking about during that period only so if we received in May the competitors received in March 21 but they have already started so I think in December 21 they got an advanced payment for the same but we were not receiving it and that is why the EXIM Bank was not giving us the go ahead so I just wanted to know what is exactly that is going on in that project?
Satish Parakh : So these are approv ed in the COD in the final committee meetings in which their projects were approved much e arlier and our project got approved in COD but for ECGC coverage insurance coverage it was held back . ECGC had certain problems with certain

development of earlier insurance so it was a policy decision which went up to finance

ministry which is now being t aken i n the next board meeting .
Ash Shah : So we expect that by end of Q2 we will start execution on that project ?
Satish Parakh : Yes if they clear it then definitely we can start .
Ash Shah : The project timeline would be two years .
Satish Parakh : Yes.
Ash S hah: Also last question could you just give us the breakup of the order bid pipeline, you said 25000 Crores can you just give it sector wise ?
Satish Parakh : Sector wise in majority is highway projects 25000 is completely highway project . I have not taken o ther bid point next. 25 is completely highway .
Ash Shah : Okay so if we include other projects then how much would that go up to ?
Satish Parakh : It could add around 9 or 10000.
Ash Shah : Okay Thank you. That is all from my side.
Moderator : Thank you. Our ne xt que stion is from the line of Vasudev from Nuvama . Please go ahead .
Vasudev : Thank you for the opportunity . Most of my questions are answer ed. I just needed the fund this and the non -fund wage limits and of utilization for them ?
Paresh Mehta : So we have a tota l limit of around 5800 Crores of which approximately 8000 Crores pertaining to sorry 350 Crores is pertaining to fund based and balance is all pertaining to non-fund based and from a

utilization perspective at the fund base the utilization is almost 60 to 70% and on the not fund based 70 to 75%.
Vasudev : Ok sure. Thank you.
Moderator : Thank you. Our next question is from the line of Anant Mundra from Mytemple Capital . Please go ahead .

Anant Mundra : Hi good afternoon sir. T hank you for the opportunity so jus t wanted to understand why our Q1 r evenue growth is lower than the guided 15 % revenue growth of the entire year ?
Paresh Mehta : So see basically the there are lot of new projects which have been which is part of the order book now which has just start ed out are just kicking off so that estimated turnover will be captured in the quarter three quarter , four quarter , other projects like projects in Vienna and Bangladesh typically their mobilization process is bit longer so now the project is fully mobiliz ed so their turnover will now start catching up from Q3 Q4 and even Bangladesh from Q2 itself . Even for projects like the Kerala project there the mobilization process is going on and once the mobilization procedure totally is complete then the tu rnover will cat ch up so this 15 or 10 to 15 % growth is typically on account of or the full year expectation so initially this quarter definitely is flat but it will take off by Q3, Q4?
Anant Mundra : Okay and sir this hit of 56 Crores where exactly is this figuring in whi ch line item ?
Paresh Mehta : It is in other expenses and construction put together . Other expenses has approximately 31 Crores of it which is for the future yet to be incurred the expenses yet to be incurred to the loss on that and in contract revenue balan ce 25 Crores.
Anant Mundra : Okay alright sir and s ir you explained the different margins among the different sectors could you also give us a n idea about which sector is most working capital intensive and which is the least working capital inten sive.
Pares h Mehta : So generally power projects are most working capital intensive because their payment cycle is already I mean it is totally factored in the way we have bi d for the project but until so they do give advances on material but the final settlemen t of w hich are almost four to five months post their full certification and what you call final commissioning of the modules different modules under a project . Road projects are typically funded by actually their HAM projects funded by bankers so their fun ding i s almost on the almost 60 days kind of a working capital .
Anant Mundra : Alright and sir given that we have Sambalpur BOT project and I remember you had explained in the last con call that was the only project in which loss funding was required so giv en tha t the refinancing has happened there is no BOT project which will require any loss funding from the parent am I correct in that assumption ?
Paresh Mehta : Yes.

Anant Mundra : Alright which is the road project the BOT project in which the deferred liabi lity, NHAI deferred liability premium is the highest ?
Paresh Mehta : Yes.

Anant Mundra : So even that project is not going to require any loss funding or any another round of refinancing of the NHAI d eferred premium .
Paresh Mehta : So the cash flows are suffi cient to take care of its o wn cash flows subject to of total deferment availability is available in the scheme so up to 25 , 26 the deferment is possible though with the lesser amount of premium but that we continue so on its own it will be sustainable .
Anant Mun dra: Okay so the de ferred liability premium will be due from 26 , 27?
Paresh Mehta : Yes there is no repayment scheduled as and when enabled by the SBI.
Anant Mundra : Okay, got it and sir much is the revenue that we are recognizing from the real estate daily and that is coming in cons ol level or in standalone level ?

Paresh Mehta : This quarter nothing much .
Anant Mundra : Okay but like could you give us some idea of how much can that be for the year or how much was it for the previous year just approximat e bal lpark ?
Paresh Mehta : Previous approximately in the range of 35 to 40 Crores.
Anant Mundra : And it comes in the consol level.
Paresh Mehta : In fact it is being monetized.
Anant Mundra : That is it from my end. Thank you sir.
Moderator : Thank you. Our next qu estion is from the line of Deepika Bhandari from PhillipCapital . Please go ahead .
Deepika Bhandari : Hi sir thank you for taking my question . I just had one question from the order that as on 30th June, how much portion was not executable at that momen t at that point of time ?
Paresh Mehta : I mean you are talking order book which is not executive today ?

Deepika Bhandari : No not today as on 30th June , some 16920 order book . How much was not executed as executable at that moment ?
Paresh Mehta : All are executabl e but they are delayed so like the Maldives project which is there . There the start of construction will happen slightly later as soon as the financial type is done by the government .
Satish Parakh : Otherwise everything is start ed now.
Deepika Bhandar i: Okay except for Maldives everything was under execution as on quarter one, is my understanding correct?
Paresh Mehta : So all are executable. Like I agree what you are saying mam. Everything is contributing to the turnover.
Satish Parakh : So except Maldi ves e verything is all here.
Deepika Bhandari : Okay s ir, that is it from my side. Thank you so much.
Moderator : Thank you. Our next question is from the line of Saurabh an Individual Investor . Please go ahead .
Saurabh : Yes so just one question . The consolid ated debt level of company is around 7000 o dd Crores so with the asset monetization which is repeated say by October by December and by March 2024 what will be the kind of debt after all the monetization which will happen in next three to six to nine month s?
Paresh Mehta : So once we are by March 2024 based on whatever we have communicated so total debt which will be remaining outstanding would be approximately today which is approximately 500 Crores so that w ill increase to approximately another 500 to 1000 Crores is the outstanding for the , so approximately if we sell all the projects approximately 600 Crores will be outstanding as of March 24 , rest all debt other than the standalone d ebt will be of the consolidated balance sheet.
Saurabh : So remaining debt by 24 would be just close to around 500 to 600 Crores right ?
Paresh Mehta : Right.

Saurabh : Okay and after this monetization the revenue which is coming to the company say currently 8000 Crores per annum so this will all be coming from the EPC project noth ing from the H AM and BOT side as of March 24 .
Paresh Mehta : Yes I mean we can reasonably consider that except for a few HAM projects which would be under construction but that also majorly will be captured at an ADL EPC part only so nothing significant con tribution will be there from other FPVs in the turnover .
Saurabh : So as guided the revenue uh gross revenue from say 24 onwards would be close to around about 6000 Crores of odd run rate with a margin of 10 % is it fair to assume ?
Paresh Mehta : No 6000 is a lready a run rate for this year, March 22, so for 24 it would be approximately

7 to 7.5%.
Saurabh : With a margin of close to 9 to 10% kind of margin which is being guided right .
Paresh Mehta : For 24 it would be 8 to 9% between that 8 top 8.5%, but from 24 onwards what ever there will be approximately at 10 to 15% increase in the turnover that will be sub ject to approximately 10% margins.
Saurabh : Thank you so much, that is it from m

y side.
Moderator : Thank you . Our next question is from the line of Anupam Gu pta from IIFL Securities . Please go ahead sir .
Anupam Gupta : Good evening sir. C ouple of questions from my side . Firstly on the provision which you have done for NTPC project is there any chance of this we claim them in terms of receiving is that or this i s a definite outlook from our side?
Satish Parakh : So here we have got a circular from the Ministry of Renewable Energy for the extension . We are expecting circular for price revision also so if we get price revision then it will make up for the gross marg in.
Anupam Gupta : Is there any timeline for this?
Satish Parakh : Timelines cannot be guaranteed because this is all ministry prerogative whether to allow price revision along with time extension so presently they have just given time extension, the industr y is expecting price revision because this was all due to COVID and the impact.

Anupam Gupta : And second question so on your guidance if I re call in the fourth quarter you have guided to 20 to 25 % revenue for this year . Any specific reason why lowering it to 15% for this year or what has changed since then ?
Satish Parakh : So first quarter most of the projects were d elayed start and order book inflow also we have not seen anything in the first quarter so that is not going to get converted into any revenue therefore we have reduced the guidance to 15%.
Anupam Gupta : Understood. Okay. That is all from my side.
Moderator : Thank you. Our next question is from the line of Ash Shah from Elara Capital . Please go ahead .
Ash Shah : Thank you for your opportunity again . Sir in your initial remarks you had mentioned that NHS planning to award around 8700 kilometers and since we have not seen a lot of awarding activity in Q1 and Q4 is also going to be a washout because of the election , do not you think over the next like f ive six months you will see a lot of bridge opening up like there will be pre -owning of those ordering because they want to achieve those targets or something so if you could comment on that ?
Satish Parakh : Yes sir we can see good amount of ordering balanc e part up to Feb, so whatever balance like 5000 odd kilometers by NHAI another 2000 to 2 500 kilometers by MORTH so this entire ordering w ill see in coming months up to Feb.
Ash Shah : Okay and second question would be can you give us an update about the NHA I bribery case hanging. I mean there was one project that we had lost out on so is there any rebidding that has happened on that or something like that ?
Satish Parakh : Yes rebidding has happened. We are participa ted. Results are yet to be announced, so there are 10 participants in that and we are awaiting results maybe this month or next month .
Ash Shah : Okay and last question would be is there any International bid pipeline that we are looking at or if you are planning to move out of any other countries or something like that?
Satish Parakh : So we are focusing on the countries where we are working so presently Bangladesh and Maldives give us some more opportunity . We are not exploring new country at this stage .

Ash Shah : Okay thank you that is all for mysel f.
Moderator : Thank you. Ladies and gentlemen that was the last question of our question and answer session . I would now like to hand the conference over to Mr Satish for his closing comments .
Satish Parakh: Thank you everyone for participating . We are tha nkful to all the participants for their questions . I hope you we have been able to answer most of your queries . We look forward for your participation in the coming quarters . For any further queries you can always contact our SGA or our CFO . Thank you.
Mod erator: Thank you . On behalf of IIFL Securities Limit

ed that concludes this conference . Thank
you for joining us and you may now disconnect your lines .

Call: Aug 2023

Ash oka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Li sting Department
BSE Limited National Stock Exchange of India L imited
Floor 25, P. J. Towers, Exchange P laza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA E Q.

August 17, 2023

Sub: Call Transcript

Please find enclosed herewith the revised copy of t ranscript of the Earnings Call held on August 11, 2023 in respect of Unaudited Standalone and Consoli dated financial results for the quarter ended June 30, 2023 due to inadvertent typing errors.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildcon Limited
Q1 FY202 4 Earnings Conference Call ”

August 11, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th August , 2023 will prevai l

ANALYST: MR. MUDIT BHANDARI - IIFL SECURITIES LIMITED

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR -
ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER -
ASHOKA BUILDCON LIMITED

Moderator : Ladies and gentlemen good day , and welcome to the Q1 FY2024 Earnings Conference Call of Ashoka Buildcon Limited hosted by IIFL Securities Limited . This conference call may contain forward looking s tatements ab out the company which are based on the belief, opinions and expectati ons of the company as on date of this call . These statements are not the guarantees of future performance and involved risk and uncertainties that are difficult to predict . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “ *” then “ 0” on your touchtone phone. Please note that this conference is being recor ded. I now hand the conference over to Mr. Mudit Bhandari from IIFL Securities Limited . Thank you and over to you, Sir!
Mudit Bhandari : Thank you Rico. Good afternoon everybod y, on behalf of IIFL Securities I welcome you all to the first quarter FY20 24 ear ning confidence call of Ashoka Buildcon Limited. We are pleased to have with us Mr . Satish Parakh , Managing Director and Mr . Paresh Mehta , Chief Financia l Officer of the compa ny. Firstly we will have opening remarks by the management followed by question a nd answer session. Now I will hand over the call Mr. Satish Parakh . Over to you sir.
Satish Parakh : Thank you Mudit . Thank you, good afternoon everyone . I would like to ex tend warm welcom e to everyone on this earnings call for the quarter ended 3 0th June 2 023. I have Mr Paresh Mehta our CFO and SGA our investor relation partner along with me on the call. Let me start by the sector update . Year to date FY2024 NHAI road construct ion standard 844 kilometers compared to 863 kilometers i n the same period last ye ar in FY2023 . The average length of roads constructed by MoRTH per day was 30.1 kilometer . If the present momentum in the construction of road continues reports indicate that t he average l ength of roads constructed per day will jump to 33 kilometers in FY2024. To follow on, NHAI and Ministry plans to award 8700 kilometers or highways requiring over 1.5 trillion investment in current fiscal under the hybrid and efficient with the sh are likely t o be 65 % HAM projects and 35% EPC projects . On our projec t fund let me share an d update , in the last month of April 2023 , company has received letter of awards for power distribution infrastructure development on seven circles in the state of Maharashtra f rom MSEDCL Maharashtra State Distribution Company Limited for an accepted contract value of 2285 Crores. The seven circles are Latur , Nanded , Gadchiroli , Nashik, Akola Buldhan a, Hingoli and Malegaon . Work has started in most of them from July o nwards . On asset monetization , during the previous year the company enter ed into a share purchase agreement with Mahanagar Gas Limited for the s ale of 100% stake in

Unison Private Limited , a subsidiary of the company where we expect to close the transactio n by October 2023 . Additionally , we are awaiting NOC from TIDC for our Chennai ring road and expect the transaction to close by October 2023 . Also the previous year ACL and Viva Highways limited had entered into HP for sale of their stake in Jayas wals compa ny private l imited a subsidiary of Ashoka Buildcon and we expect the NOC s for the transaction and expect to close this transaction by December 2023 . On our HAM portfolio , we are in advan ce stage of signing SPA for 11 HAM projects and we expect the transacti on closure for seven projects where we already have pre COD by December 2023 , so about seven project s ofHAM , we are expecting to close by 2023 and for two projects by March 2024 an

d balance two projects by December 2024 . On five BOT toll projects , we are e ngaging with potential investors and inten t to close the transactio n by March 2024. Coming to the order book status , as on 30th June 2023 , our balance on the book stands at 16,920 Crores. The breakup of the order book is , for roads and railway project compris e around 8 ,669 Crores which is 51 % of the total order book . Among the road projects , HAM to the tune of 1 ,455 Crores. EPC projects to the tune of 5,802 Crores and railway is around 1,412 Crores. Power T&D and other account s for 6,060 Crores which is approximately 36% of the order book . This also includes project awarded in MSEDCL as mentioned earlier . The total EPC building segment is Rs.2,179 Crores which is 13% of the total order book and CGD comprises of around 12 Crores. Let me reiterate that a focus remains to build susta inable E PC business and HAM business in highways . EPC in railways , Power T&D and buildings . This is all from my si de. I would now request Mr . Paresh Mehta to present the financial performance for the quarter . Thank you.

Paresh Mehta : Good afternoon to one and all present on this call. The presentation and press release for the quarter have been uploaded on the stock exchanges and t he company's website . I am sure you must have had the time to go through the same . I will now present the fi nancial results for the quarter ended June 30, 2023 starting with the standalone numbers. The total income for Q1 FY2024 stood at INR 1557 Crores as compared to Rs.1510 Crores in corresponding quarter last year , registering a growth of 3%. EBITDA for the q uarters was Rs.96 Crores with an EBITDA margin of 6.1 %. EBITDA margins have been impacted and subdued mainly due to inflationary pressures and one time provision taken related to execution of our solar plant, power plant project which is on EPC basis amoun ting to Rs.56 Crores . The reported PBT stoo d at 22 Crores and PAT at 16 Crores. Our debt to equity ratio stood at 0.34 times as on 30th June , 2023. Coming to the consolidated results, the total income for Q1 FY2024 grew again by 3% year on year to Rs. 1973 Crores as compared to Rs.1916 Crores in Q1 FY2023. EBITDA stood at Rs.5 11 Crores for Q1 FY2024 with a margin of 25.9%. Reported profit after tax is at 72 Crores in Q1 FY2024 .

In in FY2023 , the company ACL Viva Highways and SBI Macquarie had entered into an agreement to elaborate on the terms of assisting relation to the exit options to the investors and towards the obligation assumed by the company which may be discharged to the sale of restructuring of identif ied assets based on terms o f the sale a greement including the subseque nt extension letters signed between the party, the company has recognized the liability of 25 Crores of finance cost in current quarter and 72 Crores a s an exceptional item in the previous year. On one of the ACS BOT projects , Sambalpur Bargarh road projec t, we have done refinancing with SBI against our current loan, this refinanced amount based interest cost of 9% per annum against the current interest rate of 11.7% within additional debt on 72 Crores for funding of the major maintenance cost and the def erred principle payment with the corporate guarantee of Ashoka Buildcon. This will enab le the project to have cash flow stretch for another eight years and still there will be a date period for the project of three years . Going to the BOT division , during Q1 FY2024 it recorded a gross total collection of 317 Crores as against Rs.281 Crores in Q1 FY2023 with robust revenue growth of 13 % split as 5% as tol l rate rise and traffic growth of 8% and comparatively 310 Crores in Q4 FY2023 . Tota l consolidated debt as on 30th June 2023 stood at Rs.6 ,978 Crores of which project debt was 5 ,840 Crores . NCD stood at 150 C

rores at AC L level . The standalone debt is at 988 Crores which comprises of 132 Crores of equipment loan and 856 Crores of working cap ital loan. With this we can open the floor for question and answers . Thank you.

Moderator: Thank you very much . We will now begin the question and answer session . The first question is from the line of Ashish Narendra Shah from JM Financial Lim ited. Please go ahead .

Ashish Nar endra Shah : Hi thank you for the opportunity . Sir you did talk about some 25 Crores some provision in related to one of the assets but I missed it if you can just elaborate a little bit on that part 25 Crores recognition of liability a nd also about some re financing in Sambalpur if you can just again discuss the same ?

Paresh Mehta : So one subject was the provision of 24 Crores which was related to the carry amount payable to SBI Macquarie on 1200 Crores of basic exit amount w hich is to b e paid to Macquarie , so this is on the carry cost to be paid to Macquarie along with 1200 Crores of which another 72 Crores already provided in the previous year , March 2023, so total stands at 96 Crores plus 1200 Crores pay able to SBI Macquarie. On the secon d aspect , Sambalpu r Bargarh project , which is our project where there is a lot of funding support was done by Ashoka Buildcon in the past years has been now refinanced with another banker, State Bank of India wherein the interest has been reduced to 9% per a nnum and

also th e repayment schedule has been stretched by another 8 years thereby resulting into sustainenance of the project from a cash flow perspective so that it will not require any support from ABL and there will still be a three years reta il left out and another extension of the toll concession period for this project based on target traffic which is approximately six years so this is the net sale on the Sambalpur project . On the provisioning of , so you can go ahead?

Ashish Narendra Shah : No, no please complete.

Paresh Mehta : I think so another related question which you are talking about provisioning of expenses , I think so you referred for the provisioning of expenses on the solar project of 56 Crores which is a one -time hit which has been taken on th e P&L for the project as a whole the project we get over by March 2024 so going on further whatever revenue is recognized in the coming quarters . There will be no impact on the P&L account on the same .

Ashish Narendra Shah : Right so this 24 Crores liabilit y that we carry on to SBI Macquarie this is part of which line item is there in consol or standalone accounts .

Paresh Mehta : It is on the consol .

Ashish Narendra Shah : It is on the consol right and as far as Sambalpur is concerned you did also mention some thing about corporate guarantee so did we say that we do not have the corporate guarantee after the refinancing or that thing still ?

Paresh Mehta : No so we had a n undertaking even in the past which has been now treated as a corporate guarantee for the proj ect so presently there is a corporate guarantee for Ashoka Buildcon .

Ashish Narendra Shah : Got it sir right also coming back to the order book if you can just give some clarity on when do we expect some of our international projects to start execution especi ally l et us say Ma ldives or Bangladesh or when do we expect that part of the order books to start moving ?

Satish Parakh: So Bangladesh we hav e already started in last quarter and Maldives we are expecting to get the final order in this quarter .

Ashish Nare ndra S hah: Okay.

Satish Parakh: Gana is already working , Benin is also started .

Ashish Narendra Shah : Got it sure sir. T hank you I will come back if I have more questions thank you .

Moderator : Thank you . Our next question is from the l

ine of Harshil an Individua l Investor . Please go ahead .

Harshil : So I just like to know the exact amount of one time provision that is done for the power projects ?

Paresh Mehta : That is 56 Crores.

Harshil : 56. Okay and sir regarding the old road which we have already sold and what i s the proces s so when we expect it to be completed for Chennai and one I just missed the name, can you just?

Satish Parakh: Chennai are we expect to close by October ’23 and Jaora -Nayagaon by December ’23.

Harshil : Okay and all this amount that we are about to receive, can we expect that this will be used to exit the investors that we have in arrear?

Satish Parakh: Yes. This all amount will go to Macquarie’s exit.

Harshil : Okay. Thank you.

Moderator: Thank you . Our next question is from the line of Nare ndra an Individual Inves tor. Please go ahead.

Narendra : Yes, thanks for the opportunity . I would like to know more about the interest cost and as to why it has gone up this quarter from the usual 290 Crores to 320 Crores .

Paresh Mehta: Basically , the inter est rates in the past on e year have increased from almost repo rates have increased from 4% to 6.5% this being the major impact. Second , also our utilization in the working capital has been higher vis-a-vis execution. So from that perspective in the last 6 -8 months the execution i s high from t hat perspective the interest cost rate increased. Also in the mobilization advances which we receive from the client we have almost 600 Crores of interest bearing mobilization advance which is part of this 51 Crores .

Narendra : Okay and what ki nd of topline growth are you expecting this year and what kind of order inflows are you expecting?

Satish Parakh: So, order inflow has been weak in the first quarter. So in balance we expect around 5 000 to 7000 Crores which we have we have reduced f rom 6 000 to 80 00 Crores to 5 to 7000 Crores and topline growth we see around 15% this year.

Narendra : Okay. Thank you. Al l the best.

Moderator : Thank you . Our next question is from the line from Parikshit Kandpal from HDFC Securities . Please go ahead.

Pariksh it Kandpal : Sir my q uestion is this 75 Crores of financial cost, so this will keep coming every quarter until the Macquarie 1 200 Crores is paid?

Satish Parakh : Can you just repeat ?

Parikshit Kandpal : This 7 5 Crores of financial c ost we have taken on that SBI Macquari e 1200 Crores of outstanding, so this will keep coming every quarter until we repay this amount to them ?

Paresh Mehta: Right.

Parikshit Kandpal : On this solar project , now y ou said that all the provisions entire cost overrun s, so is it right to assume that we would not be, I mean we will not be breaking even. So now the project is breaking even we will not be making any margins and on our standalone basis, our margins have come back to 8% and then eventually move to double di git by fourth quarter.

Paresh Meh ta: Yes, fourth or 2024-2025 somewhere in that, depending on execution, but you are right.

Parikshit Kandpal : On BOT monetization, so what is the stage of monetization right now and do you expect that the valuation which ca n be last time we thin k we can b etter than valuation in this round?

Paresh Mehta: Right. On the five BOT projects , we the amount which was indicated in the last deal it does not have a carry in that and traffic revenue also has been far better than what wa s estimated in the sale model. So we exp ect a substantially good price over and above the offer ed price in the last process.

Parikshit Kandpal : Sir just the last questions on the HAM project so this monetization of 11 assets , so when do you expect to sign the SPA because this has been for quite some time in the media and

some valuation

that have been talked of. What kind of realistic timeline we have to sign the SPA?

Paresh Mehta: So in the next , two to four weeks which we expect to sign out the SPA.

Parikshit Kandpal : Ok and gener ally the v aluation should be in line with the recent deals upwards of like anywhere from 1.5 to 1.6 of book value ?

Paresh Mehta: Yes, that should not be a challenge.

Parikshit Kandpal : Okay sir and what will be the total value of all these 11 assets in ter ms of equ ity investment?

Paresh Mehta: So fully invested approximately 1200 Crores.

Parikshit Kandpal : So including the PIM part o r excluding the PIM part.

Paresh Mehta: Excluding the PIM part.

Parikshit Kandpal : So how do we rea d the pin part in this so when we ar rive at the multiple we add the PIM part or it should be excluding the PIM part, which is 1200 I think and you have an 300. What will be the PIM part over and above this 1200 Crores.

Paresh Mehta: No, so whatever realization will happen, will be co mpared to what we have been invested, the PIM part is not invested.

Parikshit Kandpal : 1200 w ill be measured on the 1200 Crores of investments which we have done in these assets?

Paresh Mehta: Yes.

Parikshit Kandpal : And what will be the balance equity req uirement of these 1 1 assets?

Paresh Mehta: 170 Crores.

Parikshit Kandpal : 1370 will be the total equity investment so the deal valuation will happen on that ?

Paresh Mehta: Yes.
Parikshit Kandpal : Thank you and all the be st. Those are my question.

Moderato r: Thank you. Our next question is from the line of Rohit Natarajan from Antique . Please go ahead.
Rohit Natarajan : Thank you for this opportunity. Sir, could you just guide us I understand there were some of one off in the EBITDA margin at this standalone level, w hat will be the secular normalized EBITDA margins going forward?
Paresh Mehta: Going forward for the next two to three quarters, the EBITDA margin s would be in range of 8 to 8 .5% and post FY2024-2025 the n it will be go back to numbers like 10 - 10.5%.
Rohit Natarajan : My second question is on the transaction of the 11 assets. In the classification of consolid ated debt I see that the consolidated debt asset held for sale which is for the ol d transaction that we are talking about the five assets, right 51 billi on that I see the figure , 5104 Crores?
Paresh Mehta: I did not gather, what was the question ?
Rohit Natarajan : The project debt of asset held for sale. This is attributable to the old transaction of the SBI M acquarie transaction, the KKR deal that did not take off?
Paresh Mehta: The total debt on the books including HAM projects, BOT projects and annuity projects together is approximately 5640 Crores.
Rohit Natarajan : Okay. Apart from that when you say standal one debt, project debt and CD's is all put toget her close to 7000 Crores but when I look at the project debt excluding asset held for sale is 1800 Crores . For asset held for sale is 5100 Crores s o this one is the one that we are talking about the BD?
Pares h Mehta: So the 1800 is pertaining to three asse ts, the assets which are still under construction which are under ABL under construction.
Rohit Natarajan : I got it. So finally the distribution circle order, if you could just help us understand what this pr oject is about. The Maharashtra circles ?
Satish Parakh: So Maharashtra has come out with this RDSS scheme which are completely centrally funded projects for 2285 Crores is what we have received orders and these are to be completed in timeline of 24 months.
Rohit Natarajan : How will the margin p rofile wo uld look like?

Satish Parakh: So these are at normal margins, so here will make EBITDA of 10% plus.
Rohit Natarajan : Sure. Thank you. That is it from

my side.
Moderator : Thank you . Our next question is from the line of Nikhil Abhyankar from ICICI Securitie s. Please go ahead.
Nikhil Abhyankar : Thank you Sir. Just a clarification. Sir you have mentioned the revenue growth of 10% order inflow of 5 to 6000 Crores and margins 8.5 %. So I wanted to understand why exactly are our margins going up because ev eryone el se is a flat or improving on their margins?
Paresh Mehta: For the past two to three quarters, the margins have been down basically some projects which have been taken during COVID period a nd at a competitive price and another reason being that cos t escalat ion, which was compared to what we had bid for way back in 2020. So this is the impact of the margins of being lower. Going forward we expect and whatever bids we have done post 20 22 these are typically at f air margins in the range of 10 to 11%.
Nikhil Abh yankar : So FY2025 should we expect around double digit margin?
Paresh Mehta: Yes.
Nikhil Abhyankar : Sir what exactly the reason for reducing the order inflow target , are w e?
Satish Parakh : See have seen NHAI bidding not happening in last four or f ive month s, actually, April, May there was absolutely no bidding and June, July we have seen, now July has picked up bi dding activity. Again , the election maybe like announced in February or March, so we see four- five months of bidding cycle going ahead.
Nikhil Abh yankar : Okay and sir we have also participated in the …
Satish Parakh : Aggression in the market again remains , so certainty of bagging bids is also not there . As we see lot of players and lot of cut throat competition.
Nikhil Abhyankar : But sir at least in the transmission segment, I guess some visibility over the medium term this year as well as next. So anything over there?
Satish Parakh : Yes, in distribution sector , we do expect another lot of orders.

Nikh il Abhyankar : Same transmission ?
Satish Pa rakh : And some in private sector.
Nikhil Abhyankar : Okay.
Satish Parakh : If all this put together will range between 5 000 to 7000.
Nikhil Abhyankar : Understood. The proceeds from the sale Jaora Nayagaon , will they be used to set SBI Macquarie ?
Paresh Mehta: Yes, so whatever the intent is that whatever of monetization money comes in first will be utilized to give exit to Macquarie and then applicable on the balance sheet for A BL to use.
Nikhil Abhyankar : So for next two quarters we take a hit of 25 Crores .
Pare sh Meht a: Yes. Each .
Nikhil Abhyankar : Thank you and all the best.
Moderator : Thank you . Our next question is from the line of Bhavya from Sambhavna Securities . Please go ahead.
Bhavya : Hello Sir so just wanted to know whether we have any plan s to monetize any o ther assets and what would the time frame when would it be up for m onetize and how many as sets?
Paresh Mehta : So we do have a land pool available and we are looking at monetizing that asset . A couple of tr ansactions we already entered into and where the mo ney are being released slowly on a periodical basis through our joint development agreement where we are just the land provider and getting it for the land. It is a slow process and other chunk of land other pieces of land as and when opportunities a vailab le we will monetize.
Bhavya : Understood. Thank you.
Moderator : Thank you. Our n ext question is from the line of Balasubramanian from Arihant Capital . Please go ahead.
Balasubramanian : Thank you so much for taking my question sir. I just want to under stand our current order book around 16,92 0 Crores like I just wanted to understand the margin profile of HAM,

EPC, power and railways what will be the margin difference if you could throw some light on that?
Paresh Mehta : So it is mix of certain pro

jects w here t he range of margins could be in the range of 6.5-7% to 9.5-10%, so various projects are at various p ricing levels . On road sector typically the existing range of margins in the range of 8.5-9% and on the railways also in the range of 8.5% -9%. In the power in the range of 9% and other projects in the range of 6 to 7%. They are smaller project and on the b uilding side definitely the range is 10-11% but execution will come over a period of time.
Balasubramania n: Got it sir. Thank you, Sir.
Moderator : Thank you . Our next question is on the line of Prem Khurana from Anand Rathi Shares . Please go ahead.
Prem Khurana : So my question was with respect to the agreement that were restructured with SBI Macquarie where i n there is carry t hat would have to pay now till th e time the transaction are closed, s o is there any cap in terms of what to what extent that amount could go to the last time so original agreement that we had capped the number at 1575 odd Crores and as I see it is I think 72 is what we provide last year and 24 providers, there is almost 1300 , this is reflecting in the balance sheet now as a liability, s o I mean is it there is no cap o n this number or this is again get the cap at 1575 the original amount th at was there a nd what is the coupon order to carry that you are paying at 8% or 9%?
Paresh Mehta : So, the cap of 1526 Crores which was there continues to exist.
Prem Khurana : Okay.
Paresh Mehta : and the carry of 8%, approximately 8% which is there, which is provided for in the books is what, is accru ing quarter by quarter?
Prem Khurana : Sure, and when you say monetization proceeds would go to exit to SBI Macquarie to buy them out first, but when I look at our HAM portfolio so there is technically some of these assets are with ACL and then some of thes e asse ts are held through ABL directly. s o could there be a situation I mean you plan is sort of entire portfolio but some of these settled with ABL could you use that money from these assets whenever you get through this monetization proceeds come to you, would you be in a position to use this to when you provide an exit or I mean only the assets from the ACL portfolio would be used to kind of buy the amount?

Paresh Mehta : So all road portfolio monetization , typically first be applied to given exit to SBI Macquar ie, that ability to do by ABL is there .
Prem Khurana : We are awaiting for certain permission in Jaora Nayga on to when the share transferred in our name which is where we will be in a position to close th e transactions so where are we in that process as the permission come f rom for MPRDC for the transfer of the share s.
Paresh Mehta : So we are pursuing it in MPRDC on the same and we expect to get a favorable decision.
Prem Khurana : Sir just one last if you could help me with the revenue breakup for the quarter please, segment wise?
Paresh Mehta : On the road sector it is 1,156 Crores .
Prem Khurana : Okay.
Paresh Mehta : The power it is 119 Crores . Railway 149 Crores and other businesses is approximately 65 Crores.
Prem Khurana : Sure sir . Thank you and all the very best .
Moder ator: Thank you. Our next question is from the line of Nikhil Kanodia from HDFC Securities . Please go ahead.
Nikhil Kanodia : Thanks for the opportunity . Sir I want the capex guidance for the year?
Paresh Mehta : So total capex done up to date for the quarter wa s around 47 Crores. We expect to do approximately as indicated around 100 Crores of capex by the year end.
Nikhil Kanodia : So 100 will be total FY2024 right?
Paresh Mehta : FY2024 total.
Nikhil Kanodia : Anything on equity infusion.
Paresh Mehta : Equity infu sion as you said 169 Crores is what to be yet to be deployed in HAM Projects of which 107 Crores will be done in FY'23- 24 and balance 56 Crores in 2024, 2025.
Ni

khil Kanodia : Understood . Sir, what is your current build pipeline ?

Satish Parakh : Bidpipeline is around 25,000 Crores?
Nikhil Kanodia : Thank you sir and all the best .
Moderator : Thank you. Our next question is from the line of Ash Shah from Elara Capital . Please go ahead.
Ash Shah : Hi good afternoon sir. Thank you for the opportunity. So my first questi on would be on the debt level, so if I go back in FY2022 our debt was 488 Crores on standalone level which has now increase d to 990 Crores, it is more than d ouble d so is any guidance o n why it has doubled on first place and secondly what is the futur e expe cted number because all the procedures are going to be used towards SBI Macquarie initially so what do you think will do the debt number eventually by FY2024 end?
Paresh Meht a: So defi nitely , debt numbers have gone up from 2022 to 2023 by almost 400 Crores to 500 Crores, it is more because of the larger execution and larger turnover and larger order book also which is typically pushed that up . This will continue to remain as i t is with irrespective of the payments required to be made to SBI Macquarie from the cash flow proceeds. We believe that the cash proceed will be more than what is required for SBI Macquarie so that will definitely be helpful in reducing the standard debt .
Ash Shah : Okay thank you . Also the second question would be also on the Maldiv es project so right now if I was just reading through t wo of our competitors they are also building the same projects o rders and they are on the verge of they have already start ed so why is that case that we are not able to yet stop because it has been alm ost tw o and a half years since we have received the project but there is no execution on that part ?
Satish Parakh : Last two and half year our was the last awarded project. Only what was awar ded earlier has started now. There is no new project which has sta rted.
Ash Shah : No I was talking about during that period only so if we received in May the competitors received in March 21 but they have already started so I think in December 21 they got an advanced payment for the same but we were not receiving it and that is why the EXIM Bank was not giving us the go ahead so I just wanted to know what is exactly that is going on in that project?
Satish Parakh : So these are approv ed in the COD in the fin al committee meetings in which their projects were approved much e arlier and our project got approved in COD but for ECGC coverage insurance coverage it was held back . ECGC had certain problems with certain

development of earlier insurance so it was a poli cy decision which went up to finance ministry which is now being t aken i n the next board meeting .
Ash Shah : So we expect that by end of Q2 we will start execution on that project ?
Satish Parakh : Yes if they clear it then definitely we can star t.
Ash Shah : The project timeline would be two years .
Satish Parakh : Yes.
Ash S hah: Also last question could you just give us the breakup of the order bid pipeline, you said 25000 Crores can you just give it sector wise ?
Satish Parakh : Sector wise majo rity is highwa y projects 25000 cr is completely highway project . I have not taken o ther bid point next. 25 000 cr is completely highway .
Ash Shah : Okay so if we include other projects then how much would that go up to ?
Satish Parakh : It could add around 10000 cr.
Ash Shah : Okay Thank you. That is all from my side.
Moderator : Thank you. Our ne xt que stion is from the line of Vasudev from Nuvama . Please go ahead .
Vasudev : Thank you for the opportunity . Most of my questions are answer ed. I just needed the f und this and the non -fund wage limits and of utilization for them ?
Paresh Mehta : So we have a tota l

limit of around 5800 Crores of which approximately 8000 Crores pertaining to sorry 350 Crores is pertaining to fund based and balance is all pertaining to non-fund based and from a u tilization perspective at the fund base the utilization is almost 60 to 70% and on the not fund based approx. 70 to 75%.
Vasudev : Ok sure. Thank you.
Moderator : Thank you. Our next question is from the line of Anant Mundra from Mytemple Capital . Please go ahead .

Anant Mundra : Hi, good afternoon sir. T hank you for the opportunity so jus t wanted to understand why our Q1 r evenue growth is lower than the guided 15 % revenue growth of the entire year ?
Paresh Mehta : So see basically the there are lot of new projects which have been which is part of the order book now which has just start ed out are just kicking off , so that estimated turnover will be captured in the quarter three quarter , four quarter , other projects like projects in Guena and Bangladesh typically their mobi lization process is bit longer so now the project is fully mobiliz ed so their turnover will now start catching up from Q3 -Q4 and even Bangladesh from Q2 itself . Even for projects like the Kerala project there the mobilization process is going on and once t he mobilization procedure totally is complete then the tu rnover will cat ch up so this 15 or 10 to 15 % growth is typically on account of or the full year expectation so initially this quarter definitely is flat , but it will take off by Q3-Q4?
Anant Mundra : Okay and sir this hit of 56 Crores , on NTPC power project, where exactly is this figuring in whi ch line item ?
Paresh Mehta : It is in other expenses and construction expenses put together . Other expenses has appro ximately 31 Crores of it which is for the future yet to be incurred the expen ses yet to be incurred to the loss on that and in contract revenue balan ce 25 Crores.
Anant Mundra : Okay alright sir and s ir you explained the different margins among the differen t sectors could you also give us a n idea about which sector is most working c apital intensive and which is the least working capital inten sive.
Pares h Mehta : So generally power projects are most working capital intensive because their payment cycle is alre ady, I mean it is totally factored in the way we have bi d for the project but until so they do give advances on material but the final settlemen t of w hich are almost four to five months post their full certification and what you call final commissioning of the modules different modules under a project . Road projects are typically fu nded by actually their HAM projects funded by bankers , so their fun ding i s almost on the almost 60 days kind of a working capital .
Anant Mundra : Alright and sir given that we have refinanced Sambalpur BOT project and I remember you had explained in the last con call t hat was the only project in which loss funding was required , so giv en tha t the refinancing has happened there is no BOT project which will require any loss funding fr om the parent am I correct in that assumption ?
Paresh Mehta : Yes.

Anant Mundra : Alright whi ch is the road project the BOT project in which the deferred liabi lity, NHAI deferred liability premium is the highest ?
Paresh Mehta : Dhankuni Project .
Anant Mund ra: So even that project is not going to require any loss funding or any another round of refinancing of th e NHAI d eferred premium .
Paresh Mehta : So Dhankuni project 's cash flows are suffi cient to take care of its o wn cash flows subject to of total defe rment availability is available in the scheme so up to FY'25-26 the deferment is possible though with the lesser amount of premium but that we continue so on its own it will be sustainable .
Anant Mun dra: Okay so the de ferred li

ability premium will be due from FY'26-27?
Paresh Mehta : Yes there is no repayment scheduled as and when enabled by the SBI.
Anant Mundra : Okay, got it and si r much is the revenue that we are recognizing from the real estate daily and that is coming in cons ol level or in standalon e level ?
Paresh Mehta : This quarter nothing much .
Anant Mundra : Okay but like could you give us some idea of how much can that be for the year or how much was it for the previous year just approximat e bal lpark ?
Paresh Mehta : Previous approximately in the r ange of 35 to 40 Crores.
Anant Mundra : And it comes in the consol level.
Paresh Mehta : In fact it is being monetized.
Anant Mundra : That is it from my end. Thank you sir.
Moderator : Thank you. Our next qu estion is from the line of Deepika Bhandari from PhillipCapital . Please go ahead .
Deepika Bhandari : Hi sir thank you for taking my question . I just had one question from the order that as on 30th June, how much portion was not executable at that momen t at that point of time ?
Paresh Mehta : I mean you are tal king order book which is not executive today ?

Deepika Bhandari : No not today as on 30th June , some 16920 order book . How much was not executed as executable at that moment ?
Paresh Mehta : All are executabl e but they are delayed so like the Maldives project which is there . There the start of construction will happen slightly later as soon as the financial type is done by the government .
Satish Parakh : Otherwise everything is start ed now.
Deepika Bhandar i: Okay, except for Maldives everything was under executi on as on quarter one, is my understanding correct?
Paresh Mehta : So all are executable. Like I agree what you are saying mam. Everythi ng is contributing to the turnover.
Satish Parakh : So except Maldi ves e verything is all here.
Deepika Bhandari : Okay s ir, that is it from my side. Thank you so much.
Moderator : Thank you. Our next question is from the line of Saurabh an Individual Investor . Please go ahead .
Saurabh : Yes so just one question . The consolid ated debt level of company is around 7000 o dd Crores so with the asset monetization which is repeated say by October by December and by March 2024 what will be the kind of debt after all the monetization which will happen in next three to six to nine month s?
Paresh Mehta : So once we are by March 2024 based on w hatever we have communicated so total debt which will be remaining outstanding would be approximately today which is approximately 500 Crores so that w ill increase to approximately another 500 to 1000 Crores is the outstanding for the , so approximately if we sell all the projects approximately 600 Crores will be outstanding as of March 24 , rest all debt other than the standalone d ebt will be of the consolidated balance sheet.
Saurabh : So remaining debt by FY'24 would be just close to around 500 to 600 Crore s right ?
Paresh Mehta : Right.

Saurabh : Okay and after this monetization the revenue which is coming to the company say currently 8000 Cro res per annum so this will all be coming from the EPC project noth ing from the H AM and BOT side as of March 24 .
Paresh Mehta : Yes I mean we can reasonably consider that except for a few HAM projects which would be under construction but that also majorly will be captured at an ADL EPC part only so

nothing significant con tribution will be there from other SPVs in the turno ver.
Saurabh : So as guided the revenue uh gross revenue from say 24 onwards would be close to around about 6000 Crores of odd run rate with a margin of 10 % is it fair to assume ?
Paresh Mehta : No 6000 is a lready a run rate for this year, March 22, so for March'24 it would be approximately 7 to 7.5%.
Saurabh : With a margin of close to

9 to 10% kind of margin which is being guided right .
Paresh Mehta : For FY'24 it would be 8 to 9% between that 8 top 8.5%, but from Fy'24 onwards what ever there will be approxima tely at 10 to 15% increase in the turnover that will be subject to approximately 10% margins.
Saurabh : Thank you so much, that is it from my side.
Mod erator : Thank you . Our next question is from the line of Anupam Gu pta from IIFL Securities . Please go ahea d sir.
Anupam Gupta : Good evening sir. C ouple of questions from my side . Firstly on the provision which you have done for NTPC project is there any ch ance of this we claim them in terms of receiving is that or this i s a definite outlook from our side?
Satish Parakh : So here we have got a circular from the Ministry of Renewable Energy for the extension . We are expecting circular for price revision also s o if we get price revision then it will make up for the gross marg in.
Anupam Gupta : Is there any timeline for this?
Satish Parakh : Timelines cannot be guaranteed because this is all ministry prerogative whether to allow price revision along with time exten sion, so presently they have just given time extension, the industr y is expecting price revision because t his was all due to COVID '19 impact.

Anupam Gupta : And second question so on your guidance if I re call in the fourth quarter you have guided to 20 to 25 % revenue for this year . Any specific reason why lowering it to 15% for this year or what has cha nged since then ?
Satish Parakh : So first quarter most of the projects were d elayed start and order book inflow also we have not seen anything in the first quarter so that is not going to get converted into any revenue therefore we have reduced the guidance to 15%.
Anupam Gupta : Understood. Okay. That is all from my side.
Moderator : Thank you. Our next question is from the line of Ash Shah from Elara Capital . Please go ahead .
Ash Shah : Thank you for your opportunity again . Sir in your initial remarks you had mentioned that NHAI planning to award around 8700 kilometers and since we have not seen a lot of awarding activity in Q1 and Q4 is also going to be a wash out because of the election , do not you think over the next like f ive six months you will see a l ot of bridge opening up like there will be pre -owning of those ordering because they want to achieve those targets or something so if you could comment on that ?
Satish Parakh : Yes sir we can see good amount of ordering balanc e part up to Feb, so whatever b alance like 5000 odd kilometers by NHAI another 2000 to 2 500 kilometers by MORTH so this entire ordering w ill see in coming months up to Feb.
Ash Shah : Okay and second question would be can you give us an update about the NHA I bribery case hanging. I mean there was one project that we had lost out on so is there any rebidding that has happened on that or something like that ?
Satish Parakh : Yes, rebidding has happ ened. We are participa ted. Results are yet to be announced, so there are 10 participants in that and we are awaiting results maybe this month or next month .
Ash Shah : Okay and last question would be is there any International bid pipeline that we are looki ng at or if you are planning to move out of any other countries or something like that?
Satish P arakh : So we are focusing on the countries where we are working , so presently Bangladesh and Maldives give us some more opportunity . We are not exploring new cou ntry at this stage .

Ash Shah : Okay thank you that is all for mysel f.
Moderator : Thank you. Ladies and gentlemen that was the last question of our question and answer session . I would now like to hand the conference over to Mr Satish for his closing comment s.
Satish Parakh: Thank you everyone for par

ticipating . We are tha nkful to all the participants for their
questions . I hope you we have been able to answer most of your queries . We look
forward for your participation in the coming quarters . For any further queries you can
always contact our SGA or our CFO . Thank you.
Mod erator: Thank you . On behalf of IIFL Securities Limited that concludes this conference . Thank
you for joining us and you may now disconnect your lines .

Call: Nov 2023

Ashoka Buildcon Limited

Regd. Office : S.No. 861, Ashoka House, Ashoka Marg, Vadala, Nashik – 422 011, Maharashtra, India
■Tel. + 91 253 6633 705■Fax +91 253 2236704 ■ www.ashokabuildcon.com
CIN : L45200MH1993PLC071970
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The Manager, The Manager,
The Department of Corporate Services The Listing Department
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Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

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November 13 2023

Sub: Call Transcript

Pursu ant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on November 09, 2023.

Kindly take the same on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377
Address: 3, Dattakrupa Apartment, Ravindra High School Road, Dwarka, Nashik - 11

"Ashoka Buildcon Limited
Q2 FY '2 4 Earnings Conference Call "
November 09, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th November, 2023 will prevail

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR – ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER – ASHOKA BUILDCON LIMITED

MODERATOR : MR. ASHISH SHAH – JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the Ashoka Buildcon Limited Q2 FY '24 Earnings Conference Call , hosted by JM Financial.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference, please signal
an operator by pressing star the n zero on your touchtone phone. Please
note that this conference is being recorded.
This conference call may contain forward -looking statements about the
company, which are based on the beliefs, opinions and expectations of the
company as on the date of th is call. These statements are not the
guarantees of future performance and involve risks and uncertainties that
are difficult to predict.
I now hand the conference over to Mr. Ashish Shah from JM Financial. Thank
you, and over to you, sir.
Ashish Shah : Thank you, Dorwin . Very good afternoon to everyone. On behalf of JM
Financial Institutional Securities, I welcome you all to the Q2 FY '24 Earnings
Conference call of Ashoka Buildcon Limited. Today, we have from the
management, Mr. Satish Parakh, Managing Director; and Mr. Paresh Mehta,
the Chief Financial Officer of the company.
I hand over the call to Mr. Parakh for his opening remarks, after which we
will move on to the Q&A. Thank you, sir. Over to you.
Satish Parakh: Thank you, Ashish. Good afternoon, everyone. Hope everyone is doing well.
On behalf of Ashoka Buildcon Limited, I extend my warm welcome to
everyone joining us today to discuss our business and financial results for
quarter and half year ended 30, Septembe r 2023.
On this call, we're joined by Mr. Paresh Mehta, our CFO and SGA, ou r
Investor Relations adviso r.
Let me start with the sector update. As per the research reports, following
are the key highlights of the sector. The execution of orders of Ministry of
Road Transport and Highways is expected to increase by 16% to 21%. That is

12,000 kilometers to 12,500 kilometers. That is 33 kilometers to 34
kilometers a day in FY 2024.
This was on the back of healthy order book and an increased b udget outlay
of 25% in FY 2024 budget for MORTH. Execution increased by 9.8% year -on-
year. That is 3,196 kilometers in five months of FY 2024 compared to 2,912
kilometers in five months of FY 2023, and is expected to gain momentum in
coming quarters ahead of general elections in next year.
However, MORTH awards in 2024 (up to August 2023) declined by 38% to
1,756 kilometers from 2,706 kilometers during the similar period of FY 2023.
The overall MORTH awards are expected to fall to 9,000 kilometers to 9,500
kilometers in FY '24 from 12,375 kilometers in FY '23 , owing to the likely
slowdown in bidding activity before the general elections which have to be
held in May 2024. Previously, during 2023 award by M ORTH has declined
marginally by 2.8% compared to 12,73 1 kilometers. So this year, we have
seen a decline of 35% in August.
Now on the project front, I'll give you an update. In the month of September
2023, company has received a letter of award for power distribution
infrastructure development projects for four circles in the state of
Maharashtra from MSEDCL for accepted contract value of INR 646 crores. In
addition to that, for one more circle at Osmanabad has been awarded for
INR 125 crore s in the month of October 2023.
With this current order balance book for t he power T&D stands at INR 6,250
crores. However, we have also been awarded one project in October 2023
for construction of cable stay bridge at come on Telangana for total
consideration of INR 146 crores, adding to the current order book of road
EPC to INR 5,388 crores.
Two of our HAM projects with NH AI has received certificate of co

mmercial
operation dates in the month of September 2023. COD was received for
section of Tumkur -Shivamogga project, that is Karadi to Banwara PKG -TS II
in Karnataka and other COD was received in October 2023 for a section of
Tumkur -Shivamogga project from Banwara to Bettadahalli PKG TS III. One of
the company's SPV BG Ashoka Infrastructure Private Limited has handed

over the vendor of this project, which was on BOT basis back to th e PWD authority on September 28, 2023 after the expiry of construction period as per the terms of the construction agreement and obligation awards.
On asset monetization, the company has entered into share purchase agreement with Mahanagar Gas Limited for the sale of 100% stake along with Morgan Stanley Fund, held in Unison Enviro Private Limited, a subsidiary of the company. Also, it has entered into a SPA for sale of its stake in Jaora -Nayagaon Toll Road project and Chennai ORR project.
The company and its subsidiary Ashoka Construction Limited are at the advanced stage in respect of divestment of their entire stake in certain subsidiaries engaged in construction of -- construction and operation of road projects on HAM basis and BOT basis awarded by NH AI. Considering higher probability of sell getting completed in the next 12 months, the assets and liabilities of these subsidiaries are continue to be classifies as assets held for sale.
Coming to the order book , as of 30, September 2023, ou r balance order book stands at INR 14,795 crores. The breakup of order book for roads and railway projects comprise of INR 7,842 crores which is 53% of the total order book. Along the road of the project order book HAM projects are to the tune of INR 1,299 c rores. EPC order are worth INR 5,242 crores, and railway is around INR 1,302 crores.
Power T&D and others account for INR 6,126 crores, which is approximately 41% of the total order book. The total EPC Building segment of INR 789 crores, which is 5% of the tot al order book and CGD comp rises of around INR 39 crores. We have brought them all these EPC projects on the order book as financial closure could not happen or could not be achieved the government of Maldives and EXIM B ank. Let me reiterate that our focus remains to build sustainable EPC business in segments of highways , railways, power T&D and buildings. This is all from my side.
I will now request Mr. Paresh Mehta to present the financial performance.
Thank you.

Paresh Mehta: Thank you, sir. Good afternoon to one and all present on this call . The results investor presentation and the press release have already been uploaded on the stock exchange and the company website. I'm sure you must have had time to go through the same.
Now we'll present the financial results for the quarter and half year ended September 30, 2023. The total income for Q2 FY '24 stood at INR1,590 crores as compared to INR1,310 crores in the corresponding quarter last year, registering a growth of 21%. EBITDA for the quarter stood at INR172 crores with an EBITDA margin of 10.8%. The reported PBT stood at INR195 crores and PAT at INR71 crores.
For H1 FY '24, the total income stood at INR3,147 crores as compared to INR2,820 crores in the corresponding period las t half year is seeing a growth of 12%. EBITDA for the period stood at INR268 crores and an EBITDA -- with an EBITDA margin of 8.5%. The reported PBT stood at INR117 crores and PAT is INR88 crores. Our debt -to-equity ratio stood at 0.38x as on 30 September 2023.
Coming to the consolidated results. The total income for Q2 FY '2 4 grew by 19% year -on-year to INR2,195 crores as compared to INR1,845 crores in Q2 FY '23. EBITDA stood at INR587 crores for Q2 FY '24 with a margin of 26.7%. Reported profit after tax is at INR119 crore

s in Q2 FY '24. For half year FY '24, the total income stood at INR4,169 crores as compared to INR3,761 crores in the corresponding period last year, registering a growth of 11%. EBITDA for the period stood at INR1,098 crores with an EBITDA margin of 26.3%.
The reported PBT stood at INR264 crores and PAT at INR191 crores. Total consolidated debt as on 30, September 2020 stood at INR7,200 crores, of

which debt project debt is INR5,932 crores, NCD stood at INR200 cr ores at ECL level -- INR150 crores at ECL level. The stand -alone debt is at INR1,118 crores, which comprises of INR220 crores of equipment loan and INR898 crores of working capital loan.

On HAM projects, as mentioned in opening remarks by Mr. Parakh, we ha ve received COD declaration for two sections of Tumkur -Shivamogga projects in

September '23 and October '23. Post that, the SPVs are now eligible for receipt of annuity payments from NHAI for the operations period of 15 years at the interval of every six months from the date of the achievement of COD.

Towards our duty division, during Q2 FY '24, it recorded a gross total collection of INR307 crores as against INR273 crores in Q2 FY '22 whereas in H1 FY '24, it recorded a gross store collection of INR624 c rores as against INR550 crores in H1 FY '23.

With this, we n ow open the floor for questions -and-answers. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: My question was on what stage of government approvals have we secured for the Chennai ORR and the Jaora -Nayagaon project. Because it involves the Tamil Nadu Governor and the Central Secretary and the Madhya Pradesh Road Development Corporation. So at what stage of progress we have achieved till now on the government side on approving this divestment?

Satish Parakh: So we have received NOC for Chennai ORR but we are yet to receive a NOC for Jaora -Nayagaon project. So this NOC for Chennai ORR , we got after all almost delay of 1.5 years. No, this has resulted in renegotiation with our JV partner on the price to be given to HAM , and that is now under process. Jaora -Nayagaon yet to get which we f eel we'll get only after these elections are over and new government is formed.

Parikshit Kandpal: Okay. So Chennai ORR government approvals are in place. Now it's only the partner where we have to renegotiate on the valuation. And what about the lenders N OCs on the other approvals ?

Satish Parakh: Lender NOCs are in place for Chennai ORR and Jaora.

Parikshit Kandpal: Okay. So Chennai when do you expect to close the deal and money coming in that's possible both on Chennai and on MGL for these two assets at least you can update us?

Satish Parakh: So we should be able to see something by Q4 end, we should be able to -- this gas definitely will go from our portfolio by this Q4. And Chennai ORR also we are trying to resolve with our partners to see ho w we can close this asset sale.

Parikshit Kandpal: Okay. And just on the HAM assets sale monetization. So we have been hearing every quarter and goal posts are now getting shifted. If you can update on what is the stumbling block here and it is being might be reported in media is coming, you also highlighted that H1 should have got closed at least in Q3. We should have got fund. So what's the status on approvals there? Where are we pass of negotiation? And when do we expect to close this deal?

Paresh Mehta: So on this, we are under discussions for the share purchase agreement with the potential investors. And -- there is a set of 11 projects, it's 11 project deals. So it has taken some time to close out on the SPA in the process

and
we should activate at the earliest.

Parikshit Kandpal: What are you looking at the Q3 now or we move into Q4 next year?

Paresh Mehta: We expect that SPA should happen before Q3 -- by Q3.

Parikshit Kandpal: Okay. just the last question on margins. I mean, you have not recovered our margins above 9% stand -alone basis. So is the worth of the margin behind us

now and how we look at, as you had earlier highlighted towards Q4 moving
to a double digits. So are we on track to achieve double -digit margin -- early
double -digit margins by Q4?
Paresh Mehta: Yes. So as we had indicated in the last call, this couple of quarters we'll
continue with this margins of approximately 8% to 9%. And then Q1 FY'25,
we see recovery of these ma rgins when a substantial portion of lower -
margin projects will get over and higher margin purchase we takeover.
Parikshit Kandpal: So what kind of band you're looking from Q1 FY'25? Is it more like 10% to
11% or 11% to 12%?
Paresh Mehta: 10% to 11%.

Pariks hit Kandpal: Okay. And that is the sustainable margin for us?
Paresh Mehta: And that would be our target even for our new project.
Parikshit Kandpal: And just lastly, on the BOT asset, sir, so what stage of like have you
shortlisted potential investor last time you said that refinalized on
nonbinding back up a thing and look at finalizing a couple of investors and
proceeding biding. So what stage are we now in the beauty on assets and
when do we expect to close it.
Paresh Mehta: On the BOT assets, we are -- as indicated, we have received NPO offers and
the potential investors have started diligence on the project. Some
diligence. I mean just started, we should see some progress by Q3 on
closure of the diligence and in Q4 by signing up some SBA.
Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.
Please go ahead.
Mohit Kumar The first question is that can you help us with the impact of interest cost,
which you're providing for the SBI Macquarie exit?
Paresh Mehta: So it's approx imately INR24 crores per quarter.
Mohit Kumar: Understood, sir. The second question is on the -- how is the work progress
on this RDSS scheme specially for the Maharashtra. And what is our scope of
work is it including buying Tata Smart, SCADA Laying waste etcetera. And
also right the repayment, the payment profile -- are we getting paid on
time? How are the receivables?
Satish Parakh: So Maharashtra and UP, MP, Bihar all these are RDSS project where -- these
are distribution lines and transformer related projects. Nothing to do with
SCADA or metering. These are regular distribution projects, which company
had been doing last almost 1.5 decades.
Mohit Kumar: Understood, sir. My last question is how the tender -- so the payment front
on the payment, are you receiving payment on time? How is it you
experience with the compared to what did you last compared to what you
used to do earlier? Is it better payment terms?

Satish Parakh: Yes. All these projects have just started, we have received mobilization
advance in almost all the projects except the last few projects which were
awarded in the last quarter. And billing also cycle seems to be qui te efficient
now.
Mohit Kumar: My last question is, how is the tender pipeline for NHAI. Are you expecting
some increase in BOT tenders?
Satish Parakh: See, NHAI for EPC and HAM, though they have a pipeline, but this is
continuously getting extended becaus e nowadays all approvals are coming
from Finance Ministry and finance committees. So the ordering is getting
delayed. Though we see the pipeline, but continuous extension in the
bidding dates is not resulting in any of the awards. Remains that EPC and
HAM level.
BOT is what NHAI is exploring and they may come

out with certain bridge
very soon. They have identified around 20 projects. I don't know how many
of them will really see the light of the day.
Moderator: The next question is from the line of Bhavya S hah from Sambhavana

Securities. Please go ahead.
Bhavya Shah: So I just wanted to know on the three asset sales at Chennai ORR, which is Jaora Nayagaon and Mahanagar Gas. So do we have any specific deadline from close to aggregate these transactions?
Vibhor Singhal: See, no specific deadlines. These are taking their own time. Mahanagar Gas, now a period of was up to 30, September that lock -in has been over by 30, September. So we are expecting in the next Board meeting, we should clear this. After that , there are some CPs to be completed and transaction will get completed on Mahanagar. So there, we see certainty.
As far as Chennai ORR is concerned, we got NOC, but it was delayed by almost 1.5 years. Now since this deal in time -lapse, there has been some difference of opinion with the partners. So we have negotiated their part of the cost, which we have to purchase and then sell to NIF. So if this takes place mutually agreed terms, we should be able to close in Q4. As far as was

Jaora Mayagaon was concern ed, we have still not received NOC. So only the new government we'll have to pursue with and maybe Q4 or early Q1, we'll get the NOC and we'll be able to complete the transaction.
Bhavya Shah: Understood. And my second question is on the order book. So whe n the post expense a lot of orders. Our order book has been little lackluster. So are we planning to address before more orders in the future? And what kind of order book it will be more of the fees or we are vetting towards the power higher margins.
Satis h Parakh: So looking at order book, So when the whole sector is receiving a lot of orders our order book has been a little lackluster. So are we planning to address your bids for more orders in the future? And what kind of order could that be? It will be m ore of the row increase fees or we are pivoting towards the power to end the higher margins?
Bhavya Shah: So looking at order book our focus definitely will remain on highways. We would pursue our EPC and HAM projects and may also participate in some all the BOT projects of highways. Now these orders, we hope that next month, they should really pick up -- and we will be able to back good number of orders by March end.
As far as railways is concerned, they are also aggressive in coming out with a lot of pro jects, and we have now good foothold in railways where we have completed our Punjab project and other projects are also advanced stage of completion. So railways would be another focus for the company.
Power T&D, we have enough order book in our hand. So w e'll not be aggressive in this sector, but if we get a good margin, definitely will participation will be there, and we will pick up some good orders. As far as building is concerned, it's a new segment. Our FDI project is moving as expected. And we do exp ect some orders in Building segment also in the coming future.
Moderator: The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Sir, can you tell us something about the bidding pipeline that is the re till March of 24, because after December, Jan most likely there won't be any orders given out. So how are we looking at it? And how much orders into are we targeting for this year?
Satish Parakh: So bidding pipeline wise, if you see NHAI and MoRTH is gr owing up around INR75,000 crores order book, which is a significant 3,600 kilometers around. And our target, we are expecting about INR4,000 crores to INR5,000 crores to bag all across sectors like roads, railways, power to

gether.
Nikhil Abhyankar: Okay. A nd sir, on the railways, are there any more opportunities remaining in station redevelopment?
Satish Parakh: Station redevelopment, we're not participating yet. The development

projects and connected to real estate projects, so we have not participated
in these projects.
Nikhil Abhyankar: Okay. Okay. Understood, sir. And sir, any update on the NTPC project?
Satish Parakh: NTPC is moving well. We have almost procured all the modules and the erection is underway. Payments are also being done by NTPC in time. And they're also paying us reimbursement of custom duty. So NTPC moving as targeted.
Nikhil Abhyankar: So we should expect to make money in this project?
Satish Parakh: We have already booked loss on this project in last quarter. And this would remain the number will remain same.
Parikshit Kandpal: Okay. So no more profit no more losses from that project?
Satish Parakh: No, no more profit, no more losses.
Moderator: The next question is from the line of Dr. Amit Vora from The Homeopathic Clinic. Please go ahead.
Dr. Amit Vora: Sir, about the margins, you said the margins would improve from the fourth quarter or the first quarter of next financial year.

Paresh Mehta: Yes. On the first quarter of the next financial year.
Dr. Amit Vora: Financial year. Okay. Any target for this full year? Where do you see your in terms of sales?
Satish Parakh: So we should be able to grow by around 15%.
Dr. Amit Vora: 15% This year or next two, three years?
Satish Parakh: This year, 15%. Next year will, o f course, depend on bagging of orders.
Dr. Amit Vora: Okay. Sir, railways is coming out with lot of big ticket projects in terms of this Bombay Ahmadabad and many other -- so any plans of going for railway projects or other projects of railways?
Satish Par akh: Yes, we are focused on railways, and we are working with various verticals of railways and railway would be a focus area along with highways going ahead.
Dr. Amit Vora: Sir, one last question about -- there was some complaints regarding some bribery. So can you update us on that, what is the status right now? And how will -- how will it affect the company or it will not affect any more?
Satish Parakh: See, there is a status quo on this issue. Nothing has really moved in last quarter. And it's really no t affecting company in any way.
Moderator: The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead .
Vishal Periwal: A couple of questions. One clarification. The previous participant you mentioned 15% number. So this was reg arding what, sir?
Vibhor Singhal: 15% growth this year is what is -- the guidance we're giving. Revenue top line.
Vishal Periwal: Okay. Sure, sir. And in the Power T&D, can you give some color, like what is the execution time frame for these orders? Are th ey short cycle order or I mean -- like similar to what road sector like little long period order? Can you give some color?

Satish Parakh: Most of the orders are two years' time , right?
Vishal Periwal: Okay. And I mean, like since I mean, we are getting LOA from that onc should consider a two -year kind of execution for these orders?
Satish Parakh: Yes. These are all from LOA dates.
Nikhil Abhyankar: Okay. Okay. And one color on this awarding for the road sector. I think you did mention like it has been weak. But even in terms of execution and then I mean construction side, are you seeing any stress or probably increase in the receivables? Because there again, like the role of finance industry also comes in. So any delay on that front, are you seeing for us fo r the sector?
Satish Parakh: See, execution while NHAI is doing well. We are also doing very much with their expectations.

So execution wise, there is no challenge. Payment wise,
there is no challenge as far as NHAI is concerned. They are paying very much

in time.
Moderator: We have next question from the line of Vasudev from Nuvama. Please go ahead.
Vasudev: Sir, whatever pending equipment commitment? And how much is the infusion to FY '24, '25 and '26?
Parikshit Kandpal: I could not hear you. Could you go again?
Vasudev: Sir, I was asking about pending equipment commitments and how much do we plan to infuse in H2 of FY '24 and '25 and '26?
Paresh Mehta: So by the end of '23, '24, our equipment commitment pending is INR147 crores and for '24, '25, INR56 crores, these are for the HAM projects.
Totalling approximately at INR200 crores.
Vasudev: Okay. Can you help me with the segmental revenue break -up for Q2?
Paresh Mehta: Yes. So this being a lean quarter because of rains, the EPC road revenue was INR872 crores. Power was INR405 crores. Railways was INR173 crores. PCD was a small amount INR6 crores, and other sector was approximately INR63 crores. Over and above that, RMC business was around INR38 crores.

Vasudev: Okay, sir. And sir, just one clarification . So you said that you're getting to INR4,000 crores to INR5,000 crores of order win. So that is incremental order wins for FY '24 or for the full year?
Ashish Shah: That is incremental order we are targeting.
Vasudev: Okay. Sure, sir. And just one last qu estion from my side, what is the capex that we did in Q2? And how much are you planning for the full year?
Paresh Mehta: The capex for up -to-date was around INR79 crores and maybe the pending capex would be approximately INR15 -odd crores for March '24.
Mod erator: The next question is from the line of Devam Modi from Ardeko. Please go ahead.
Devam Modi: Yes, sir, just we have seen a high year -on-year traffic. I mean the collection growth rate in Bhandara, Durg, Jaora -Nayagaon and Sambalpur. If you can just e xplain the reasons for this sort of double -digit plus toll collection growth rate in the last couple of quarters in these four projects?
Paresh Mehta: Actually, this is the impact of economic growth, no specific reason for this growth. Of course, if you se e revenue rise in the Jaora -Nayagaon project was 7%. That is toll rate rise. And in Bhandara and Durg, it was almost 9%. So keeping that apart and probably in the -- and also in the NHAI projects, approximately 5.3%. So keeping that aside, that these growt h rates are more from the industry pattern, which is there. No exceptional impact.
Devam Modi: And would it be fair to say that the environment for toll roads in terms of economic environment in terms of the way of traffic growth and all those things have been there in the last one year to 1.5 years. plus the kind of multiple factor facing in the private markets or on the -- I think the first for toll roads, one of the other private for toll roads is also out with Cubes, InvIT. So would it be better to say that the valuation environment as well as the economic environment, both have improved much more after the cancellation of the deal with KKR?
Paresh Mehta: Technically, there is a lot of interest for looking at BOT projects, toll -based projects. and traffi c for the last two years typically also indicate high growth

in the traffic revenue. So interest is there, and I -- and also government also is intending to take out projects, a few on BOT projects, which we don't -- we need see the light of the day, but t here is interest in people to buy BOT assets.
Devam Modi: And we understand that in Belgaum, Dankuni, Jaora and Sambalpur, I mean what you have shown in the presentation that we have premiums which are payable -- so what would be the current year premium b ecause it's a 5% escalat

ion from appointed date in each of the projects. So what be the current year cumulative premium that you have to pay in all these four

projects?
Paresh Mehta: Approximately INR200 crores in Dankuni and around INR65 c rores in Belgaum.
Devam Modi: And the other two will be much smaller, right?
Paresh Mehta: Is there is nominal. It was INR1.8 crores.
Devam Modi: Okay, sure. And would there be any major threat on the traffic on the Jaora -Nayagaon, traffic on any alternate road or spreads would be coming up because that used to be a big thing industry to NHAI transfer. So now how should 1 look at it? And I mean, what kind of sort of longevity should that road have? Any thoughts or flavor you can provide on that front?
Pares h Mehta: See, over the years, we have seen that the traffic, though, there are alternative routes coming in, but traffic has generally been increasing. So we don't see a significant set. There will be some shift in traffic off and on, but I think so we sho uld expect typical growth of 6% to 7% traffic growth, 5% to 6%.
Devam Modi: Sure. And I understand you give updates on the sale of Chennai -ORR and Jaora -Nayagaon in terms of the status of the NOCs and the probably renegotiation with the partner. Any update on Unison Enviro with regards to the where the sale is ongoing right now?
Satish Parakh: Yes. So we have -- the lenders have already cleared NOCs from their side. We are waiting for PNGRB their lock -in period has already expired on 30,

September. And the NOC is already lined up with PNGRB board. So we should get that by before the month end. And then we should try to conclude the transaction in the next month or latest by Jan.
Devam Modi: All right. Sure, sir. And just an import that we have seen multiple other similar peers to you who have announced transactions of similar kinds of assets, probably higher or lower in complexity. But somehow those transactions are consummated much faster. So any learnings or any particular things that you would like to high light by some of what transaction are taking much longer , or anything you feel is affecting our consummation of transactions?
Paresh Mehta: No, I would not be able to compare time lines to any other peer because everybody starts at a particular angle an d closes. I don't know how many actual SPAs have closed at this moment. People are in discussions on diligence as well as SPA. We believe that our SPA discussions are going on that. In view of 11 transitions definitely it takes more time because each proje ct has its nuances and closing takes some time. So it has overshot our estimate, but I think we conclude in this manner.
Moderator: The next question is from the line of Anupam Gupta from IIFL Securities. Please go ahead.
Anupam Gupta: Sir, just a couple o f questions. Firstly, on the stand -alone debt, if we sort of during the first half, we have seen a sharp increase in the stand -alone net debt per se. How do you look at it by the end of this year, assuming that, let's say, the MGL transaction is done, b ut -- and other -- and possibly Chennai -ORR transaction is done, what should the debt should and that for this year at the stand -alone level?
Paresh Mehta: So we, at the stand -alone level are approximately at around INR1,100 crores by the transition on Uni son, which we consider, I think so we should end up with a working capital debt in the range of INR750 crores, INR800 crores around.
Anupam Gupta: Okay. And then so this doesn't include any closure of the Chennai -ORR project for this year, right?

Paresh Me hta: That comes in approximately another INR200 crores will definitely go down.
Anupam Gupta: Okay. Understand. And sir, secondly, on your execution side of 15% growth, is there a risk to that 15%

growth are any projects running slow? Or how do
you look at it for this year?
Paresh Mehta: Currently projects are on steam. The power projects because they started off late, I think so they will take more steam. So we are -- probably at this moment time, we are comfortable in estimating a 15% growth.
Moderator: The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah: What is the update on the MCGM water treatment process? How has been the execution so far?
Satish Parakh: So execution on this project in monsoon was held up. Now it has restarted in footprint and we should be able to complete in targeted right lines. it's moving well.
Vaibhav Shah: Okay. And sir, for the Maldives order, so we have the cancel the order or still we hope for any status update on the project ,any progress on the same?
Vibhor Singhal: We have dropped from the order book, but we do not know how the relations between India and Maldives will play out and this order can get revived. We have no -- there is no cancellation or termination of this order. But the FC between Exim Bank and government of Maldives has not taken place. So now the chances have gone a little weak of getting this FC done. But if it gets done and the order is definitely, we already have a corner in place. But for the FC s not moving. So if it happens between Exim Bank and government of Maldives, then definitely, we'll have the order. Otherwise, it will get terminated. As of now, it's still live.
Vaibhav Shah: Okay. Sir, and lastly, on the Guyana order, we saw a strong exe cution in the second quarter. So we expect the run rate to be maintained in coming quarters?

Satish Parakh: Yes. This last quarter, they did not had monsoon, now this quarter, there will be a monsoon. So though progress will be there, but the run rate may little vary.
Vaibhav Shah: Okay. And you already received the 10% mobilization in advance, right?
Satish Parakh: Yes, we have received it on time. There's no issue.
Moderator: The next question is from the line of Akhilesh B, an Individual Investor. Please go ahead.
Akhilesh B: Congratulations on strong set of numbers. I had a few questions, sir. First question was, what is the kind of margins that we will get on the T&D part of our order book?
Paresh Mehta: 10% to 11% is the EBITDA margins which we expect in the T&D order book.
Akhilesh B: Okay. And how is the competitive intensity in this segment? Or is it better than the intensity within the road business or...
Satish Parakh: No, we do have competitive intensity. There are 8 to 10 players in every bid. But there is a competition in this segment.
Akhilesh B: Okay. And sir, second question is, as you also alluded that the performance of the DoT assets has been improving. And so we've will expect a better valuation this time around when we close the deal. So ballpark, what kind of valuations are you expecting for the BoT assets, given the HAM asset?
Satish Parakh: No, it's very difficult to specify a number to all this because negotiations are underway.
Akhilesh B: Okay. And any thoughts on entering the water EPC space also that seems to be a segment which has higher margins in our traditional segments. As in you have some thoughts to that?
Satish Parakh: We have not explored this yet.
Moderator: The next question is from the line of Faizal Zubai r Hawa from HG Hawa & Company. Please go ahead.

Faizal Hawa : I mean in the road segment, why do you feel your overall order inflow or the tendering has been so slow. Is the NHAI facing some kind of a problem in land acquisition or in funds or is there something more to it than meets the eye. And what is the kind in the HAM projects, you feel that we are bag at l

east INR4,000 crores to INR5,000 crores more orders, just our balance sheet
allow that kind of a levy?
Satish Parakh: So as far as NHAI is concerned, of course, land acquisition has been
challenging throughout and it's -- the challenge remains as it is. In addition
to that, the approvals have now moved from earlier, INR1,000 crores and
below were approved at NHAI level now they have m oved to standing
financial committee. So this does get delayed looking at the priority of
project and status of land acquisition.
As far as bagging orders concerned, yes, we are expecting good amount of
orders to be released by NHAI, which have been contin uously extended, but
now they'll see the bidding process definitely, we'll have our share of take in
this.
Faisal Hawa: And sir, regarding the opportunity in the water segment, do we have any
plans to really enter it or kind of. .
Satish Parakh: We are al ready doing 1 project or Bombay Municipal Corporation. So on
completion, we'll have our own qualification and then we can move ahead
in this segment as we are moving in other EPC segments.
Faisal Hawa: And sir, since the new generation of the families also taking over the
company, is there any plan to really improve our ROE, ROCE metrics so that
finally, we get the market cap that a company which has been in business
for almost more than I would say, three decades, deserves and kind of
mission -critical work also that we have done, but the market doesn't
recognize that because we talk of our low return on equity metrics. So is
there any work that the major nation is integrating into the company to get
that sorted out?
Satish Parakh: Yes, new generation is the re now in business last 1.5 decades almost. And
we are taking care of the entire international business as well as part of the

India business. As gas was one of the new generation initiative, which they
very successfully completed, and we are getting a suc cessful exit also. So
there are new areas which are being explored and definitely will come to
you when...
Faisal Hawa: How will we really improve our ROCE and ROE metrics?
Paresh Mehta: So on the return expectations and the business of EPC will continue t he way
it is. Of course, looking at newer sectors, we'll definitely bring in better
margins and which should improve the return on capital. Also in view of the
monetization of assets and opportunity available for return of capital to the
investors. Again, ROC could get a bump up because EPC business would
continue the way it is continuing and we'll grow over a period of time.
Moderator: The next question is from the line of Bharani Vijaykumar from Spark Capital.
Bharani Vijayakumar: Yes. So in your opening remarks, you mentioned that the most awarding for
the full year FY '2 4 will be around 9,000 to 9,500 kilometers down from
earlier year number of 12,375. So essentially, we are expecting a different
total awarding by NHAI compared to last year. And that wo uld be related to
the delays and extensions we are seeing. Is that a fair assumption? .
Satish Parakh: Could you just repeat your question.
Bharani Vijayakumar: Yes. So in your initial remarks, you mentioned down from last year is fully a
number of about 1 2,000. So essentially, there will be a different awarding
activity compared to last year.
Satish Parakh: This is what we feel from the existing numbers -- and the delay which is
happening in the order. This is our estimate.
Bharani Vijayakumar: That's what . So your estimate. Okay. Okay. Okay. So will that mean that
maybe the spillover would have a positive impact on FY '25 number?
Satish Parakh: It should have because government is focused on building good
infrastructure, they have capital allocation. But a warding is a bit slow, which
should improve in the next year.
Bharani Vijayakumar: Okay. So specifically...

Satish Parakh: There to put up a good amount of infrastructure.
Bharani Vijayakumar: Okay. Specifically from NHAI, how much you expect of this 9,000 to 9,500 NHAI component...
Satish Parakh: It is a combination NHAI and MoRTH together.
Bharani Vijayakumar: So NHAI alone, would you have an estimate?
Satish Parakh: No specific estimate or they have around 6,000 kilometers of pipeline already declared, w hich is in the award stage.
Moderator: The next question is from the line of Ashish Shah from JM Financial.
Ashish Shah: Sir, I have a question on the operating cash flows and working capital. So while we have been growing over the last couple of years, it rapidly -- but we've also seen the working capital and otherwise at that level also go up.
So we think at some point of time, this working capital starts unwinding because then at some point of time, this can put a break on the growth, right?
Because if t he debt keeps on increases with every growth, then at some point, they'll have to be great on the road. So you think there can be a sizable unwinding on the working capital and improvement in the operating cash flow?
Paresh Mehta: Yes. So there will be unwinding which will be happening over a period of time coming to quarter 2, 3 quarters. Also, in the new businesses, which we have started where payments are back ended, that uniting also will happen.
So we should typically come down at -- from these leve ls to a lower level of working capital requirement for a particular tenor.
Ashish Shah: And sir, currently, I mean, if you look at your mix of working capital today, which pockets have the maximum working capital and where you are relatively better up? So these segments are relatively higher and we are going to be lower? .

Satish Parakh: So definitely, the exposure on the road is higher from a working capital requirement because exhibition is higher. And the next comes at power and railway.
Ashish Shah: And that would be true in terms of like number of days as well? Is the number of days of working capital more for your road segment versus the power T&D?
Paresh Mehta: So I think the road cycle would be slightly lower than the power.
Ashish Shah: Okay. In terms of days of working capital?
Satish Parakh: Yes.
Ashish Shah: Okay. Sir, also, you mentioned the equity investments we need to make in hand. Are the 5 BOT assets on their own completely? Or they also need some additional support in the form of loans.
Paresh Mehta: Nothing very significant was a project which we used to require funding. But today, it's all the refinance and that is taken care of.
Ashish Shah: Yes. So sir, I think there are no more questions in the queue, so we can end the call. So on be half of JM Financial, I'd like to thank everyone for participating in this call. Also, thank you to the management for allowing us to host the call. And sir, over to you for any closing remarks.
Paresh Mehta: We thank all the investors who have been joined on this call. We are open for question answers and one -to-one interactions for any queries you have on the financials and the company's operations , through us or through our investor advisors, SGA Advisor. Thank you.
Satish Parakh: And we wish you all the very happy and prosperous Diwali.
Moderator: On behalf of JM Financial, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2024

Ashoka Buildcon Limited

Regd. Office : S.No. 861, Ashoka House, Ashoka Marg, Vadala, Nashik – 422 011, Maharashtra, India
■Tel. + 91 253 6633 705■Fax +91 253 2236704 ■ www.ashokabuildcon.com
CIN : L45200MH1993PLC071970
To, To,
The Manager, The Manager,
The Department of Corporate Services The Listing Department
BSE Limited National Stock Exchange of India Limited
Floor 25, P. J. Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA EQ.

February 13, 2024

Sub: Call Transcript

Purs uant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on February 0 8, 2024.

Kindly take the same on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377
Address: 3, Dattakrupa Apartment, Ravindra High School Road, Dwarka, Nashik - 11

"Ashoka Buildcon Limited
Q3 FY '2 4 Earnings Conference Call "
February 08, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 8th February, 2024 will prevail

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR – ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER – ASHOKA BUILDCON LIMITED

MODERATOR : MR. PREM KHURANA – ANAND RATHI SHARE AND STOCK BROKERS

Moderator: Ladies and gentlemen, good day, and welcome to Ashoka Buildcon Limited Earnings

Conference Call, hosted by Anand Rathi Shares and Stock Brokers.
This conference call may contain certain forward -looking statements about the company, which are based on beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are d ifficult to predict. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operato r by pressing star then zero on your touch tone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Prem Khurana from Anand Rathi Share and Stock Brokers. Thank you, and over to you, sir.
Prem Khurana: Thank yo u, Riya. Good afternoon, everyone. On behalf of Anand Rathi Shares and Stock Brokers, I extend a warm welcome to all of you to the Q3 FY '24 and 9 -month FY '24 Earnings Call of Ashoka Buildcon.
For the call from the management, we have Mr. Satish Parakh, Managing Director of the company; and Mr. Paresh Mehta, CFO of the company with us. They'll share their views on the recent performance, the way forward, and then we'll open the floor for the interactive Q&A.
With this, I hand the floor over to the manage ment for their opening remarks. Over to you, sir.
Satish Parakh: Yes. Thank you. Thank you, Prem. Good afternoon, everyone. Hope everyone is doing well.
On behalf of Ashoka Buildcon Limited, I extend a warm welcome to everyone joining us today to discuss o ur business and financial results for the quarter and 9 months ended 31st December 2023.
On this call, I have Mr. Paresh Mehta, CFO of Ashoka Buildcon Limited; and SGA, our Investor Relations Advis or.
Let me begin by giving a few relevant economic and sectoral news. The 2.7% hike in the budgetary allocation of road transport and highways, though small, comes on a high base and will be committed towards ongoing project, while the fresh developments will come in the form of private sector as envisaged by the government.

The government estimates that infrastructure expenditure has a multiplier effect of 2.45x on the GDP in the year of capital expenditure and 3.14x in the next year. The outlay of INR11.11 lakh Crore for infrastructure in FY '25, the availability of long -term interest -free capital expenditure loans and the implementation of 3 new railway economic corridor programs, as announced in the budget, will hold the sector in good stead.
The ministry has const ructed 6,216 kilometers of national highway up to December 2023 in ongoing fiscal as compared to 5,774 kilometers constructed in the year ago. The Ministry of Road Transport and Highways is aiming to create a national record by constructing 13,813 kilomete rs of highway in the current fiscal year.
The Road Transport and Highway Ministry will construct 14 new expressways and high -speed corridors under PPP model, totaling to 2,279 kilometers with an investment of INR1.3 lakh Crore .
Efforts by Ministry are in progress , for implementing agencies to expedite pre-construction activities like land acquisition, regulatory clearances and environment, forest, wildlife and no objection certificates from different authorities through frequent and proactive coordinatio n with the state government and other concerned authorities so as to improve the progress in awarding of the contracts.
Now, on projects front, let me share update on that . In the month of October 2023, company has received letter of award for power distr ibution infrastructure development

project of
INR125 Crore in Osmanabad , from Maharashtra State Electricity Distribution Company Limited, whereas we have won EPC orders in the past few months. First, in construction of cable stayed bridge in Khammam, Telan gana, for total consideration of INR146 Crore from Government of Telangana Roads and Building Department.
Secondly, company has received a letter of acceptance from CIDCO for design and construction of stilt bridge for eastern connectivity for Navi Mumbai International Airport in joint venture for a total consideration of INR662.55 Crore . Ashoka Buildcon has 51% share in this joint venture that is INR337.9 Crore .
Also company has received letter of award for the project of 6 laning of Aurangabad, Bihar, Jharkhand border section of NH -2 in the State of Bihar under Bharatmala EPC mode for a total consideration of INR520 Crore .

Additional on current projects, company has received certificate of CoD for HAM project of NHAI in October 2023 for 4 -laning of Tumkur -Shivamogga section in Karnataka, Package III. Whereas, for Package I, Tumkur -Shivamogga section, company has received CoD for a stretch of further 7.55 kilometers on November 21, 2023, in addition to the earlier stretch of 34.73 kilometers, which was received in October 26, 2021 , that is the first CoD, and as the SPV is eligible for receipt of annuity payments from NHAI fo r the additional portion from the first CoD itself.

On asset monetization part, subsequent to the share purchase agreement signed by Mahanagar Gas Limited with Unison Enviro Private Limited and its shareholders, Ashoka Buildcon Limited and an investment fund managed by Morgan Stanley India Infrastructure for acquisition of 100% stake of ABL and MSII in UEPL, the transaction process has been completed.

The deal has been closed at the final equity consideration of INR562.09 Crore , out of which company has received INR286.67 Crore for its 51% stake. The company and its subsidiary, Ashoka Concession s Limited, are making progress towards the divestment of their entire stake in specific subsidiaries that are awarded by NHAI for the construction or operation of road projects on HAM and BOT basis. Considering the high likelihood that the sale will be finalized within the following 12 months, these completed project assets and liabilities continue to be classified as held for sale.

Coming to the order book. As on 31st December 2023, our balance order book stands at INR13,167 Crore . The breakup of the order book is for the roads and railway projects compromise around INR6,816 Crore , which is 52% of the total order book. Among the road order book projects, HAM proje cts are to the tune of INR1,188 Crore and EPC road projects are worth INR4,475 Crore . Railway is around INR1,153 Crore .

Power T&D accounts for around INR5,573 Crore , which is approximately 42% of the total order book. The total EPC Building segment is INR746 Crore , which is 6% of total order book and EPC work of CGD business comprises of around INR32 Crore . Order book as on date is INR14,171 Crore . Allow me to reiterate that our primary focus remains on maintaining sustainable EPC business in segments enco mpassing highways, railways, power transmission and distribution as well as buildings.

This is all from my side. I would now request Mr. Paresh Mehta to present the financial performance. Thank you.

Paresh Mehta: Thank you, sir. Good afternoon to one and all present on this call. The results, investors presentation and the press release have been uploaded on the stock exchange and the company website. I'm sure you must have had the time to go through the same.

Now I will present the financial results for the quarter and 9 months ended 31st December 2023. Starting with the standalone numbers , the total income for Q3 FY '24 stood at INR2,162 Crore as compared t

o INR1,590 Crore in the corresponding quarter last year, registering a growth of 36%.

EBITDA for the quarter stood at INR205 Crore with EBITDA margin of 9.5%. The reported PBT stood at INR115 Crore and PAT at INR87 Crore . Revenue from contractual projects contributed to 97% of the total income in Q3 FY '24, whereas out of the total contract ual revenue, road EPC contributed 56%, power EPC contributed 32% and other segments such as railways, buildings, EPC and CGD, contributed 12%.

For 9 months FY '24, the total income stood at INR5,309 Crore as compared to INR4,410 Crore in the corresponding period last year, registering a growth of 20%. EBITDA for the period stood at INR473 Crore with EBITDA margins of 8.9%. The reported PBT stood at INR232 Crore and PAT is INR174 Crore . Our debt to equity stood at 0.37 as of 31st December 2023.

Coming to t he consolidated results. The total income for Q3 FY '24 grew by 35% year -on-year to INR2,699 Crore as compared to INR1,996 Crore in Q3 FY '23. EBITDA stood at INR639 Crore for Q3 FY '24 with a margin of 23.7%. Reported profit after tax stood at INR110 Cror e in Q3 FY '24.

For 9 months FY '24, the total income stood at INR6,867 Crore as compared to INR5,757 Crore in the corresponding period last year, registering a growth of 19%. EBITDA for the period stood at INR1,737 Crore with EBITDA margins of 25.3%. The reported PBT stood at INR453 Crore and PAT at INR301 Crore .

Total consolidated debt as on 31st December 2023, stood at INR6,920 Crore , of which project debt is INR5,718 Crore . NCD stood at INR100 Crore at ACL level. The standalone debt is at INR1,103 Crore , which comprises of INR224 Crore of equipment and term loan and INR878 Crore of working capital loan.

Towards our BOT division, during Q3 FY '24, it recorded a gross total collection of INR314 Crore as against INR282 Crore in Q3 FY '23, whereas in 9 months FY '24, it recorded a gross total collection of INR918 Crore as against INR818 Crore in 9 -month FY '23, recording a growth of 12%.

With this, we now open the floor for question and answers. Thank you.

Moderator: The first question is from the line of Jiten Rushi from Axis Capital.

Jiten Rushi: Yes. Sir, can you give us a revenue breakup among the sectors in roads and EPCs and others?

Paresh Mehta: So for Q3 FY '24, the Road revenue was INR1,166 Crore , for Power, it was INR659 Crore . For Railways, it was INR164 Crore . And for Buildings, it was INR81 Crore . Another INR17 Crore was pertaining to other businesses like CGD and others.

Jiten Rushi: And sir, for 9 months, if possible?

Paresh Mehta: For 9 months, on a total, for Roads, INR3,194 Crore ; for Power, INR1,184 Crore ; for Railway, INR487 Crore ; for Buildings, INR174 Crore ; and for Others, which is INR61 Crore .

Jiten Rushi: Sir, do we have something which you can compare for the last year if possible to share here?

Paresh Mehta: Pardon?

Jiten Rushi: If you have the last year same quarter and 9 months' number, if it is possible to share here?

Paresh Mehta: Yes I can give that number. For Roads, the number for last year '22 -'23 was INR2,982 Crore ; Power was INR452 Crore ; Railway w as INR476 Crore ; Buildings was INR88 Crore and other projects was INR155 Crore .

Jiten Rushi: This is for the full year, right, sir?

Paresh Mehta: Yes. This is for 9 months.

Jiten Rushi: Nine months. Okay. Okay. And sir, in terms of the guidance for this ye ar in the extent of the revenue and EBITDA and inflow. And so can you just throw some light on that, sir?

Paresh Mehta: So as we have been discussing in the past calls also, the EBITDA margins have been low for the past few quarters, but we expect by Q1 /Q2, EBITDA should improve by 1% - 1.5% at least and then stabilize ar

ound 11% - 11.5%.

Jiten Rushi: And in terms of guidance on the top line?

Paresh Mehta: So for this year, as we have seen around -- we maintain a growth -- try to maintain a growth of 15% to 20%. It's already for the 9 months we reached 20%, should be able to take that number.

Jiten Rushi: Sir, any outstanding bid pipeline which you are targeting for the next 2 months, if at all? And the inflow for this year -- final inflow we are targeting an d probably next year in terms of inflow, if you can throw some light on this?

Satish Parakh: Yes. So there are bids already submitted which are yet to open, are around INR13,000 Crore , and there is a bid pipeline of around INR95,000 Crore , which will be li ned up to bid. But we don't know when elections will be declared and when we will have block on bidding. So bidding still may happen, but then award may not happen during election session.

Jiten Rushi: Election time. So basically with INR13,000 Crore , I'm assuming it's from the road sector and INR95,000 Crore also there is a mix of roads and the railways and...

Satish Parakh: The INR13,000 Crore is road sector.

Jiten Rushi: And this INR95,000 Crore also is roads?

Satish Parakh: Yes, INR95,000 Crore also road.

Jiten Rushi: And sir, any guidance in terms of inflows for next year, if possible?

Satish Parakh: Guidance will all depend upon elections, like they may flow up into Q1. So end of Q1 and Q2, we see visibility of getting good orders.

Moderator: Next question is from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: Sir, my first question is on, if I look at our T&D segment, the order book is actually trending downwards, sir, though there is a good ordering in the sector, so any reason why we are not actually taking much orders on the T&D side despite these strong tailwinds in the industry?

Satish Parakh: In fact, we have done good orders in T&D.
Deepesh Agarwal: Okay. Sir, sequentially, the order book is going down despite a stronger or dering in the sector.
Satish Parakh: No, sequentially, we have gone up in T&D section. What we bagged 2 quarters or before would add up to a good number.
Deepesh Agarwal: Okay. Okay. sir, other question is actually there could be a lot of BOT projects, wh ich may come up in the next 1 or 2 years, so would we be open to the BOT projects?
Satish Parakh: Yes, we are looking at BOT projects seriously, and we are participating in the upcoming projects.
Deepesh Agarwal: Sure. And, sir, we -- in the past, we have executed 1 renewable project, a solar EPC project, given that a lot of orders are likely to come in for solar, would we be again actually going and looking at those kinds of projects?
Satish Parakh: Yes. So earlier solar project was with fixed price for mo dules. Now projects are coming up with balance of cost, like models are being supplied by the employer or they are giving escalation on modules. So those kind of projects where escalation will be given, definitely, we are looking at those EPC, as we have a team in place now.
Deepesh Agarwal: Sure. And, sir, lastly, if you can update us on the monetization of different assets, and also, once the monetization is done, what is thought process in terms of the usage of the proceeds?
Paresh Mehta: Yes. So on the monetization of assets, we have typically 11 HAM projects, which are on the board and 5 BOT projects, which are on the board, which are in the process of various stages of either diligence, binding offer or at SPA, execution stage. So we expect the HAM pro jects' SPA to be signed off before this year -end. And between Q1 and Q2 to get monetization of at least 50% of the assets and the balance in the balance period.
On the BOT projects, we are in discussion with potential investors for a binding offer, and we expect to freeze on them in the ne

ar future in a couple of months' time and then go into documentation and closure of the transaction.
On the Jaora -Nayagaon project, we have applied to the implementing agency for the NOC for transfer of shares. In the Chennai IRR project, we are in the process of acquiring the 50% stake, which is held by our partner. Once that is acquired, we'll be in a position to sell the same.

Then, on the last asset, that is the CGD business, which we had, we have already told tha t we have already monetized the asset. The sale proceeds was credited in January, and so that transaction is over, where we realized INR286 Crore . So this is in the nutshell for monetization of assets.
Deepesh Agarwal: So fair to say in next 6 months all the 4 pending transactions would get completed?
Paresh Mehta: Not from a closing perspective, but reasonably from signing up with a potential investor.
Deepesh Agarwal: Okay. Sure. And, sir, any thoughts what we will do with the cash because you will recei ve a substantial amount of cash?
Paresh Mehta: So partly money will be utilized to give the exit to SBI Macquarie which is pending. Second part of the money will also be used to reduce debt on the stand -alone level of ACL.
Otherwise, there's not really muc h debt otherwise. And the balance as in when it comes, we can decide to utilize the money for newer projects or for the benefit of the investors.
Moderator: Next question is from the line of Rohit from Antique Stockbroking Limited.
Rohit: Yes. So basically , sir, my question is that we have an order backlog which may not be from the execution book -bill perspective not more than 2x. And given a strong execution in FY '24, do you think FY '25 will be a flattish year? Because the model code of conduct will be t here at least till the end of May. So an order inflow will also be very unlikely even if it comes through the letter of award when it happened. So do you think the execution would be like flattish growth in next year?
Satish Parakh: Not really. We are hope ful of getting orders in Q2. And definitely, we'll start execution on that in second half. So we will try to keep up with the pace of what we are doing now.
Rohit: Okay. Sir, my second question has to do with the normalization of the margins, EBITDA margin s. When can we expect that double -digit number to be back?
Paresh Mehta: So as we have been speaking in the past also, we expect by Q1 and Q2, either of these quarters, Q1 or Q2, we should be in the double -digit, around 10% EBITDA margins and above.
Rohit: Sure. And my final question will be on the plan to go back to the BOT road projects. Sir, do we have any plan where we have an arrangement with a potential fund or an investor to partly finance the project because all these BOT projects will require 30% o f equity? It will be quite cash -guzzler or maybe at least capital intensive in the beginning part. So how do we plan to

do those capital allocation part?
Satish Parakh: We are in discussions with various investors. But we've not finalized any arrangement y et.
Moderator: Next question is from the line of Akhilesh B , an individual investor.

Akhilesh B: Congratulations on a good performance. Sir, my question is what is the current outstanding liability we have to SBI Macquarie with all the accrued, carry, etcetera, as on 31st December?
Paresh Mehta: Approximately INR1,370 Crore .
Akhilesh B: And are we accruing any more carry on this? I think, 8% you had mentioned earlier, what is the mechanism?
Paresh Mehta: So for this quarter at 9%, December quarter, and for March quarter at 10%. But it is all capped for Rs 1526 Cr.
Akhilesh B: Sorry, it is capped for? Could you explain that, please?
Paresh Mehta: INR1,526 Crore .
Akhilesh B: So that will be the upper

limit. Beyond that, our liability will not increase.
Paresh Mehta: Correct.
Akhilesh B: Okay. And sir, have you given any thought to the water EPC segment? Is there any reason we cannot get into this segment? There seemed to be substantially better margins in that segment compared to our existing segments.
Satish Parakh: So water EPC, we are already executing one project for Mumbai Municipal Corporation. And we are very much in this segment. So all the treatment plants and water treatment works, we are participating now.
Akhilesh B: Okay. So we may do it in a bigger way in the future.
Satish Parakh: EPC player with railways, power, buildings and water EPC.
Moderator: Next questi on is from the line of Kawal from Samar Wealth.
Kawal: What does the company intend to deploy the received amount from the sale of eq uity stakes to HAM player? Will these funds be allocated for any specific road or railway or PPP sector or project?
Paresh Mehta: So this will -- the opportunities as they are coming. So as we have already spoken, there are BOT opportunities that have come up, part of it could be utilized for investment in BOT projects to a certain extent. So it will all depend on opportunity. We will come up in the next 12 to 18 months.
Kawal: Okay. Got it, sir. Sir, my next question is, is there any capex plan for the nex t year?
Paresh Mehta: Is there any?
Kawal: Is there any capex plan for the next year?

Paresh Mehta: So that is a continuous process for every year. capex is there, machineries are bought every year, so approximately in the range of INR60 Crore to INR100 Crore is the general CapEx plan for equipment and machinery.
Moderator: Next question is from the line of Jyoti Gupta from Nirmal Bang.
Jyoti Gupta: Just wanted to ask, there have been -- last 2, 3 years, we've had a foray into NHAI. Now the trend is going more towards BOT. What's the kind of margin can we expect, and it seems earlier BOT was not such a popular concept for construction companies, but now companies are open to take BOT, those projects. I'd like to understand what's the kind of margin we expe ct from BOT vis -à-vis NHAI because the model is very different?
Paresh Mehta: So I understand you want margin on a BOT project.
Jyoti Gupta: BOT project...
Paresh Mehta: B-O-T project, right?
Jyoti Gupta: BOT project -- Road project, yes.
Paresh Mehta: See, as a concept, BOT projects are EPC plus asset holding capacity. So in a BOT project, definitely, both aspects are differently looked at. The EPC margins are what we generally target at. And then we'll have to have patience on the capital invested to amor tize the returns over a period of the concession life or to be able to monetize the asset. So they are definitely -- they give different opportunities vis -à-vis an EPC, but it definitely covers the EPC ability to do the transaction -- to do the business.
Jyoti Gupta: But is that covered -- I mean like I just wanted to have a ballpark figure in terms of like if it was X in NHAI, do you expect 1.5% X, at least some sort of margin must be there in BOT, which should actually encourage the construction companies to pick up BOT projects. I mean,

just to understand, because going forward, we'll have more of BOT projects rather than NHAI, correct me if I'm wrong.
Paresh Mehta: Yes. So basically, an EPC contract -- the BOT projects are typically a mindset of people who want to hold assets and who are expecting a yield or an IRR. So from that perspective, the viewpoint would be different for everybody. Anybody who is expecting a yield of approximately IRR of 15% to 16%, would -- and with the -- accordingly the number stacks up, they would be interested in bidding for such projects.
Moderator: Next question is from the line of Vaibhav Shah from JM Financial Limited.
Vaibhav Shah: What would be

your order inflow guidance for FY '24? And what was the inflow in the first 9 months?

Satish Parakh: So next year guidance is like we should be getting orders from Q2 onwards, and we expect at least INR6,000 Crore to INR8,000 Crore of order book adding next year.
Vaibhav Shah: And what is in the order inflow in FY ‘23 in 9 months?
Satish Parakh: 9 months, I'll just come back on this.
Vaibhav Shah: And guidance for the current year, FY '24?
Satish Parakh: '24, I'm not sure because now already we are in Feb -- mid Feb, so whatever have been bidded, once those bids open, we'll know how much we get. So around INR13,000 Crore of bids we are waiting for yet to open.
Vaibhav Shah: Okay. And sir, there was a sharp increase in interest on a quarter -on-quarter basis from INR52 Crore to INR62 Crore in third quarter. What was the reason for the same?
Paresh Mehta: So interest increase is -- basically 1 reason is we had taken a term loan from Aditya Birla Finance in September end, which was also in the last quarter financials, which had an impact of approximately INR2.25 Crore . And there was a one -off BG, bank guaran tee, charges of INR5 Crore for international project, which was accounted for in this quarter due to certain changes in the guarantees, which was a one -off.
Vaibhav Shah: Okay. And sir, what was the reason for the increase in the carry on the SBI Macquarie liability?
Paresh Mehta: That was more of a commercial from their perspective. And as far as we were getting a protection on the total INR1,526 Crore , which was what their ask was.
Vaibhav Shah: So for FY '25, it would be 10%?
Paresh Mehta: Yes. It's not yet decided. It will be decided post 1st April.
Vaibhav Shah: Okay. And sir, lastly, what is the execution status for the water project in Maharashtra in Mumbai?
Satish Parakh: So Mumbai project after -- post -monsoon has started well now. So we are in ad vanced stage of execution now.
Vaibhav Shah: Okay. And when you expect it to complete the project?
Satish Parakh: So this will take another 18 months to complete.
Moderator: Next question is from the line of Vishal Periwal from IDBI.
Vishal Periwal: I have 1 question. Sir, based on our outstanding order book of INR14,000 -odd Crore , which is including inflows, what kind of revenue we can expect in FY '25 to execute, assuming like

probably order inflow will be muted sector -wise? So how do you see FY '25 in terms of revenue based on the current book?
Satish Parakh: Current book -- based on the current book, we should be flattish. But if we are able to bag orders in Q2, then definitely 15% to 20% rise we can expect.
Vishal Periwal: Okay. So largely, I mean, it could be like second half or probably like third, fourth quarter can be heavy, that's what we can say that, right?
Satish Parakh: Q2 onwards, we should start getting orders, and some orders, we may get even before this March end.
Moderator: Next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC.
Saif Gujar: Sir, just on the overseas order book, which is around INR1,300 Crore , what is the status about execution there? Which are the major projects comprising in this? And any tentative timelines when the execution starts or is going on?
Satish Parakh: So major project is Guyana, where we have completed around 36% of the job. And now like Q1 onwards, we will have all the retail layers being done. So there will be a good progress on that p roject going ahead.

Bangladesh, we have started well. There is a land acquisition issue on 50% of the land.
Balance 50%, we are progressing well, where all structures are completed and execution is in
full swing. So once balance 9 -kilometer is released, w e can see good progress next year.
The th

ird project which we are doing is for power distribution in West Africa, in Benin. There
the materials have been approved, and material supplies would start, and execution would
start in Q1.
Saif Gujar: Okay. And j ust how much is the outstanding order book from these projects, Guyana and
Bangladesh, out of the INR1,300 Crore ?
Paresh Mehta: That's the balanced order book, which numbers you're talking about.
Saif Gujar: So for just these 2 projects, out of the INR1,300 Crore -- sorry, I would have missed the
number.
Satish Parakh: These 2 are INR1,100 Crore .
Moderator: Next question is from the line of Vasudev from Nuvama.
Vasudev: Just a few questions from my side. So firstly, if you can give, what is the total equ ity
requirement for all the HAM projects? And like how much have you already infused? And
how much is still pending?

Paresh Mehta: So the equity requirement for the major 2 projects that is Bettadahalli Shivamogga and
Basawantpur Singnodi is approximately INR191 Crore .
Vasudev: Okay. And how much have you already infused from this?
Paresh Mehta: So this is the balance required to be done from 1st January.
Vasudev: Okay. Got it. And, sir, secondly, on the bid pipeline front, you said that we are looking at
INR95,000 Crore in the Road segment. So if possible, can you give some color on the other
segments as well?
Satish Parakh: Other segment, bidding pipeline is not committed kind of this thing. We have to look for
different states, basically.
Vasudev: Okay. Okay. That's okay. And sir, what is the CapEx that we've done in Q3? And how much are
we expecting for the full year then?
Paresh Mehta: I'll just come back on that.
Vasudev: Okay, sure, sir. And just lastly, do we have any definitive timelines where we're closing --
looking to close those Jaora -Nayagaon, the Chennai ORR deals?
Paresh Mehta: So Jaora -Nayagaon is dependent on government NOC. So once that is received, it should be
happening in 2 to 3 months' time. Chennai ORR, it's more of a commercial proce ss, may take
a couple of months or more, depending on how the commercials go.
Moderator: Next question is from the line of Jyoti Gupta from Nirmal Bang.
Jyoti Gupta: Sir, my question is the code of conduct will settle on the 25th of February? Are we expect ing,
like there was this -- when we're talking to competition, apparently, there is some INR13,000 -
odd Crore or maybe more of the orders which may be offloaded before the code of conduct.
What is your take on that?
Satish Parakh: We are participating in va rious bids. And I said INR13,000 Crore , where we have already
participated, yet to open, and new bids are continuously coming. Our participation is there in
most of the bids.
Jyoti Gupta: Okay. And so hopefully, before the code of conduct, they should actu ally be awarding all
these projects, isn't it? So is it like during the code of conduct, they're not going to give out --
they will not be awarding any projects between maybe March to May , there will be no
award?
Satish Parakh: There will be no award. But the bidding which can be done, they will not open.
Jyoti Gupta: They will not open. Okay. Thank you, sir .

Moderator: Next question is from the line of Bhavin Vithlani from SBI Mutual Funds.
Bhavin Vithlani: I just missed the number. You mentioned INR5,800 Crore is the project debt and INR1,100
Crore is the stand -alone debt. Now, you've received the money after the quarter ended for
the sale of the asset. So is the debt kind of reduced by that quantum commensurately?
Paresh Mehta: Yes, yes. So that has typically gone into reducing their stand -alone working capital debt.
Bhavin Vithlani: And what was the project debt for that asset, which has reduced from the INR4,800 Crore of
project debt hel

d for sale?
Paresh Mehta: INR200 Crore .
Bhavin Vithlani: Okay. That's it. The second is, in the stand -alone, we've seen a very significant increase in the finance cost for this quarter. Could you just help us, because when we looked at on a Y -o-Y basis, the stand -alone debt has not gone up to the extent of the increas e in the interest cost?
Paresh Mehta: Yes. So on the, what do you call, finance cost, as I have already said before, INR5 Crore is the impact of bank guarantee charges on guarantees given, which has been debited in this quarter for the international proje cts. And INR2.5 Crore is pertaining to Aditya Birla Finance, which was additional debt taken as of on 30th September -- which was taken somewhere around 27th September 2023 and the total impact of interest cost is a mix of interest on loans as well as int erest on mobilization in demands, which is accounted as finance costs.
Bhavin Vithlani: Okay. So on a weighted average basis for you taking these exceptional items out, what is the underlying increase in the rate of interest as for the stand -alone business ?
Paresh Mehta: From year to year?
Bhavin Vithlani: Yes, please.
Paresh Mehta: This would be approximately 0.75% to 1%.
Bhavin Vithlani: Okay. And what would it be currently at?
Paresh Mehta: So our CC limits would be in the range of 9.1% to 9.4%.
Bhavin Vithlani: Okay. The next question is also asked by the previous participant. In terms of -- as the mix of NHAI is expected to tilt towards the BOT projects, and we are also looking to sell these assets, but the timing is getting pushed out. Would you be open to taking these projects? And what's the kind of -- once the balance sheet freeze, what's the kind of potential capacity that will get released on the asset sale so that -- just want to know that what is the quantum of BOT that as you as promoter will be comfortable taking on the next round of BOT?
Satish Parakh: So comfort -wise, around INR10,000 Crore of BOT is not a challenge for us because we will be having surplus capital once we monetize all the assets. So we'll be having enough equity for

doing p rojects worth INR10,000 Crore , and we can always look for an investor partner, right, from the bidding stage of BOT projects. So our experience on BOT will definitely help us select proper project and execute them timely.
Bhavin Vithlani: Understand. So yo u've been an early mover in the BOT, and I think the valuations that you are getting on the HAM is better in terms of time value of money from what you have got in the BOT projects. What are the learnings that you have incorporated? And along with that, if you could also talk about the competitive landscape because that is equally important?
Satish Parakh: Yes, competitive landscape would be there, but choosing the right project is very important. And NHAI is also modifying their concession agreements conti nuously, which is helping the sector. So they are in discussion even for this round of BOT projects, where they are asking concessioners to give their comfort on various aspects and then open for modifying the agreement if there are -- agreements are like equally -- as far as risk is concerned if they are equally placed, then definitely, this could be a good sector to grow.
Bhavin Vithlani: Underst ood and in terms of what's the learning that you had in the initial rounds that you've kind of taken a correcti ve action now that maybe the same one...
Satish Parakh: See, basically, study and selecting a proper corridor is very important, understanding all the aspects, having carried out BOT for the last 15, 20 years, we are very much in control on the entire valu e chain now.
Bhavin Vithlani: Understand. Could you talk about the -- I mean, the kind of efforts that you're putting in terms of team sizes, the feet on ground in terms of handpicki

ng the projects that you would want to build in terms of the traffic studi es you've already done so that it kind of -- where you can leapfrog in terms of the larger size as it comes in?
Satish Parakh: Yes. So we have all the in -house teams, and quite a big number is available in -house to do this. We are not applying for taking h elp of any external consultants for it. So design -wise, traffic -wise or financial modeling wise, everything is in -house.
Moderator: Next question is from the line of Shyam Garg from Ladderup.
Shyam Garg: Sir, my first question is pertaining to the capex . As we have mentioned in that we'll be spending around INR60 Crore to INR100-odd Crore for the next year in capex, what part would be for the maintenance capex and what part is growth capex ?
Paresh Mehta: See all this capex is for EPC business. So it is a ll for whatever contracts are received, we keep on spending on machinery and equipments.
Shyam Garg: Okay. And sir, my second question is pertaining to the railways project that we are taking, that is particularly for the redevelopment projects or what kin d of projects are, that if you can put colors we are targeting in the near future?

Satish Parakh: So we are participating in highways, railways, power distribution, buildings and water. All these segments are focus for us. Whenever we are able to make our target margins, we are going to participate in that.
Moderator: Next question is from the line of Vaibhav Shah from JM Financial Limited.
Vaibhav Shah: Sir, can you elaborate more on the INR5 Crore charge that you talked about in the interest cost? So which was the project? And what are the bank guarantees we encashed?
Paresh Mehta: No, no, no. So this was a bank guarantee issued for Guyana project from Indian Bank guarantee, which was to be replace d by a bond structure, where the foreign bank, which was involved in the transaction was -- at the last moment refused to refund any bank guarantee charges they have taken for the next 2 years. So that had to be closed, and that's the reason we replaced th e bank guarantee with a bond and the charges were debited, which, otherwise, would have been carried and amortized over the next 2 years' time.
Moderator: As there are no further questions, I would now like to hand the conference over to management for clo sing comments.
Paresh Mehta: So I hope we have been able to answer most of your queries. We look forward to your participation in the next quarter. For any other further queries on this quarter results, you may contact SGA, our Investor Relations Advis ors, or us directly. Thank you very much.
Moderator: Thank you. On behalf of Anand Rathi Share and Stock Brokers, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Ashoka Buildcon Limited

Regd. Office : S.No. 861, Ashoka House, Ashoka Marg , Vadala, Nashik – 422 011, Maharashtra, India
hh hhTel. + 91 253 6633705 hh hhFax +91 253 2236704 hh hh www.ashokabuildcon.com
CIN : L45200MH1993PLC071970
To, To,
The Manager, The Manager,
The Department of Corporate Services The Lis ting Department
BSE Limited National Stock Exchange of India Li mited
Floor 25, P. J. Towers, Exchange Pl aza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA EQ .

May 28, 2024

Sub: Call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligati ons and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Ear nings Conference Call held on May 23, 2024.

Kindly take the same on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377
Address: 3, Dattakrupa Apartment, Ravindra High Sch ool Road, Dwarka, Nashik - 11

"Ashoka Buildcon Limited Q4 FY-24 Earnings
Conference Call"

May 23, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 23rd May, 2024 will prevail .

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR .
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER .
MODERATOR : MR. VIKRAM VILAS SURYAVANSHI – PHILLIP CAPITAL

Moderator: Ladies and gentlemen, g ood day and welcome to the Ashoka Buildcon 4Q and FY 24 Conference Call hosted by PhillipCapital (India) Private Limited .
As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
This conference call m ay contain forward -looking statements about the Company which are based on the beliefs , opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. And a disclaimer to this effect has been included in the financial results and investor presentation which has been shared with you earlier and available on the Stock Exchange website.
I now hand the conference over to Mr. Vikram Vilas Suryavanshi from PhillipCapital (India) Private Limited . Thank you and over to you sir.
Vikram Vilas Suryavanshi: Thank you, Sagar . Good afternoon and very warm welcome to everyone. Thank you for being on the call of Ashoka Buildcon Limited . We are happy to have the Management with us here today for a question -and-answer session with the investment community.
Manageme nt is represented by Mr. Satish Parakh – Managing Director and Mr. Paresh Mehta, Chief Financial Officer.
Before we start with the question -and-answer session, we will have opening comments from the management. I will hand over the call to Mr. Satish Parakh for opening comment . Over to you sir.
Satish Parakh: Thank you. Thank you Mr. Vikram. Good afternoon everyone. Hope every one is doing well. On behalf of Ashoka Buildcon Limited , I extend a warm welcome to everyone joining us today to discuss our Business and Financial Results for the Quarter and full year ended 31st March 202 4.
On this call, we are joined by Mr. Paresh Mehta , our Chief Financial Officer and SGA our Investor Relations Advisor.
Let me begin by giving few relevant industry highlights :
During FY23-24, highway construction reached 12,349 kilometers , marking a notable 20% increase from FY22-23, although it fell short of the annual target of 13,814 kilometer s. The majority of the construction totaling to 9 ,642 kilometers involve lane augmentation . while 2,707 kilometers was attributed to strengthening existing infrastructure . NHAI constructed 6 ,644 kilometers with the remaining being constructed by other agencies including NHIDCL and MMRDA . Despite a sluggish start in awarding highway projects, with only 4 ,872 kilometers

awarded till Feb 202 4, the pace picked up in March 2024, resulting in total of 8 ,551 kilometers awarded in FY23-24. The Ministry has spent around almost 100% of its revised capital expenditure allocation of Rs.2,645 billion.
Industry research report predicts 5% to 8% increase in road construction for the FY24-25. Estimating that approximately 13,000 kilometers of roads will be built. This growth is attributed to numerou s projects in pipeline, increased government funding and the ministry of road transport and highways prioritizing the project completion . Construction activities are expected to accelerate after second quarter following a typical slowdown during the monsoo n season. The MoRTH has unveiled an ambitious 100 day roadmap to operationalize 700 kilometers of high speed corridors , award 3,000 kilometers of highway projects and implement a Cashless Treatment Scheme for accident victims. The center working large scale cabinet proposal worth 20 trillion, to sanction high works aligned with vision 2047. And this is pending cabinet approval .

MoRTH aims to construct around 1,700 kilometers of highways in first three months post elections. Additionally , MoRTH plan to address black spots with historically high road traffic collisions on national highways. MoRTH already spent around Rs.54,500 crores on highway construction in April , May 2024 which is 20% of a total allocated CAPEX for the year. Despite slow project awarding in second half of 2023 , the ministry has continued its focus on project execution . With construction of 4 83 kilometers during this month , ahead of general elections compared to 5 23 during the same period last year.
Now on project front :

Firstly, Ashoka Buildcon Limited h as successfully concluded a sale of Unison Enviro Private Limited to Mahanagar Gas Limited . The deal has been closed at final equity consideration of Rs.562.09 crores out of which the Company has received Rs.286.67 crores for its 51% stake . In January 2024 the Company has received a letter of acceptance from CIDCO for design and construction of stilt bridge of eastern connectivity for Navi Mumbai Intentional Airport. This is in joint venture and Ashoka having 51% share of Rs.339.9 crores .
Also Company has received letter of award for 6 laning of Aurangabad, Bihar, Jharkhand project, section of NH -2 in the State of Bihar on EPC mode for a total Rs.520 crores. Additional on current projects, Company has received provisional completion certificate for NHAI projects in quarter . First one is 6 laning of Belgaum - Khanapur Section of NH -4A for a stretch of 4.415 kilometers , in addition to existing 16.345 kilometers and also 4 laning of NH-161 from Kandi to Ramsanpalle for 1. 28 kilometers in addition to the stretch of 3 7.92 kilometers . Regarding the HAM projects of NHAI that is, 8 l anes from Vadodara Kim Expressway , Company has received completion certificate in April 202 4. The respective SPV has been receiving annuity amount of 11.25 orders from NHAI.

On asset monetization :
Ashoka Buildcon Limited has acquired 50% fully paid shares from GVR Infra Projects held in GVR Ashoka Chennai ORR L imited , a subsidiary of Company subsequ ently . Chennai ORR Limited now has become a wholly owned subsidiary of the Company post acquisition of these shares. Th e Company and its subsidiary Ashoka Concessions L imited are making progress toward divestment of this entire stake in specific subsidiaries that has awarded by NH AI for the construction and operation of the roads, projects on the HAM basis . Considering the high likelihood that the sell will be finalized within the following 12 months , these completed projects assets and liabilities continue to be classified as assets held for sale .
Now coming to the order book :
As on 31st March 202 4 our balance order book stand s at 11,697 crores. T he breakup of order is , the roads and railway project are Rs.6 ,214 crores, which is 53% of the total order book . Among the road projects, HAM projects are to the tune of Rs.911 crores and EPC road projects are Rs.4,426 crores and railway is around Rs. 877 crores .
Power T&D is to the tune of Rs. 4,796 crores which is ap proximately 41% of the total order book . The total EP C building segment is Rs.687 crores, which is 6% of the order book. Here , I would like to reiterate that our primary focus remains on maintaining a sustainable EPC business in segments encompassing highways, railways, power transmission and distribution as well as buildings. This is all from my side.
I would now request Mr. Paresh Mehta to present the financial performance. Thank you.
Paresh Mehta: Thank you sir. Good afternoon to one and all. R esults and Investors Presentation and the Press Release have been uploaded on the Stock Exchange and the Company website. I am sure yo u must have had time to go through it. I will present the Financial Results of the Qu

arter and the
Full Year ended 31st March 2024.
The total income for Q4 FY24 stood at INR 2,533 crores as compared to INR 2,068 crores in the co rresponding quarter last year, registering a growth of 22% . EBITDA for the quarter stood at INR 2 19 crores with EBITDA margin of 8.6%. The reported profit before tax excluding exceptional gains stood at INR 126 crores and PAT including exceptional gains at INR 269 crores . Our revenue contr ibution for each segment for Q4 FY24 is as follows. Road EPC contributed 53%, power EPC contributed 29% , railways stood at 12% and other segments like building EPC and others contribute d to 6%.
Now for FY 24, the total income stood at INR 7,841 crores as compared to INR 6 ,478 crores in the corresponding period last year , registering a growth of 21% . EBITDA for the period stood at INR 691 crores with an EBITDA margin of 8.8%. The reported PBT excluding excep tional gains stood at INR 358 crores and PAT including exceptional gains at INR 443 crores .

Exceptional gains in FY 24 is on account of gain on sale of UEPL, that is Unison Enviro Private Limited our CGD business and in FY 23 is on account of reversal of imp airment of its investments loans and its subsidiaries, including Ashoka C oncessions Limited and impairment of investment loans in subsidies including Ashoka Concession L imited .
Our revenue contr ibution for each segment for FY 24 is as follows :
Road EPC contributed 60% , power EPC contributed 25% , railway stood at 10% and other

segments like building and other contributed to 6%. Our stand alone debt to equity ratios stood at 0.38x as of 31st March 2024.
Coming to the consolidated results :
The total income for Q4 FY24 grew by 27% year-on-year to INR 3,138 crores as compared to INR 2,478 crores in Q3 FY23. EBITDA stood at INR 721 crores for Q4 FY24 with a margin of 23%. Reported profit after tax stood at INR 254 crores in Q4 FY24. For FY24 full year, the total income stood at INR 10,005 crores as compared to INR 8 ,235 crores in the corresponding period last year. For the last year registering a growth of 21%. EBITDA for the period stood at INR 2,458 crores with a EBITDA margin of 24.6% . The reported PBT excluding exceptional gains stood at INR 763 crores and PAT at INR 5 21 crores . Total consolidated debt as on 31st March 2024 stood at INR 7,139 crores , the standalone debt is at INR 1,143 crores and comprises of INR 123 crores of recouping and term loan and INR 1,020 crores of working capital loan .
Toward our BOT business :
During Q4 FY24 it recorded a gross total collection of INR 329 crores as against INR 300 crores in Q4 FY23 recording a growth of 9.8% . Whereas in FY 24 it recorded a gross total collection of INR 1,247 crores as against INR 1 ,117 crores in FY23 recording a growth of 11.7% .
To bring significant impacts on the consolidated results of the Company , we have reclassified our BOT assets which were till FY23 held as asset held for sale to investment after taking the effects of the sale purchase agreement yet to be signed, and other compliances yet to be pending and expectation of the time completed for the projects. We continue to pursue the process of disposal of the stakes in all the subsidiaries including the HAM projects.
With this, we now open the floor for the question -and-answer. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Gaurika Nair from Avendus Spark. Please go ahead.
Gaurika Nair: Could you give me your order inflow for FY 24?
Management: The total o rder for FY 24 intake was INR 1,953 crores .

Gaurika Nair: Okay. A nd what would be your future guidance on it and the revenue that will be coming in for FY25?
Management: For ‘25 we are targeting around 12 ,000 to 15,0

00 crores of order book.
Gaurika Nair: Okay. Also c ould you repeat your bit on asset monetization since your voice cracked?
Management: So, just to summarize, we have 11 HAM projects, 6BOT projects and 1 annuity project which are had to be monetized for the 11 HAM projects and for the 5 BOT projects we are in the process of finalizing the share purchase agreement with the potential investors and we are very close to signing of the SP A in the near future. For the 1 BOT project that is our Jaora -Nayagaon and Chennai ORR. In Chennai ORR we have already acquired a stake of GVR Infra our partner in the project. So, now we will be in a better position to negotiate with the existing offer which we had received as well as the new investors to sell the project in this coming year. And equally, we await permission from MPRDC for transfer of 26% and then we will be able to sell the Jaora - Nayagaon project too.
Moderator: Thank you. The next question is from the line of Shyam Garg from Ladderup Finance Limited. Please go ahead.
Shyam Garg: My first question is with respect to , what is the peak debt of this year and how we are planning to reduce it ?
Management: I didn’t get, what was the question?
Shyam Garg: My first question is with respect to what would be our peak debt for FY 25. And how are we planning to reduce it in FY25 or in coming years any guidance on that?
Management: Yes, so our debt at ABL standalone, which is for working capital would be almost in the same range based on the increased turnover which we will have for FY24 -25. We expect on monetization of assets, th is debt could go down as and when the assets are monetized .
Shyam Garg: Can you specify any amount , in a range?
Management: So, it will depend on the asset monetization, we have five BOT assets and other , so if we just make a thumb rule for what we would use the money, part of the money to reduce debt, we may use, we try to reduce the working capital debt to 50% of what we utilize today. Balance money for monetization we use for various others applications.
Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Sir, first question is on the margins. The earlier quarter highlighted a journey towards reaching a high single digit margin , poten tially double -digit margin, by the end of Q4 FY24, you are still

at just about 7%. So, if you can give some more color on what went wrong in this quarter, why we are not able to achieve higher single digit margin and then journey towards the double digit margin?
Management: Our guidance in Q3 FY24 accounts was typically that the margins would go up in FY24-25, post Q2. So, these numbers would be in the similar range up to Q2 and then they will jump up based on the execution for the new contracts and the contracts which you already have, which are of better margins and will pick up in H2 FY25.
Parikshit Kandpal: But sir we barely ha ve 2000 crores of inflows in FY 24. And so, l arge part of r evenues which will accrue in FY25 will accrue from the legacy book because ordering is expected to pick up only from second half. So, what gives you the confidence that the margins will improve because new projects won will still not have con tribution to the revenues in the second half of next year. So, first, if you can quantify what is your guidance given we have a very low number on book to bill almost INR 12,000 crores of order book and close to about INR 7500 crores of revenue . So, how do you see the guidance for next year in terms of revenue growth and within that, how do you think whether the margins can reach double digit starting Q3 FY25?
Management: Yes. So, just to give a feel of the numbers which have spanned out from execution, the major execution where the low margins were there, have typic

ally come to an end. So, by Q1 FY 25 most of the projects will get over . The largest margin projects have just begun up , have taken off in last year and they will contribute to major turnover in Q3/ Q4 and that will result in increase in the margins by at least a percent and a half around initially, and then the new projects may contribute more , the new projects are yet to be won which will contribute more . On the order book we have an order book backlog for 11,700 crores which is approximately 1.44 times of the book which is lower than our expectations which is already explained due to low bidding in various sectors, especially post January in the election phase. So, we believe that , post June there should be a flurry of biddings happening and we can ramp up our order book during this next Q2 and further on.
Parikshit Kandpal: But then, why didn't we participate in the MSRDC tenders which just opened couple of days back , so we were n ot present in when multimodal packages and even on express way so we will not there, any issue whether we were qualify or not qualify and why didn't we participate in those tenders?
Management: No we have participated in MSRDC tenders which have been bided in this month . So, participate in four MSRDC tenders which will be open ed frequently by June end or July.
Parikshit Kandpal: The earlier ones , I am talking about the ones 26 packages which got opened and the 11 packages on MMC . So, we have not participated any reason why it's such a large ordering, we let it go without any participation . So, are we qualified where we qualified was there any constraints on technical grounds we were not able to do , or it's just that a call we took that we will not bid for these projects?

Management: No, we have taken a call earlier that we will not be bidding for state government projects. But lately we have revised that and now we are bidding for that.
Parikshit Kandpal: Okay. And just a guidance on margins, that was my question which I had asked , next year FY25 how do you see as a full year, what kind of margins we are looking at for FY25, and FY26?
Management: So, FY 25 we should be back around 9.5% of EBITDA margins, slightly better than that and then in FY25 -26, definitely should be in the range of 11 %- 11.5% .
Parikshit Kandpal: And when you give this guidance, you include the other income also in this?
Management: No, these are EBITDA without excluding .
Parikshit Kandpal: Excluding. And just last question on monetization for now we had two projects Jaora and Chennai ORR where we have, now Chennai we have some movement, we have bough t out the partner. So, these two, so projects I think they had a maybe a deadline where the bids, this contract, or this agreement was there to monetize. So, has that deadline mutually extended or has it lapse d with the investor , that was my question on those two projects. And on the HAM we have been talking about for the last two, three quarters that it's going to happen , happen happen and somehow for one reason or the other it has not happened. So, where is it now stuck at, last call you highlighted that all approvals are in place , so now what are you waiting for announcing these S PA because every call we say S PA is in the final stages of conclu sion, but it's not happened. So, if you can give more realistic guidelines where you think the SPAs will get signed ?
Management: Yes, so we agree that we have been pursuing the SP A for the HAM and the BOT project, in the past three quarters, and it has been a bit sticky on negotiating and closing but , now we are at a fag end of most of the issues have been sorted out and we are in the process of ironing out the total agreement post all commercial issues having been se ttled. As far as the Chennai ORR and

Jaora -Nayagaon project is concerned their date of SP As have lapsed some t

ime back and
appropriate time once we get permission in Jaora -Nayagaon from our MPRDC and for Chennai ORR. W e will engage again with this part ies for, because their offers were all updated a bit. So, we need to renegotiate on a price basis.
Parikshit Kandpal: But the exclusivity has gone. And, we may the same investor may not , the NIF may not be , he has every right not to proceed with this because they are themselves selling out their portfolio to some other assets around block so .
Management: Right. But they are also in a churning mode one and definitely a project like Jaora -Nayagaon or Chennai ORR are good projects for them to buy. They are buyi ng also and they are selling also. So, from that perspective, they continue to engage with us to do if possible the deal , it will all depend on us, both of us to strike a proper price again, to do the deal.

Parikshit Kandpal: And this HAM within in June as we get close d or it will now move to the second quarter by September so, w hat is more realistic timeline of closing and signing of SPAs for the HAM portfolio?
Management: SPA should be signed before June , by June.
Moderator: Thank you. The next quest ion is from the line of Prem Khurana from Anand Rathi Shares and Stockbroker . Please go ahead.
Prem Khurana: So, just to continue on asset monetization. So , you briefly touched upon this thing in your opening remarks. When you spoke about the five BOT projects which you were earlier supposed to sell to KKR. So , when I look at the notes to account that you have given in our release d day, it seems that we had a prospective buyer in place and you had already offered the buyer exclusivity and which expired on 31st March 2024. So , does it mean that you will have to start the process again and you would be required to offer exclusivity to someone else now and then the due diligence would start and that could take some more time . And I was wondering why would it be declassified , initially it was classified as asset held for sale, KKR s agreement got terminated in the month of May. But we still continue to show these as held for sale and now we remove it at this point in time, so ?
Management: Yes, so on the BOT assets we had an S PA which got terminated as you said rightly, post that we engage d with another potential investors with whom we are already negotiating for closing an SPA. The exclusivity period expired, no doubt but we continue to engage b etween ourselves. And we expect to close the SP A at earliest, keeping in mind the time taken for NOCs, permissions and other assessment as of 31st, March '24 . And based on the guidance, as per IndAS 105, we classified it as, we changed the classification f rom asset held for sale to investments, as soon as we see seek visibility of the transaction happening once you sign the SPA in certain CP s to the transaction like consent from lenders and authority are visible, we will reclassify. But classi fication is definitely an accounting aspect of the thing as in the business perspective, we are continuing to seriously engage with a potential buyer to sell the assets.
Prem Khurana: Sure. But would you be able to share, why is it taking so long, because we would have done all this exercise, even when we were trying to sell it KKR. So, the lenders would have onboard, you would have somehow made sure that you get to have NOCs from NHAI, at least in principally they would have given you some go and there was only Dhankuni Karagpur wherein we were waiting for that two-year clause. So, given the fact that there could these things long back, why is it taking so long now, the C Ps that you need to compl y are the same C Ps, that you would have dealt with when you were dealing with KKR?
Management: Correct. So, this investor is a different investor one, definitely when we go back to NHAI , though I do a

gree that in principle clearance was received for three assets, then out of the five and two were almost on the process of getting done. But there are certain conditions where it got delayed, which now is out of issue, but whatever time for in princip le clearance also will take some time,

we will target ours elves to get the deal as soon as possible maybe by December 24. But based on past experience, and on discussions with auditors, we decided to classify as investments, we will revisit the clause at the proper time again to reclassify . reclassification will not change or the intention of the Company to change the intention to sell the assets as early.
Prem Khurana: Sure. And would you be able to comment on the valuation , fair to assume given the fact that this asset number s have been pretty decent in the recent past, the valuation would have firmed up for these five as well as me whenever you negotiate with let say either NIIF or some other player

for Jaora -Nayagaon and Chennai there, how do you see the valuation to be now?
Management: Yes, so in all the BOT projects, we definitely see an uptick in the valuation. As soon as we sign the SPA d efinite ly we will be able to disclose all that, which would be definitely a better one than what was previous.
Prem Khurana: Sure. So, just book keeping sort of questions. So, what's the revenue growth that we are targeting this year given the sort of order backlog that we have and the fact that it is still some time before the orders would start coming . This is on standalone basis and what sort of revenue do we target for this year now?
Management: So, we expect to grow by around 15% for FY24-25 on the EPC.
Prem Khurana: Okay . So, this is on a base of 7700 that we have delivered this you are saying 15% more ?
Management: Right.
Prem Khurana: And sorry, I missed the inflow guidance, I think Satish sir gave that number , but I somehow missed the number and would you be able to share that number again please ?
Management: Which number?
Prem Khurana: Order inflow guidance for FY25.
Satish Parakh: So, we are targeting around INR 12000 to INR 15000 crores of inflow. Because there will be a good aggressive orders coming from state as well as center post elections.
Prem Khurana: Okay, sure. But last time I spok e you seem to be a little skeptical in terms of whether we will get to us the awarding kind of pickup immediately after election, which is where your guidance seems as and when you are building in some sort of caution and now, the guidance seem to be very, very optimistic. So, has anything changed somewhere which is what makes you confident that you would be able to have this INR 12,000, INR 15,000 crore of number or is it only because it's now, you must also started looking at the state orders which is what is giving you confidence that if not NHAI you could have orders.

Management: Now we have become a all -round EPC player like roads, railways , power , buildings, water , so all segments are open. So, our bidding pipeline is also bigger than what it used to be earlier .
Prem Khurana: So one is how much is the pending equity infusion for hybrid and second would be so the Chennai stake that we acquired the payment was made during the quarter entire INR 185 crores ?
Management: Yes, the payment for Chennai outer ring road project was made before March end, so it is already coming in the books as a investmen t. As far as balance equity commitment for our HAM projects is approximately INR 153 crores .
Prem Khurana : And this would be included in this year itself?
Management: Yes, FY24-25 itself.
Moderator: Thank you. The next question is from the line of Mrunal Shah from Axanoun Investment Management . Please go ahead.
Mrunal Shah: Sir my question was, how much pe rcentage

of the cost is attributable to bitumen in total cost of the road and approximate range?
Management: Could not follow , could you be clear er?
Mrunal Shah: So, my question was, how much percentage of the cost is attributable to you be able to bitumen of the total cost of making roads an approximate range?
Management: 20% to 30% is depending upon the composition.
Mrunal Shah: Okay. And usually what are the payment terms for bitumen payment?
Management: I didn't follow the question please.
Mrunal Shah: What are the usual payment term for bitumen payment?
Management: Bitumen payment is bought from refineries, bitumen is particularly bought from refineries so it's against cash only .
Mrunal Shah: Okay. And sir what proportion of asphalt roads and concrete roads for highways and express highways for which government tenders are being floated by the government, I wanted to know the bifurcation between bitumen roads and asphalt roads for highway s?
Management: So, there are no specific rules which highway will come on rigid pavement like concrete pavement or bituminous pavement. M ajority if you see , majority of the highways 90% of them are bituminous.

Moderator: Thank you. The next question is from the line of Deepak Poddak from Sapphire C apital . Please go ahead.
Deepak Poddak: Just first step , I just want ed to understand have we given this data from this demonetization or monetization of our 11 HAM projects and six BOT projects. So, what sort of capital inflow or capital release that we expect from this ?

Management: As of now we have not communicated anything new to the exchanges , once we are through with our definitive documents, we would be able to declare the same.
Deepak Poddak: And this inflow we expect to repay some debt as well apart from using it in working capital and other application ?
Management: So, in working capital debt is the major debt which is other than the project debt. So, otherwise the project debt should go along with the projects to the n ew buyer. So, most of the project debt will move out of the console of the Company .
Deepak Poddak: Okay . And the standalone level any sort of repayment that we expect , can we expect at the stand alone level ?
Management: Yes, depending on monetization we will typically try to reduce the working capital debt by 50% .
Deepak Poddak: By 50% debt , so currently which is about close to about 900 crores right?
Management: Correct.
Deepak Poddak: So, that may reduce by 400 to 500 crores?
Management: Correct.
Deepak Poddak: So, how do we see the absolute interest cost , in the last year in the standard level we were at about INR 230 crores roundabout. So, how do we see that interest cost in FY 25?
Management: So, this would typically, so there are two co mponents to the interest cost , one is interest on our working capital loan and also interest on mobilization advance , we have mobilization advance of almost 800 crores which also carries interest cost. So, the reduction will typically be in the working cap acity utilization decrease which would be in the range of a cost of 10% for whatever decrease and for whatever period .
Deepak Poddak: Okay. And can you have the breakup out of this 230 crores what is the interest component from mobilization advance?
Management: So, yes I can give you that , so on our cash credit and working capital demand loans which we have that is approximately INR 45 to INR 50 crores and on our mobilization advance is around

INR 70 crores and cash credit is approximately around another INR 70 crores and balances other miscellaneous loans on equipment loan and other loans.
Deepak Poddak: Okay. So, ideally this mobilization advance and cash credit component of interest costs will not reduce , only that INR 45, INR 50 crores that

is liable to reduce based on your loan ?
Management: Yes, that would.
Deepak Poddak: That is about INR 45 to INR 50 crores right?
Management: So, that is approximately INR 65 including the WCDL.
Moderator: Thank you. The next question is from the line of Paridhi J from Go India. Please go ahead.
Paridhi J: So, can you just give me your guidance, you have given guidance for EBITDA and revenue? Can you just give me your guidance for PAT please?
Management: As far as PAT is concerned, it's all a mix of how the profits will pan out. Depending on the EBITDA margins, we should be in the range of 5% to 6% for PAT .
Paridhi J: Also, sir then we see the order book breakdown that you have, in FY 23, you have a C GD of 31 crores, you don't have that in FY 24 can you just give me your clarity on it?
Management: CGD business was our in -house captive EPC business till we were owning the CGD business in the form of Unison Enviro Private Limited , which we sold off to Mahanagar Gas L imited in last quarter that is Q4 24. So, now the asset being having changed hands from us to MGL, the order book we have completed whatever was there in our scope till then. Now it is , the M GL will decide to do whatever work there is there in that business. So, we don't now do any CGD business as of now.
Paridhi J: Also, sir I missed out on the part that yo u gave when order intake for FY 23, can you just repeat the number please?
Management: Yes, so for FY 23
Paridhi J: Sorry, FY24 sir.
Management: FY24 inflow we expect around Rs.12,000 to Rs.15,000 crores.
Paridhi J: Sir you said that for 25 right?
Management: Yes, FY25. FY24 we got only Rs.2000 crores.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.
Vaibhav Shah: Sir you mentioned the pending equity at 150 odd crores to be increased in 25. But if you look at the presentation for the HAMs slide, ov er there it is mentioned that 1 012 is already invested and total required is 1097 so it comes out around 85 crores incremental. So, is it 150 crore numbers

been arrived ?
Management: So, 1097 it is as per financial closure document, there are certain increase in project cost due to pin, where equity has to be also put in by the SPV , part comes from grant there's no loan on that.
So, the equity component slightly increases.
Vaibhav Shah: Currently, now we require around 150 odd crores, so increment arou nd 60 , 70 odd crores?
Management: 150 odd crores.
Vaibhav Shah: Okay. Sir secondly the gain which we booked in Q4 of 2017 crores . So, what would be the tax component out of that?
Management: Approximately 40 crores.
Vaibhav Shah: Okay. And sir, what would be our CAPEX guidance for FY 25?
Management: CAPEX guidance would be approximately 100 to 110 crores.
Vaibhav Shah: Okay. Sir in FY 24 what funding did we do for , loss funding for Sambalpur and what do we expect for FY 25?
Management: Sambalpur we did not do much funding because it was refinance d in June 20 23. So, now it is self-sustaining and it is taking care of its own cash flows .
Vaibhav Shah: Okay. And sir we target to monetize Chennai ORR and Jaora -Nayagaon within FY25?
Management: Yes, so for Chennai ORR differently it is possible , for Jaora -Nayagaon it just depend on how at the moment we get clearance for MPRDC for logged in shares of 26% .
Vaibhav Shah: Post the clearance we will look for the buyer or the talks are already going on ?
Man agement: We will reengage with the previous offer , and then we will see whether we need to get to another potential buyer .
Vaibhav Shah: Okay. Sir lastly, what is the status of the water treatment order , the Mumbai one has the execution started?

Management : Yes, execution has started, civil works ha

ve already started. And electromechanical will start
from the third quarter , Q3 of this year.
Vaibhav Shah: So, what kind of revenue can be book from the order for FY 25 and 26 ?
Management: Should be able to book around Rs.400 crores.
Vaibhav Shah: Combined for 25-26?
Management: Rs.400 crores in ‘24-25.
Vaibhav Shah: Okay . And sir outstanding book would be somewhere around Rs.550 odd crore the order ?
Management: Total order is Rs.750 crores. So, entire balance we will be completing in this year.
Moderator: Thank you. The next question is from the line of Vasudev from Nuvama. Please go ahead.
Vasudev: So, sir I just have one question which is on the bid pipeline side. So, you said that our bid pipeline is now bi gger than earlier. So, now will you be able to quantify it and if you can give the split across various segments that we are planning to bid?
Management: So, segment wise road is our primary segment , road and bridges , then power distribution and transmission is a segment , solar is one of the segments where we are now qualified to bid and buildings is there , railways is we are looking at railways very aggressively. So, these all five segments will be there in addition t o this, overseas also we are participating in some of the countries .
Vasudev: Okay , sir. Sir will we be able to quantify that kind of bid pipeline that we are looking at these segments ?
Management: So, it will be all mix, it will all depend upon the variou s projects which are coming up , so our bidding would be 50% and the focus will be on the road sector. And rest will depend upon as and when we get the opportunities . It’s very difficult to quantify target inflow from each segment.
Moderator: Thank you. T he next question is from the line of Anand Mundra from M y Temple Capital . Please go ahead.
Anand Mundra: Sir our cash and bank balance has gone up considerably in March ‘24 . So, can you give us like an idea why that has happened ?
Management: So, a couple of reasons actually. There was a of course, definitely there was a large receipts during March last week for various of our clients who had payables and the process before March one. Second a lso, there was some working capital debt which could have been reduced, but

because of the RBI guidelines for utilization of working capital in the form of 60 :40, 60 WCDL and 40% in CC, so, some WC DL which was put could not be closed as of March otherwise we would have reduced that working capital loan by using the ca sh. But the basic reason is , inflow of cash from our clients in the last week of March . Last couple of days of March rather.

Anand Mundra: Okay. And sir on the balance sheet we have a line item of non -current trade receivables. So, just wanted to understan d why do we have these long term trade receivables and they have also like , they have gone up by more than 2x in the last year. So, can you explain why that has happened?
Management: So, this is actually a trade receivables which are outstanding for coupl e of clients which are old something like Chennai ORR , there is some receivables from the SPV. Now, as soon as we get some monetization done at Chennai ORR level that will get reduce so that is a substantial amount in that 300 odd crores.
Anand Mundra: Okay. So, it's only related to the Chennai ORR?
Management: Yes, basically related to Chennai ORR and some small for old contracts which are 12 months and above, these are partly related to retention money's which are yet to be received , which are not due but they will be received over a period of time. So, the deferred liability will be 12 months or 24 months depending on that money be released.
Anand Mundra: But sir Chennai ORR is now a subsidiary , and as on 31st March it is 100% subsid iary, correct?
Management: Correct.
Anand Mundra: So, that figure should not reflec

t in the consolidated balance sheet ?
Management: That will not reflect under consolidated, that's true.
Anand Mundra: But, it's still reflecting , the amount is pretty much the same both in standalone and consolidated , not sure if that's correct but that's what I remember.
Management: It will not be there probably because it is asset held for sale. So, it will be in the asset held for sale line item s, so I will come back to you on one -to-one basis on the breakup of this 300 crores .
Anand Mundra: Okay , alright. And the last question is, w hat is the outstanding that we have to pay to SBI Macquarie ?
Management: It is gone back to Rs.1526 crores which wa s in 20 19. So, Rs.1526 is what they will expect to pay off. So, that's what has been provided in the books , in the console.
Anand Mundra: Okay, and that's the cap ?
Management: That's the cap , yes.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.
Vaibhav Shah: Sir we have taken approval for fundraise as well. Do we plan to raise some funds in near term or just take we have taken approval right now?
Management: So, basically, we have taken an approval from an arbitrage purpose and from realigning the working capital as short term and long term requirement. So, that will be basic run like replacing certain WCL with CP s. So, that is one approval an d second approval is for NCDs for something like an 18 month NCD, 18 to 24 months NCD, which we intent to raise to realign the working capital maturity rates.
Vaibhav Shah: So, basically, we want to just change the mix of the debt right?
Management: Yes. But the amount will be capped at that . We don't want to increase the debt overall.
Vaibhav Shah: Sir, if the monetization go through as our plan , then we expect to reduce by around Rs.500 odd crores in FY 25, right ?
Management: Right.
Moderator: Thank you. The next question is from the line of Akhilesh B who is an Individual Investor . Please go ahead.
Akhilesh B: In response to one of the earlier question, you mentioned that, earlier we were not participating in the MSRDC auction and now we are participating. So, what changed in our thinking , why did we not participate earlier and why are we finding it attractive now, just to understand the thinking of that?
Management: So, nothing specific has changed, but we have seen aggression at NHAI and par ticipation with NHAI and qualification with NHAI . So, earlier focus was to remain national player , participating in NHAI and MMRDA. So, now since NHAI is becoming more and more aggression is seen in the NHAI bidding. So, we are looking at the states .
Akhil esh B: And sir this money which we have receive d for the UEPL, will part of that go to reduce this SBI Macquarie liability or if we are going to use it for our own working capital, et cetera?
Management: Yes, it has been used for its own basically, that money was partly, most of it was used for acquiring Chennai ORR stakes.
Moderator: Thank you. Ladies and gentlemen , that was the last question for today. I now hand the conference over to Mr. Vikram Vilas Suryavanshi for closing co mments.

Vikram Vilas Suryavanshi: We thank the management of Ashoka Buildcon for giving us an opportunity to host the call and

taking time for interaction with the stakeholders. Any closing comments from your side?
Management: So, we thank everybody for jo ining this call. And we are open for any Q&A on a one -to-one basis so my contact is already given as well as through SGA our IR M anager. Thank you.
Vikram Vilas Suryavanshi: Okay, thank you. Thank you all for being on the call.
Management: Thank you.
Moderator: On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Th

ank you
for joining us, you may now disconnect your lines .

Call: Aug 2024

Ashoka Buildcon Limited

Regd. Office: S. No. 861, Ashoka House, Ashoka Marg , Vadala, Nashik – 422 011, Maharashtra, India
hh hhTel. + 91 253 6633705 hh hhFax +91 253 2236704 hh hh www.ashokabuildcon.com
CIN: L45200MH1993PLC071970

To, To,
The Manager, The Manager,
The Department of Corporate Services The Li sting Department
BSE Limited National Stock Exchange of India L imited
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Dalal Street, Mumbai – 400 001 Band ra (East), Mumbai – 400 051

Scrip Code: 533271 Scrip Symbol : ASHOKA EQ .

August 21, 2024

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on August 16, 2024 in r espect of Unaudited Standalone and Consolidated Financial Results for the quarter ended June 30, 2024.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

"Ashoka Buildcon Limited
Q1 FY '25 Earnings Conference Call"
August 16, 2024

E&OE - This transcript is edited for factual errors . In case of discrepancy, the audio recordings uplo aded on the stock exchange on 16 th August, 2024 will prevail.

MANAGEMENT : M R. SATISH PARAKH – MANAGING DIRECTOR – ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER – ASHOKA BUILDCON LIMITED
MR. PEEYUSH JAIN , ASSISTANT VICE PRESIDENT , ACCOUNTS AND TAXATION – ASHOKA BUILDCON LIMITED

MODERATOR : M S. JYOTI GUPTA – NIRMAL BANG EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Ashoka Buildcon Limited Q1 FY '25 Earnings Conference Call, hosted by Nirmal Bang Equ ities Private Limited. As a reminder, all participant lines will be in the listen-only mode a nd there will be an opportunity for you to ask questions after the presentation concludes. Sho uld you need assistance during the conference call, please signal an operator by press ing star then zero on your touchtone phone. Please note that this conference is being re corded.
I now hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Equities. Thank you, and over to you, ma'am.
Jyoti Gupta: Hello, everyone. On behalf of Nirmal Bang Instituti onal Equities, I welcome you all to the Ashoka Buildcon Limited Q1 FY '25 Earnings Conferen ce Call. We have with us Mr. Satish Parakh, Managing Director; Mr. Paresh Mehta, Chief Financial Officer; and Mr. Peeyush Jain, Assistant Vice President, Accounts and Taxation.
Without further ado, I request Mr. Satish Parakh s ir to start with his opening comments, after which we can open the floor for questions and answe rs. Thank you, and over to you, sir.
Note: Due to technical issues, there are several inaudi ble words / lines during opening commentary / speech. The same has been added / edited f or better clarity.
Satish Parakh: Thank you. Good afternoon, everyone. Hope everyone is doing well. On behalf of Ashoka Buildcon Limited, I extend a warm welcome to everyo ne joining us today to discuss our business and financial results for the quarter ende d 30 June 2024. On this call, we are joined with our CFO, Mr. Paresh Mehta; our Vice President, Mr. Peeyush Jain; and SGA, our Investor Relations Advisor.
Let me begin by giving an industry overview. India' s road infrastructure has undergone signi■cant development with constant focus on impro ving overall connecvgSNzvity while also establishing crivgSNzcal links even in geographically c hallenging regions. As a priority sector for the center, the sector had witnessed ambivgSNzous highway c onstrucvgSNzon targets, rapid execuvgSNzon to support this target by e■orts to constantly maintai n a favourable policy regime for all stakeholders. During the last quarter, the highway construcvgSNzon has slowed down signi■cantly due to elecvgSNzons and delay in land acquisivgSNzon approv als. The government has set a provisional target of construcvgSNzng 10,421 km of navgSNzonal highways for 2024-25, 15% lower than '23, '24 achievements.
Moderator: Satish sir, sorry to interrupt. Your voice is laggi ng a lot. Should we reconnect your line?
Satish Parakh: From April to June Q12024-25, 1,924 kilometers of h ighway were constructed compared to 2,250 km during the same period last year. The gene ral election of 2024 has diverted district authorities focus impacting construction pace. NHAI has plans to offer around 15 road projects worth INR44,000 crores, spanning 900 kilom eters for bid under BOT mode during

2024-25. These projects are part of Centre’s plan t o offer 53 projects worth INR2.2 trillion, covering 5,200 kilometers, under BOT mode over the next three to five years.
Recently, the government amended the model Concessi on Agreement to make the model more attractive. NHAI has announced plans to moneti ze around 2.4 billion worth of road projects through InvIT to reduce substantial debt a nd aims at leverage assets to repay loans on projects funds of the company. The company has r eceived Completion Certificate with effect from April 2024 for its hybrid annuity model project of National Highways of India, Eight Lane of Vadodara Kim Expressway. The Project is executed by Ashoka Ankleshwar Manubar Expressway Private Limited (SPV), a Wholly Owned Subsidiary of Ashoka Concessions Limited, a Subsidiary of the Company. F urther to

inform that the SPV has been
receiving Annuity amount for 11.25 KMs from NHAI al ready.
The company is in receipt of Completion Certificate of its hybrid annuity mode project of NHAI for the designing, engineering, and financing for NH-161 from Kandi to Ramsanpalle in the State of Telangana. The Project is executed by Ashoka Kandi Ramsanpalle Road Private Limited (SPV), a Wholly Owned Subsidiary of the Com pany. SPV has received a Certificate for completion of entire Project stretch of 39.980 KMs. Consequent to this, the SPV will receive annuity for entire stretch of 39.980 KMs
Moderator: Mr. Satish sir, you're not audible.
Satish Parakh: The company has emerged as the lowest bidder for tw o EPC projects of Maharashtra state Development Corporation Ltd in June 2024, first one for Construction of Major Bridge across Jaigad Creek between Tawsal and Jaigad on Revas Red di Coastal Highway in Ratnagiri District on EPC Mode for Rs.794.85 Crores and Construction o f Major Bridge across Kundalika Creek between Revdanda to Salav on Revas Reddi Coastal Hi ghway in Ratnagiri District for

Rs.1,357.87 Crores The company has also emerged as the lowest Bidder for two other EPC Projects of the MMRDA , Proposal for Design and Con struction of Creek Bridge from Kolshet to Kalher for Rs.289.60 Crores and Proposal for Des ign and Construction of Creek Bridge from Gaimukh to Payegaon for Rs.991.20 Crores. The Compa ny has executed another EPC Agreement for a Project in the Ivory Coast in 2024, with Serneke International Group AB, Sweden, for the Project floated by Baran Internatio nal Limited for construction of 100 drinking water wells and supply and installation of drinking water supply unit in 35 villages of Ivory Coast. The project to be completed by October 31, 2026. The bid price is Euros 18.50 million.

Satish Parakh: On the Asset Monetization part, The Company and its subsidiary, Ashoka Concessions Limited, are making progress towards divestment of the entir e stake and specific subsidiary data awarded by NHAI for the construction and opera tion of both projects on HAM. Considering the high likelihood that the sale will be finalized within the following twelve months, these completed projects assets and liabili ties continue to be classified as held for sale.

Coming to the order book status, as on 30 June 202 4, our balance order book stands at INR10,356 crores. This is excluding the projects wh ere we are L1 of INR3,434 crores. If we add that then it becomes INR13,800 crores.

The breakup of order book is for roads and railways projects, it comprises of INR5,316 crores which is 52% of the total order book. Among the roa d projects order book, HAM road projects are to the tune of INR9,031 crores and EPC road projects are INR3,694 crores. Railway is around INR691 crores. Power T&D accounts for around INR4,424 crores, which is approximately 42% on the total order book. The tota l EPC Building segment is INR 617 crores, which is 6% of the total order book of These order book numbers are excluding L1 Projects of INR3,434 crores.

To conclude, let me say this again that our primar y focus remains on maintaining sustainable EPC business segment encompassing highways, railway s, power transmission, distribution, buildings and waterways.

This is all from my side. I will now request Peeyu sh Jain to present the financial performance. Thank you.

Peeyush Jain: Thank you, sir. Good afternoon to all. Results and investor presentation and press release has been uploaded on the stock exchange and company web site. I'm sure you must have had the time to go through it. I will present the financial results of the quarter and previous quarters. Starting with the stand-alone numbers for Q1 finan cial year '25. The total income for Q1 financial year '25 stood at INR1,901 cro

res as comp ared to INR1,557 crores in quarter 1 '24, registering a growth of 22%. EBITDA for the quarter stood at INR145 crores, a growth of 52% year-on-year, with EBITDA margins of 7.6%. PAT grew by 148% year-on-year to INR41 crores. Our revenue contributed for each segment for Q1 FY '25 is as follows. Road EPC contributed 43%, Road HAM contributed 10%, and EPC Power contri buted 31%, railway stood at 10%. For other building EPCs and other segments, it's around 5%. Our standalone debt-to-equity ratio stood at 0.5%, as on 30th June '24.

Coming to consolidated results. The total income f or Q1 FY '25 stood at INR2,495 crores as compared to INR1,973 crores for Q1 FY '24, register ing a growth of 26%. EBITDA for the quarter stood at INR628 crores, a growth of 23% yea r-on-year. PAT grew by 156% year-on-year to INR158 crores.

The total consolidated debt as on 30th June stood at INR7,183 crores, which constitutes stand-alone debt of INR1,410 crores, which comprise s INR114 crores for equipment and term loans and INR1,296 crores for working capital. Towa rds our BOT division, during the Q1 '25, we recorded a gross collection of INR321 crores as against INR307 crores for Q1 '24, recording growth of 4.8%.

With this, we now open the floor for question and answer. Thank you.

Moderator: We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My first question is on the margins. Margins in thi s first quarter was 7.6%, I think, excluding other income. Do you think that we'll improve the m argins in the balance of the quarter? And

what will be our target EBITDA margin by end of -- for the fiscal year of '25? And can I expect the improvement in FY '26?
Peeyush Jain: So practically, we are around in the range of 7% to 8%. And hopefully, for the next 2 quarters, it would be in the same lines. And this is the new order book that is there in the pipeline and which is already where we are L1. We feel that from third and fourth quarter onwards, we should be in the range of around 9% to 10%.
Mohit Kumar: That's a tie. And what is the full year target list ed for -- what is your aspiration level to go to the margin? Margins have declined from 12% to, I th ink, 7%, has been massive decline in the past few years.
Peeyush Jain: So practically, we had been at around 10% to 12%. A nd as we discussed in the last quarter, we'll be at around 8%. So hopefully, this range of 8% would be there for a quarter or so, and then we'll be at 10%, 12%. This is majorly because of the some projects which we have bagged post-COVID and also we have entered into the new segments as well.
Mohit Kumar: Understood. My second question is on the order expe ctations for the entire fiscal, of course, the elections are over now. Are you seeing that the re is a momentum in the tender pipeline? Are you seeing enough tenders out there which gives you some confidence that the spending for the road sector will be very high in this parti cular fiscal? Last year was pretty bad. Last year there were hardly any in your tendering, that' s the reason I'm asking.
Moderator: Mr. Mohit, does that answer your question?
Mohit Kumar: No. I think I asked the second question, right? Jus t asked the question. Can you hear me? Am I audible?
Peeyush Jain: Yes, it's regarding the order book intake that you are...
Mohit Kumar: My question was more on the NHAI pipeline, how are you seeing that, how do you think -- because last year was pretty bad, and are you expec ting this -- how the things are -- how the tender pipeline looking like at this point of time? And for some comment on the BOT would be helpful.
Peeyush Jain: So total bid proposed pipeline is considering NHAI and other MOD projects to the tune of 3,700 kilometers and would be at around INR93,000 c rores. And th

e ABL pipeline would be --
drops off to INR78 crores out of that, with a lengt h of 2,400 kilometers.

Mohit Kumar: Understood. And how is the new BOT document of new MCA differs from the earlier document. How is it better?
Peeyush Jain: I could not hear it clearly. Can you please repeat?
Mohit Kumar: I just spoke about the current MCA document, Model Concession Agreement is better than the earlier document. I'm asking that, what are the improvements which have happened in the current document compared to the past?
Peeyush Jain: This is per BOT?
Satish Parakh: Could you just repeat the question?
Mohit Kumar: Sir, my question is on the Model Concession Agreeme nt where you just mentioned that there has been -- there's a new Model Concession Agreemen t which has been finalized but for the BOT, how this is better for the developers now comp ared to the past?
Satish Parakh: No, we'll come on this one-to-one call.. It will ta ke longer and since I'm traveling it's on and off the cuttings.
Mohit Kumar: Sure. No issues, sir. I will take it offline. Thank you for answering my question.
Moderator: Thank you. The next question is from the line of As hish Shah from HDFC AMC. Please go ahead.
Ashish Shah: May I request you to update on the status of the mo netization that we had planned? One on the HAM side and the other on the BOT asset side. W here are we on those two processes?
Satish Parakh: So both these processes are at very good advanced s tage and maybe in a month's time we'll be entering into SHA and then, of course, NOC proce ss will take some time.
Ashish Shah: Okay. And there was also a plan to -- an earlier an nouncement of monetizing the other assets of Jaora-Nayagaon and also of Chennai ORR. So again , what's the update on that?
Satish Parakh: Those are under discussions and it may take a littl e longer time for monetization of these two assets.
Ashish Shah: Okay. But in the meantime, you think the ACL BOT as sets and the HAM assets, that can certainly be...
Satish Parakh: Yes. Those are in advanced stage of discussions and we are very much in the range of signing SHA.
Ashish Shah: Sure. Could you update, sir, what's the standalone debt I missed that number. What is the standalone debt for the quarter? And why has that w orking capital been consistently going up? I mean over the last few years I think it's gon e up substantially. So what are the main

reasons for this increase in working capital and wh at are we thinking about it? How can it be brought down?
Peeyush Jain: So standalone debt as at 30th June is INR1,410 cror es and this mainly comprises of working capital requirement loans that we have raised. It's mainly on account of the mix of projects that we have and mainly contributed by the increase d turnover that we have over the last 2, 3 quarters and basis that there is an increase in w orking capital loans and some increase in the quarter is on account of payment of entities th at we had at ACL level, that has been fully repaid now.
Ashish Shah: Okay. So the INR200-odd crores of NCDs at ACL has b een completely...
Peeyush Jain: Yes, It was INR250 crores originally and had been f ully repaid in the range of INR100 crores in the quarter.
Ashish Shah: In this quarter, about INR100 crores.
Peeyush Jain: Yes.
Ashish Shah: But in this overall profile of working capital, you think this is the stable level of working capital as the company could have. There's nothing particular that you think was wrong and can come down in the quarters?
Peeyush Jain: No. It would go down because we are executing the p rojects which require working capital. So as to have a material which is required for a lo nger period of the project. We have a bridge project so there we need centering material and tha t requires more capital -- working cap

ital.
Ashish Shah: Okay. But nothing on the side of electrification pr ojects where working capital could be higher?
Peeyush Jain: Yes. Electrification projects also require working capital, but it gets settled on the basis of the billing period schedule and cycle and we get someti mes mobilization advance also. So practically, it will get settled because once we ar e in the mid or at the end of the execution of the project we should get the realization of that a mount initially invested in for the working capital.
Ashish Shah: Right. And just last thing from me, the L1 position that we have by when do we expect this to be converted into a firm order?
Satish Parakh: Yes, we are expecting this around 15th of September .
Ashish Shah: Sure. But you don't see any risk of cancellation or anything of this L1 position?
Satish Parakh: As of now, there is nothing such. They have been aw arding in the past so I think it should go.
Ashish Shah: Right sir. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Va ibhav Shah from JM Financial Limited. Please go ahead.
Vaibhav Shah: Sir, in first quarter EBITDA margin was around 6.5% in spite of due to other income. So what will be the guidance for the margins after excludin g the other income? So your guidance was including other income or excluding other income fo r the remainder including around 8% for 2Q and 9% to 10% for the second half?
Peeyush Jain: So definitely, it's excluding other income. And if you see in the last quarter, we are in the range of around 7% to 8%. So it should be in lines to that. Sometimes there are 0.5% plus/minus is there on account of certain project c losure and certain impacts.
Vaibhav Shah: So second half should be around 9% to 10%, right?
Peeyush Jain: Yes.
Vaibhav Shah: And what will the number same for FY '26?
Peeyush Jain: So considering the current L1 status and the projec ts that we'll be executing in coming years down the line and the robust order book that we hav e, so we are able to recoup some of the overheads and we feel that it should be in the line s of around 10%, 11%, and then should retain the same.
Vaibhav Shah: Sir, I missed the initial remarks. Can you repeat t he guidance in terms of revenue and order inflow for '25 and '26?
Peeyush Jain: So as far as revenue is concerned, we should be aro und 15%, 20% growth.
Vaibhav Shah: For '25?
Peeyush Jain: Yes, around 20%.
Vaibhav Shah: And order inflow?
Peeyush Jain: Order inflows should be -- we are already at INR3,4 00 crores for quarter 1 and would expect

signing of the same in coming quarters. So on the s ame line, we should be having around
INR10 crores to INR12 crores addition in the year.
Vaibhav Shah: INR10,000 crores to INR12,000 crores for FY '25?
Satish Parakh: Right.
Vaibhav Shah: Okay. Thank you sir.
Moderator: Thank you. The next question is from the line of Ak hilesh B an individual investor. Please go ahead.

Akhilesh: Sir, I have 2 questions. First one is we have recen tly appointed somebody as the head over water vertical. So I wanted to know more what are o ur plans for this vertical, how big we think it can become, and what is the margin profile in the segment?
Satish Parakh: So this vertical we are executing 1 project in Indi a, 1 water project we are executing in Ivory Coast? And we are participating in other projects. As we build qualification, this vertical also will be part of our full range EPC segment.
Akhilesh: And how is the margin profile, sir, in this vertica l? And can you...
Satish Parakh: Margins would be more or less same as all other EPC businesses.
Akhilesh: So around 10%.
Satish Parakh: Yes.
Akhilesh: Okay. And it can be may be 10% of our order book go ing ahead once you get more and more clarification from the system water projects

Satish Parakh: Yes. Now, slowly we are building the vertical. So i t should be 15% to 20% of our entire business, maybe 2 years down the line.
Akhilesh: And sir, second question is on this asset monetizat ion. So as we know that it's been dragging for a while. So I just want to understand whether w e are not happy with the bids that we are getting, or is there some defect in the paperwork s till? How close are we to actually concluding something there?
Satish Parakh: So paperwork and getting all the SHA agreements don e has taken a little more time. But it's now in the shooting range, and will be through very soon.
Akhilesh: So have you finalized something with somebody? I me an basically, most of the investors would...
Satish Parakh: Yes. These are done
Akhilesh: Okay.
Satish Parakh: Very soon we'll be announcing that.
Moderator: The next question is from the line of Prem Khurana from Anand Rathi.
Prem Khurana: My first question was related to our recent order i n Ivory Coast. So we have been talking about international opportunities. Currently, those are around 10-odd percent of our total order backlog. Would you be able to share I mean wh ere do you see this number in 3, 4 years? Is there an in between, India was a was litt le slows in terms of orders which is why you've gone to Ivory or do you keep on exploring ne w markets and irrespective whether India

is store you have enough opportunity here? I mean w hat are the plans for the international geographies in terms of new orders that you're targ eting? And any new geographies that you're targeting besides Ivory now?
Satish Parakh: Yes. So presently, we're working in 6 countries, an d we'll try to focus on these countries and then slowly grow there. This will be an independent vertical. We will add may be in 2 to 3 years' time around 20% of our order book and revenu es.
Prem Khurana: Sure. In all the segments, I mean, coming towards t he buildings that we do India or any particular segment...
Satish Parakh: All the EPC segments which we are present in India, we will be exploring them abroad also.
Prem Khurana: Sure. And sir, when you, I mean, we are on the verg e of closing transaction for BOT tools as well the original 5 projects which we are supposed to sell to KKR so these are 2 aspects wherein the cancellation is supposed to be done wit h by '28 and '29 in Bhandara. I think in between there was this perfection that these who co uld stay out of that agreement that you do. So I mean, what's the status now? Would be go f or all the 5 assets and the SHA you are talking about would be for all the 5 assets or it c ould be for 3 because the other 2 in terms of confession is hardly anything there for the buyer. I mean it's only on 3, 4 years of pending tail period is what is left.

Satish Parakh: Yes. So as I explained earlier, talks are in advanc ed stage for all the 5 BOT projects and all 11 HAM projects. These 2 independent portfolios are at advanced stage where we will be very soon signing SHA.
Prem Khurana: Sure. In Jaora-Nayagaon and Chennai, so that except that...
Satish Parakh: Jaora, Chennai may take a little more time. So Jaor a still we are facing challenges for getting NOC. It requires a change in condition in the conce ssion agreement, which is taking a little bit more time as it requires cabinet approval.
Prem Khurana: Sure. If the buyer is still the same in, or I mean you -- because I mean there's been sometimes that exclusivity is done with, we could look at new buyer as well for Chennai or Jaora...
Satish Parakh: We will come back to you on this. As it develops, w e will come back on it...
Prem Khurana: Sure. And also, I mean, if you could help us unders tand the increase you have seen in the net debt number in this quarter on stand-alone side aro und INR600-odd crores. We've gone to INR1,200 crores. So there's a jump of almost I

NR600 -odd crores. How much of this is -- I mean eventually, would you believe that it is tempo rary and the payment cycles are elongated because of elections and will come down b y and where do you see the debt number by the end of this year?

Peeyush Jain: So practically, it should be on the same lines. It is majorly because the -- if you see the cash balance that we had at the year-end, is compensatin g because there were some collections at the year-end from the government side that payments were done. So practically, there is effective increase of around INR200 crores, INR300 crores, which are in lines to the turnover we had done in the quarter, and also that has been used for the repayment of NCDs at ACL level.
So it should be in the same range, and there would definitely be an increase over a period because that turnover has also increased at a growt h of around 20%, 25% -- 20% around. So definitely, working capital would see a rise.
Prem Khurana: And when you say same line, I mean we are talking a bout the FY '24 levels, right?
Peeyush Jain: Yes, yes. It should be in the same lines of around INR1,200 crores.
Moderator: The next question is from the line of Vasudev from Nuvama.
Vasudev: Yes. Sir, if you can help me with the total equity requirement for the HAM project, how much have been infused till date and what is the pending infusion?
Peeyush Jain: So practically, the pending infusion is around INR1 20 crores and we have invested in HAM projects to the tune of INR919 crores. We have inve sted INR1,170 crores. That is our commitment and out of which INR120 crores is to be done.
Vasudev: Okay. And this INR120 crores, how much will be infu sed in FY '25?
Peeyush Jain: So this would be mostly in the FY '25 only because 2, 3 projects are at the completion stage already.
Vasudev: Okay. And sir, the capex that we're planning for FY '25 and how much have we done in the first quarter?
Peeyush Jain: So we have around capex of INR100 crores, INR110 cr ores. Out of which, in the first quarter, we have done around INR10 crores.
Moderator: Thank you. The next question is from the line of Pa rikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Sir, my first question is on the monetization. So b efore monetization nowadays NHAI is asking for the settlement of all the previous claims for g iving NOC. For all these projects, what is the status on the claims settlement with NHAI? And has that been one of the major issues for which there has been delay in the monetization?
Satish Parakh: Yes, can you repeat it, please?

Parikshit Kandpal: Sir, I was asking that now -- before any monetizati on nowadays, NHAI is asking for a settlement of old claims, which typically concessio n has put on NHAI. So in our case has that been an issue because of there has been delays? And at what stage of settlement are we or reconciliation with NHAI before we can conclusively sign the SHA?
Peeyush Jain: So for HAM, SHA, almost we are at advanced stage fo r most of the projects. And in some there is COD also achieved which is the settlement. And for BOT, some projects are at discussion stage and should happen. So we can take it offline on one to one basis.
Parikshit Kandpal: Sure, sir. Second question is on margins, sir. I me an, sorry, I joined the call a little later. If you

can understand, without other income, what would be the targeted EBITDA margin for FY '25 and '26? Because we have seen delays in recovery of EBITDA margins but now with new orders coming in and depletion of old order books, how do we see the EBITDA margins panning out for FY '25? And which quarter in FY '25 do you think that there will be a significant improvement in the margin trajectory? A nd then the guidance for FY '26.

Peeyush Jain: So as we discussed in

earlier calls as well, so hop efully by second half of this year and most probably by fourth quarter we should have a range o f 8% to 10%, around 9% soon. And for that, this is the addition as rightly said and the increase in the order book inflows for the current year that we expect. So we should have a ma rgins of around 10% for the next year.

Parikshit Kandpal: So 10% in FY '26.

Peeyush Jain: Yes.

Parikshit Kandpal: And the revenue growth in FY '26 is -- what was the growth you are targeting for FY '26?

Peeyush Jain: Around 20%.

Parikshit Kandpal: So this year 20% and next year also 20%.

Peeyush Jain: Yes.

Parikshit Kandpal: And just the last question, sir, on the T&D P. I ju st wanted to understand, not as much T&D P projects are coming. So first of all, are we qualif ied to bid for this? Are we giving any support bids to the developers who are participating in thi s tendering? So beyond 400 kV and 750 kV, 800 kV are we qualified or we will target more on t he RDSS side?

Moderator: Mr. Parikshit, please can you repeat the question f or the management?

Parikshit Kandpal: Sir, on the transmission and distribution side, so are we qualified to bid for T&D P EPC opportunity, which is coming up? So primarily -- or the other way I want to ask, for high voltages like 400 kV or 765 kV or 800 kV, is there any opportunity where in we can participate? Or lastly, our presence will be more i n the lower kV kind of opportunity on the distribution side?

Peeyush Jain: So for 765 kV, we'll not be able to qualify. We'll be -- we're executing on the same lines around 220 kV and up to 300 kV.

Parikshit Kandpal: Up to 300 kV you will be basically tendering partic ipating in the tender up to 300 kV. Okay, sir, my questions are answered. Thank you.

Moderator: Thank you. The next question is from the line of Ni teen Dharmawat from Aurum Capital. Please go ahead.

Niteen Dharmawat: Yes, thank you for the opportunity. Okay. Sir, you mentioned about in the commentary about the projects from NHAI but you were not completely audible. So can you please repeat that particular part? How do you see projects coming fro m NHAI? And what is the situation now? Is it the similar kind of thing? Or is there any ch ange that you see after the election results?

Satish Parakh: So practically, there were no orders last quarter a nd in the first quarter also there was a little bit delay or something. So we are expecting that th e order book pipeline to be in the current year should be to the tune of around 3,700 kilomete rs and which will comprise of INR93,000 crores, is the total. And we proposed around 2,400 kilometers for our pipeline to the tune of INR78,000 crores. This is including NHAI, MoRTH and we should have major inflows in Q3, Q4.

Moderator: Mr. Niteen, does that answer all your questions? Th e current partisan seems to have disconnected we will take the next question, which is from the line of Jyoti Gupta.

Jyoti Gupta: Can you please give me the breakup of revenue from international operations? What would be the breakup of domestic versus international?

Peeyush Jain: So presently, domestic versus international in the current quarter is around 15%, 20% that we have executed. And it should be in the same line, a range of around 10% to 12%.

Jyoti Gupta: For the next few quarters, it will be 10% to 12%.

Peeyush Jain: 10% to 12%, yes.

Jyoti Gupta: And in terms of EBITDA, which is more lucrative, do mestic or the international?

Peeyush Jain: So practically it's in the same line, maybe 1% or 2 % more.

Jyoti Gupta: Okay. My other question is on the depreciation side . Do you expect depreciation going down significantly in the next 2 quarters? Because as I understand, a lot of machines which are getting exported which actually -- will be actually disposed in the foreign lands. Therefore, new machines obviously, you look at dep

reciation ma y be half of a year?

Peeyush Jain: So practically, for depreciation for overseas, we h ave a policy of charging extra depreciation considering the overseas exposure and movement of t he machinery. So we feel that it should be in the range of around INR20-odd crores for quar ter-on-quarter basis. And as per our policy, substantial addition is done in this year, which we expect around INR100- odd crores.

Then we'll have an addition of depreciation to thos e assets and should be in the range of
INR20 crores, INR25 crores, because we have a polic y of expected lines based on WDV
method.
Jyoti Gupta: Okay. And is the revenue from international operati ons being billed up in the total revenues
on a consol level? Is the money we booked here as w ell repatriated into India?
Peeyush Jain: Yes, this is a project which are executed through b rands, so all the turnover is captured as a
standalone itself.
Jyoti Gupta: Okay. And there is repatriation from international assets?
Peeyush Jain: Yes. Also majorly projects that we are doing are Ex im funded.
Jyoti Gupta: My other question is, sir, that while we don't see a substantial increase in the projects, yet
our cost of materials on an overall basis plus has actually increased. Any special reason? Is it
to do with procurement of mines?
Peeyush Jain: No, it's not mines basis. But practically, if we ha ve to take both the expenses put together,
cost of material as well as the construction and ot her net expenses, because the mix of the
projects that we execute depends on the nature of s ubcontracting that we have given.
Jyoti Gupta: So on an overall basis, what is the average subcont racted contribution which actually deters
the revenue side for the company?
Peeyush Jain: So it depends on a case-to-case basis. So would be difficult on one to one basis that how
much is there. But it should be in the range of aro und 30%, 40%, and then material costs
around 40%.
Jyoti Gupta: Okay. Sir, what is the status of international proj ects if there's the delays -- 2 questions. One,
are we still having issues with procurement of land ? And if so, where? And the other thing is
if there is a deficit of projects within India, do we see that being compensated from
international projects?
Peeyush Jain: So as we...
Satish Parakh: So independent strategy and international vertical is developing on its own. Particularly,
second generation has taken over it. We're already working in 6 countries, excluding India,
which will grow on its own. And naturally we have s ufficient bandwidth and manpower to
take up national projects.
Moderator: That answered all your questions, right?
Jyoti Gupta: Yes.

Moderator: The next question is from the line of Vishal Periwa l from Antique Stock Broking. Please go
ahead.
Vishal Periwal: I have just 1 question. In a consol-wise result, I think the BOT Annuity projects, that line item
which is there, revenue is largely flattish to marg in decline, but our segment in which is a EBIT
has seen a pretty sharp improvement. So is there an y one-off in this BOT Annuity projects in
terms of margins for us in this quarter?
Peeyush Jain: No, practically, it's mainly on account of the redu ction in the interest deficit there. The
allocated interest for BOT projects and other proje cts. And HAM projects income come on
the basis of the IRR, so this is the future collect ions that we expect and the increase in the
rates of interest gives us the better IRR, and acco rdingly, the margins in that segment
increase.
Vishal Periwal: Okay. So the margins that we are seeing in this qua rter, probably that will kind of...
Peeyush Jain: Yes. That is true.
Vishal Periwal: Okay. Sir, that's all from my side. Thank you.
Moderator: Thank you. As there are no further questions, I wou ld now like to hand

the conference over
to Ms. Jyoti Gupta from Nirmal Bang Equities for cl osing comments.
Jyoti Gupta: Thank you, Shlok. And very sorry for the technical issue that we had in the beginning. At the
same time, thank you, management, thank you, partic ipants. Over to the management for
closing comments, please.
Peeyush Jain: Thank you. I hope we have been able to answer most of the queries. We would look forward
for your participation in the next quarter. For any further queries, you may contact SGA, our
Investor Relations. Thank you from our side.
Moderator: Thank you, sir. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you
for joining us, and you may now disconnect your lin es.

Call: Nov 2024

Ash oka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Li sting Department
BSE Limited National Stock Exchange of India L imited
Floor 25, P. J. Towers, Exchange Pl aza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code : 533271 Scrip Symbol : ASHOKA E Q.

November 21, 2024

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on November 13, 2024 in respect of Unaudited Standalone and Consolidated Fi nancial Results for the quarter and half year ended September 30, 2024.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildcon Limited
Q2 FY '2 5 Earnings Conference Call ”
November 13, 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange s on 13th November 2024 will prevail .

MANAGEMENT : MR. SATISH PARAKH – MANAGING DIRECTOR – ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER – ASHOKA BUILDCON LIMITED
SGA – INVESTOR RELATIONS ADVISOR

MODERATOR : MS. JYOTI GUPTA – NIRMAL BANG INSTITUTIONAL EQUITIES
Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of Ashoka Buildcon Limited hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on a touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Equities. Thank you, and over to you, ma'am.
Jyoti Gupta: Thank you, Mus kan. Hello, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you all to the Ashoka Buildcon Limited Quarter 2 FY '25 Earnings Conference Call. We have with us Mr. Satish Parakh, Managing Director; and Mr. Paresh Mehta, Chief Financial Officer.
Without furth er ado, I request Mr. Satish Parakh, sir, to start with his opening comments. After which, we can open the floor to question and answer. Thank you, and over to you, sir.
Satish Parakh: Thank you, Jyoti. Good afternoon, everyone. Hope everyone ha d a great Diwali festival, and all are doing well. On behalf of Ashoka Buildcon Limited, I extend a warm welcome to everyone joining us today to discuss our business and financial results for quarter and half year ended 30th September 2024. On this call, we are joined by our CFO, Mr. Paresh Mehta, and SGA, our Investor Relations Advis or. Let me begin by giving an industry overview. India is experiencing a massive boost in road infrastructure investment, bringing a major shift in connectivity and economic g rowth. To support rapid growth in the transport network, the National Highway Authority of India, NHAI, has launched ambitious road development projects. And these actions aim to cut travel times, improve freight movement, and build a strong road system for the future of India.
Through national monetization plan, NHAI has attracted substantial investment from both local and global sources using creative financing approaches. These include focusing on toll operate and tran sfer projects and infrastructure investment Trusts , which have helped scale up road development efforts like never before.
Road investment in India has sp eed up significantly in recent years. NHAI has awarded 16 TOT bundles raising about INR49,000 crores and has also raised around INR25,900 crores through its Inv IT under the NMP . A key factor driving this growth is the strong increase in toll revenue, bolstered by development like FASTag , regular toll rate adjustments for inflati on, and overall economic

growth. Over the past 5 years, total toll collection has grown by 2.6x, reaching around INR65,000 crores in FY '24. These measures have supported higher passenger and freight traffic, significantly increasing the revenue for the country.
Coming to the company. Ashoka Concessions Limited, a subsidiary of the

company, has entered into share purchase agreement with Indian Highways Concessions Trust inter alia for divestment of its 5 subsidiaries. The aggregate enterprise value of the transaction is either INR5,718 crores, subject to adjustment of cash and debt, translating into an equity value of INR2,539 crores.
The company has entered into SPA to acquire 34% of equity of ACL, along with 7,741,250 Class A CCDs and 2,00,00,000 class B CCDs from Macquarie SBI Infrastructure Investment Private Limited and SBI Macquarie Infrastructure Trust for INR1,526 crores.
The company, along with its subsidiary, Viva Highways Limited and ACL, has entered into an agreement with investors for the following transaction which shall be subject to completion of sale of certain project assets of ACL and the company and thereby providing an exit to the investors from ACL.
Post acquisition of ACL securities held by investors, ACL would become a wholly owned subsidiary of the company with effect from the date of acquisition of ACL securities. Viva Highways Limited, a subsidiary of the company, to acquire investments of investors totalling 7,46,20,000 equity shares, comprising of 26% equity share s held in Jaora Nayagaon Toll Road Company private Limited at an aggregate consideration of INR150 crores.

Mon etization of land. - Land owned by Viva Highways Limited, a wholly owned subsidiary, under its real estate portfolio situated at Hinjewadi, Pune, has been monetized for a total consideration of INR453 crores.
Now on the projects front, let me give you an update. The company has a received a completion certificate for its HAM project: Four -laning of NH -161 from Kandi to Ramsanpalle in the State of Telangana from August 2024. The project is executed by Ashoka Kandi Ramsanpalle Road Private Limited, a

wholly owned subsidiary of the company. The SPV has received a certificate for completion of entire project stretch of 39.98 kilo meters. Consequent to this, the SPV will receive annuity for the entire stret ch 39.98 kilo meters.
The company has received 3 LOAs from Mumbai Metropolitan Region Development Authority, MMRDA, in October 2024 aggregating to INR1,737.86 crore. Company has also received LOA from CIDCO for EPC project, which is for the integrated inf rastructure development under NAINA project for a value of INR1,673.24 crores. This is in JV where the company is the lead member with 51% stake.
The company received a letter s of acceptance for Maharashtra State Road Development Corporation, that is MSRD CL, in October 2024 for an aggregate value of INR2,309.99 crores. Company has also received LOA for the BMC project of construction of flyover at T Junction on Sion Panvel Highway with project value of INR1,126.58 crores inclusive of GST.
Company received the provisional completion certificate from NHAI project, where the company has informed September 15, 2024, as the commercial operation date for a stretch of 39.07 kilo meters as per letter issued by independent engineer for its HAM project of N HAI, on Hybrid Annuity Mode under Bharatmala Pariyojana. The project is executed by Ashoka Baswantpur Signodi Road Private Limited, a wholly owned subsidiary of the company.
The SPV has received a provisional completion certificate of 39.07 kilo meters of the total stretch 40.6 kilo meters. Upon the declaration of COD, the SPV is eligible for receipt of annuity from NHAI for the operational period of 15 years at the interval of every 6 months from September 15, 2024.
In addition to this, Ashoka Buildco n Limited is also declared as the lowest bidder, L1, for MSETCL project on November 1, 2024. It's a domestic project for establishment of 400/220 kV substation EPC work at Nandgaon Amravati . The project bid price is INR312.3 crores including GST.
Coming t o the order book status. As on September 30, 2024, our balance order book stands at INR11,104 crores. This excludes additional orders received from projects post September '24 worth INR4,320 crores and also

excludes L1 of INR265 crores. The total of curren t order book stands at INR15,424 crores.
The breakup as on September ' 30 is Road and railway project compromise around INR6,582 crores, which is 59.3% of the total order book. Among the road project order book, HAM projects are to the tune of INR844 crores and EPC road projects are worth INR5,185 crores , and railway is around INR844 crores. Power T&D accounts for INR3,939 crores, which is approximately 35.5% of the total order book. The total EPC building segment is INR583 crores, which is 5% of the total order book.
To conclude, let me say this again, that at our primary focus remain s on maintaining a sustainable EPC business in segments encompassing highways, railways, power transmission, distribution, and buildings.
This is all from my side. I would now request Mr. Paresh Mehta to present the financial performance. Thank you.
Paresh Mehta: Thank you, sir. Good afternoon, everyone. Starting with the standalone numbers for Q2 and H1 FY '25. The total in come of Q2 FY '25 stood at

INR1,459 crores as compared to INR1,590 crores in Q2 FY '24 with a drop of approximately 8%. EBITDA for the quarter stood at INR160 crores with an EBITDA margin of 11%.
Finance costs during the quarter has increased by INR18 cro res on a Y -o-Y basis due to an increase in long -term borrowings. This is largely on account of increase in working capital cycle of power orders and constitutes interest paid to 100% subsidiaries where the funds are being borrowed fro m the 100% subsidiaries.
PAT stood a INR36 crores for the quarter. For H1 '25, the total income stood at INR3,295 crores as compared to INR3,093 crores, a growth of 7%. EBITDA for the period stood at INR305 crores, a growth of 14% with EBITDA margins impr oving by 60 basis points to 9.1%. Reported PBT grew by 4% to INR121 crores and PAT is INR77 crores.

Our revenue contribution for each segment for Q2 FY '25 is as follows. Road EPC and road HAM contributed 49%. Power EPC contributed 28%. Railways stood at 12%. And other segments, like building EPC and others, contributed to 11%.
Coming to the consolidated results. The total income for Q2 FY '25 stood at INR2,489 crores as compared to INR2,154 crores in Q2 FY '24, which has seen a growth 16%. EBITDA for the quarter stood at INR945 crores, a growth of 61% Y -o-Y. PAT grew by 334% Y -o-Y to INR463 crores.
For H1 FY '25, total income stood at INR4,954 crores as compared to INR4,090 crores as on Q2 FY '24, registering a growth of 21%. EBITDA for the quarter stood at INR1,573 crores, a growth of 43% year -on-year. PAT stood at INR620 crores, growth of 269%.
Total consolidated debt as on 30th September 2024, stood at INR6,881 cror es. The stand -alone debt is at INR1,317 crores, which comprises of INR109 crores of equipment and term loans and INR1,209 crores for working capital loans.
In Q2 FY '25, in our toll collection division, the company recorded a gross toll collection of INR316 crores as against INR297 crores in Q2 FY '24, recording a growth of 6%.
With this, we now open the floor for question and answers. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: My first question is that in the first half, we have grown by 7%. But if I see your debt, it has gone up to INR2,200 crores, including from s ubsidiaries. So it's a jump of almost INR950 crores. So and even the working capital seems to be very weak in the first half. So what is happening on this front ? Working capital has substantially increased, debt has gone up significantly. So how do we look , so what are the key reasons for this? And how do we look for these numbers in coming quarters?

Paresh Mehta: So it's typically as one of the point s that we've given, is that working capital on the power sector which we had won a lot of contracts in '23, have been executed largely in these 2 years, 1.5 years, wherein the working capital cycle in the power sector is longer, elongated. That is the reason these working capital cycle has increased, which has been typically funded both by loan from subsidiaries as well as loan from the working capital lenders. So what we expect is by -- these projects will come to an end by March to June next year, and where we'll see this number is going down by INR300 crores to INR400 crores at least.
Parikshit Kandpal: No, sir, I'm just talking about this quarter. So even if I look from March to September, the debt is up by INR800 crores. So in 6 months, what has gone up? Because are there one thing is that your margins are not coming. So you are supporting the projects. And since the cash flows is a shortfall, so you are supplementing it with increa

sed debt. And that means that the debt will eventually become very sticky, and it will not reduce. So this INR2,200 crores stays on your balance sheet, and you will look forward to only reduce it from the cash flows from the monetization pro ceeds.
So because this is only 6 months, I'm not talking about -- even YoY, 6 months is INR800 crores, Y -o-Y, 12 months, it's almost INR950 crores. So there's not much of a difference on this. But what we know that has happened over the last 6 months.
Paresh Mehta: Yes. So basically, I just said, there is a large requirement of working capital in the power sector and certain receivables in the road sector where the projects are coming to an end and there are certain receivables which will be received, a s well as the project is handed over totally because these are projects coming to an end. So we will see the change. No doubt that there is ramp -up in this quarter. But if you also see, as of June 30, there was a large cash balance which was used for workin g capital.
So if that cash balance would not have been there and what would have been used for reducing the debt, then this difference should not be that much. If you see as of June 30, they were almost cash balance of INR357 crores which are receivables received at the end of the quarter June 30. The effective

increase in working capital debt between June 30 and September 30 is to be adjusted for almost INR300 crores of cash lying in the books as of June 30.
Parikshit Kandpal: Okay. I'll take it off -line, sir. I'm still not able to understand. I'm going to take it off -line. Our numbers are not matching.
Second question is on the margin. in Q3 or Q4 FY '24, you have said that -- FY '23, you had said that the margin will continue for 2 more quarters or 2, 3 quarters. And then every quarter, that deadline has been shifting back to 3 quarters. The only thing which has remained constant is that shifting of quarters by 2, 3, and we have already behind schedule by almost, I think 3, 4 quarters. And we're still no t able to reach double -digit margins.
So my question is that why don't we do cost of completion accounting and take the write -off on all these projects, and we move to normalized margin? Because this plain the guidance is not being met, and every time, I'm missing it. So when do we get to that double -digit number is a big question now because, again, last quarter, you said 2, 3 quarters. So now do you think that in Q3 or Q4, we'll be back to double -digit margins.
Paresh Mehta: No, I don't think so we'll be back on double -digit margin. It's not due to that we can change the margin. Margin's at what have been settled for the past 2, 3 years for these proj ects. And these projects are coming to an end. The new projects, whenever the deals take off -- probably February or March, the new projects have been -- which have already coming, which are better margins.
So the double -digit numbers would be seen only in Q1, Q2 FY '26.
Parikshit Kandpal: The original deadline almost moved ahead by almost a year. So we expect it now Q2 FY '26, that we start hitting double -digit margins?

Paresh Mehta: Yes.
Parikshit Kandpal: Just the last question. What was the total order inflow for the financial year to date in '25?
Satish Parakh: Around INR6,000 crores.

Parikshit Kandpal: The guidance for the full year? So if you can give some color on full year guidance, and how is the bid pipeline looking? So that's my last question.
Satish Parakh: So bid pipeline is there. Around INR1 lakh crore bidding is there from NHAI. Out of which, INR65,000, we'll be participating. There are bids to be opened of around INR9,000 crores which we already bid. And bid opening is yet to balance. And we hope we should pick up around INR

4,000 crores to INR5,000 crores in balance part of the year.
Moderator: The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: My first question is, sir, are we still maintai ning your guidance of 10% growth in revenues for the entire fiscal F '25 and EBITDA of 9.5%? Or do you think that EBITDA will beat the EBITDA guidance?
Paresh Mehta: So on the execution side, keeping in view the orders which have come in and their expected date of start of activities, we believe that the revenue top line may be flattish for this year, so what we have said or thought in the last quarter. As far as EBITDA concerned, we expect at least it should improve by 0.5% for the next 2 quarters.
Mohit K umar: 0.5%. but you have in terms of 9% for the next 2 quarters?
Paresh Mehta: 8.5%.
Mohit Kumar: 8.5%, the number we achieved in the Q2, it's your number.
Paresh Mehta: Then Q4 -- then we start our new orders. That time, the revenues will then start looki ng into that 10 -plus numbers.
Mohit Kumar: Given the fact that we have been doing below 10% for a very long time, what makes you confident of getting into double -digit for the project which you won earlier? Were there the fixed price contract? What is diff erent about the new orders?
Paresh Mehta: Yes. As we -- because explained in the last few, couple of quarters. The margins have been lower on the projects which we have won in the last 2.5, 3 years post -COVID. So that's the intrinsic part of it. These orde rs now being -

- coming to an end, will change. And we now continue to bid at double -digit margins, 11% to 12%. So these are for orders which were taken in the past, and the impact of -- as they were fixed price contract, the impact of inflation or increase in prices have had an impact on the margins.
Mohit Kumar: My last question is Jaora -Nayagaon and Chennai ORR. Are you looking to sell these assets to N IIF? Where we are right now?
Paresh Mehta: So as far as NI IF SPA was concerned, it had a long stop date which has expired quite some time back. So presently, it is not on , the SP A is not live. But we continue to engage. We -- as far as Chennai ORR is concerned, we could consolidate our stakes. And we are in the process of structuring the debt on that and then take it to the market for sale.
As far as JTC L is concerned, we are still awaiting permissions from the state government, MPRDC, for a transfer of 26% of shares. And in that -- meanwhile, we'll also try to consolidate the balance 26%, which is being held by Macquarie.
Moderator: The next question is from the line of Hari Kumar, an Individual Investor . Please go ahead.
Hari Kumar : Yes. My question is regarding 35% stake by INR1,500 crores, and the total sale consideration we are getting is INR2,500 crores. Am I right, sir?
Paresh Mehta: Yes, for the BOT projects, correct.
Hari Kumar : Yes. So for 60%, we are getting only INR1,000 crores. Or I am wrong on my assumption, sir?

Paresh Mehta: So these sale of assets are presently only of the 5 BOT projects, for which SP As have been signed. We also have other assets in ACL which will represent the balance, 66%, also. So having acquired 34% from SBI Macquarie, post that, all the other assets will be part of 100% ownership of ABL. So we have HAM projects, 7 HAM projects under ACL, plus certain shares o f Jaora -Nayagaon, which also is of value to be available to ABL for monetizing.

Hari Kumar : Okay, sir. And my second question, sir, this land sale by our subsidiary has been recorded in this September quarter account, sir? Or it's not yet included in the books?

Paresh Mehta: It has been recorded, and it has it is reflected in the consol numbers because this land sale was held by the 100%

subs idiary of Ashoka Buildcon Limited,
Viva Highways Limited . And that's the reason we see the consol numbers quite robust.

Hari Kumar: Okay. It's not shown as other income. It has been shown as regular income, sir?

Paresh Mehta: Yes. It's because the land pur chase/sale is part of VHL's business, so it showed a regular revenue.

Hari Kumar: Okay. Sir, my last question, sir, regarding the end of the year. Can you give an estimate of the consolidated debt profile because of the sale? How much are we going to end up as an estimate, sir?

Paresh Mehta: So by the end of this quarter -- by end of this year, we probably -- the INR6,800 will be used by debt, which is already on the 5 BOT projects of INR2,400. If that deal happens, that will go down. Certain debt on the HAM projects also will go down, which we intend to sell. So today, it's difficult to estimate what exactly, but we expect that at least of INR3,000 crores, INR3,500 -odd crores of debt definitely will go down before March. And then balance will happen in post March.

Moderator: The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: So on the margins front, just a clarification. So you mentioned the second half margin may be 50 basis points higher than what we have done in the first half. Is that fair...

Paresh Mehta: You could expect do that, yes, definitely.

Vishal Periwal: Okay. So I mean, like in the first half is almost like 7.5% to I mean, it's touching like 8% in the second half. That's what we could see. Okay.

And then second, on this transaction that we have done. So HAM asset is not part of it. So any color that you can provide, like anything that is happening on that front?

Paresh Mehta: So we are -- as we have stated in the past, an d we are constantly engaging. And we expect that in the next couple of weeks, we should be able to sign on the SPA for the HAM projects also.

Vishal Periwal: Okay. So which means basically, I mean, probably in this quarter itself, I mean, that's...

Paresh Mehta: Yes, yes.

Vishal Periwal: Okay. And then this couple of the sort of BOT assets that we have done, so there were impairments that was taken. So I mean, like can you highlight, like will this lead to a write -back or anything on that front in the comin g quarters? Or anything that you can share with us?

Paresh Mehta: So there will be impairment at ACL level which will be reversed once these assets are sold off, which is almost -- at ACL balance sheet of almost INR800 crores. And at ABL balance sheet, the re could be a reversal of approximately INR250 crores to INR300 crores post sale.

Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang Equities. Please go ahead.

Jyoti Gupta: As I heard correctly, you said that the current order bo ok will be executed in

the next, let's say, 3 quarters. And then you would be bidding in for projects
which will give you double -digit margin. What projects would that be, sir?
Paresh Mehta: No, no. What we have clarified is that the new projects which we have won, there they the execution of that will largely start somewhere in the last month of FY '25. And then it will be full swing in FY '25, '26, wherein then, we will be in a position to book a double -digit margin.
Jyoti Gupta: Okay. All right. So wh at is the current , how do we see this quarter? I mean, we see that the second quarter was impacted becaus e of several reasons. How do we , how should we see third quarter now? Has the execution picked

up pace? And fourth quarter, you are more positive. So are there green shoots here?
Paresh Mehta: So we as we said, primarily, we will end up this year, '25, in a flattish sense. So we'll have a marginal growth

in the revenue based on the existing order book, which is getting over a period of time. So ov erall, we will do the similar turnover, which we did in last year -- last half year, H2.
Jyoti Gupta: Okay. And what would be the outlook for FY '26, sir?
Paresh Mehta: FY '26, based on this order book, and maybe next order book, we should definitely look at after getting new orders, to grow by 10% to 15%.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Sir, this land sale is reflected in which line item in the consolidated?
Paresh Mehta: In the revenue only, I will just see Revenue from operations.
Parikshit Kandpal: Sir, how much is INR400 crores , how much INR430 crores , how much is there in there? ?
Paresh Mehta: INR453 crores.
Parikshit Kandpal: And you have received the payments, the payments also against this?
Paresh Mehta: Yes.
Parikshit Kandpal: Okay. And so what is this arrangement with the subsidiary, the land debt which has gone up from a subsidiary? If I do the math from presentation, that the balance sheet, there's a difference. So what is that arrangement with the subsidiary?
Paresh Mehta: Regarding what?
Parikshit Kandpal: So this INR950 crores difference between the presentation debt of INR1,317 and the balance sheet debt INR2,250 crore s. There is a difference of INR950 crores. So which has increased over the year, this number has been increasing, the difference between the two. So what is that...

Paresh Mehta: INR950 crores is loan recei ved from the subsidiaries.
Parikshit Kandpal: Is this for working capital?
Paresh Mehta: Which has been used for working capital.
Parikshit Kandpal: So instead of banks, you're borrowing from subsidiaries, the INR950 crores.
Paresh Mehta: It's 100% subsidiary. Like whatever land was monetized , this INR450 crores, most of it was upstreamed to ABL for ABL's operations.
Parikshit Kandpal: Now do you think this is the peak debt? I mean, with now the growth improving, this working capital debt of INR2,250 crores, including the INR950 crore subsidia ry debt. So this will keep ballooning from here also as the growth picks up? Or this is a peak debt now?
Paresh Mehta: From a turnover perspective, it's a peak debt. But from perspective of realization of monetization money and a mix of new HAM projects and BOT prices coming up, we cannot immediately say what how they could peak out. But I think we should be close to a peak.
Parikshit Kandpal: But what could be the non -recurring part in this? I mean, because we were under assumption that once you do the BOT, there'll be some release of cash, which is not there
Paresh Mehta: Agreed. There will not be, but this will happen maybe ne xt year, '25 -'26.
Parikshit Kandpal: Is this a way of telling that the INR2,200 crores will keep sitting now for some

quarters before it starts reducing?
Paresh Mehta: Yes, by Q4 or Q5 , sorry, Q1 '26, it will start reducing.
Parikshit Kandpal: So without the repayment , I mean, without repayment from the monetization proceeds. So on an absolute basis, as the margins come back and we generate operating cash flow, will this number start reducing?
Paresh Mehta: Yes, definitely.
Parikshit Kandpal: But increasing from here on, you don't see significant headroom for this to grow from here now?

Paresh Mehta: I don't expect because they are almost substantial working capital has been provided for the projects. And the projects will now be throwing back the realization of debtors and the other WIP, which will then rationalize the working capital.
Parikshit Kandpal: So what's the impact of delayed connections from the clients which have impacted or elevated this working capital

? Because all the companies have seen that, during this quarter, there has been delay from release from the government agencies. Maharashtra has been in 2 elections. So will you attribute a part of this increase also to that? Or this is the normal business course increase in the debt?
Pare sh Mehta: Largely based on the working capital cycle. Of course, partly also on these slight delays in payment being released due to various non -administrative reasons. But capital cycle plays that way. So power projects which have been which require in itial capital for procurement and other things, they take up a lot of working capital requirement because on the purchase side, there's a lot of competition buying so you need to pay the vendors.
Parikshit Kandpal: But sir, when I look at the cash flows on the stand -alone side, actually the increase is coming because the trade payable is going down. So not because of...
Paresh Mehta: we have used that money for you say the trade payables more, but correspondingly, the election has been slower at the -- from the client side.
Parikshit Kandpal: But trade payables for what? Wh at kind of trade payables have
Paresh Mehta: It was for the buyers and vendors for my power and road projects .
Parikshit Kandpal: Okay. And so you've given the m advances for procuring the...
Paresh Mehta: If you see that, trade payables have gone into WIP and debtors from purchase of materials for my power projects.
Moderator: The next question is from the line of Vasudev from Nuvama Wealth. Please go ahead .

Vasudev: So sir, after we've acquired the 34% from SBI Macquarie for INR1,526 crores. Will there still be anything remaining to be paid after that? And when do you expect this acquisition to get completed?
Paresh Mehta: So as far as ACL is concerned, after payment of INR1,526 crores, Ashoka Buildcon will become 100% owner of ACL. We expect this transaction the long stop date for this transaction is June '25, and we expect to get that done somewhere in the month of March -- April, May '25.
Vasudev: Okay, okay, sir. And for the Jaora -Nayagaon, the Chennai ORR, any tentative timelines when we might again start to look for monetization of these projects?
Paresh Mehta: See, this will happen somewhere in '25 -'26. We recently f ocus on the BOT and HAM projects which we have already signing on.
Vasudev: Perfect. Okay, sir. And sir if you can help me with the total equity requirements for the HAM project. How much have you already infused? And how much do we plan for FY '25 -'26?
Paresh Mehta: The balance equity for our current HAM projects is approximately INR100 crores.
Vasudev: Okay. And how much of this would be infused in H2 then?
Paresh Mehta: It should be totally infused before March.

Vasudev: Okay. And lastly, sir, what is th e capex that we did in H1? And how much are you planning for the second half?
Paresh Mehta: So in H1, we did capex of approximately INR33 crores. And in H2, we may prepare another INR35 crores to INR40 crores. That's H2, sorry. Not FY, H2.
Moderator: The next question is from the line of Anant Mundra from My temple Capital. Please go ahead.
Anant Mundra: Sir, what was the book value of the land that we sold in this quarter?
Paresh Mehta: So approximately INR65-odd crores. INR65-odd crores.

Anant Mundra: Sorry, I missed the numbers. How much was it?
Paresh Mehta: Approximately INR65 crores.
Anant Mundra: INR65 crores.
Paresh Mehta: Yes.
Anant Mundra: So - and INR65 crores, we've recorded a revenue of INR435 crores, correct?
Paresh Mehta: Yes, plus other expenses, net, we are recording a profit of INR370 crores.
Anant Mundra: INR370 crores. And sir, after this monetization, what is the land bank that we have remaining? The

book value of the land bank that we have?
Paresh Mehta: So we would have approximately INR210 crores of land bank with our subsidiaries which will be available for sale, and which could have maybe a value 3 x to 4x at least. These are land banks on an average hold of 6 to 7 years.
Anant Mundra: Okay. All right. So sir, in spite of these INR435 crores flowing in this quarter, the consol debt has not been reduced. And the reason for that? Is that understanding correct on the power projects are over That should again normalize and start...
Paresh Mehta: Largely, this amount has been utilized for payment of -- the payables of power and EPC projects.
Anant Mundra: Got it. And sir...
Moderator: I'm sorry to interrupt, sir. Your voice is breaking, sir.
Anant Mundra: Is this better? Hello?
Moderator: Yes. Now it's better.
Anant Mundra: So what is the total equity plus loss funding that we've done for the 5 BOT projects that we're going to monetize?
Paresh Mehta: Approximately INR2,300 crores.

Anant Mundra: INR2,300 crores. Against that, we are getting about INR2,500 crores, right? INR2,500 crores to INR2,600 crores.
Paresh Mehta: Right.
Anant Mundra: And some INR1,500 -odd crores is what they're going to pay to SBI Macquarie, which is already provided for in the book.
Paresh Mehta: Right.
Anant Mundra: All right. And sir, what was the -- I mean, if you have that number handy, these 5 BOT projects would have contributed to how much PAT for FY '23 and '24?
Paresh Mehta: I would not have it off hand.
Anant Mundra: But was it profit -making?
Paresh Mehta: What?
Anant Mundra: Were they making profit?
Paresh Mehta: The EBITDA definitely will be positive. And most of the projects would be plus also. Maybe you can take it off-line, and I could give you that data.
Anant Mun dra: Got it, sir. And sir, this land parcel that we sold, is this has this been sold with some related party?
Paresh Mehta: No, no. It has been sold. We have declared it was sold to Microsoft India.
Moderator: Thank you. As there are no further question s from the participants, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Paresh Mehta: I hope we have been able to answer most of your queries. We look forward to your participation in the next quarter call. For any further questions, you may get in touch with SGA, our investor relations Advis ors, or ourselves.

Thank you.
Satish Parakh: Than k you. Thank you, everyone.

Moderator: Thank you very much. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Thank you.

Call: Feb 2025

Ash oka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Li sting Department
BSE Limited National Stock Exchange of India L imited
Floor 25, P. J. Towers, Exchange Pl aza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code: 533271 Scrip Symbol: ASHOKA EQ.
Debt CP Codes: 728322, 728530
Debt NCD Codes : 976190, 976191, 976192

February 17, 2025

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on February 11, 2025 in respect of Unaudited Standalone and Consolidated Fi nancial Results for the quarter and nine months ended December 31, 2024.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildcon Limited
Q3 FY25 Earnings Conference Call”
February 11, 2025
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchanges on 11th February 2025 will prevail.

MANAGEMENT : M R. SATISH PARAKH – MANAGING DIRECTOR –
ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA – CHIEF FINANCIAL OFFICER –
ASHOKA BUILDCON LIMITED
MR. PEEYUSH JAIN – ASST . VICE PRESIDENT - ACCOUNTS
ASHOKA BUILDCON LIMITED
SGA – INVESTOR RELATIONS ADVISOR –
ASHOKA BUILDCON LIMITED

MODERATOR : M R. BHAVIN MODI – ANAND RATHI SHARES AND
STOCK BROKERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Ashoka Buildcon Limited Q3 FY '25 Earnings Conference Call hosted by Anand Rathi Shar es and Stock Brokers Limited.
This conference call may contain forward-looking s tatements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future perform ance and involve risks and uncertainties that are difficult to predict. As a reminder, all partic ipant lines will be in the listen-only mode and there will be an opportunity for you to ask questio ns after the presentation concludes. Should you need assistance during the conference call, ple ase signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Bhavin Modi f rom Anand Rathi Institutional Equities. Thank you, and over to you, sir.
Bhavin Modi: Hello, everyone. On behalf of Anand Rathi Instituti onal Equities, I extend a warm welcome to the Ashoka Buildcon Limited Q3 FY '25 Earnings Confe rence Call. We are pleased to have with us today Mr. Satish Parakh, Managing Director; and Mr. Paresh Mehta, Chief Financial Officer.
Without further delay, I invite Mr. Satish Parakh, sir to share his opening remarks following which we will open the floor for a Q&A session. Ove r to you, sir.
Satish Parakh: Yes. Thank you, Bhavin. Good afternoon, everyone. On behalf of Ashoka Buildcon Limited, I extend a warm welcome to everyone joining us today to discuss our business and financial results of Q3 and 9 months ended 31st December, 202 4. On this call, we are joined by our CFO, Mr. Paresh Mehta; VP Accounts, Mr. Peeyush Jai n; and SGA, our Investor Relations Advisor.
Let me begin by giving an industry overview. India remains committed to advancing its major infrastructure projects, driving forward its remark able growth trajectory. With a vast road network spanning over 3.3 million kilometres, the c ountry's road infrastructure plays a pivotal role in the development of key economic sectors. No tably, while national highways make up just 2% of the network, they extend over 66,500 kil ometres, serving as backbone of connectivity and economic progress.
In the recent Union Budget 2025-'26, the governmen t has reinforced its commitment to infrastructure by allocating INR11.21 lakh crores t o the sector. Additionally, an outlay of INR1.5 lakh crores has been proposed for 50-year in terest-free loans to states for capital expenditure and reforms. These measures aim to suppo rt a rapid growth and enhance transport network across the country.
The sector continues to build strong momentum drive n by ambitious government targets. This year, government aims to award around 12,900 kilome ters of highway project, a 50% increase from the previous year. The second quarter saw an av erage over 600 kilometers awarded per month, while the third quarter witnessed even great er traction, with November alone recording

773 kilometers in awarded projects. Additionally, O ctober 2024 set a record for electronic toll collection reaching INR6,115 crores due to increase in travel during the festive season.
Additionally, the Ministry of Road Transport & Highw ays is also prioritizing high-speed corridors while embracing technological advancement , particularly through adoption of artificial intelligence and infrastructure. This inc ludes implementation of automated and intelligent machine-aided construction to enhance e fficiency and precision in national highway

projects.
Now coming to the company. Ashoka Concessions Limit ed, a subsidiary of the company has entered into share purchase agreements with Indian Highways Concessions Trust inter alia for div

estment of its 5 subsidiaries. The aggregate ent erprise value of the transaction is INR5,718 crores, subject to adjustments for cash and debt tr anslating into an equity value of INR2,539 crores. The company will acquire 34% stake of equity of ACL from SBI Macquarie Infrastructure Investments Pte Limited and SBI Macqu arie Infrastructure Trust for INR1,526 crores.
The company along with its subsidiary, Viva Highwa ys Limited and ACL has entered into an agreement with the investors, SPA, for the followin g transaction, which shall be subject to completion of certain conditions precedentby the co mpany and thereby providing an exit to the investors from ACL. Post-acquisition of ACL Securiti es held by investors, ACL would become wholly owned subsidiary of the company with effect from the date of acquisition of ACL Securities.
Another development is Ashoka Buildcon Limited and s ubsidiary, Ashoka Concessions Limited have entered into agreements to sell their stake in several HAM project subsidiaries for an aggregate consideration of INR2,324 crores. Now on the projects front, let me update you on this. Company has received provisional compl etion certificate of 39.07 kilometers out of total 40.6 kilometers.
The project is executed by Ashoka Baswantpur Singno di Road Private Limited, an SPV, a wholly owned subsidiary of the company. Company als o received letter of acceptance for MSRDC projects in October 2024 for an aggregate val ue of INR2,309 crores. Company also received LOA from BMC for a project of construction of flyover at T Junction on Sion Panvel Highway in Maharashtra for a value of I NR1,126 crores inclusive of GST.
The company has also received 3 LOAs from MMRDA in October 2024 aggregating to INR1,737 crores. The letter of award and execution o f the concession agreement with National Highways Authority for the project of INR1,391 cror es in the state of West Bengal for Bowaichandi HAM project. We are also in receipt of notification of award for Madhya Pradesh Poorv Kshetra Vidyut Vitaran Company Limited for INR192 crores. This is an EPC contract.
Then the company has also received execution of con tract with Bangalore International Airport Limited, a bid accepted at INR1,055 crores. This is an EPC project for construction of elevated taxiway systems, pavement, drainage and an cillary buildings. As on 31st December

2024, our balance order book stands at INR16,457 cr ores. Roads and railway projects comprise around INR14,000 crores, which is 74% of t he total order book.
Among the road projects order book, HAM projects ar e to the tune of INR2,020 crores and EPC road projects are worth INR9,663 crores. The rai lway is around INR416 crores. Power T&D accounts for INR3,796 crores, which is approxim ately 23% of the total order book. The total building EPC segment is INR562 crores which i s just 3% of the total order book.
To conclude, let me again say that our primary foc us remains on maintaining a sustainable EPC business in segments encompassing highways, rai lways, power transmission and distribution as well as buildings. This is all from my side. I now request Mr. Paresh Mehta to present the financial performance. Thank you.
Paresh Mehta: Thank you, sir. Good afternoon, everyone. Starting with the stand-alone numbers for Q3 and 9 months FY '25. The total income for Q3 FY '25 stood at INR1,816 crores as compared to INR2,162 crores in Q3 FY '24, a degrowth of 16%. EBI TDA for the quarter stood at INR187 crores with EBITDA margin of 10.3%. PAT stood at INR 61 crores for the quarter.
For 9 months FY '25, the total income stood at INR 5,175 crores as compared to INR5,309 crores, a degrowth of 3%. EBITDA for the period stoo d at INR493 crores, a growth of 4% with EBITDA margins improving by 60 basis points to 9 .5%. PAT stood at INR137 crores for 9 months FY '25.
Our re

venue contribution for each segment for Q3 F Y '25 is as follows: Road EPC contributed 57.9%, Road HAM contributed 12.4%, Power EPC contri buted 23.7%, Railway stood at 2.5%, and other segments like building, EPC and others con tributed 3.4%. Coming to the consolidated results. The total income for Q3 FY '2 5 stood at INR2,426 crores as compared to INR2,699 crores in Q3 FY '24, a 10% degrowth. EBITD A for the quarter stood at INR677 crores, a growth of 6% year-on-year.

PBT grew by 62% Y-on-Y to INR307 crores. For 9 mont hs FY '25, total income stood at INR7,450 crores as compared to INR6,867 crores in Q 3 FY '24, registering a growth of 8%. EBITDA for the quarter stood at INR2,251 crores, a g rowth of 30% year-on-year. PBT stood at INR1,074 crores, growth of 137%.
During the quarter, the company and its subsidiary , Ashoka Concessions Limited, have entered into share subscription and purchase agreements and other transaction documents for the sale of its entire stake in 5 of its BOT subsidiaries, wh ich were engaged in construction and operating of road projects on BOT basis, which is su bject to completion of certain conditions precedent, including approval from lenders of the r espective subsidiary and regulatory approvals.
Considering the high probability of the sale transa ctions getting completed as per the IndAS 105, the assets and liabilities of the subsidiaries have been classified as held for sale in the current quarter. Consequent to this, the amortizati on of intangible assets in these subsidiaries

have been discontinued in the consolidated financia l results from the date of classification as held for sale.
Further, the company has also recognized deferred t ax asset of INR424 crores on the difference between the carrying value of the net as sets of such subsidiaries in the consolidated books and its tax base. Total consolidated debt as o f 31st December 2024 stood at INR6,847 crores. The standalone debt is at INR1,466 crores, w hich comprises of INR107 crores of equipment term loan, INR1,059 crores of working cap ital loan and NCDs of INR300 crores.
In Q3 FY '25 in our BOT division, the company record ed a gross toll collection of INR331 crores as against INR314 crores in Q3 FY '24, recor ding a growth of 5%. With this, now we open the floor for question and answers. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Jainam Jain from ICICI Secur ities. Please go ahead.
Jainam Jain: So my first question is what is the order pipeline which we are seeing right now in NHAI biddings?
Satish Parakh: Yes. So NHAI is now coming up with projects of 3,40 0 kilometers, which are already announced. That is NHAI plus MoRTH plus NHIDCL, amoun ting to around INR1,11,000 crores. So these are projects which are in pipeline now.
Jainam Jain: Okay. And sir, what would be the order inflow and r evenue guidance for FY '26? Also, if you can give some margin guidance for FY '26?
Paresh Mehta: So for FY '26, we expect based on the order book re ceived in the last quarter and expected orders in the coming quarters, we expect at least 1 0% to 15% growth in the revenues over '25 with the margins to the tune of 10% to 11%.
Jainam Jain: And sir, order inflow guidance?
Paresh Mehta: Order inflow guidance would be in the range of INR1 2,000 crores to INR14,000 crores.
Jainam Jain: Okay. That answers my question. Thank you so much.
Moderator: Thank you. Next question comes from the line of Vai bhav Shah from JM Financial Limited. Please go ahead.
Vaibhav Shah: Sir, what would be the guidance for FY '25 in terms of revenue? So it should be flattish or we expect some decline?
Paresh Mehta: We'll try to achieve the last year numbers, but it could be short achieved by about 2% or 3%. I'm not sure. We'll just see by how the year ends,

a couple of next 2 months ends.
Vaibhav Shah: And EBITDA margins could be closer to 9% for Q4, sim ilar as Q3?

Paresh Mehta: Yes. For Q4, we try to achieve the same margins of Q3. Overall mix would be in the range of 8.5%.
Vaibhav Shah: Okay. And sir, are there any one-offs in the stand- alone results in 3Q? Did we receive any money from the deals in the stand-alone P&L?
Paresh Mehta: No, nothing on the deals in the stand-alone in Q3.
Vaibhav Shah: Okay. And sir, if you look at the results, so our d ebt as per the results come at around INR2,050-odd crores and PBT, it is around INR1,460- odd crores. So what is the difference of that INR600-odd crores?

Paresh Mehta: This would be debt received from our associates, SP Vs.
Vaibhav Shah: So we are charging the interest also on that?
Paresh Mehta: For debt received from SPVs, we are marginally char ging interest.
Vaibhav Shah: And what would be the interest rate, sir?
Paresh Mehta: In the range of 8.5% to 9%.
Vaibhav Shah: And sir, lastly, if we look at the interest cost, t here has been a sharp increase on a quarter-on-quarter basis. So has there been a rise in mobiliza tion advances because debt has come off on a quarter-on-quarter basis?
Paresh Mehta: Yes. So the mobilization advance has typically rema ined same, though it has been more. Large amounts have been received in the last month, that is the month of December. But seeing the recovery of the mobilization advance also, it remai ns at INR1,050-odd crores in both quarter end September and quarter end December. Vis-a-vis t he cost of finance going up, definitely money in unbilled revenue and debtors continues to be a bit high in the last quarter also over and above September, which we expect to get all cle ared by March end.
Vaibhav Shah: Okay. And sir, our guidance on equity investment fo r '26 and '27 for the new HAM that we have won?
Paresh Mehta: Yes. So overall, our equity commitment balance equ ity commitment as of date is around INR380 crores, which is including the last HAM proj ect, which we got of approximately INR225 crores. So if you spread it over the year, b y '25 end, we'll spend around INR175 crores, '25-'26, INR112 crores and '26-'27, INR93 c rores.
Vaibhav Shah: And sir, lastly, if you look at the HAM project tha t you have won, so the EPC value appears quite high. So INR1,390 crores is the BPC and EPC i s INR1,318 crores.
Paresh Mehta: Right. So I mean, based on that, that's what we ha ve bid for. So EPC will continue to have its own margin of 10% to 11% and they will be higher at the SPV level also. Project cost would be in the range of INR1,700 crores.

Vaibhav Shah: Okay. And sir, lastly, if you could give us a numbe r that what is the total order inflows in terms of EPC value for us still date?
Paresh Mehta: For the year?
Vaibhav Shah: For the year.
Paresh Mehta: INR9,000 crores approximately.
Vaibhav Shah: Okay. Thank you sir. I will come back in the queue .
Moderator: Thank you. Next question comes from Bhavin Modi fro m Anand Rathi. Please go ahead.
Bhavin Modi: So this year, we saw most of the inflows coming fro m the EPC roadside and there was one from the HAM side. So how should we read this? Like we are expecting more HAM to come with the upturn cycle, our focus has changed toward s EPC and power transmission?
Satish Parakh: Bhavin, now we are all around EPC player. So we'll have new bids from road projects, EPC, road HAM projects, railways, power and buildings. S o we are bidding in all these segments and also water. So now Ashoka has become a full ran ge EPC player with focus on EPC and wherever we get an opportunity for PPP, we will pic k up some HAM projects and there will be PPP opportunity maybe in other sectors also.
Bhavin Modi: Sir, how are you looking about the tendering uptake in

from NHAI, MoRTH, because generally, Q4 is ramping up of awards happens durin g Q4. So are we also likely to see same trend this year?
Satish Parakh: Yes, there is very much possibility that this March also would see a lot of bids. Like I said, 3,400 kilometers, they are already in pipeline, whi ch is amounting to INR1,11,000 crores. Plus there are a lot of other bids which may come up by March end. So good amount of bidding should happen by March end. Yes.
Bhavin Modi: And sir, some queries with respect to the monetizat ion. So what is the status of NHAI and lenders approval with respect to the 11 HAM project s? And what are the timeline expected?
Paresh Mehta: So in the 11 HAM projects which we have, almost 70% of our assets we have got in principle ok from NHAI. And lenders also almost 50% NOC has come. So we are targeting offloading of certain HAM projects by 31st March.
Bhavin Modi: Okay, sir. And sir, with respect to Jaora-Nayagaon, can you help us with the status of deal with NIF? Moreover, what are the progress with respect t o remaining 26% stake from SREI and SMPL?
Paresh Mehta: So on the NIIF, the long stop date on that agreemen t passed away long time back. So presently, we are not in active discussion with NII F for the acquisition of the same. And as far as the 26% of shares are concerned, we are still pu rsuing with MPRDC for getting the NOC for transferring those shares to our name.

Bhavin Modi: Okay. So post that, you will be like 100% sharehold er of that
Paresh Mehta: Yes, including 26%, which we may acquire from Macqu arie.
Bhavin Modi: Okay. And sir, with respect to the 5 BOT assets, whi ch we earlier dealt with KKR and now we are with Indian Highway Concession Trust. So shall we expect timely approvals? And what is the final date with respect to that for monetizatio n?
Paresh Mehta: So we expect to get the transition concluded by 31s t March. We are at a very advanced stage, a few of the NOCs have already coming from NHAI. We a re waiting for a couple of more. On the banks also, almost 60-70% banks have already gi ven their consent NOC for change of ownership. So we are trying to achieve the timeline s and close it by March '25.
Bhavin Modi: Okay, sir. That’s it from my side.
Moderator: Thank you. The next question comes from Anupam Gupt a from IIFL Securities. Please go ahead.
Anupam Gupta: Yes. The question is on this existing order book. So of the total INR16,500 crores, what number is under execution at this point of time?
Satish Parakh: So almost INR14,000 crores is under execution. One project of MSRDC is yet to start and one project awarded by CIDCO is yet to start.
Satish Parakh: Other projects are all started.
Anupam Gupta: Okay. Understand. And so post the INR9,000 crores i nflow which we have seen right now in this year, what's the sort of inflow you are lookin g for the balance of the quarter?
Satish Parakh: Balance of the quarter, expect INR3,000 crores to I NR4,000 crores, we should be able to looking at the bidding pipeline, tenders which we a lready bid and not opened. And maybe this March end should throw up a good amount of bidding. So we're expecting around -- yes, around INR3,000 crores we should do.
Anupam Gupta: Okay. And any BOT projects which will come up in thi s quarter or BOT only thing will happen next year?
Satish Parakh: BOT means sell of BOT projects, yes.
Anupam Gupta: No, no, bidding for BOT projects.
Satish Parakh: Bidding for, bidding for BOT one-off projects come only for biddings. And we are very selective about bidding for BOT projects. So we hav en't yet participated in any of the BOT highway bidding.
Anupam Gupta: Understand. Okay. And the next question is on the m argins. So margins, you have seen an improvement in this quarter, and you're again sayin g that next quarter should be stronger and guidance for next year is also better. So

overall, do you think that the entire stock of relatively

poor quality projects are now over and the new orde r book -- existing order book is largely 10% plus margins or so?
Satish Parakh: Yes. But the new order books will pick up in Q3, Q4 , because these are all at mobilization stage, design stage. And these are all big structur es, real ramp-up we will see in Q3, Q4.
Anupam Gupta: Sure. Okay. That’s all from my side. Thank you.
Moderator: Thank you. Next question comes from the line of Sus hant Verma an Individual investor. Please go ahead.
Sushant Verma: I know you won't -- I mean, this is not the forum t o really answer the question about the stock market and anything like that. But very clearly, in the last 45 days, the stock has lost about 25% of its value. I know you won't probably comment on that. But does that indicate that the whole sector will have tailwinds considering the bu dgetary allocation or the overall environment.
So how is it going to pan out? I'm a bit worried ab out the sector as a whole and particularly, of course, Ashoka Buildcon. So what's your view on tha t?
Paresh Mehta: I think the stock markets are playing out more on p ublic sentiment and sentiment with the government. I cannot really specifically say why st ocks are moving up or down in these last couple of months throughout in every sector. So bet ter not said than commit anything on that.
Sushant Verma: No, I understand that, sir. That's why I started wi th that saying, I don't expect an answer from a stock movement perspective from you. But does that indicate an underlying problem in this sector? That is what I'm trying to find out.

Paresh Mehta: No, I agreed, agreed. So opportunity remains buoyan t. There's no challenge on that. The government's focus on infrastructure and as we have seen in the last few months, even in the state level also, they're very keen in giving out p rojects. So I think it's buoyant as far as the infra layout is concerned, you may call it whether roads, you may call it solar, you may call it railways, everywhere, they are looking at moisturiz ing up the infrastructure facility and quality.
Sushant Verma: Right. Yes. I mean that is what was my assumption t o. But somehow, I mean, I'm not getting a very good vibe probably in the last 45 days. That's what I said. So maybe I wanted to understand if you had any other perspective. So it looks like we will probably continue to do, Ashoka Buildcon would continue to do equally good o r -- I mean, hopefully better than last year. I mean the pipe and everything?
Paresh Mehta: We see a lot of opportunities.
Sushant Verma: Okay. Sure. Thank you. That is what I wanted to chec k your view. Thank you very much.
Moderator: Thank you. Next question comes from the line of Vas udev from Nuvama. Please go ahead.

Vasudev: Yes. So, sir, you just mentioned in the previous qu estion that we are looking to dispose some of our 11 HAM assets by end of FY '25. So what is t he value that we are expecting? And when do we expect the entire transaction to get complete d?
Paresh Mehta: Approximately by '25 March, we should be able to se ll assets out of the INR2,300 crores, INR1,000 crores of assets by March '25 and balance by December -- September -- in the September, December quarter, the balance projects i n Q1, Q2, Q3 as the projects are ready for being transferred.
Vasudev: Okay. Sure, sir. And so like we'll have this few as sets sale of from HAM and you also said that 5 BOT assets also we are projecting to complete the sale by March end. So what is the debt levels that we should be expecting by the end of th e year?
Paresh Mehta: So by the end of the year, approximately INR2,000 c rores of -- INR2,500 crores of debt on the BOT projects will go off the books. And approximatel y another -- may

be I'll have to check that out, maybe around another INR1,000 crores to INR500 crores of debt on the HAM projects will go off the books. So we should see approximate ly INR4,000 crores of debt to go out of the books by March on a console basis.
Vasudev: Okay. Sure, sir. And on the bid pipeline, you said that from NHAI and MoRTH, it's INR1,11,000 crores. So how is it looking on the oth er segments?
Satish Parakh: So other segments also bidding is happening. Railwa ys is quite optimistic. A lot of bids are coming in. Power segment, we see at state levels. S o definitely there's a bidding pipeline.
Vasudev: Okay, sir. And sir, on the capex front, just what w e've done in the 9 months, how much are we projecting for Q4 and FY '26?
Paresh Mehta: Yes. On the capex front, we have spent approximatel y -- just give you the number, around INR55 crores on capex. And probably in this quarter , we will spend another INR20-odd crores.
Vasudev: Okay. And for FY '26?
Paresh Mehta: Around INR125 crores in total.
Vasudev: INR125 crores. Okay, sir. And sir, just last one, i f you can again repeat the revenue breakup for the quarter between different segments?
Paresh Mehta: For the each segment, okay, I'll just tell you. On the Road EPC, INR1,051 crores, Power, INR471 crores.
Vasudev: Power, okay.
Paresh Mehta: Railway, INR169 crores. And other segments all put together approximately INR45 crores.
Vasudev: Sure, sir. That’s it from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Vai bhav Shah from JM Financial Limited. Please go ahead.
Vaibhav Shah: Sir, when do we expect the appointed date for the n ew HAM and what is the land status for the same project?
Paresh Mehta: Can I get the question again?
Vaibhav Shah: Sir, when do we expect the appointed date for the n ew HAM?
Paresh Mehta: The new HAM appointed date, I think so financial cl osure will be by March end, March

somewhere. And September -- sorry, July -- somewher e around July, we should expect.
Vaibhav Shah: And what is the land status?
Satish Parakh: Land status, 3D has been done for the substantial p ortion more than -- but 3G is in process. So out of 293 hectares required, for 283 3D has been p rocessed. So this may take around 3 to 4 months for the lands to clear. And therefore, we ar e expecting somewhere around September to get the appointed date.
Vaibhav Shah: Okay. And what is -- when do we expect to start the MSRDC and CIDCO project?
Satish Parakh: So only 1 out of 3 MSRDC, 2 have started. One will start by March end. This is for MSRDC. And CIDCO, we may see a start date by April or May.
Vaibhav Shah: And sir, in CIDCO ourselves for 51%?
Satish Parakh: Yes. Ashoka Buildcon is 51%.
Vaibhav Shah: And who is our partner in the project?
Satish Parakh: We have a JV partner called Akshaya Infrastructure Private Limited.
Vaibhav Shah: Okay. And sir, have we started the execution of the Kempegowda Airport project?
Satish Parakh: Yes, Kempegowda is -- execution already started. It is going on in full swing.
Vaibhav Shah: Okay. Thank you sir.
Moderator: Thank you. Next question comes from the line of Sah il Jain from Seven Islands PMS. Please go ahead.
Sahil Jain: Yes. So I have one question related to the balance sheet side. So I've seen the debt is like too much. So are there any plans to reduce the debt lev el? And I see the interest cost also going up quarter-on-quarter basis. So what are the company's plan to reduce the debt? And any guidance on any numbers on the -- how would the balance shee t look like in FY '26 end?
Paresh Mehta: So you're looking at the consol balance sheet or th e standard accordingly?

Sahil Jain: Yes. Console balance sheet.
Paresh Mehta: On the consol -- so there are 2 parts of the debt. One is the debt on the projects and one is the debt on the stand-alone EPC business. On the debt o f the project level, these will get reduced as and when we keep on selling those assets to the buyers, which we have suggested some by March and some by Q3 -- Q1, Q2, Q3 of next year. So a substantial portion of the debt, which is approximately INR5,500 crores should go off the books by December 2025. New debt will pick up, say, like for the last Baswantpur project, debt may -- we'll start picking up debt. But other than that, there is no other project debt.
As far as stand-alone debt is concerned, approximat ely we have INR1,400 crores of stand-alone debt, which we expect to reduce as and when r ecoveries at our EPC businesses in power largely and in certain projects in roads, we expect receipts to come out from either the concerned employers or from -- in the process of sa le of our BOT projects where these debts will be paid off. So from that perspective -- and i f these transactions on the sales happen by June end, most of the stand-alone debt also should become substantially low.
Sahil Jain: So can you quantify the amount, the new debt that y ou said that you'll be raising for the projects for the -- like after the repayment?
Paresh Mehta: So what we have told is we'll receive approximately INR2,500 crores from sale of our BOT projects, which will be split into INR1,750 crores in one stage and balance INR750 crores in the next stage and INR2,300 crores in the HAM proje cts. So this approximately INR4,800 crores is what we expect to receive. And after clea ring of dues of Macquarie of around INR1,500 crores, we'll be left with approximately I NR3,000 crores, will be used for lowering debt and other consequent opportunities in HAM and other infra projects.
Sahil Jain: Okay. Okay. So going forward in FY '26 and, say, Ma rch 2027, what would be the balance sheet look like, like the cash debt on the consol l evel?
Paresh Mehta: Should be substantially low, substantially low.
Sahil Jain: That would be low. And what about cash?
Paresh Mehta: What about?
Sahil Jain: Cash and equivalents?
Paresh Mehta: Surplus based on this. It all depends on what plans come up in the '25-'26. But still even then also, it should not be -- it should be substantial cash on books.
Sahil Jain: We can say we can be net cash by FY '26, we can...
Paresh Mehta: Right.
Sahil Jain: Thank you. That’s it.

Moderator: Thank you. The next question comes from the line of Dr. Amit Vora from the Homeopathic Clinic. Please go ahead.
Amit Vora: So my question is that after selling this present H AM and BOT projects, what other projects of HAM or BOT will be pending with us? And if you can tell the value of those projects, if possible?
Paresh Mehta: So we have only one HAM project with us, which is r ecently awarded to us, which will continue on our consol books of total project size of INR1,700 crores, debt would be around in the range of INR900 crores. But the debt to be take n would take at least 2 years' time to pick that debt. Other than that, there will be no major debt on the books on certain small annuity projects which we have. And there will be debt on t he Chennai-ORR project, which we have on a console basis.
Amit Vora: And projects apart -- after selling this 5 BOT and t he 11 HAM projects, we would not be having any other projects right now?
Paresh Mehta: We'll have one Jaora-Nayagaon project, toll road pr oject and one Chennai-ORR annuity big project and two small annuity projects, which will also get closed by Q1. So it's largely one toll project, one annuity project and one HAM proje ct.
Amit Vora: So two big and two small projects after selling thi s 5 BOT and 11 HAM projects.
Paresh Mehta: Yes.
Amit Vora: And of late it has been seen that the toll collecti on has been very good. So does that affect our balance sheet also?
Paresh Mehta: Yes. So we h

ave seen growth in our certain major pr ojects, leaving one-off. But otherwise, we have seen a 5% growth in the toll revenues quarter- on-quarter.
Amit Vora: Okay. One last question, in between, we had heard a bout -- news about the investment in green hydrogen. If you can just brief us something about that? Will that be under ABL only or it will be a separate company?
Satish Parakh: So this is an MOU entered with the Bihar government , wherein they are supposed to provide us a land for putting up the entire project. The gr een hydrogen project is basically a project powered by solar power, by renewable energy. So we' ll be powering it by solar power. And this proposal is in a very inception stage and we'l l give you an update as and when it materializes.
Amit Vora: Okay. And it would be under ABL only, Ashoka Buildco n only?
Satish Parakh: Yes, it will be on the subsidiary of Ashoka Buildco n.

Amit Vora: Okay. And one last thing. See, green hydrogen is a completely new thing and we are into infrastructure and all EPC. So I don't doubt your c apability, but then do we have sufficient capabilities about green hydrogen? This expertise is something different, so...
Satish Parakh: So this is what basically we need to build over the period. And green power, solar, we have enough capability and understanding of solar busine ss. Hydrogen production is not something new which is done. Whenever it is powered by renewa ble energy, it's a green hydrogen.
Amit Vora: Okay. Thank you so much. That’s all from my side. Th ank you so much.
Moderator: Thank you. The next question comes from the line of Bhavin Modi from Anand Rathi. Please go ahead.
Bhavin Modi: Yes. Sir, just a small -- like sir, what is the ord er addition till 9-month December '24? And what is the addition this quarter like in Q3?
Satish Parakh: Till date, we have got around INR9,000 crores of or der book and another INR3,000 crores is what we are looking at.
Bhavin Modi” So sir, when you say INR9,000 crores, so do you als o include the Nandgaon-Amravati project?
Satish Parakh: What is Nandgaon-Amravati?
Bhavin Modi: The EPC project, from MSCPL.
Satish Parakh: L1, we have not taken. Only the orders, LOA, we have received, that is INR9,000 crores. To be specific, INR8,900 crores -- INR8,980 crores, if you want exact.
Bhavin Modi: So this is till December, right, December '24?
Satish Parakh: December end, yes.
Satish Parakh: INR3,000 crores is what we expect to close by this year end.
Bhavin Modi: Okay, sir. Got it. Thank you sir.
Moderator: Thank you. As there are no further questions from t he participants, that concludes today's conference. On behalf of Anand Rathi Shares and Sto ck Brokers Limited, thank you for

joining us. You may now disconnect your lines.
Paresh Mehta: Thank you very much.
Satish Parakh: Thank you, everyone.
Bhavin Modi: Thank you, everyone.
Paresh Mehta: Thank you.

Call: May 2025

Ashoka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Listing Department
BSE Limited National Stock Exchange of India Limited
Floor 25, P. J. Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code: 533271 Scrip Symbol: ASH OKA EQ.
Debt CP Codes: 728 882, 72 9123
Debt NCD Codes : 976190, 976191, 976192

May 30, 2025

Sub: Call Transcript

Please find enclosed herewith the copy of updated transcript of the Earnings Call held on May 26, 2025 in respect of audited Standalone and Consoli dated Financial Results for the quarter and year ended March 31, 202 5.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildcon Limited's Q4 FY'25 Earnings
Conference Call ”

May 26, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio
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MANAGEMENT : MR. SATISH PARAKH - MANAGING DIRECTOR ,
ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA - CHIEF FINANCIAL OFFICER ,
ASHOKA BUILDCON LIMITED

MODERATOR : MR. SARTHAK SINGH - NIRMAL BANG EQUITIES
PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Call of Ashoka Buildcon hosted by Nirmal Ban g Equities Private Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing „*■ then „0■ on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sarthak Singh from Nirmal Ban g Equi ties Private Limited. Thank you and over to you, sir.
Sarthak Singh: Thank you, Alaric . Good afternoon, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you to the Quarter 4 FY'25 E arnings Conference Call with the Management of Ashoka Build con Limited. We have with us Mr. Satish Parakh – Managing Director and Mr. Paresh Mehta, CFO.
Without further ado, I would now request Mr. Satish Parakh sir to start with his opening comments, after which we can open the floor for questions -and-answer s. Thank you and over to you, sir.
Satish Parakh: Good afternoon. On behalf of Ashoka B uildcon Limited, I extend warm welcome to everyone joining us today to discuss our Business and Financial Results for Q4 FY '25 ended 31st March 2025.
On this call, we have joined with our CFO Mr. Par esh Mehta and SGA, our Investor Relations Advisor.
Let me begin by giving an industry overview :
India's infrastructure sector remains a core pillar for the country's economic development strategy. The government continues to prioritize infrastructure as a key foundation of growth and a driver towards its 5 trillion economy target.
Flagship programs like the National Infrastructure Pipeline and PM Gati Shakti are helping streamline planning and improve execution across key seg ments including roads, railways, ports, airports and urban development. FY202425 has been a relatively muted year from the infrastructure overall. However, National Highways Authority of India, NHAI, delivered a strong performance building 5,614 km of high ways during this year. Capital spending crossed over Rs. 2.5 lakh crores, which is the highest ever and shows strong progress across ongoing infrastructure projects.
Looking ahead, the outlook of highway segment remains positive. The government has announc ed a major investment plan of Rs. 10 lakh crore over the next two years to wards

improv ing infrastructure. These efforts aim to bring Indian highways in line with global standards . We have seen strong progress in recent years. The National Highway Network h as grown from 91,287 kilometers in 2014 to a 1,46,000 kilometers today with marked improvement both in quality and execution.
Now on the monetization front :
NHAI raised Rs. 28,724 crores through models like TOT, In vIT and Toll Securitization . Notably, Rs. 17,738 crores came from InvITs alone, marking the highest ever collection from this model.
Overall , the infrastructure continues to see strong support from the private sector backed by stable government policies and new financing models. Wit h a healthy pipeline of upcoming projects and a growing focus on digital and sustainable infrastructure, we believe the sector is well placed for steady long -term growth.
Coming to the company update :
To update on sale disposal of stake sale in subsidiarie s of wConcessions Limited. This is in reference to our earlier announcement about proposed sale of entire shareholding in 5 BOT subsidiaries of Ashoka Concessions Limited to Maple Infrastructure Trust. The completion of this transaction has been delayed as some of the required

conditions are still being worked on.
In agreement with the proposed investor, the new expected date to complete the transaction is 30th June 2025.
Coming to the order book statu s:
The company has received two new project orders. The first came in March 2025 from Maharashtra State Electricity Transmission Company. It's worth INR. 311.92 crores and involves setting up a 400 /220 kVA substation at Amravati district in Maharashtra. The work includes supply, erection, testing and commissioning and related civil work s. The second order was received in April 2025 for Central Railway . This is EPC project for gauge conversion between Pachora and Jamn er, excluding Pachora yard and road over bridges with a contract value of INR. 568.86 crore. These new orders further strengthen our position in both power transmission and railway infrastructure sector. As on 31st March 2025 our balance order stand at INR14,905 crores. This is excluding orders received post 31st March 2025 of INR795 crores.
The breakup of order book is as follows :
Roads and Railways projects compromise around INR. 10,867 (erroneously said on the call) crores which is 72.9% (erroneously said 60.4% on the call) of the total order book . Among the road project order book, HAM projects are to the tune of INR 1,859 crores and EPC road projects are worth Rs. 8,688 crores and railway is around Rs. 320 crores. Power T&D accounts

for INR 3,618 crores which is approximately 24.3 % of the total balance order book. The total EPC building segment is INR . 420 crores which is 2.8 % of the total order book.
To conclude :
Let me say this again that our primary focus remains on maintaining a sustainable EPC business and segments encompassin g highways, railways, power transmission and distribution as well as buildings.
This is all from my side and I would now like to request Mr. Paresh Mehta to present the financial performance . Thank you.
Paresh Mehta: Hello, Thank you. Good afternoon , everyone.
Starting with the standalone numbers for Q4 & FY'25:
The total income for Q4 FY '25 stood at INR2 ,012 crores as compared to INR 2,533 crores in Q4 FY '24, a degrowth of 21%. EBITDA for the quarter stood at Rs. 181 crores with EBITDA margins of 9%. PAT stood at INR 60 crores for the quarter. FY'25, the total income stood at INR7,188 crores as compared to INR 7,841 crores, a degrowth of 8%. EBITDA for the period stood at Rs. 673 crores, a degrowth of 3 % from EBITDA margins, but EBITDA margins improvi ng by 60 basis point to 9.4 %. PAT stood at INR 197 crores for F Y'25.
Our revenue contribution for each segment for Q4 F Y'25 is as follows :
Road EPC contributed 58.3%, Road HAM contributed 12.5%, Power EPC contributed 2.8%, Railways stood at 2.11%, and other segments like building EPC and others contributed 24.3%.
Coming to the consolidated results :
The total income for Q4 FY '25 stood at INR2 ,755 crores as compared to INR3 ,138 crores in Q4 FY '24, registering a 12 % growth. EBITDA for the quarter stood at INR838 crores, a growth of 16 % YOY . PAT stood at INR 452 crores. For FY25, total income stood at INR 10,205 crores as compared to INR 10,005 crores in FY '24, registering a growth of 2%. EBITDA for the quarter stood at INR 3,089 crores, a growth of 26% YOY. PAT stood at INR 1,734 crores for FY '25. Total consolidated debt as on 31st March 2025 stood at INR 6,671 crores. The standalone debt is at INR 1,405 crores, which encompasses INR 101 crores for

equipment loans, INR 300 crores of NCD, and INR 1,004 crores of working capital finance . In
Q4 F Y'25, in our BOT division, the company recorded a gross toll collection of INR 348
crores as against INR 329 crores in Q4 F Y'24, recording a growth of 6%.
With this, we now open the floor for question s-and-answers . Thank you.

Moderator: Thank you, sir. We will now begin with the question -and-answer session. First question comes from the line of Hardik Gandhi from HPMG Shares & Securities. Please go ahead.

Hardik Gandhi: Yes, so actually I was just looking at your closing balance sheet versus your presentation. So in your presentation, the debt is still at the similar levels as we were in the past quarter. But in the balance sheet, I can see the short term borrowings and the long term borrowings have decreased drastically. So I am not able to understand why is this differen ce?

Paresh Mehta: They may be classified into current and non -current also. So may be you can take it offline or we will come back later.

Hardik Gandhi: Yes, we can do that because if you see in the borrowings in the non -current financial liabilities, it has decreased from 378 to just 72, right? And even in the short -term borrowings if we were there in current liabilities, short -term borrowings have just stayed in the similar range. But in the presentation, the debt is still showing at a similar, like there is no significant debt reduction in the presentation on a standalone as well as on a consol basis. So ye s, that was my … So just basically have we reduced the debt drastically in this past qu arter or is it that...

Paresh Mehta: Sir, these are in the presentation we are talking of only external debt. On the balance sheet , we have debt which is including asset sale s also. From that point of view , there is a reduction in the asset sales outstanding in the last quarter.

Hardik Gandhi: Correct. Still, sorry, but I am not able to understand why there is this huge difference in the borrowing amount, but in the presentation, the standalone debt and consol debt is kind of the same from quarter -on-quarter. Like in December '24, I am seeing the total debt as Rs. 6,847. The March quarter is still showing Rs. 6,600. Right?

Paresh Mehta: Yes, but these are all external debt. So from that perspective , even in the consolidated what's happening is one of the assets which was held as investment is now moved on to assets held for sales. So from that perspective also , the debt numbers which is, you can have offline detailing of the debt.

Hardik Gandhi: No worries. And the second question is on the line of government spending, do we foresee given that recent changes in the geopolitical issues, the government spending will be diverted from infrastructure to something else, and how are we placed in the upcoming orders? If you can just give a light on that ?

Satish Parakh : Yes, if you see last quarter government has not been moving very slowly as far as NH AI is concerned. But there is nothing related to funding as such. What we see in next few quarters we will see a good amount of bidding happening.

Hardik Gandhi: Understood. And usually sir, sorry, but when do we get the new orders like if it's in Q1 -Q2 or is it spread equally throughout the year?

Satish Parakh : So Q1 -Q2 may be muted, we'll get Rs. 2,000 crores -Rs. 3,000 crores and post Q3-Q4 will be really good inflow of order books.

Hardik Gandhi: Understood. And just last bit on the execution side, are we seeing any execution slowdowns? Do we expect similar growth in the topline as last year or do we see a drastic change because along with that, since the toll prices have increased , so we can expect a significant growth ?

Satish Parakh: Growth wise, coming here we don't see more than 10 % as Q1 -Q2 will be still slow because whatever orders we have bagged we will really pick up in Q3 -Q4. There are a lot of in itial orders in starting those works like land acquisition, forest clearances and all this. So they really will pick up post monsoon. So out of the 6 -7 projects only 3 have really started. 4 will start only in Q3. Q3 -Q4 will be very good. Q1 -Q2 still will hav

e some orders.

Hardik Gandhi: Understood. All the best, sir. Thank you so, much.

Satish Parakh: Thank you.

Moderator: Thank you. The next question comes from the line of Yash ovardhan Banka from AssetTiger. Please go ahead.

Yashovardhan Banka: Thank you , sir. Just wanted to understand what will be our interest cost and savings from reduction in the borrowings ?

Paresh Mehta: Interest cost , we are typically at the range of 9%-9/5% and what was the other question which

you had?
Yashovardhan Banka: So we'll b e expecting savings in interest like since we reduced our borrowings, practically?
Paresh Mehta: So on our external debt, borrowing continues to remain the same for 31st March '25. '25-'26, we expect the borrowings to go down and effectively interest costs will go down, keeping in mind monetization of assets on both BOT as well as HAM , right? These cost s should substantially go down in Q3 -Q4. Q1-Q2 is the period when we expect both the BOT and large number of assets of HAM projects should get monetized.
Yashovardhan Banka: Okay, so just not a bit like a bit clarity needed on the borrowings as in the borrowing s I can see reduced from Rs. 3700 crores to Rs. 700 crores . Right ? So that's a reduction of around Rs. 3000 crores. So we'll be expecting some intere st cost savings moving on these quarters , right? That's what I am trying to understand.
Paresh Mehta: Yes, just trying to get hold of this 3,000 number which you're talking about.
Yashovardhan Banka: It's on the consolidated balance sheet of page #11 of our IP, investor presentation.

Paresh Mehta: See, debt has not gone down on an overall basis. It is presentation which has happened , if you see liabilities held for sale it has gone up from Rs. 287 crores to Rs. 940 crores here , one. And on the borrowing a lso…If you see financial liability borrowing s and the left it held for sale, this is where the change has happened.
Yashovardhan Banka: Got it.
Paresh Mehta: As per page #6 of the presentation, largely the debt remains similar. It has reduced from Rs.7,139 in March '24 to Rs. 6,631 in March '25.
Yashovardhan Banka: Got it, sir. And any further plans in reduction of debt?
Paresh Mehta: As I said, post monetization, substantial debt reduction is there both due to offloading of the asset s where the debt will get paid off from the balance sheet of ABL in the BOT, it's almost Rs. 2000 crores and in the major 7 HAMs which will be initially sold around Rs. 2,000 crores. So by Quarter 2, we expect Rs. 4,000 crores of debt to go down from the consolidated balance sheet and whatever excess monetization will happen, we reduce the working capital debt also.
Yashovardhan Banka: Got it , sir. Thank you.
Moderator: Thank you. The next question comes from the line of Vaibhav Shah from JM Financial Limi ted. Please go ahead.
Vaibhav Shah: Sir, y ou mentioned that our revenue guidance for FY '26 would be around 10 % growth. So earlier we guided for 15 % growth for FY '26. So what has led to this cut in the guidance first and also what could be the guidance for EBITDA margins and order inflows for FY '26?
Satish Parakh: So basically whatever new orders we got as I explained were supposed to start in Q1 -Q2. Out of this only 40 % have started. 60 % is getting shifted to Q3 because of various reasons like land acquisition and forest clearance. So these are getting delayed started. That is why the whole growth for the year is getting affected.
Vaibhav Shah: So FY'27 should be a much better growth in t erms of sales from 2H as usual will pick up?
Satish Parakh: Yes, definitely because all these projects would have been done in full swing and plus new order books which we bagged this year would also get converted into business here.
Vaibhav Shah: And sir, guidance on margins and ordering flow?
Paresh Me

hta: So on margins, w e will be improving our margins based on the new order books which have come in and we should be in the range of 10 % plus.
Vaibhav Shah: Okay, and sir order inflows ?

Paresh Mehta: Order inflows, 10,000 to 12 ,000 for '25-'26. That is what we expect, spread into various sectors, roads, railways , other infra .
Vaibhav Shah: And sir, what would be the actual inflow for FY'25, if we remove the GST portion and what will be the EPC value we got in FY'25?
Paresh Mehta: Approximately 9,500.
Vaibhav Shah: And sir, lastly, if we look at the asset held for sale number on the standalone balance sheet, it is around Rs. 1,198 crores. So, it includes only 5 BOTs or what all it includes?
Paresh Mehta: It includes all the HAM projects, 11 HAM projects and 5 BOT projects and one annuity project. You're talking about standalone or consolidated?
Vaibhav Shah: Standalone.
Paresh Mehta: Standalone there are four HAM projects and Chennai ORR which is an annuity pr oject.
Vaibhav Shah: So for HAM or BOT?
Paresh Mehta: BOT all these are under consolidated , that is under ACL wing , so on the standalone we see only four HAM projects plus one annuity project.

Vaibhav Shah: Okay, so we were supposed to receive roughly Rs. 860 odd crores of cash on net after all the payments to SBI, Macquarie and all. So that number remains?
Paresh Mehta: I am not sure how this 860 arrived at. Typically what we expect to realize is Rs. 2,500 crores on the BOT projects and Rs. 2,400 crores on the HAM projects, which is typically Rs. 5000 odd crores of wh ich Rs. 1,600 crores would go to SBI Macquarie . Balance will be available for the operation, which will be split into two parts, around 750 crores and another 800 crores will be in '26-'27 probably. So around Rs. 2000 odd crores should be in '25-'26 balance sheet . You can do the math.
Vaibhav Shah: You are supposed to be Rs. 1,535 crores right to SB I Macquarie ?
Paresh Mehta: Yes, 1,526 and we will be acquiring Jaora Nayagaon stake also of Rs. 150 crores .
Vaibhav Shah: Okay, so the entire payment of your Rs. 1,600 plus crores, it will be done in two parts you mentioned, right? In '26 and '27 or entirely in '26?
Paresh Mehta: The payment will be done in one stroke the moment we realize proceeds from the BOT or HAM whichever happens earlier. So when do we expect the resale process from both the deals from BOT and H AM? So the first set of money infusion from the BOT deal should be happening somewhere before by 15th of July. That's what ou r expectations are between 15th

July to 31st July. 3 0th June is our long stop date , but we are almost done with all the compliances with NH AI and the lenders , so we would be doing our CP compliance in the first week of June and then we will draw down the money , whatever time it takes to draw down the money. On the HAM front, we have 5 projects which we expect to complete by the first week of July, which should bring in approximately Rs. 1,200 crores . And another two assets by August, which should be in another Rs. 400 crores.
Vaibhav Shah: And remainder HAM happen by December?
Paresh Mehta: Three assets will happen by December. One asset will happen in '26-'27. That is one, Belga um-Khanapur, which will happen in post April 26.
Vaibhav Shah: Okay. And sir lastly, BOT will be payment entirely on 15th July or balance part would come later?
Paresh Mehta: It will be split into two, approximately 1 ,700 crores would come by 15th July and Rs. 700 crores would come based on extension of traffic for the three projects, Samba lpur, Belga um and Dhankuni , which we expect around '26-'27.
Vaibhav Shah: That amount will come in FY '27?
Paresh Mehta: '26-'27, ye s.
Vaibhav Shah: Okay. Thank you, sir. I'll come back in the queue.
Paresh Mehta:

Thank you.
Moderator: Thank you. The next question comes from the line of Ja inam Jain from ICICI Securities. Please go ahead. Thank you for the opportunity.
Jainam Jain: Thank you for the opportunity. Sir, my first question is what is the order pipeline which we are seeing curr ently for Road , Railway and on the T&D end?
Satish Parakh: Railway & power , we expect around INR. 2,000 crores and roads , we expect around INR. 7,000 to Rs. 8,000 crores. There are other projects like water and buildings and all. There we expect around INR. 2,000 crores. So a round 10,000 to 12,000 is what is our target here.
Jainam Jain: Okay. And sir, how are we seeing things improve on the NHAI bidding side in terms of intense competition and surplus margin?
Satish Parakh: So NHAI competition remains , rather it is growing day -by-day. So we are now focusing on specialized structures, some specialized jobs in NH AI and MoRTH and state level works at all other segments.

Jainam Jain: Okay, sir. And what is the sort of gross debt levels that we are seeing by the end of F Y'26 on standalone basis?
Paresh Mehta: Based on monetization , our debt level should be substantially low below the normal debt of Rs. 200 crores to Rs. 300 crores, though it could be surplus too, but we could have certain project center consid eration also on the solar front and so all said and done , debt should be substantially reduced post -monetization.
Jainam Jain: And sir, any ballpark number?
Paresh Mehta: Presently , it is around Rs. 200 crores to Rs. 300 crores which is general working capital loan which will be existing based on practical ground s.
Jainam Jain: Okay sir, that answers our question. Thank you , sir.
Moderator: Thank you. The next question comes from the line of Bhavin from SBI Mutual Funds. Please

go ahead.
Bhavin: Pardon m e for the repeating. I actually got disconnected in between. What I was looking for is timelines for cash flow receipt for the HAM project, what is in '26, what would be in '27, and similarly for the BOT projects ?
Paresh Mehta: So for both , the BOT approximately Rs. 1,200 crores and for the ART HAM approximately Rs. 1,500 crores would be happening by Q2 end, before Q2 end. I think which should be having cash flow of this amount. Balance on the HAM projects would be happening by Q4, between Q3 and Q4 except for one project which is approximately Rs. 150 crores at the last --. And in ' 26-'27, we will have the balance payment of BOT project for Rs. 750 crores .
Bhavin: Okay. So this year is where we should get a net flow receipt of about Rs. 1,500 odd crores considering the payment that should be done to the S BI Macquarie . Is that like a fair assessment?
Paresh Mehta: Right, fair assessment.
Bhavin: Okay, great. Second question is if you could help us understand on the working capital side, given the projects that are there in the order and we have seen increase in the working capital over the last 4-5 quarters. How should one see the trajectory given the stage of execution where these projects are?
Paresh Mehta: So. These are some, just break it into po wer and the road project. Power projects have a longer working capital cycle, which was backed in FY '24-'25. So these are typically having larger working capital, so that trend of working capital cycle at these levels is continuing for at least purely on a standalone working capital basis, at the interest rate subject to monetization. So, otherwise this level will continue for '25-'26.

Bhavin: So the Rs. 1000 odd crore working capital debt which has been there in your assessment given the 10 % growth in the execution you are anticipating would that be higher , lower , similar?
Paresh Mehta: Should be similar , in this Rs. 1,000 crore shoul

d be able to manage for '25-'26.
Bhavin: Great and in your assessment where do you see the trajectory of the margin given the mix that you already have?
Paresh Mehta: So as indicated, we will for '25-'26, we should be ending up with approximately the range of 10%-10.5% of EBITDA margin.
Bhavin: Okay. So we should be seeing positive cash flow from operations on the standalone entity, leave aside the asset monetization that we are anticipating ?
Paresh Mehta: Yes, definitely. I mean, keeping in mind the ■24 -■25 the operating cycle being negative, I am sure for ■25-■26 it will be a positive one.
Bhavin: Great. In th at case, is there a thought process of any one-time dividend or buyback given the large cash flows that we should be seeing towards the end of the fiscal year?
Paresh Mehta: That d efinitely we've seen good visibility. Having cash on the balance sheet would be better utilize d by sharing it with investors and for newer business.
Bhavin: Yes, great. That answers my question. Thank you so much.
Moderator: Thank you. The next question comes from the line of Vasudev from Nuvama Wealth Management. Please go ahead.
Vasudev: Yes, thank you for the opportunity, So, sir, in your previous question, you mentioned that we have classified the Chennai -ORR project also in held for sale. So can you give some details like where are we in the process of monetization of this ass et and also anything on Jaora Nayagaon?
Paresh Mehta: So on both these Chennai -ORR and Jaora Nayagaon , we had a process of sales are conclude d in the past years but could not go through due to certain restrictions on the transfer of shares, which has been addressed in Chennai -ORR already. And in Jaora Nayagaon , we are still approaching the government to get the permission of transfer of shares. On the Chennai -ORR , we have already scouting for investors who previously were interested and new investors who are good to look at on this project. So we expect that in a year's time, we should get an offer for such projects.
Vasudev: Okay, sir. And so can you give me the pending equity which has to be infused in the HAM projects?

Paresh Mehta: So in the HA M projects, so presently we have approximately Rs. 367 crores of equity pending, which includes INR. 225 crores of equity for our last Bowaichandi project, which we have won where FC is due anytime.
Vasudev: Okay and sir, so how much are we planning to infu se in F Y'26, FY' 27 and FY'28?

Paresh Mehta: So in F Y'25-'26, we expect to infuse INR. 250 crores and balance INR. 112 crores in '26-'27.
Vasudev: Okay, and sir for this Rs. 12,000 crores of order intake that we are planning for F Y'26, what is the kind of bid pipeline that we're looking at and if we can give some breakup between different segments?
Satish Parakh: So build pipeline if you see M oRTH, NH AI, they'll throw around INR. 75,000 to one lakh crore. And if you see railways, it's around INR. 25,000 crores to INR. 30,000 crores of build pipeline. Power is another sector where a lot of investments are coming in. That should throw up around INR. 10,000 crores to INR. 15,000 crores. Railways is another segment. It's very difficult to gauge, but they inte rmittently come up with good order book and there are sectors where we look at is buildings , water and smart infra . So overall we are trying to see that INR. 7 ,000 crores to INR. 8,000 crores goes to the INR. 3,000 crores around railways and balance to other sectors.
Vasudev: Okay. Sure sir. And last sir, what was the CAPEX that we get in Q4 and our target for FY'26?
Satish Parakh: Target we have already told you will be around 10 % growth this year.
Vasudev: Sir, CAPEX target?
Satish Parakh: CAPEX will be around Rs. 200 crores with all segments.
Vasudev: Okay, sure, that's it from my side. Thank you.
Moderator: Thank you. The

next question comes from the line of Parikshit Gupta from Fair Value Capital.
Please go ahead.
Parikshit Gupta: Thank y ou very much for the opportunity. I want to ask about the monetization again and sorry for the repetition. I just wanted to make sure I have it super clear. So about the BOT projects. Is it not correct that we are getting an enterprise value of INR. 5,700 crores out of which INR. 3,200 crores almost INR. 3,200 crores would directly go into debt and the rest INR. 2,500 crores that we are talking about will be equity received by Ashoka ?
Paresh Mehta: That is true .
Parikshit Gupta: So considering this number, along with the HAM projects of INR. 23 crores -INRs. 24 crores, the total amount comes to around INR. 8,000 odd crores. And even after considering the SBI

Macquarie stake purchase INR. 1,526 crores and plus Rs. 150 crores of the Jaura Road , the net debt levels considering the cash in hand right now on a consol level along with no excess or no other equity infusion comes to be around zero. Is that correct in my understanding?
Paresh Mehta: No, but the debt which you're talking would go along with the SPVs, the BOT SPVs. So the consideration which you're getting of 2 ,500 is net of all debt. So when we're talking of when we have spoken of approximately 3 ,000 odd crores debt on the five BOT projects, today it is 1,945 plus NH AI debt of around 1000 crores , totally 2,9 00 crores of debt which will go along with the SPV to the new buyer. So that's not a payment which I have to make. It will be going along. What I will get is 2,500 crores net which will be splitting to 1,700 crores in '25-'26 and 700 odd crores in '26-'27. So this itself will fetch me as you said 2,500 . Again , what we said was 2,400, so we are total of 4,900 of total equity considerations, of which say 1,600 will go into payment of SB I Macquarie. So that is what is net -net available at the end o f '26-'27, including Rs. 750 crores and everything. So 4,900 minus 1,600 , minus any capital gains tax would leave us with Rs. 3,000 crores of net cash.
Parikshit Gupta: Okay, just one follow up on this. The 2 ,900 crores debt with BOT, isn't that currently sitting on the balance sheet of Ashoka Buildcon as a consol?
Paresh Mehta: No. That is sitting on consol, yes, but it is at the SP V level.
Parikshit Gupta: Okay, I will probably take this up offline. Just one more question. Is there any strict hard deadline to the SBI Macquarie sale? Because I believe earlier in FY '22 Quarter 3, there was also again the same plan of selling the BOT projects, but it did not go through. And at that time, the SBI Macquarie exit was around INR. 1200 crores of value which has gone up now. in case by chance this sale of HAM and BOT projects are not executed by the end of June as we stipulated, June or July, is SBI Macquarie deal also stated to maybe again push forward?
Paresh Mehta: So definitely the Macquarie deal is a con sequence of the sale proceeds. So from that perspective, the sale is consequential, but from an amount perspective, it will be a bilateral discussion if there is any change. As of date, this remains.
Parikshit Gupta: And is there any hard deadline to the S BI Macquarie deal? For example, they're telling you if we are able to pay 1 ,526 by end of July or end of August, then this deal stands. Otherwise, we will have to re-evaluate ?
Paresh Mehta: I believe most of these all the monetization happening. does not the question, does it arise ? I am sure that the deal will go through by July definitely they will get paid off.
Parikshit Gupta: I mean it's a Six Sigma event , 0.01% possibility.
Paresh Mehta: It will be mutually discussed. Typically, they are a p artner with us, so we'll mutually decide what is the next course of action. But I am sure they're also looking out for an exit.

Parikshit Gupta: So there is no hard deadlines here. It's all understood because of the monetization, the cash flows, and then finally being able to execute the asset purchase, stake purchase ?
Paresh Mehta: Right.
Parikshit Gupta: Okay, this is helpful. I will probably set up some time personally. But thank you again for answering my question s.
Moderator: Thank you. The next question comes from the line of Hardik Gandhi from HPMG Shares & Securities . Please go ahead.
Hardik Gandhi: Hello, sir. Thank you for taking my question again. Just wanted some clarification. I know this was discussed. And now I unders tand why the borrowing levels are showing less because we've shifted our borrowings from the borrowing tab to the liabilities held for sale. Is that correct?
Paresh Mehta: Yes.
Hardik Gandhi: So how much of this are we expecting to reduce by next year of 9 ,400 which is showing in liabilities held for sale?
Paresh Mehta: So by the end of next year, by March '26, we expect approximately 4,500 crores of debt to go out of the balance sheet from approximately Rs. 5,000 odd crores.
Hardik Gandhi: Understood. And have we considered the new debt which we will take for the new orders or upcoming projects and everything on that level or is it just standalone calculation?
Paresh Mehta: So it is presuming that with the current estimate of turnover and the requirement of capital cycle remaining similar, the debt will remain same, will not go up and if the monetization happens, it will definitely go down.
Hardik Gandhi: Understood. So just coming from a different angle, so considering we are expecting the debt will remain the same but on the basis of this that we will have a 5000 crore reduction. So do you anticipate a reduction in the finance cost to the span of 400 to 450 crore given that we are borrowing at a 9.5 %? So do we expect a reduction in the borrowing cost, so the finance cost to go down by Rs. 400 crores next year?
Paresh Mehta: 9.5 is the cost of borrowing at the standard level for the working capital debt, which will typically remain. So on a date of app roximately 1,000 odd crores, this is what number will finally transpire, plus a couple of more projects like Baswantpur, Belgaum Khanapur , which will continue in the balance sheet up to '26-'27. So it's various debts which will come out, but definitely the interest cost in '26-'27 should substantially go down, including '25-'26.

Hardik Gandhi: Okay, understood. So if I were to assume on a consol basis what would be our cost of borrowing then like if not on a standalone but just on a consol basis for the at least for this Rs. 9,400 which is held for sale ?
Paresh Mehta: So on the standalone level , this would be in the range of 8 %-8.5%, sorry on a consol level .
Hardik Gandhi: On a consol level , yes. So that's what I am saying. So if we are expecting to reduce our Rs. 5000 crore debt by next, let's be conservative and say Rs. 4000 crore and with the 8.5 %, we expect our finance cost to go down by roughly on a ballpark number of Rs. 300 crores? Would that be correct assump tion?
Paresh Mehta: Yes, that's true.
Hardik Gandhi: Understood, Thank you so much.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing remarks.
Paresh Mehta: We thank everybody for joining this conference call for the update on the Q4 & FY'25 numbers. If there are any follow -up questions, we are also available on my personal number, which is available on the presentation as well as SGA, our invest or relations team. Thank yo u.
Satish Parakh: Thank you. Thank you, everyone.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Nirmal Bang Equities Private Limited t

hat
concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

Ashoka Buildcon Limited

To, To,
The Manager, The Manager,
The Department of Corporate Services The Listing Department
BSE Limited National Stock Exchange of India Limited
Floor 25, P. J. Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code: 533271 Scrip Symbol: ASH OKA EQ.
Debt CP Codes: 728 882, 72 9123
Debt NCD Codes : 976190, 976191, 976192

May 30, 2025

Sub: Call Transcript

Please find enclosed herewith the copy of transcript of the Earnings Call held on May 26, 2025 in respect of audited Standalone and Consoli dated Financial Results for the quarter and year ended March Marc h 31, 202 5.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

“Ashoka Buildcon Limited's Q4 FY'25 Earnings
Conference Call ”

May 26, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 26th May 2025 will prevail .

MANAGEMENT : MR. SATISH PARAKH - MANAGING DIRECTOR ,
ASHOKA BUILDCON LIMITED
MR. PARESH MEHTA - CHIEF FINANCIAL OFFICER ,
ASHOKA BUILDCON LIMITED

MODERATOR : MR. SARTHAK SINGH - NIRMAL BANG EQUITIES
PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Call of Ashoka Buildcon hosted by Nirmal Ban g Equities Private Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sarthak Singh from Nirmal Ban g Equi ties Private Limited. Thank you and over to you, sir.
Sarthak Singh: Thank you, Alaric . Good afternoon, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you to the Quarter 4 FY'25 E arnings Conference Call with the Management of Ashoka Build con Limited. We have with us Mr. Satish Parakh – Managing Director and Mr. Paresh Mehta, CFO.
Without further ado, I would now request Mr. Satish Parakh sir to start with his opening comments, after which we can open the floor for questions -and-answer s. Thank you and over to you, sir.
Satish Parakh: Good afternoon. On behalf of Ashoka B uildcon Limited, I extend warm welcome to everyone joining us today to discuss our Business and Financial Results for Q4 FY '25 ended 31st March 2025.
On this call, we have joined with our CFO Mr. Par esh Mehta and SGA, our Investor Relations Advisor.
Let me begin by giving an industry overview :
India's infrastructure sector remains a core pillar for the country's economic development strategy. The government continues to prioritize infrastructure as a key foundation of growth and a driver towards its 5 trillion economy target.
Flagship programs like the National Infrastructure Pipeline and PM Gati Shakti are helping streamline planning and improve execution across key seg ments including roads, railways, ports, airports and urban development. FY2024 25 has been a relatively muted year from the infrastructure overall. However, National Highways Authority of India, NHAI, delivered a strong performance building 5,614 km of hi ghways during this year. Capital spending crossed over Rs. 2.5 lakh crores, which is the highest ever and shows strong progress across ongoing infrastructure projects.
Looking ahead, the outlook of highway segment remains positive. The government has annou nced a major investment plan of Rs. 10 lakh crore over the next two years to wards improv ing infrastructure. These efforts aim to bring Indian highways in line with global

standards . We have seen strong progress in recent years. The National Highway Network has grown from 91,287 kilometers in 2014 to a 1,46,000 kilometers today with marked improvement both in quality and execution.
Now on the monetization front :
NHAI raised Rs. 28,724 crores through models like TOT, In vIT and Toll Securitization .
Notably, Rs . 17,738 crores came from InvITs alone, marking the highest ever collection from this model.
Overall , the infrastructure continues to see strong support from the private sector backed by stable government policies and new financing models. With a healthy p ipeline of upcoming projects and a growing focus on digital and sustainable infrastructure, we believe the sector is well placed for steady long -term growth.
Coming to the company update :
To update on sale disposal of stake sale in subsidiaries of wConcessions Limited. This is in reference to our earlier announcement about proposed sale of entire shareholding in 5 BOT subsidiaries of Ashoka Concessions Limited to Maple Infrastructure Trust. The completion of this transaction has been delayed as some of the require

d conditions are still being worked on.
In agreement with the proposed investor, the new expected date to complete the transaction is 30th June 2025.
Coming to the order book statu s:
The company has received two new project orders. The first came in March 2025 from Maharashtra State Electricity Transmission Company. It's worth INR. 311.92 crores and involves setting up a 400 /220 kVA substation at Amravati district in Maharashtra. The wor k includes supply, erection, testing and commissioning and related civil work s. The second order was received in April 2025 for Central Railway . This is EPC project for gauge conversion between Pachora and Jamn er, excluding Pachora yard and road over bridg es with a contract value of INR. 568.86 crore. These new orders further strengthen our position in both power transmission and railway infrastructure sector. As on 31st March 2025 our balance order stand at INR14,905 crores. This is excluding orders received post 31st March 2025 of INR795 crores.
The breakup of order book is as follows :
Roads and Railways projects compromise around INR. 10,867 (erroneously said on the call) crores which is 72.9% (erroneously said 60.4% on the call) of the total order book . Among the road project order book, HAM projects are to the tune of INR 1,859 crores and EPC road projects are worth Rs. 8,688 crores and railway is around Rs. 320 crores. Power T&D accounts for INR 3,618 crores which is approximat ely 24.3 % of the total balance order book. The total EPC building segment is INR . 420 crores which is 2.8 % of the total order book.

To conclude :
Let me say this again that our primary focus remains on maintaining a sustainable EPC business and segments encompassing highways, railways, power transmission and distribution as well as buildings.
This is all from my side and I would now like to request Mr. Paresh Mehta to present the financial performance . Thank you.
Paresh Mehta: Hello, Thank you. G ood afternoon , everyone.
Starting with the standalone numbers for Q4 & FY'25:
The total income for Q4 FY '25 stood at INR2 ,012 crores as compared to INR 2,533 crores in Q4 FY'24, a degrowth of 21%. EBITDA for the quarter stood at Rs. 181 crores with EBITDA margins of 9%. PAT stood at INR 60 crores for the quarter. FY'25, the total income stood at INR7,188 crores as compared to INR 7,841 crores, a degrowth of 8%. EBITDA for the period stood at Rs. 673 crores, a degrowth of 3 % from EBITD A margins, but EBITDA margins improving by 60 basis point to 9.4 %. PAT stood at INR 197 crores for F Y'25.
Our revenue contribution for each segment for Q4 F Y'25 is as follows :
Road EPC contributed 58.3%, Road HAM contributed 12.5%, Power EPC contributed 2.8%, Railways stood at 2.11%, and other segments like building EPC and others contributed 24.3%.
Coming to the consolidated results :
The total income for Q4 FY '25 stood at INR2 ,755 crores as compared to INR3 ,138 crores in Q4 FY '24, registering a 12 % growth. EBITDA for the quarter stood at INR838 crores, a growth of 16 % YOY . PAT stood at INR 452 crores. For FY25, total income stood at INR 10,205 crores as compared to INR 10,005 crores in FY '24, registering a growth of 2%. EBITDA for the quarter stood at INR 3,089 crores, a growth of 26% YOY. PAT stood at INR 1,734 crores for FY '25.
Total consolidated debt as on 31st March 2025 stood at INR 6,671 crores. The standalone debt is at INR 1,405 crores, which encompasses INR 101 crores for equipment loans, INR 300 crores

of NCD, and INR 1,004 crores of working capital finance . In Q4 F Y'25, in our BOT division, the company recorded a gross toll collection of INR 348 crores as against INR 329 crores in Q4 FY'24, recording a growth of 6%.

With this, we now open the floor for question s-and-answers . Thank you.

Moderator: Thank you, sir. We will now begin with the q

uestion -and-answer session. First question comes from the line of Hardik Gandhi from HPMG Shares & Securities. Please go ahead.

Hardik Gandhi: Yes, so actually I was just looking at your closing balance sheet versus your presentation. So in your presentation, the debt is still at the similar levels as we were in the past quarter. But in the balance sheet, I can see the short term borrowings and the long term borrowings have decreased drastically. So I am not able to understand why is this differen ce?

Paresh Mehta: They may be classified into current and non -current also. So may be you can take it offline or we will come back later.

Hardik Gandhi: Yes, we can do that because if you see in the borrowings in the non -current financial liabilities, it has decreased from 378 to just 72, right? And even in the short -term borrowings if we w ere there in current liabilities, short -term borrowings have just stayed in the similar range. But in the presentation, the debt is still showing at a similar, like there is no significant debt reduction in the presentation on a standalone as well as on a consol basis. So ye s, that was my … So just basically have we reduced the debt drastically in this past quarter or is it that...

Paresh Mehta: Sir, these are in the presentation we are talking of only external debt. On the balance sheet , we have debt which is including asset sale s also. From that point of view , there is a reduction in the asset sales outstanding in the last quarter.

Hardik Gandhi: Correct. Still, sorry, but I am not able to understand why there is this huge difference in the borrowing amount, but in the presentation, the standalone debt and consol debt is kind of the same from quarter -on-quarter. Like in December '24, I am seeing the total debt as Rs. 6,847. The March quarter is still showing Rs. 6,600. Right?

Paresh Mehta : Yes, but these are all external debt. So from that perspective , even in the consolidated what's happening is one of the assets which was held as investment is now moved on to assets held for sales. So from that perspective also , the debt numbers which is, you can have offline detailing of the debt.

Hardik Gandhi: No worries. And the second question is on the line of government spending, do we foresee given that recent changes in the geopolitical issues, the government spending will be diverted from infrastructure to something else, and how are we placed in the upcoming orders? If you can just give a light on that ?

Satish Parakh : Yes, if you see last quarter government has not been moving very slowly as far as NH AI is concerned. But there is nothing r elated to funding as such. What we see in next few quarters we will see a good amount of bidding happening.

Hardik Gandhi: Understood. And usually sir, sorry, but when do we get the new orders like if it's in Q1 -Q2 or is it spread equally throughout the year?

Satish Parakh : So Q1 -Q2 may be muted, we'll get Rs. 2,000 crores -Rs. 3,000 crores and post Q3-Q4 will be really good inflow of order books.

Hardik Gandhi: Understood. And just last bit on the execution side, are we seeing any execution slowdowns? Do we expect similar growth in the topline as last year or do we see a drastic change because along with that, since the toll prices have increased , so we can expect a significant growth ?

Satish Parakh: Growth wise, coming here we don't see more than 10 % as Q1 -Q2 will be still slow because whatever orders we have bagged we will really pick up in Q3 -Q4. There are a lot of initial orders in starting those works like land acquisition, forest clearances and all this. So they really will pick up post monsoon. So out of the 6 -7 projects only 3 have really started. 4 will start only in Q3. Q3 -Q4 will be very good. Q1 -Q2 still will have some

orders.

Hardik Gandhi: Understood. All the best, sir. Thank you so, much.

Satish Parakh: Thank you.

Moderator: Thank you. Th e next question comes from the line of Yash ovardhan Banka from AssetTiger. Please go ahead.

Yashovardhan Banka: Thank you , sir. Just wanted to understand what will be our interest cost and savings from reduction in the borrowings ?

Paresh Mehta: Interest cost, we are typically at the range of 9%-9/5% and what was the other question which

you had?
Yashovardhan Banka: So we'll be expecting savings in interest like since we reduced our borrowings, practically?
Paresh Mehta: So on our external debt, borrowing continues to remain the same for 31st March '25. '25-'26, we expect the borrowings to go down and effectively interest costs will go down, keeping in mind monetization of assets on both BOT as well as HAM , right? These cost s should substantially go down in Q3 -Q4. Q1-Q2 is the period when we expect both the BOT and large number of assets of HAM projects should get monetized.
Yashovardhan Banka: Okay, so just not a bit like a bit clarity needed on the borrowings as in the borrowing s I can see reduced from Rs. 3700 crores to Rs. 700 crores . Right ? So that's a reduction of around Rs. 3000 crores. So we'll be expecting some interest cost savings moving on these quarters , right? That's what I am trying to understand.
Paresh Meh ta: Yes, just trying to get hold of this 3,000 number which you're talking about.
Yashovardhan Banka: It's on the consolidated balance sheet of page #11 of our IP, investor presentation.
Paresh Mehta: See, debt has not gone down on an overall basis. It is presentation which has happened , if you see liabilities held for sale it has gone up from Rs. 287 crores to Rs. 940 crores here , one. And on the borrowing also …If you see financial liability borrowing s and the left it held for sale, this is where the change has happened.

Yashovardhan Banka: Got it.
Paresh Mehta: As per page #6 of the presentation, largely the debt remains similar. It has reduced from Rs.7,139 in March '24 to Rs. 6,631 in March '25.
Yashovardhan Banka: Got it, sir. And any further plans in reduction of debt?
Paresh Mehta: As I said, post monetization, substantial debt reduction is there both due to offloading of the assets where the debt will get paid off from the balance sheet of ABL in the BOT, it's almost Rs. 2000 cro res and in the major 7 HAMs which will be initially sold around Rs. 2,000 crores. So by Quarter 2, we expect Rs. 4,000 crores of debt to go down from the consolidated balance sheet and whatever excess monetization will happen, we reduce the working capital debt also.
Yashovardhan Banka: Got it , sir. Thank you.
Moderator: Thank you. The next question comes from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.
Vaibhav Shah: Sir, y ou mentioned that our revenue guidance for FY '26 would be ar ound 10 % growth. So earlier we guided for 15 % growth for FY '26. So what has led to this cut in the guidance first and also what could be the guidance for EBITDA margins and order inflows for FY '26?
Satish Parakh: So basically whatever new orders we got as I explained were supposed to start in Q1 -Q2. Out of this only 40 % have started. 60 % is getting shifted to Q3 because of various reasons like land acquisition and forest clearance. So these are getting delayed started. That is why the whole growth for the y ear is getting affected.
Vaibhav Shah: So FY'27 should be a much better growth in terms of sales from 2H as usual will pick up?
Satish Parakh: Yes, definitely because all these projects would have been done in full swing and plus new order books which we b agged this year would also get converted into business here.
Vaibhav Shah: And sir, guidance on margins and ordering flow?
Paresh Mehta:

So on margins, w e will be improving our margins based on the new order books which have come in and we should be in the range of 10 % plus.
Vaibhav Shah: Okay, and sir order inflows ?
Paresh Mehta: Order inflows, 10,000 to 12 ,000 for '25-'26. That is what we expect, spread into various sectors, roads, railways , other infra .
Vaibhav Shah: And sir, what would be the actual inflow for FY'25, if we remove the GST portion and what will be the EPC value we got in FY'25?

Paresh Mehta: Approximately 9,500.
Vaibhav Shah: And sir, lastly, if we look at the asset held for sale number on the standalone balance sheet, it is around Rs. 1,198 crores. So, it includes only 5 BOTs or what all it includes?
Paresh Mehta: It includes all the HAM projects, 11 HAM projects and 5 BOT projects and one annuity project. You're talking about standalone or consolidated?
Vaibhav Shah: Standalone.
Paresh Mehta: Standalone there are four HAM projects and Chennai ORR which is an annuity project.
Vaibhav Shah: So for HAM or BOT?
Paresh Mehta: BOT all these are under consolidated , that is under ACL wing , so on the standalone we see only four HAM projects plus one annuity project.

Vaibhav Shah: Okay, so we were supposed to receive roughly Rs. 860 odd crores of cash on net after all the payments to SBI, Macquarie and all. So that number remains?
Paresh Mehta: I am not sure how this 860 arrived at. Typically what we expect to realize is Rs. 2,500 crores on the BOT projects and Rs. 2,400 crores on the HAM projects, which is typically Rs. 5000 odd crores of wh ich Rs. 1,600 crores would go to SBI Macquarie . Balance will be available for the operation, which will be split into two parts, around 750 crores and another 800 crores will be in '26-'27 probably. So around Rs. 2000 odd crores should be in '25-'26 balance sheet . You can do the math.
Vaibhav Shah: You are supposed to be Rs. 1,535 crores right to SB I Macquarie ?
Paresh Mehta: Yes, 1,526 and we will be acquiring Jaora Nayagaon stake also of Rs. 150 crores .
Vaibhav Shah: Okay, so the entire payment of your Rs. 1,600 plus crores, it will be done in two parts you mentioned, right? In '26 and '27 or entirely in '26?
Paresh Mehta: The payment will be done in one stroke the moment we realize proceeds from the BOT or HAM whichever happens earlier. So when do we expect the resale process from both the deals from BOT and H AM? So the first set of money infusion from the BOT deal should be happening somewhere before by 15th of July. That's what our expectations are between 15th July to 31st July. 3 0th June is our long stop date, but we are almost done with all the compliances with NH AI and the lenders , so we would be doing our CP compliance in the first week of June and then we will draw down the money , whatever time it takes to draw down the money. On the HAM front, we have 5 projects which we expect to complete by the first week of July, which should bring in approximately Rs. 1,200 crores . And another two assets by August, which should be in another Rs. 400 crores.

Vaibhav Shah: And remainder HAM happen by December?
Paresh Mehta: Three assets will happen by December. One asset will happen in '26-'27. That is one, Belga um-Khanapur, which will happen in post April 26.
Vaibhav Shah: Okay. And sir lastly, BOT will be payment entirely on 15th July or balance part would come later?
Paresh Mehta: It will be split into two, approximately 1 ,700 crores would come by 15th July and Rs. 700 crores would come based on extension of traffic for the three projects, Samba lpur, Belga um and Dhankuni , which we expect around '26-'27.
Vaibhav Shah: That amount will come in FY '27?
Paresh Mehta: '26-'27, ye s.
Vaibhav Shah: Okay. Thank you, sir. I'll come back in the queue.
Paresh Mehta: Thank

you.
Moderator: Thank you. The next question comes from the line of Ja inam Jain from ICICI Securities. Please go ahead. Thank you for the opportunity.
Jainam Jain: Thank you for the opportunity. Sir, my first question is what is the order pipeline which we are seeing currently for Road , Railway and on the T&D end?
Satish Parakh: Railway & power , we expect around INR. 2,000 crores and roads , we expect around INR. 7,000 to Rs. 8,000 crores. There are other projects like water and buildings and all. There we expect around INR. 2,000 crores. So a round 10,000 to 12,000 is what is our target here.
Jainam Jain: Okay. And sir, how are we seeing things improve on the NHAI bidding side in terms of intense competition and surplus margin?
Satish Parakh: So NHAI competition remains , rather it is growing day -by-day. So we are now focusing on specialized structures, some specialized jobs in NH AI and MoRTH and state level works at all other segments.
Jainam Jain: Okay, sir. And what is the sort of gross debt levels that we are seeing by the end of F Y'26 on standalone basis?
Paresh Mehta: Based on monetization , our debt level should be substantially low below the normal debt of Rs. 200 crores to Rs. 300 crores, though it could be surplus too, but we could have certain project center consideration also on the solar front and so all said and done , debt should be substantially reduced post -monetization.

Jainam Jain: And sir, any ballpark number?
Paresh Mehta: Presently , it is around Rs. 200 crores to Rs. 300 crores which is general working capital loan which will be existing based on practical ground s.
Jainam Jain: Okay sir, that answers our question. Thank you , sir.
Moderator: Thank you. The next question comes from the line of Bhavin from SBI Mutual Funds. Please go

ahead.
Bhavin: Pardon me for the repeating. I actually got disconnected in between. What I was looking for is timelines for cash flow receipt for the HAM project, what is in '26, what would be in '27, and similarly for the BOT projects ?
Paresh Mehta: So for both , the BOT approximately Rs. 1,200 crores and for the ART HAM approximately Rs. 1,500 crores would be happening by Q2 end, before Q2 end. I think which should be having cash flow of this amount. Balance on the HAM projects would be happening by Q4, between Q3 and Q4 except for one project which is approximately Rs. 1 50 crores at the last --. And in '26-'27, we will have the balance payment of BOT project for Rs. 750 crores .
Bhavin: Okay. So this year is where we should get a net flow receipt of about Rs. 1,500 odd crores considering the payment that should be done to the S BI Macquarie . Is that like a fair assessment?
Paresh Mehta: Right, fair assessment.
Bhavin: Okay, great. Second question is if you could help us understand on the working capital side, given the projects that are there in the order and we have seen increase in the working capital over the last 4-5 quarters. How should one see the trajectory given the stage of execution where these projects are?
Paresh Mehta: So. These are some, just break it into power and the road project. Power projects have a longer working capital cycle, which was backed in FY '24-'25. So these are typically having larger working capital, so that trend of working capital cycle at these levels is continuing for at least purely on a standalone working capital basis, at the interest rat e subject to monetization. So, otherwise this level will continue for '25-'26.
Bhavin: So the Rs. 1000 odd crore working capital debt which has been there in your assessment given the 10 % growth in the execution you are anticipating would that be higher , lower , similar?
Paresh Mehta: Should be similar , in this Rs. 1,000 crore should be able to manage for '25-'26.
Bhavin: Great and in your assessmen

t where do you see the trajectory of the margin given the mix that you already have?

Paresh Mehta: So as indicated, we will for '25-'26, we should be ending up with approximately the range of 10%-10.5% of EBITDA margin.
Bhavin: Okay. So we should be seeing positive cash flow from operations on the standalone entity, leave aside the asset monetization th at we are anticipating ?
Paresh Mehta: Yes, definitely. I mean, keeping in mind the ’24 -’25 the operating cycle being negative, I am sure for ’25-’26 it will be a positive one.
Bhavin: Great. In that case, is there a thought process of any one-time dividend or buyback given the large cash flows that we should be seeing towards the end of the fiscal year?
Paresh Mehta: That d efinitely we've seen good visibility. Having cash on the balance sheet would be better utilize d by sharing it with investors and for newer business.
Bhavin: Yes, great. That answers my question. Thank you so much.
Moderator: Thank you. The next question comes from the line of Vasudev from Nuvama Wealth Management. Please go ahead.
Vasudev: Yes, thank you for the opportunity, So, sir, in your previous question, you mentioned that we have classified the Chennai -ORR project also in held for sale. So can you give some details like where are we in the process of monetization of this asset and also anything on Jaora Nayagaon?
Paresh Mehta: So on both these Chennai -ORR and Jaora Nayagaon , we had a process of sales are conclude d in the past years but could not go through due to certain restrictions on the transfer of shares, which has been addressed in Chennai -ORR already. And in Jaora Nayagaon , we are still approaching the government to get the permission of transfer of shares. On the Chennai -ORR , we have already scouting for investors who previously were interested and new investors who are good to look at on this project. So we expect that in a year's time, we should get an offer for such projects.
Vasudev: Okay, sir. And so can you give me the pending equity which has to be infused in the HAM projects?
Paresh Mehta: So in the HA M projects, so presently we have approximately Rs. 67 crores of equity pending, which includes INR. 225 crores of equity for our last Bowaichandi project, which we have won, where 0:35:59__ is due anytime.
Vasudev: Okay and sir, so how much are we planning to infuse in F Y'26, FY' 27 and FY'28?
Paresh Mehta: So in F Y'25-'26, we expect to infuse INR. 250 crores and balance INR. 112 crores in '25-'26.

Vasudev: Okay, and sir for this Rs. 12,000 crores of order intake that we are planning for F Y'26, what is

the kind of bid pipeline that we're looking at and if we can give some breakup between different segments?
Satish Parakh: So build pipeline if you see M oRTH, NH AI, they'll throw around INR. 75,000 to one lakh crore. And if you see railways, it's around INR. 25,000 crores to INR. 30,000 crores of build pipeline. Power is another sector where a lot of investments are coming in. That should throw up around INR. 10,000 crores to INR. 15,000 crores. Railways is another segment. It's very difficult to gauge, but they intermittently come up with good order book and there are sectors where we look at is buildings , water and smart infra . So overall we are trying to see that INR. 7 ,000 crores to INR. 8,000 crores goes to the INR. 3,000 crores around railways and balance to other sectors.
Vasudev: Okay. Sure sir. And last sir, what was the CAPEX that we get in Q4 and our target for FY'26?
Satish Parakh: Target we have already told you will be around 10 % growth this year.
Vasudev: Sir, CAPEX target?
Satish Parakh: CAPEX will be around Rs. 200 crores with all segments.
Vasudev: Okay, sure, that's it from my side. Thank you.
Moderator: Thank you. The nex

t question comes from the line of Parikshit Gupta from Fair Value Capital.
Please go ahead.
Parikshit Gupta: Thank you very much for the opportunity. I want to ask about the monetization again and sorry for the repetition. I just wanted to make sure I have it super clear. So about the BOT projects. Is it not correct that we are getting an enterprise value of INR. 5,700 crores out of which INR. 3,200 crores almost INR. 3,200 crores would directly go into debt and the rest INR. 2,500 crores that we are talking about will be equity received by Ashoka ?
Paresh Mehta: That is true .
Parikshit Gupta: So considering this number, along with the HAM projects of INR. 23 crores -INRs. 24 crores, the total amount comes to around INR. 8,000 odd crores. And even after considering the SBI Macquarie stake purchase INR. 1,526 crores and plus Rs. 150 crores of the Jaura Road , the net debt levels considering the cash in hand right now on a consol level along with no excess or no other equity infusion comes to be around zero. Is that correct in my understanding?
Paresh Mehta: No, but the debt which you're talking would go along with the SPVs, the BOT SPVs. So the consideration which you're getting of 2 ,500 is net of all debt. So when we're talking of when we have spoken of approximately 3 ,000 odd crores debt on the five BOT projects, today it is 1,945 plus NH AI debt of around 100 0 crores , totally 2,9 00 crores of debt which will go along with the SPV to the new buyer. So that's not a payment which I have to make. It will be going along.

What I will get is 2,500 crores net which will be splitting to 1,700 crores in '25-'26 and 700 odd crores in '26-'27. So this itself will fetch me as you said 2,500 . Again , what we said was 2,400, so we are total of 4,900 of total equity considerations, of which say 1,600 will go into payment of SB I Macquarie. So that is what is net -net available at the end of '26-'27, including Rs. 750 crores and everything. So 4,900 minus 1,600 , minus any capital gains tax would leave us with Rs. 3,000 crores of net cash.
Parikshit Gupta: Okay, just one follow up on this. The 2 ,900 crores debt with BOT, isn't that c urrently sitting on the balance sheet of Ashoka Buildcon as a consol?
Paresh Mehta: No. That is sitting on consol, yes, but it is at the SP V level.
Parikshit Gupta: Okay, I will probably take this up offline. Just one more question. Is there any strict hard deadline to the SBI Macquarie sale? Because I believe earlier in FY '22 Quarter 3, there was also again the same plan of selling the BOT projects, but it did not go through. And at that time, the SBI Macquarie exit was around INR. 1200 crores of valu e which has gone up now. in case by chance this sale of HAM and BOT projects are not executed by the end of June as we stipulated, June or July, is SBI Macquarie deal also stated to maybe again push forward?
Paresh Mehta: So definitely the Macquarie deal i s a consequence of the sale proceeds. So from that perspective, the sale is consequential, but from an amount perspective, it will be a bilateral discussion if there is any change. As of date, this remains.
Parikshit Gupta: And is there any hard deadline to the SBI Macquarie deal? For example, they're telling you if we are able to pay 1 ,526 by end of July or end of August, then this deal stands. Otherwise, we will have to re-evaluate ?
Paresh Mehta: I believe most of these all the monetization happening. does not the question, does it arise ? I am sure that the deal will go through by July definitely they will get paid off.
Parikshit Gupta: I mean it's a Six Sigma event , 0.01% possibility.
Paresh Mehta: It will be mutually discussed. Typically, they are a par tner with us, so we'll mutually decide what is the next course of action. But I am sure they're also looking out for an exit.
Parikshit Gupta: So t

here is no hard deadlines here. It's all understood because of the monetization, the cash flows, and then finally being able to execute the asset purchase, stake purchase ?

Paresh Mehta: Right.

Parikshit Gupta: Okay, this is helpful. I will probably set up some time personally. But thank you again for answering my question s.

Moderator: Thank you. The next quest ion comes from the line of Hardik Gandhi from HPMG Shares & Securities . Please go ahead.

Hardik Gandhi: Hello, sir. Thank you for taking my question again. Just wanted some clarification. I know this was discussed. And now I understand why the borrowing le vels are showing less because we've shifted our borrowings from the borrowing tab to the liabilities held for sale. Is that correct?

Paresh Mehta: Yes.

Hardik Gandhi: So how much of this are we expecting to reduce by next year of 9,400 which is showing in liabilities held for sale?

Paresh Mehta: So by the end of next year, by March '26, we expect approximately 4,500 crores of debt to go out of the balance sheet from approximately Rs. 5,000 odd crores.

Hardik Gandhi: Understood. And have we considered the new debt which we will take for the new orders or upcoming projects and everything on that level or is it just standalone calculation?

Paresh Mehta: So it is presuming that with the current estimate of turnover and the requirement of capital cycle remaining similar, the debt will remain same, will not go up and if the monetization happens, it will definitely go down.

Hardik Gandhi: Understood. So just coming from a different angle, so considering we are expecting the debt will remain the same but on the basis of this that we will have a 5000 crore reduction. So do you anticipate a reduction in the finance cost to the span of 400 to 450 crore given that we are borrowing at a 9.5 %? So do we expect a reduction in the borrowing cost, so the finance cost to go down by Rs. 400 crores next year?

Paresh Mehta: 9.5 is the cost of borrowing at the standard level for the working capital debt, which will typically remain. So on a date of approximately 1,000 odd crores, this is what number will finally transpire, plus a cou ple of more projects like Baswantpur, Belgaum Khanapur , which will continue in the balance sheet up to '26-'27. So it's various debts which will come out, but definitely the interest cost in '26-'27 should substantially go down, including '25-'26.

Hardik Gandhi: Okay, understood. So if I were to assume on a consol basis what would be our cost of borrowing then like if not on a standalone but just on a consol basis for the at least for this Rs. 9,400 which is held for sale ?

Paresh Mehta: So on the standalon e level , this would be in the range of 8 %-8.5%, sorry on a consol level .

Hardik Gandhi: On a consol level , yes. So that's what I am saying. So if we are expecting to reduce our Rs. 5000 crore debt by next, let's be conservative and say Rs. 4000 crore and with the 8.5 %, we expect our finance cost to go down by roughly on a ballpark number of Rs. 300 crores? Would that be correct assumption?

Paresh Mehta: Yes, that's true.

Hardik Gandhi: Understood, Thank you so much.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing remarks.

Paresh Mehta: We thank everybody for joining this conference call for the update on the Q4 & FY'25 numbers. If there are a ny follow -up questions, we are also available on my personal number, which is available on the presentation as well as SGA, our investor relations team. Thank yo u.

Satish Parakh: Thank you. Thank you, everyone.

Moderator: Thank you, sir. Ladies and gentlem en, on behalf of Nirmal Bang Equities Private Limited that conc

ludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Ashoka Buildcon Limited

Regd. Office : S. No. 861, Ashoka House, Ashoka Marg, Vadala, Nashik – 422 011, Maharashtra, India
■Tel. + 91 253 6633 705■Fax +91 253 2236704 ■ www.ashokabuildcon.com
CIN: L45200MH1993PLC071970
To, To,
The Manager, The Manager,
The Department of Corporate Services The Listing Department
BSE Limited National Stock Exchange of India Limited
Floor 25, P. J. Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai – 400 051

Scrip Code: 533271 Scrip Symbol: ASHOKA EQ.
Debt CP Code: 728882 / 729123/729743; and
Debt NCD Code: 976190 / 976191 / 976192

August 16, 2025

Sub: Call Transcript

Please find enclosed herewith the copy of transcript of the Earnings Call held on August 12, 2025 in respect of unaudited Standalone and Consolidated financial results (Limited Review) for the quarter ended June 30, 2025 .

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No. : FCS – 7377

"Ashoka Buildcon Limited
Q1 FY'26 Earnings Conference Call "

August 12, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th August 2025 will prevail.

MANAGEMENT :

- ■ Mr. Satish Parakh – Managing Director – Ashoka Buildcon Limited
- ■ Mr. Paresh Mehta – Chief Financial Officer – Ashoka Buildcon Limited

MODERATOR :

- ■ Mr. Bhavin Modi – Anand Rathi Institutional Equities

Moderator: Ladies and gentlemen, good day, and welcome to Ashoka Buildcon Q1 FY '26 Earnings Conference Call hosted by Anand Rathi Share and Stock Brokers Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conferen ce call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is now being recorded.

I now hand the conference over to Mr. Bhavin Modi from Anand Rathi Share and Stock Brokers Limited. Thank you, a nd over to you, sir.

Bhavin Modi: Hello, everyone. Good afternoon. So on behalf of Anand Rathi Institutional Equities, I extend a warm welcome to the Ashoka Buildcon Limited Q1 FY '26 earnings conference call. We are pleased to have with us today Mr. Satish Parakh, Managing Director; and Mr. Paresh Mehta, Chief Financial Officer.

So without any further delay, I invite Mr. Satish Parakh to share his opening remarks, f ollowing which we will open the floor for a Q&A session. Over to you, sir.

Satish Parakh: Yes. Thank you, Bhavin. Good afternoon, everyone. I welcome you all to the Q1 FY '26 earnings call of Ashoka Buildcon Limited. Thank you for taking the time to join u s today as we share our business and financial updates for quarter ended 30th June 2025. I'm joined by our CFO, Mr. Paresh Mehta; and our Investor Relations partners from SGA. Let me begin by giving an industry overview.

The start of FY '26 has been marke d by renewed momentum in India's infrastructure sector, especially roads and highways. The National Highways Authority of India has outlined an aggressive plan to build around 124 highway and expressway projects this year, spanning around 6,400 kilometers with an investment outlay of INR1.5 lakh crores .

These projects will leverage a mix of HAM, BOT and EPC models, including landmark corridors like Gorakhpur - Kishanganj -Siliguri HAM, Tharad -Ahmedabad on BOT and Surat -Nashik -Nagar -Solapur, which is part of Surat Chennai . This is also coming on BOT. This push underscores the government's focus on scaling up private participation while accelerating the pace of highway development.

On the operations side, traffic and toll collections have seen a strong growth. Toll revenue surged nearly 20% year -on-year to INR20,682 crores in Q1 with 1.17 billion vehicle trips recorded during the period. The sustained rise in vehicle movement coupled with revised toll rate positions the sector on track to exceed around INR80,000 crores in toll revenues for FY '26. This growth not only reflects stronger asset utilization but also reinforces the resilience of highway concessions in India.

The power tra nsmission and distribution space is also expanding steadily, driven by urban demand and ongoing integration of renewable energy into the grid. With investments flowing into substations, feeder modernizations, smart monitoring systems, this segment offers a consistent pipeline for EPC opportunities.

Coming to the company updates. We achieved a significant milestone on international front in Guyana. On June 18, 2025, we signed and executed a contract with the government of Guyana Republic (Guyana’s Public Wo rks Department) for Phase 2 of East Bank -East Coast Road Linkage Project. The project is valued at USD 67 million and comes with an 18 -month execution time line. This win is particularly meaningful as it strengthens our global footprint and demonstrates our capability to deliver complex infrastructure projects outside India.

Additionally, on the Railway segment, we received LOA from Central Railway for an EPC project involving the gauge conversion from Pachora to Jamner in Maharashtra, covering approximately 53 kilometer s. The scope of work includes earthworks, bridges, pathways, other civil works. This project valued at INR568 crores, including GST, fortifies our footprint in the railway EPC space and diversifies our infrastructure portfolio beyond roads.

ABL, along wit h its subsidiary, Ashoka Purestudy Technologies, secured contracts from Motor Vehicles Department, Maharashtra worth INR1,387 crores, including GST , to implement intelligent traffic management system across 5 major circles, Nagpur, Mumbai, Pune, Marathwada and Kokan & Western Maharashtra.

I'm also pleased to share that our wholly owned subsidiary, Ashoka Bowaichandi Guskara Road Private Limited successfully achieved financial closure on June 02, 2025. This HAM project involves the development of a four-lane economic corridor from Bowaichandi to Guskara -Katwa Road, covering approximately 43 kilometers on NH -116A, reflecting our strong execution credentials and financial discipline as we are now fully geared to move into the

construction phase.
On asset mone tization, the proposed sale of entire shareholding in five subsidiaries of Ashok Concessions Limited to Maple Infrastructure Trust is progressing, though the time line has been extended. Both parties have mutually agreed to move the closure date to Septemb er 30, 2025, to allow for the completion of pending condition precedent and this remains our strategic priority.
We also expect to close 5 BOT and 5 HAM projects by September end.
Coming to the ratings of the company. Acuite Ratings & Research reaffirmed our ratings for long-term bank facilities at AA and short term at A1+ as of June 3, 2025. These reaffirmations by leading rating agencies highlight our continued ability to manage growth while maintaining financial discipline.
Alongside this, discussions with Macquarie SBI Infrastructure Investments and SBI Macquarie Infrastructure Trust are ongoing. This discussion pertains to the purchase of their securities in Ashoka Concessions Limited and Jarora Nayagaon Toll Road Company by Ashoka Buildcon and subsid iary, Viva Highways. Although the earlier long stop date was June 30, both parties are working constructively towards closure under the agreed securities purchase agreement.
Coming to the order book status. The company has received three new project order s as discussed above from the following: Central Railway Authority, Motor Vehicles Department, Maharashtra and Government of Guyana ’s Public Works Department. These orders further strengthen our position in both domestic and international geographies.

As on 30th June 2025, our balance order book stands at INR15,886 crores. The breakup of the order book is roads and railway projects comprise of INR10,433 crores, which is 65.7% of the total order book. Among the road project order book, HAM projects are to t he tune of INR1,841 crores and EPC segment is INR7,811 crores. The Railways is around INR781 crores. Power T&D accounts for INR4,995 crores, which is approximately 31.4% of our total order book.
The total EPC Building segment is INR458 crores, which is 2.9% of the total order book. Our primary focus remains on maintaining a sustainable EPC business in segments encompassing Roads, Highways, Railways, Power Transmission and Distribution as well as Buildings.
I would now request Mr. Paresh Mehta, CFO, to p resent the financial performance. Thank you.
Paresh Mehta: Thank you, sir. Good afternoon, everyone. Starting with the stand -alone numbers of Q1 FY '26.
The total income for Q1 FY '26 stood at INR1,339 crores as compared to INR1,901 crores in Q1 FY '25, a degrowth of 30%. EBITDA for the quarter stood at INR151 crores, up 4% with EBITDA margin of 11.3%, an improvement of 370 bps (incorrectly stated as 3.7 bps during the call) year-on-year. PAT stood at INR31 crores for the quarter, down

by 25% with PAT margi ns
of 2.3% and an improvement of 20 bps year -on-year.
Our revenue contribution for each segment for Q1 FY '26 is Road EPC contributed 52.4%, Road HAM contributed 11.6%, Power T&D contributed 19.7%, Railways stood at 6.7% and other segments like Building E PC and Other s contributed 19.6%.
Coming to the consolidated results. The total income for Q1 FY '26 stood at INR1,937 crores as compared to INR2,495 crores in Q1 FY '25, registering a 22% degrowth. EBITDA for the quarter stood at INR649 crores, up 3% (inc orrectly stated at 33% during the call) year-on-year with EBITDA margin of 33.5%, an improvement of 830 bps year -on-year. PAT stood at INR227 crores, up 44% and PAT margin stood at 11.7%, an improvement of 540 bps year -on-year.
Total consolidated debt as on 30th June 2025 stood at INR6,826 crores. The stand -alone debt is at INR1,652 crores, which comprises of INR95 crores of equipment loans, NCDs of INR300 crores and INR1,257 crores of working capital loan. In Q1 FY '26 in our BOT division, the company rec orded a gross toll revenue of INR362 crores as against INR322 crores in Q1 FY '25, recording a growth of 13% year -on-year.
With this, we now open the floor for question and answers. Thank you.
Moderator: The first question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: My first question is on execution. Execution in this quarter has been lagging. I think the revenue declined by 30% and the order book has grown by 15%. My question is what is leading to this muted order execution?
Satish Parakh: Basically, there has been 2, 3 reasons. One of the major reasons is early monsoon. Second is the orders which we got in last season are still in mobilization stage. So out of 7 projects which we got only 3 have moved ahead and 4 are yet to start. So these are really reflected in the Q1 turnover degrowth.

Mohit Kumar: So how do you see the...
Satish Parakh: Going ahead now Q3, Q4 we'll be catching up. Q2 again we'll be a little similar pattern. But Q3, Q4, we'll be catching up and all these projects will be at full swing.
Mohit Kumar: So what is the expectation for the entire fiscal? What kind of growth we can see in the execution?
Satish Parakh: Could you come back?
Mohit Kumar: What kind of growth we are expecting on the revenue for fiscal year '26 ?
Satish Parakh: Yes. We're expecting around 10% growth. And this Q1, Q2 will be a little negative. So we'll have to catch up in Q3, Q4. Overall, we'll be around 10% to 12% up.
Mohit Kumar: Understood, sir. My second question on the NHAI pipeline. How do you see that developing? I think we heard that the government is trying to roll out INR1.5 lakh crore . Are you seeing the building up of the tender pipeline accordingly? Or do you think this is too ambitious?
Satish Parakh: Yes. Tender pipeline -wise, like currently, we have around INR75,000 crores is the visibility in the pipeline of NHAI and MoRTH, which they want to ramp up to around INR1.5 lakh crores to INR1.8 lakh crores. And which NHAI h as consistently shown if that they announce , at least 80%, 90% of the announcement is always achieved.
So we are very hopeful, but only the mix of projects will be EPC, HAM and BOT. So we'll have to see how the really outcome comes in BOT. Otherwise, HAM and EPC are very much proven. BOT on greenfield expressways, how successful it will be that we need to see.
Mohit Kumar: Understood, sir. But there are couple of large BOT projects which are up for bidding. Am I right in Maharashtra?
Satish Parakh: Yes.
Moderator: The next question is from the line of Bhavin Modi from Anand Rathi.
Bhavin Modi: Yes, sir. Sir, can you just give us a broad guidance for FY '26 with respect to the revenue , margins, what are the order inflow that we are taking in the capex ?
Satis h Parakh: So orders,

as we say now in Q1, we could do INR2,000 crores. But going ahead, we should be able to do INR3,000 crores per qua rter and around INR10,000 crores to INR12,000 crores is still we expect overall. So we see large opportunities in NHAI as well as states are also coming up with good amount of ordering. Railways will throw up a good opportunity again.
Bhavin Modi: Okay. And what are the revenue guidance and the EBITDA margin guidance?
Satish Parakh: So revenue, I said we'll see around 10% to 12% and EBITDA we'll be able to maintain what we have achieved in Q1.

Bhavin Modi: Sir, the next question is with respect to the monetization, sir. So if you can help us when will this monetization of the HAM and BOT assets and the exit to the SBI Macquar ie, so what are the time lines that we are looking at? And what are the number of tranches in which this monetization will happen? If you can provide us a time line and the cash flow?
Paresh Mehta: Yes. So on the monetization, as we have already disclosed, we have two transactions in pipeline. One is for the 5 BOT projects, which we are selling to Maple inbuilt run by CDPQ and the HAM 11 projects, which we are selling to Edelweiss run AMC Sekura. On the 5 BOT projects, as already indicated in Mr. Parakh's speech, we expect to close it by 30th September. We have achieved all external CPs have been cleared and internal CPs will be done in a week's time and then we expect the investor to draw their money and close the transaction by 30th September.
On the HAM side, for the first 5 set of projects, we expect the closure to happen by somewhere last week August or initial couple of weeks of September. So again, by September end definitely, these 5 projects also, closing will happen. So 5 BOT and 5 HAM projects will be closed by September. Based on the receipts from these, the Macquarie SBI commitment of INR1,526 crores plus buying out the JN stake of INR150 crores will be achieved.
Post that, there will be 6 more HAM projects to be monetized, which will happen as : 4 projects will happen by December and the last 2 projects will happen by June '26, where CODs are expected. So this is how the projects will be monetized and SBI Macquarie will be given exit to.
Bhavin Modi: So sir, we will be giving the exit to the SBI Macquarie by September itself, right?
Paresh Mehta: Yes, yes.
Bhavin Modi: And sir, what is the process we are expecting from BOT and HAM assets? If you can help with the first 5 BOT ...
Paresh Mehta : The first 5 BOT, we are expecting around INR2,800 crores to INR3,000 crores, roughly INR3,000 crores. And balance of the 6 projects by June of around INR1,000 crores. And certain monies to be received from the toll BOT projects, which are linked to exten sion, which will happen later on in a couple of years' time. So that is approximately INR700-odd crores.
Bhavin Modi: And sir, what about the Jarora Nayagaon and the Chennai ORR project?
Paresh Mehta: So on both, we are working with interested investors. Chennai ORR, there is keen interest. Jarora

Nayagaon definitely, there is interest, but we are also working out with the authority for giving us permission to transfer the 26% share. But on both the pro jects, we are on the process of exiting.
Moderator: The next question is from the line of Dr. Amit Vora , HNI.
Amit Vora: Sir, I wanted to know about this traffic management system. What will be our source of revenues and how would we be able to monetize th at?
Satish Parakh: Yes. So this is intelligent traffic management, where we will be paid on capturing of incidents. So incidents could be over speeding, it could be seat belt, it could be helmet, lane cutting,

anything. So these are all cameras, which will be put up on the highways and revenue will be from the incid

ent management. For incident we will be paid.
Amit Vora: For incident will be paid and then they would also be sharing with the government?
Satish Parakh: Yes. So these projects are basically kin d of PPP projects where 18% IRR is capped. So above 18% IRR, we'll be sharing with the government.
Amit Vora: Up to 18%, we would not be sharing anything.
Satish Parakh: That's right.
Amit Vora: Above 18%, if there is anything, then we will have to share with the government.
Satish Parakh: Right.
Amit Vora: Okay. And sir, one more thing. Recently, I read in the MoneyControl about Ashok a Buildcon planning to bid for infrastructure in Croatia. So can you tell us something more about that? Is there anything p roject going on?
Satish Parakh: Yes, we did participate in bids in Croatia. These were roads and railways.
Amit Vora: Okay. And sir, one more thing about our consol has component of EPC, BOT and HAM annuity?
Paresh Mehta: Yes.
Amit Vora: So can I know the percentage of EPC is clear from the stand -alone. I think the stand -alone is EPC, if I'm not mistaken.
Paresh Mehta: Right.
Amit Vora: So what is the percentage of BOT and HAM annuity in the consol, if you can net of it or ...?
Paresh Mehta: So out of the total revenue of INR1,887 crores, construction is INR1,194 crores and BOT and annuity projects put together is INR635 crores. Of INR635 crores, approximately INR320 crores is pertaining to tolling and balance is annuity revenue.
Amit Vora: Okay. And the remaining is HAM?
Paresh Mehta: Yes.
Amit Vora: So once this sale of 5 BOT and 6 HAM is done, we will also have some reduction in the BOT collection in HAM the annuity will be not reflected in the next profits, Q2 or Q3.
Paresh Mehta: Correct. So of all -- I mean, the revenues also of BOT projects will get deleted. And along with that, all the debt, the cost of interest, everything will be off the balance sheet.
Amit Vora: So vis -a-vis comparison, the amount of profit that we are losing on BOT or HAM and the savings of interest cost, the savings will be more better?

Paresh Mehta: So today, we are in surplus. So there will be a reduction in surplus of PBT and PAT also.
Moderator: The next question is from the line of Mehul Gandhi from HPMG Shares and Securities Limited.
Mehul Gandhi: Congratulations on a decent set of numbers. Just wanted to know a few things. First, being that recently one of our contracts was kept on hold by the honorable High Court, which is for approximately INR1,600 crores. S o where are we on that? And is that project completely gone out of our hands? Or is it just a temporary thing? What is the progress on that front?
Satish Parakh: Yes. So our share of this project was INR850 crores, which is off our books now.
Mehul Gandhi: Okay. So that has been permanently cancelled or...
Satish Parakh: That anyway has been withdrawn by the -- it has been withdrawn by the ...
Mehul Gandhi: So we don't do rebidding?
Satish Parakh: Yes, we expect rebidding. So it is as of now, it is withdrawn. So this is not part of our order book anywhere now.
Mehul Gandhi: What is the capex that we have done in Q1? And what are we planning for the full year?
Paresh Mehta: So capex for Q1 was around INR23 crores and we expect to do a capex of approximately INR125 crores for the whole year.
Mehul Gandhi: Okay, sir. And can you give me the pending equity requirement for the HAM projects? And how much are we expecting to infuse in FY '26 and FY '27?

Paresh Mehta: So total capex outstanding is INR230 crores, which is largely for our large project, Bowaichandi Guskara, of which for '25 -'26, the investment will be INR123 crores and INR55 crores each for '26-'27, '27 -'28.
Mehul Gandhi: Okay. And lastly, sir, you said we are looking for INR35,000 cro res of projects from NHAI and MoRTH and there is also some

opportunities in state government and railways. So could you quantify that, the kind of bid pipeline we are looking in state government , railways and even in the power segment?
Satish Parakh: So as I said, we are looking around INR10,000 crores of order book totally. Out of INR2,000 crores we have bagged. Out of INR8,000 crores, it will be mix of roads, railways, power and buildings. So, we will do around INR8,000 crores to INR12,000 crores in the w hole year. I'm taking average INR10,000 crores.
Mehul Gandhi: Okay. Sir, my question was on the bid pipeline that we're looking. So you said about INR35,000 crores we are looking on the NHAI and MoRTH front. So possible to quantify the bid pipeline in othe r segments?
Satish Parakh: Yes. So NHAI is coming around INR75,000 crores is visibility immediately. And states, if you see Gujarat, Bihar and UP are also coming up with around INR70,000 crores to INR80,000

crores. So all this we are participating. The success ratio is going down now. So bidding versus getting projects the competition still remains in the market. Therefore, visibility I'm showing is very pessimistic that INR10,000 to INR12,000 is what we shou ld achieve.
Moderator: The next question is from the line of Sushant Verma, who is an individual investor.
Sushant Verma: My question was related to the monetization part of it, although you have explained in details as to what we can expect over the next couple of weeks. But what I wanted to check was what's the probability that this 30th September date would remain, I mean, more or less achievable? Because even last time, you had mentioned 30th June is when the closure would happen. And then you updated all of us saying it has been extended to 30th September. So what's the probability that 30th September won't become 31st December, say?
Paresh Mehta: Largely the CPs, which are generally out of the control of the companies, NOCs from NHAI and lenders, whic h fortunately are all completed at this moment of time. So now whatever CPs are left out are internal CPs, which definitely are our under control. And then that's the reason and comfort that definitely we'll achieve closure by 30th September.
Sushant Verma : So you are saying definitely, we can achieve closure by 30th September, right.
Paresh Mehta: All CPs of external CPs are over.
Sushant Verma: Okay. Okay. That is what I wanted to check because it has been a moving target. So hopefully, this time around, we will stick to the deadline.
Moderator: The next question is from the line of Abhinav from ICICI Securities.
Abhinav: My question is on the guidance of 10% revenue growth for the FY '26, given we've clocked about INR1,300 crores for this quarter and we a re looking at similar for this quarter as well, Q2. This leaves with about INR5,000 crores to be executed in the second half. So my question is what gives us confidence? I mean, which orders will be executed in the second half? Are you bringing in any new order inflows, which would be crucial to achieve this growth guidance?
Satish Parakh: No. See, this growth guidance is on the current order book what we have in hand. So as you predicted, it's correct. Q3, Q4 will be INR4,500 crores to INR5,000 crores. So definitely, this can be achieved by the order book we have in hand. Whatever new order book flow, this either some part may get executed in Q3, Q4 or it may move to next year.
Abhinav: Okay. So historically, we have not touched above INR2,500 crores of rev enue for a quarter. So I mean, will there be an execution ramp -up or which orders we are expecting to be executed in Q3, Q4?
Satish Parakh: So these projects are basically of the nature where entire mobilization would have been done and work will pick up i n all the orders. Even in power segment, a lot of hold is there for action. This all gets released in Q3, Q4.

So we are very much confident of particularly Q4 will be crossing INR2,600 crores, INR2,700 crores , and INR2,200 crores, INR2,300 crores will be around Q3.

Moderator: The nex t question is from the line of Vaibhav Jain from Omkara Capital.

Vaibhav Jain : Sir, I want to ask, you mentioned that getting projects is difficult as competition still remains in the market. Other companies have been suggestin g that it is getting easier and the competition is reducing. Can you talk more about this, please?
Satish Parakh: So at NHAI level, if you see the competition is still there. We have not seen any easing off. We see 20, 25 players in most of the projects. N ow they have changed a little criteria for bidding with the reducing from the linking to the net worth and reducing 20% of your balance order book from the net worth and balance order net worth would only be considered for bidding.
So suppose if I have an order book of INR15,000 crores in my hand, then 20% of INR15,000 crores is INR3,000 crores is what will be reduced from my net worth. So Ashoka, if it has INR44,000 crores of order book, INR3,000 crores will be reduced, and I'll be left with INR1,000 crores. So INR1,000 crores will be multiplied by 5x for me to bid a single project. So that way, Ashoka will qualify for INR5,000 crores single project. So that will really help to build larger projects where we see a little limited competition. Otherwise, all the projects, the competition is continue d as it is in EPC.
Vaibhav Jain: So we're expecting more conversion...
Satish Parakh: I beg your pardon?
Vaibhav Jain: So we're expecting more conversion in terms of the orders that we are bidding for?
Satish Parakh: It depend upon what size of projects come and which companies qualifies for what.
Vaibhav Jain: Sir, you suggested that orders of NHAI will be bigger now.
Satish Parakh: Orders of NHAI would be bigger in HAM projects and BOT projects, but may not be in EPC.
Vaibhav Jain: So that should also lead to more order win?
Satish Parakh: How it pans out, we'll have to see. Yes.
Moderator: The next question is from the line of Ankita Shah from Elara Capital.
Ankita Shah: Sir, this year, given that most of th e projects except the two will be monetized. So what is the total net proceeds adjusting for the SBI Macquarie adjustment? Also how much is the net proceeds that are expected to be received? And how is it planning to be utilized for this year?
Paresh Mehta : So in this year, the first tranche, which we are speaking by 30th September, we expect to monetize approximately INR2,900 crores of monies from the sale of which INR1,600 crores or rather INR1,700 crores would be appropriated to giving exit to Macquarie. So we'll be left with approximately INR1,200 crores.
This will be largely utilized for initially reducing our working capital debt. And then future plans will be taken up post September. Post that the next tranche of proceeds will be approximately

by Dec ember -end, approximately INR600 crores, and by March, another INR500 crores. So that's the plan how cash will be realized.
Ankita Shah: So sorry, sir, INR600 crores, second tranche by December and then another.
Paresh Mehta: By June, another INR500 crores.
Ankita Shah: By June, another INR500-odd crores. So all this -- I mean, this INR600 crores and INR500 crores could be utilized for picking up new projects?
Paresh Mehta: New projects, internal restructure on debt, capital. I mean there could be various plans , which will come and we are very close to getting the money here.
Ankita Shah: Got it. And sir, what are the focus areas right now for new projects even in roads as well as outside of roads? And what is the prospect pipeline that we are looking at i n India as well as overseas?

Satish Parakh: So as I explained, roads is our major focus, roads and highways, where we see more than the 50%, like INR5,000 crores to INR7,000 crores is what we should bag going ahead. And overseas also, focus is there and we 'll be building overseas opportunities. Immediate visibility is not there in overseas. But India, we see visibility in NHAI, MoRTH and various states.
Other than this, railways is throwing up a good opportunity. So railways is one area where we have compl ete control on all the value chain. We do right from track link to signaling. So railways is another opportunity which we are seeing overseas as well as India.
Third is building segment and water segment, where we keep participating. So we expect to slowl y move ahead in this segment also.
Ankita Shah: Sir, just one clarification on roads, would we prefer EPC, HAM or BOT projects?
Satish Parakh: So our whole idea is to bid selectively for BOT. HAM, we are bidding almost everything. And EPC, we are participa ting almost everything. Specialized structures is of late what is our forte.
We are well qualified with all these specialized structures. So wherever specialized structures are there, we have an edge. So this helps us select proper projects for bidding.
Moderator: The next question is from the line of Mehul Gandhi from HPMG Shares and Securities.
Mehul Gandhi: Just 2 things. Given such a high influx of cash, what would be our debt to equity? Or how much of debt are we planning to reduce, at least there must be a target internally?

Paresh Mehta: So today, we are almost at INR1,600 crores of debt on the stand -alone. On the project side, it is approximately INR5,200 crores, of which hardly INR275 crores will continue on the books for Jarora Nayagaon and Chennai ORR. But otherwise, most of the debt will go along with the projects. So we'll be basically addressing the INR1,650 crores of stand -alone debt, which will be brought to the typical levels of around, say, INR500 crores to INR600 crores max.

Mehul Gandhi: Okay. So we are planning within a year's time, a debt reduction of INR1,000 crores. Is that understanding correct?

Paresh Mehta: Yes, yes. Definitely.

Mehul Gandhi: Okay. And the second question is that there was a GST raid conducted at the office. Any conclusion on that front?

Paresh Mehta: Largely, nothing very significant no demand has been made on the company. And I think so things are all in order. Closures will take their own time, but there's no significant claim.

Mehul Gandhi: Understood. And jus t one last question that we had a significant jump in our operating margins for this quarter. So just wanted to know was this a one -off thing? Or can we see our operating margins going in the similar trajectory going forward?

Paresh Mehta: So as we have gi ven guidance, we expect that our margins of around 9.5% to 10% will continue in the next coming quarters and that should help keep the EBITDAs better. These are based on the new projects, the old projects, most of them have got over. New projects will keep on giving this kind of margins.

Mehul Gandhi: Okay. So all the new projects have a higher margin compared to the old one?

Paresh Mehta: Right.

Mehul Gandhi: Understood. And for the execution time line that we took a good chunk of projects which are executable within 18 -month period, right? So if given that this year, we are maintaining a trajectory of 10% growth, so for the next year, are we anticipating a higher growth rate than 10% because then a good chunk of the projects which we have taken now o f our order book will be executed or finished in the next year?

Paresh Mehta: Definitely, we'll be targeting for a higher growth rate for '26 -'27. And these order books which are existing will be executed over 18 to 24 months' time, some maybe slightly mor e, depending on the siz

e of projects and type of project.

Mehul Gandhi: Understood. And just one last question. I saw there was a significant jump in the order book of power transmission and distribution segment. So is that a conscious effort? Because I'm seeing there's a lot of traction in this segment as a whole. So are we focusing on that? Are we trying to increase that chunk in the market share? Or was this just a thing which we had to do on the side?

Paresh Mehta: So one of the jump in the power sector is the order book of the transport monitoring mechanism. That order book is part of this. But otherwise, we continue to see continuous order book coming in, in this Power T&D division, and we keep our options open to take.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Clarification from my end. So we had indicated that the equity valuation of the BOT assets was around INR2,500 crores and same for HAM was INR2,300 crores. So total inflow is INR4,800 crores, n et of SBI would be around INR3,300 crores. So is this correct?

Paresh Mehta: Yes. But one of the component of the INR2,500 crores is approximately INR700 crores in the BOT project, which is to be received over a period of time after confirmation of extensi on of time for our toll -based projects. So presently, we are not keeping that in the visibility of immediate cash inflows.

Vaibhav Shah: Okay. So for BOT, it would be INR1,800 crores that should come in September, right?

Paresh Mehta: Immediate, yes.

Vaibh av Shah: Okay. And for 5 HAMs, what is the value in September?

Paresh Mehta: Approximately INR1,100 crores.

Moderator: The next question is from the line of Vaibhav Jain from Omkara Capital.

Vaibhav Jain : Just trying to understand this cash influx that we get after monetizing our assets. So you said we'll get INR2,800 crores around September, then INR600 crores and INR500 crores. And as you mentioned, I think net of SBI, let's say, we have INR3,300 crores o n our books. After that, we will reduce debt on the stand -alone balance sheet by around INR1,000 crores. So that will leave us with about INR500 crores debt and 2,300 crores of cash.

Paresh Mehta: Can you be a bit louder, slightly not gathering fully.

Vaib hav Jain: Sir, can you hear me now?
Paresh Mehta: Still very bad. Anyway please continue.
Vaibhav Jain: One second. I was saying that we will be left with after net of SBI, left with INR3,300 crores of cash. Then if we repay debt by INR1,000 crores by the end of the year or by sometime next year, we are left with INR500 crores of debt and about INR2,300 crores of cash. Am I right to understand that?
Paresh Mehta: Approximately, yes.
Moderator: The next question is from the line of Mukesh Gupta, who is an Individual Investor .
Mukesh Gupta: Sir, just to ask about the status of green hydrogen project. You signed the M oU with Bihar government.
Satish Parakh: So there is no further development in this. We've signed an MOU, but there's no further development.
Moderator: The next question is from the line of Mehul Gandhi from HPMG Shares and Securities.
Mehul Gandhi: Sorry for coming back into the queue. Just I forgot this one question that for our project level debt, so last balance sheet I saw, we had a long -term borrowing of approximately INR2,000 crores. And then in our other liabilities, which is like a short -term borrowing, we had a liability of INR13,000 crores.

So even if we reduce our long -term borrowing, which is a stand -alone debt by INR1,000 crores after monetization, the project level debt that will also be transferred. Is that correct?
Paresh Mehta: Yes.
Mehul Gandhi: So how much of debt will we have on the book going forward post monetization on the project front, not on the

stand -alone basis?
Paresh Mehta: So see, on the project front, we have approximately the total debt is around INR6,800 crores, of which INR1,600 crores is working capital debt. If we reduce that, we have INR5,200 crores as total debt, of which hardly INR300 crores will be le ft on the books of ABL post monetization of all the 5 BOT and 11 HAM projects.
And there will be some addition of debt on the Bowaichandi project and maybe new projects will come in. But based on existing project, we'll be around INR300 crores plus anothe r INR600 crores of Bowaichandi project.
Mehul Gandhi: Okay. So on a stand -alone basis, we'll have a INR600 crore debt. And on a project level basis, we'll have approximately how much?
Paresh Mehta: At today's date, around INR284 crores.
Mehul Gandhi: Okay. Post monetization.
Paresh Mehta: Post monetization.
Mehul Gandhi: So are we saying to double check, but are we saying that we will reduce from currently INR6,800 crores to approximately INR1,500 crores debt. Is that understanding?
Paresh Mehta: Yes, substantially lower than that, approximately in the range of, touch INR1,000 crores, including project loan.
Mehul Gandhi: Including project loan. Understood. That is within a period of a year.
Paresh Mehta: Yes.
Moderator: As there are no further que stions from the participants, I now hand the conference over to Mr. Paresh Mehta for closing comments.
Paresh Mehta: We thank you and everybody for joining this call. We hope we were able to answer all your questions. If you need any more information, plea se feel free to contact us or Mr. Deven Dhruva from SGA Investor Relationship Advisors. Thank you. Good day.
Satish Parakh: Thank you. Thank you.
Moderator: On behalf of Anand Rathi Share and Stock Brokers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Ashoka Buildcon Limited

Regd. Office: S. No. 861, Ashoka House, Ashoka Marg , Vadala, Nashik – 422 011, Maharashtra, India
hh hhTel. + 91 253 6633705 hh hhFax +91 253 2236704 hh hh www.ashokabuildcon.com
CIN: L45200MH1993PLC071970
To, To,
The Manager, The Manager,
The Department of Corporate Services The Li sting Department
BSE Limited National Stock Exchange of India L imited
Floor 25, P. J. Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Band ra (East), Mumbai – 400 051

Scrip Code: 533271 Scrip Symbol: ASHOKA EQ.
Debt CP Code: 729743 & 730307; and
Debt NCD Code: 976190 / 976191 / 976192

November 21, 2025

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on November 17, 2025 in respect of unaudited Standalone and Consolidated fi nancial results (Limited Review) for the quarter an d half year ended September 30, 2025.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No.: FCS – 7377

"Ashoka Buildcon Limited
Q2 FY'26 Earnings Conference Call"

November 17, 2025

MANAGEMENT :

• Mr. Satish Parakh – Managing Director, Ashoka Build con Limited
• Mr. Paresh Mehta – Chief Financial Officer, Ashoka Buildcon Limited

MODERATOR :

• Ms. Jyoti Gupta - Nirmal Bang Equities Private Limi ted

Moderator: Ladies and gentlemen, good day, and welcome to Asho ka Buildcon Limited Q2 FY '26 Earnings Call, hosted by Nirmal Bank Equities Priva te Limited.
As a reminder, all participants' lines will be in t he listen-only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signa l an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference i s being recorded.
I now hand the conference over to Ms. Jyoti Gupta. Thank you, and over to you, ma'am.
Jyoti Gupta: Thank you, Danish. Good evening, everyone. On behal f of Nirmal Bang Institutional Equities, I welcome you to the Q2 FY '26 Earnings Call of Ash oka Buildcon Limited.
The Management of Ashoka Buildcon Limited is repres ented by Mr. Satish Parakh – Managing Director, and Mr. Paresh Mehta – Chief Fin ancial Officer.
Without further ado, I would now request Mr. Satish Parakh sir, to start with his opening comments, after which, we can open the floor for qu estion-and-answers.
Thank you, and over to you, sir.
Satish Parakh : Thank you, Jyoti. Good afternoon, everyone. I wou ld like to welcome you all to the Q2 and H1 FY '26 earnings conference call of Ashoka Buildcon Limited. Joining me on this call are our CFO, Mr. Paresh Mehta, and our Investor Relations p artners from SGA. Thank you for taking the time out to join us today as we share our busin ess and financial updates for the quarter and half year ended 30 September, 2025.
Let me begin with the industry overview:
Execution in Q2 FY '26 was somewhat muted due to ex tensive monsoon and intense competition. Only 300 kilometers was awarded while 1,600 kilometers was under construction, but with robust pipeline and NHAI tightening contra ctor eligibilities, larger players with strong balance sheets are well positioned. FASTag toll col lections, which rose 15% in volume and 23% in value during July-August 2025, further under score the improving monetization dynamics.
From a medium-term industry standpoint, India's inf rastructure sector continues to gain momentum, banked by strong policy support and long- term growth visibility. The Government has outlined a massive INR 11 lakh crore investment to expand India's high-speed road network, 5-fold by 2023, adding nearly 17,000 kilom eters of access-controlled expressways capable of speeds up to 120 kilometers per hour.

As of March 2025, national highway network stood at 1.46 lakh kilometer, out of which only 4,500 kilometers meet expressway standards, highlig hting a significant expansion in the runway.
At the same time, the Ministry of Railways is also exploring hybrid annuity model (HAM) like structure to boost private participation in rail in frastructure, while the Highway Ministry is revisiting its BOT model to make PPPs more viable t hrough enhanced viability gap funding and annuity-based support.
The recent rollout of GST 2.0 is also expected to h ave a far-reaching positive impact on infrastructure and construction ecosystem. By ratio nalizing tax rates on key building materials such as cement, bricks and tiles, the Government ha s effectively lowered construction cost by an estimated 3.5% to 4%. This move is expected to m ake housing and infrastructure more attractive and more economical.
The National Highway Authority of India has signall ed its intent to accelerate awarding in H2 FY26. It has identified 124 projects covering 6,396 kilometers with an estimated EPC cost of INR 2 lakh crores and total capital cost of nearly INR 3.45 lakh crores, approximately 72% of these are expected under the HAM model, 18% via BOT and 10% via EPC. Additionally, NHAI has raised its asset monetization target to IN R 40,000 crores in FY '26, up from INR 30,000 crores earlier,

following successful monetiz ation of INR 28,724 crores in FY '25.
Coming to the company update:
As highlighted in our previous call, we continue to demonstrate strong execution capabilities and financial discipline across the project portfol io, continuing our diversification into railway electrification during Q2 FY '26. We secured 2 sign ificant contracts from North Western Railway, one from Jaipur division worth INR 499.95 crores and another from Ajmer division

from INR 539.35 crores. Both involve upgrading the electrification traction system to 2x25kV standard to enable high-speed rail movement up to 1 60 kilometers per hour. These wins not only enhance our order book visibility in the railw ay, but also validate the growing trust of public authorities in our technical expertise and e xecution record.
On portfolio management front:
We successfully completed the sale of 5 HAM SPVs fo r an aggregate consideration of INR 1,146 crores to Epic Concesiones 2 Private Limited, Infrastructure Yield Trust, EAAA India Alternatives Limited. This transaction reflects our continued focus on unlocking value and strengthens our balance sheet, enabling us to reinv est in new growth opportunities.
During the quarter, we also consolidated our presen ce in toll space through strategic acquisitions. Our subsidiary, Viva Highways Limited , increased its stake by 26% in Jaora-Nayagaon Toll Road Company Limited to 61.17% for a consideration of INR 166.6 crores, underscoring our confidence in the asset's long-ter m cash flow potential. Additionally, the

company acquired convertible debentures worth INR 8 82 crores in Ashoka Concessions Limited.
Coming to the order book status:
The company has received 2 new project orders as di scussed above from the following: North Western Railway Jaipur Project and North Western Ra ilway Ajmer Project.
As of 30th September 2025, our balance order book s tands at INR 14,888 crores. This is excluding order received post 30th September 2025 o f INR 468 crores and Kolshet Project of INR 279 crores cancelled by MMRDA. The breakup of o rders will be as follows: Roads and Railways project comprise INR 9,804 crores, which i s 65.8% of the total order book.
Among the Road project order book, HAM projects are to the tune of INR 1,834 crores, EPC Road projects are about INR 6,816 crores, Railway i s around INR 1,154 crores. Power T&D accounts for around INR 4,623 crores, which is appr oximately 31.0% of the total balance order book. The total EPC Buildings segment is at INR 462 crores, which is 3.1% of the total order book. Our primary focus remains on maintaining a su stainable EPC business in segments of roads, highways, railways, power transmission and a s well as buildings.
I would now request Mr. Paresh Mehta – CFO, to pres ent the financial performance. Thank you.
Paresh Mehta: Thank you, sir. Good afternoon, everybody.
Starting with the standalone numbers. For Q2 FY '26 , total income stood at INR 1,303 crores as compared to INR 1,459 crores in Q2 FY '25, a deg rowth of 11%. EBITDA for the quarter stood at INR 160 crores, flat year-on-year with EBI TDA margin of 12.3%, an improvement of 130 bps year-on-year.
Profit before tax before exceptional items stood at INR 57 crores. In Q2 FY '26, the company sold its entire stake in 1 HAM subsidiary and recog nized gain on sale of this investment as exceptional item.
Overall, PAT stood at INR 139 crores against INR 36 crores over Q2 FY '25, up by 284% year-on-year. Our revenue contribution from each se gment for Q2 FY '26 is as follows: Road EPC contributed 54.9%, Road HAM contributed 11.8%, Power T&D contributed 15.3%, Railway stood at 6.0% and other segments like Build ing EPC and Others contributed to 12.0%.
For H1 FY '26, total income stood at INR 2,642 cror es as compared to INR 3,360 crores in FY '25, a degrowth of 21%. EBITDA for H1 FY '26

stood at INR 311 crores, up 2% year-on-year
with EBITDA margin of 11.8%, an improvement of arou nd 270 bps year-on-year. Profit before tax before exceptional items stood at INR 101 crore s and PAT stood at INR 170 crores as compared to INR 77 crores in H1 FY '25, up by 120% year-on-year.

Coming to the consolidated results:
Total income of Q2 FY '26 stood at INR 1,908 crores as compared to INR 2,529 crores in Q2 FY '25 with a degrowth of 25%. EBITDA for the quart er stood at INR 642 crores, down 32% year-on-year with EBITDA margins of 33.6%. Profit b efore tax before exceptional items stood at INR 284 crores. In Q2 FY '26, the company and AC L sold their entire stakes in 5 subsidiaries and the resulting deficit versus the c arrying value was recognized as exceptional loss. PAT stood at INR 91 crores during Q2 FY '26.
Total consolidated debt as on 30th September 2025 s tood at INR 4,910 crores. The standalone debt is at INR 1,362 crores, which comprises of INR 83 crores of equipment finance, INR 300 crores of NCD and INR 978 crores of working capital loan.

In Q2 FY '26 in our BOT division, the company recor ded a gross total toll collection of INR 357 crores as against INR 316 crores in Q2 FY '25, recording a growth of 13% year-on-year. With this, we now open the floor for question and a nswers. Thank you.

Moderator: Thank you so much, sir. Ladies and gentlemen, we wi ll now open for the question-and-answer session. Our first question comes from the line of Trisha Rathi from Enam Securities. Please go ahead.

Trisha Rathi: So, I have a couple of questions. So, my first que stion is what is the latest status on the proposal of the 5 BOT subsidiaries to Maple Infrast ructure Trust. And what time line should we assume for the completion?

Paresh Mehta: So, for the 5 BOT projects, we expect to conclude t he transition by 30th November.

Trisha Rathi: Okay. My second question is, with the multiple ass et transfer completed, how should we think about the long-term portfolio mix? Does the company remain focused on EPC? Or is there continued interest in HAM and BOT assets selectivel y?

Paresh Mehta: EPC continues to be our forte as a business, and we derive EPC from our HAM and BOT projects also. In parallel to the EPC business, we will continue to bid for HAM and BOT projects, as and when opportunities arise and conti nue the development of assets along with major drive on EPC, including other sectors.

Trisha Rathi: Okay. Thank you, sir. And all the best.

Moderator: Thank you. Our next question comes from the line of Dr. Amit Vora from The Homoeopathic Clinic. Please go ahead

Amit Vora: Good afternoon, Management. My question is regardin g there was this article on 29th of October uploaded by the company regarding this SSLD resolution plan approved for INR 80

crores, NCLT approval pending. There was some land acquisition or something. Can you just brief us about that? I have some idea about it, but I wanted to know something in detail.

Paresh Mehta: So, as we have communicated in the past, our subsid iaries, including Viva Highways and other SPVs hold land out of the surpluses arrived from th e BOT projects. So, one of the lands was taken up for JDA Development with one of the partne rs through the SSLD company, Shree Sainath Land and Development Company. This project was taken up along with another partner who was the working partner, which was way back in 2017-2018. During the course, the project could not go as envisaged and it went i nto NCLT. Post NCLT, in order to salvage the land and to ensure that the land revenues are p rotected, the company has bid for this project through its subsidiary, Ashoka Infraways and has gi ven an offer to settle the loan for this project from LIC Housing for INR 81 crores. And in the due course, in the next 3 to 4 years,

the company will repay the loan of LIC and complete the project in its optimum time lines.

Amit Vora: Okay. And what is that project, sir? Is it a buildi ng or what is it?

Paresh Mehta: It's a real estate project.

Amit Vora: Near Pune, I suppose.

Paresh Mehta: No, this is near Nashik. This is at Nashik.

Amit Vora: Okay. And last year, we sold a land to Infosys or M icrosoft. That was around Pune.

Paresh Mehta: Right, right. That was in Pune. We had a land bank, which we sold 16 acres to Microsoft.

Amit Vora: Okay. So, we still have some land bank in Pune also ?

Paresh Mehta: Yes, we do have. We do have land bank in Pune and N ashik, in our 3 SPVs, Viva Highways, Ashoka Infraways. And as an opportunity comes, we w ill keep on monetizing these.

Amit Vora: Okay. Thank you. Sir, if you can let me know what i s the book value of that land bank, and mentioned the books or the current value of the pro per land?

Paresh Mehta: Maybe I can come back separately on this.

Amit Vora: Okay. No problem. And sir, there is another questio n. We have this INR 1,826 crores on consolidated cash. So, how did we arrive at this, i n this quarter? And how are we planning to use it in future, this INR 1,826 crores.

Paresh Mehta: So, this INR 1,826 crores is largely cash lying at our various BOT projects and substantial cash lying at Ashoka Buildcon in the event of the moneti zation of the 5 HAM projects. So, out of this, almost INR 900 crores of cash lying at Ashoka Buildcon's bank balance, was utilized for procuring the CCDs of Macquarie, which we have said of approximately INR 882 crores,

which was post 30th September. So, largely, this mo ney was utilized for buying the CCDs of ACL by Ashoka Buildcon.

When the other 5 BOT projects also culminate, we wi ll buy the balance stake of around INR 650 crores from Macquarie and even 100% exit to Mac quarie from ACL.

Amit Vora: So, still another INR 650 crores is to be paid to M acquarie?
Paresh Mehta: Yes.
Amit Vora: And we have still INR 900 crores on the balance she et, even out of this INR 1,800 crores.
Paresh Mehta: But that is largely on BOT projects and HAM project s, which are very project specific.
Amit Vora: It's not free cash to be used?
Paresh Mehta: Yes. They are generally project-based cash.
Amit Vora: Project-based cash. Okay. Are we at any place L1 cu rrently?
Satish Parakh: So, we are not L1 in any of the bids. There are cer tain bids which are yet to be opened.
Amit Vora: And if I can just ask one more question, if it's po ssible. Sir, our traffic management system revenues have started?
Satish Parakh: Not yet started. These are in survey mode and final ization of the locations.
Amit Vora: Okay. I have some more questions but I will join th e queue again. Thank you.
Moderator: Thank you. Our next question comes from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah: Yes. Sir, we have seen a sharp decline in terms of revenue in the first half. So, how do you see the growth in the second half and the guidance for the entire year, both for revenue and margins?
Paresh Mehta: So, largely, the revenue for H1 has seen a decline. A couple of major reasons of elongated monsoon, for the 6 months continuing in October als o, may have a small impact on Q3 also. And in certain projects, there is some delay in lan d acquisition for projects largely in Maharashtra area. So, looking forward, we believe t hat based on these constraints as well as new projects being bid out slightly on a slower mod e, though we expect in the second half, there could be good bidding and receipt of orders. We expect to close this year with the same turnover as last year, on the EPC.
Vaibhav Shah: But even for that, the required rate in the second half is around 18%, 19%-odd revenue?

Paresh Mehta: So, that will be achieved, be

cause generally, secon d half is a high turnover and the projects which have taken off will give a lot of turnover in H2.
Vaibhav Shah: Sir, one of our MMRDA project was cancelled. So, is there a risk to other packages as well?
Satish Parakh: Paresh, I will take up. So, this project particular ly underwent a lot of change of scope, which was almost equal to the tune of the project cost. A nd hence, MMRDA has gone into rebidding of this project. So, there is no risk for any other project, particularly this project, the DPIs were found they are not as per the site conditions. And hence, they have gone for the complete rebuild.
Vaibhav Shah: So, execution of other project has started or this is...
Satish Parakh: Other projects almost started. Bankot is moving ver y well. And Gaimukh has also started. Kolshet and Jaigad will start now because they have forest clearances and mangroves clearances under process. So, by December, other pr ojects should start.
Vaibhav Shah: And when do we expect to receive the appointed date for the HAM project, the Guskara one?
Satish Parakh: Now recent target is December. But this December al so, if they are not able to achieve land acquisition, it will go to March. The land acquisit ion on that project is only 30%. It has to go to 80% plus. Now there is a very aggressive separate t eam put on the ground by NHAI for acquisition. So, they are very much hopeful they sh ould be able to complete by December end.
Vaibhav Shah: Okay. Sir, on the order inflow side, it has been on a softer side for the first half. So, how do you see it moving in the second half and the guidan ce for the entire year?
Satish Parakh: So, we still hope we will be able to do back INR 6, 000 crores to INR 7,000 crores in second half.
Vaibhav Shah: Incremental INR 6,000 crores to INR 7,000 crores, i n second half?
Satish Parakh: Yes, in addition to what we have. So, this year we had around INR 3,000 crores plus INR 6,000 crores, INR 7,000 crores is what we are looki ng at.
Vaibhav Shah: Okay. And sir, in the cash flow statement, there is a receivables and advances written off of INR 7-odd crores and credit loss of INR 19.5 crores . So, what; is this regarding?
Paresh Mehta: So, these are largely regarding to projects which h ave been foreclosed, so there is some income on that side. And ECL provision made on receivables from our debtors, which were recognized in this quarter, so they were reversed.
Vaibhav Shah: Okay. So, any more impairments or losses we expect in the second half?

Paresh Mehta: So, ECL is a general feature of the accounting prac tice. Debtors which are slightly dated like 6 months and above, there is some provisioning done. And whenever the money is received,

because these are money received from either SPVs o f ABL or from Government. The
moment we receive that, these ECL provisions get re versed.
Vaibhav Shah: Okay. And sir, lastly, are there any slow-moving pr ojects in the order backlog?
Satish Parakh: So, I have explained, Maharashtra, 2 of the project s are yet suffering from forest and
mangroves clearances. So, once they get cleared, th en they will be fast-moving projects. Till
then, we are not able to do any activities on those projects.
Vaibhav Shah: Sir, which are those projects? I missed the name.
Satish Parakh: These are Maharashtra backed MSRDC projects.
Vaibhav Shah: The Kalyan Murbad one?
Satish Parakh: Kalyan Murbad is going on well. Even Jaigad and Kol shet.
Vaibhav Shah: Okay. And Kundalika Creek is going on well?
Paresh Mehta: Kundalika is about to start now.
Vaibhav Shah: Okay. Thank you, sir. Those were my questions.
Moderator: Thank you. Our next question comes from the line of Pankaj Agarwal, an individual investor.
Please go ahead.
Pankaj Agarwal: Hi, good afternoon. I would like to know, is this delay in the project execution because of
monsoon, et cetera? Is this goin

g to impact our cas h flow realization in H2? Will it get shifted?
And second thing, there were few projects that were withdrawn in Q2, especially in others. So,
are the remaining projects for H2 on time? Or are t here more surprises or premature
withdrawal of the projects? Because our reliance mo stly lies on remaining projects in hand.
Satish Parakh: So, one project of INR 278 crores was withdrawn, mu tually agreed because it underwent major
change of scope. So, other projects are intact and they have started and begun very well like
Bankot and Kalyan Murbad and others. 2 projects are set up for mangroves and forest
clearance, which we are likely to start this quarte r end, maybe December end, and we will be
able to start those projects. So, there is no other projects which is going to get cancelled or
terminated.
Pankaj Agarwal: And how are we placed on the cash realization targe t for FY'26 by earmarking?

Paresh Mehta: It will not largely impact cash flows. The way it i s moving now, it will slightly improve by
margin, but we will go on the same pattern.
Pankaj Agarwal: Okay. And just to get further clarity, are these pr ojects which are ongoing, which are about to
be completed or are the revenue realization on the basis of completion of the project or part
payment based upon the phased delivery of the proje ct?
Paresh Mehta: So, these are based on POCM method, Percentage Of C ompletion way of accounting.
Pankaj Agarwal: So, do we expect 60%, 70% of the completion… I mean cash yield target suppose even if the
project execution delays, suppose we delay our cash realization. So, approximately what
percentage we are expecting to come by H2, let's sa y, by March end or year-end?
Paresh Mehta: See, generally, if there is a delay in implementati on of the project, the expenditure also get
postponed. So, from a recognition purpose, it is ba sed on expenditure incurred, revenue
recognized. And largely revenue recognized get conv erted into cash from clients in a span of,
let's say, 45 to 90 days' time. In the power, it is sometime 90 days. In roads, it is 45 days.
Pankaj Agarwal: Okay. Sure. Thanks.
Moderator: Our next question comes from the line of Raj Mehta from Mr Advisors. Please go ahead.
Raj Mehta: Hi, sir. Thanks for the opportunity. So, sir, I had 2 questions. First is, has the company seen
any improvement in tender activity in Q3, especiall y with the NHAI's planned acceleration of
awards towards H2?
Satish Parakh: See we have bidding of around more than INR 80,000 crores of project lined up now for which
dates have been declared. And there are other proje cts in the pipeline. So, every month, they
come out with new set of projects. And definitely, they are aggressive on bidding as well as
awarding in H2.
Raj Mehta: Okay. Got it. And sir, I have one more question. Th e net debt levels and interest costs have
increased in this quarter. Can you please guide me on the key drivers? And do you expect any
deleveraging by the end of FY '26?
Paresh Mehta: Definitely, there is a substantial deleveraging hap pening in this H2 after realization of the
monetization proceeds of the BOT projects, and inte rest costs will be reduced.
Raj Mehta: Okay. Got it, sir. That's all. Thank you so much.
Moderator: Our next question comes from the line of Vasudev fr om Nuvama Wealth Management
Limited.

Vasudev Ganatra: Yes. Thank you for the opportunity. Sir, can you give us what is the bid pipeline acros s all the segments for second half that we are targeting?
Satish Parakh: So, as I explained, we are targeting around INR 6,0 00 crores to INR 7,000 crores across the sectors. We are bidding in Roads, Railways, Power, Solar Projects, Buildings. So, all across bidding activities in full swing, and we expect to realize by year-end, we should add another INR 6,000 crores t

o INR 7,000 crores to the current order book.
Vasudev Ganatra: Okay. Sure, sir. And what would be our pending equi ty requirements for the HAM projects, like pending to be infused?
Paresh Mehta: So, on the equity requirement, on the latest projec t, Bowaichandi is approximately INR 225 crores. And on the balance projects which are yet t o be closed, that is Tumkur-Shivamogga IV, the Khanapur project, approximately INR 100-odd cro res is to be invested.
Vasudev Ganatra: Okay. So, total INR 325 crores is pending to be inf used. And can you help me with the breakup like how much are we expecting to infuse in H2 and FY '27 and '28?
Paresh Mehta: So, in H2, approximately INR 200-odd crores and bal ance in '26-'27, '27-'28.
Vasudev Ganatra: Okay. And sir, so now that we have monetized these 5 assets, so when do we expect to close the deal for the remaining assets?
Paresh Mehta: So, we have monetized 5 of the HAM projects out of 11 HAM projects. We expect to monetize 4 of the assets by March end and 2 of the assets by June '26 end.
Vasudev Ganatra: Okay. In June, and what would be the rough valuatio ns, if you can share that?
Paresh Mehta: Approximately INR 800 and INR 300 crores. INR 800 c rores by March and INR 300 crores by June.
Vasudev Ganatra: Okay, perfect. And sir, what is the CapEx that we h ave done in the second quarter? And how much are we targeting for the full year?
Paresh Mehta: So, approximately, in H1, we have spent approximate ly INR 35 crores, of which INR 10 crores was in Quarter 2. And we expect to spend approximat ely INR 100 crores by the year-end, total.
Vasudev Ganatra: Okay. Got it. And so sir, after these monetizations , once these are completed, so by year-end, where do we expect our debt levels to be?
Paresh Mehta: So, by the year-end, we expect our debt levels to b e as good as at zero level because though there will be certain outstanding instruments, whic h will continue of approximately INR 425 crores, which will get liquidated in April, but tha t will be supported by cash balances in the

balance sheet of ABL. So, we probably will see a su bstantial reduction in the standalone debt of ABL.
Vasudev Ganatra: Okay. And sir, just like this year that we will be seeing flattish revenue. So, next year, then can we expect about 10% to 15% growth?
Paresh Mehta: Yes, that is the target. Of course, this is based o n order will happen in the next 6 months.
Vasudev Ganatra: Okay. And what kind of EBITDA margins then we are l ooking at for this year and next year?
Paresh Mehta: In the range of 10% to 11%.
Vasudev Ganatra: 10% to 11%. Sure, sir. That's it from my side. Than k you.
Moderator: Thank you. Our next question comes from the line of Sandeep Dixit from Arjav Partners. Please go ahead.
Sandeep Dixit: Yes, sure. The notes to the account say that these 5 HAM assets were transferred on 29th September. So, does the second quarter number inclu de those 5 assets or exclude the 5 assets on the P&L?
Paresh Mehta: No, no. So, what happens is in the P&L and the cons ol level, the revenues up to 29th September, that is almost for full of the quarter i s captured, okay? And as on 30th September, it is reversed to exit the projects from the consol balance sheet.
Sandeep Dixit: Right. So, if I understand that correctly, the P&L has those 5 HAM assets, but the balance sheet does not? Correct?
Paresh Mehta: Correct. Right. You are right.
Sandeep Dixit: Okay. Sir, one request I have made, unfortunately, Investor Relations Advisor has not been able to help is to get some kind of a pro forma of how Ashoka Buildcon will look after all these assets are write off. Because over the next 6 to 12 months, there is going to be a lot of change in the P&L and balance sheet. So, for exampl e, next quarter, a large part of the drop in revenues can be explained because of these 5 HAM as sets going off the bo

oks. So, may I request that if you can sort of put in your present ation a pro forma of how P&L and balance sheet will look, excluding these assets which are c ontracted to be sold?
Paresh Mehta: So, we will try to work along with our IR guys to g ive whatever information you require the way you want to present it from your internal consu mption.

Sandeep Dixit: Thank you, sir. I would appreciate that. Thank you.

Moderator: Thank you. Our next question comes from the line of Bhavin Mod i from Anand Rathi Wealth Management. Please go ahead.
Bhavin Modi: Thank you for the opportunity. In the last call, you mentioned that we will be rec eiving around INR 1,800 crores from the BOT and INR 700 crores wi ll be the contingent consideration. So, is the monetization in the line? And there are no c hanges in the proceed amount, right?
Paresh Mehta: Yes. So, approximately INR 1,770-odd crores will pr obably come by 30th of November. And balance may not be INR 700 crores, maybe slightly l esser due to various changes in NHAI circular. So, could be around INR 500 crores, which will come maybe after 1 year or 2 years, based on extension of time given by NHAI for our to ll extension claims with NHAI.
Bhavin Modi: And second, with respect to the HAM assets, it was mentioned that INR 800 crores will be reserved by March '26 and INR 500 crores by June '2 6. So, are the time line and the numbers intact in respect of the HAM projects?
Paresh Mehta: Yes. So, as I communicated some time back, probably we will have INR 800-odd crores before March. We may probably sell 4 assets by March and 2 assets by June. So, INR 800 crores plus INR 300 crores is what the number could look like.
Bhavin Modi: And sir, with respect to the monetization of 5 HAM assets, we received the proceeds of INR 1,146 crores, but there was some contingent conside ration, which was kept as a holdback. So, what is the amount? And have we received that amoun t?
Paresh Mehta: So, there is approximately INR 96 crores, which wil l be received over the next 2, 2.5 months for certain compliances which we have to do, so as to be eligible for those amounts.
Bhavin Modi: Okay, sir. Got it. Sir, last 2 questions with respe ct to the bookkeeping, sir. So, sir, in the presentation, you have mentioned that the ABL 4 HAM assets, the profit is INR 435. So, is this profit in the standalone books of ACL? Can I interp ret it that way?
Paresh Mehta: Yes, yes, you are right. You are right.
Bhavin Modi: Yes. And sir, second question is with respect to th e taxation, sir, in the consol books. So, it is showing a negative taxation, sir. So, how should I interpret that?
Paresh Mehta: So, this is a deferred tax reversal. For this, prob ably can come offline also on this, so what's happening is when we are accounting at SPV level, t here is carrying value difference. Now carrying value, as we have shown in the balance she et, there is a loss of INR 210 crores, which you are accounting in the consol. Based on that, th ere is a deferred tax asset reversal, which is being shown there.

Bhavin Modi: So, is it that we have already recognized the profi t. And now since there is a loss, with the higher profit, we have already recognized a higher taxation in the previous years. Now because of showing us the loss, we are reversing the taxati on. Is that the way to interpret?
Paresh Mehta: Exactly. The provisioning accounting entities are t hat way.
Bhavin Modi: Okay. Got it. Got it, sir. Thanks a lot.
Moderator: Thank you. Our next question comes from the line of Dr. Amit Vora, The Homeopathic Clinic. Please go ahead.
Amit Vora: Thank you for giving me the second chance. My quest ion, there are 2 questions. First is regarding the future outlook for the industry and o ur company for next 1 or 2 years. And are we looking out for any high-

margin areas apart from our existing like water, irrigation, solar or any other areas?
Satish Parakh: So, outlook I have given in my opening call. We hav e a strong outlook in infrastructure all across national highway, MoRTH as well as various s tates are coming up with their programs. It's all for state highways and also sectors like r ailways, water, buildings, everything is showing up a good number of opportunities. So, infr a is next decade or so is going to be really good sector to work in. We are not looking at any n ew sector other than what we are presently working at.
Amit Vora: Okay. And sir, any outlook about Jaora-Nayagaon? Wh en are you planning to monetize on this?
Satish Parakh: Paresh, you can update here.
Paresh Mehta: Yes. So, on Jaora-Nayagaon, as we have communicated , we now own economic interest of 100% of the project. We are seeking certain approva ls from the authority, for allowing us to transfer some 26%, which is in process. We believe it will take some time. So, maybe '26, '27 is something which we will try to look at for monet izing that asset. Otherwise, the project continues to perform very well with a good revenue.

Amit Vora: In terms of what? In terms of, this...
Paresh Mehta: Revenue, toll collection.
Amit Vora: Yes, toll collection.
Paresh Mehta: And hardly any debt. there is hardly debt of around INR 13-odd crores, which will get paid off in this year.

Amit Vora: And for the second half, we see margins of around 1 0% to 11% on the INR 6,000 crores to INR 7,000 crores extra that we have planned to get in H2?
Paresh Mehta: Yes, around 10% to 10.5% difference.
Amit Vora: Thank you so much, sir. Thank you.
Moderator: Thank you. Our next question comes from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah: Thanks for the follow-up. Sir, just wanted some cla rity on the overall gross inflow and net inflow from the monetization. So, from the 5 BOT as sets, what will be the gross amount that we will receive?
Paresh Mehta: Approximately gross amount would be around INR 2,30 0-odd crores.
Vaibhav Shah: Time line for the same, how much in '26, how much i n '27?
Paresh Mehta: Approximately, as I said, INR 1,750-plus crores by November end. And the balance could probably get in '26-'27 or '27-'28. It will all dep end on how NHAI gives us the approvals for extension of time for concession period.
Vaibhav Shah: So, where the balance amount is stuck, around INR 5 50-odd crores?
Paresh Mehta: So, these are extension of project period for claim s made by the SPVs to NHAI, which is as per concession agreement. There are certain interpr etation disconnects, which is getting sorted out, which is more of an industry subject. So, once that is sorted out, these extensions will be granted. And then once that grant letter is there, we can claim our amount from Maple.
Vaibhav Shah: But INR 750 crores cash should come in by November end?
Paresh Mehta: This would be approximately INR 500-odd crores base d on whatever approvals, which we believe are going to find. So, we expect this amoun t to be around INR 500-odd crores, not INR 700-odd crores.
Vaibhav Shah: No, no, INR 750 crores should be received by Novemb er end or cash would come in a later date?
Paresh Mehta: No, no. INR 1,750 crores will come by November end, cash.
Vaibhav Shah: Okay. And for the 5 HAM, what was the gross amount we received?
Paresh Mehta: INR 1,150 crores.

Vaibhav Shah: INR 1,150 crores. And out of that, the entire amoun t we have received in second quarter or something is remaining?
Paresh Mehta: So, INR 1,050 crores has been received in second qu arter, around INR 96 crores is outstanding, subject to certain compliances from ou r side, which will be done in the next couple of months. And by January, we should get tho se money also. The

target is that.
Vaibhav Shah: Okay. And sir, for the 4 HAMs and 2 HAMs, you menti oned INR 800 crores and INR 300 crores. So, that is the gross amount. So, entire wo uld be received or there is some hold back in that as well?
Paresh Mehta: So, hold backs are generally for 2 to 3 months. So, that is only for certain compliances, audit, certain balance permissions to be done from other a gencies, tax clearances and that. So, it's more of a routine compliances, which will be got do ne and 100% amount will come through.
Vaibhav Shah: Sir, so INR 650 crore balance of SBI Macquarie, tha t should be paid off in November itself?
Paresh Mehta: Yes. As soon as we get these receipts, within 8 day s' time, they will be paid off.
Vaibhav Shah: Okay. Sir, secondly, we have seen quite some rise i n terms of working capital in the second quarter, in the first half. So, how do you see it g oing ahead?
Paresh Mehta: Largely will remain in the same way, except for pow er where we expect the release of working capital from our employers. So, by March end, we sh ould see some improvement in the working capital number of days.
Vaibhav Shah: Okay. And sir, lastly, what would be our order back log for the MCGM sewage treatment plant?
Paresh Mehta: I will just come back to you on this.
Vaibhav Shah: Okay, sir. Those were my questions. Thank you.
Moderator: Thank you. Our next question comes from the line of Vasudev from Nuvama Wealth Management Limited. Please to go ahead.

Paresh Mehta: Just to close that answer, around INR 270 crores, M CGM.
Vasudev Ganatra: Sir, just an update on the Chennai ORR project, whe re are we in terms of monetization for this project?
Paresh Mehta: So, we are discussing with a potential investor and he is in the process of due diligence. We expect to close out as early as possible by March, we should be able to sign something with them. That's the target. But discussions are on.

Vasudev Ganatra: Okay. Sure, sir. That's it from my side.
Moderator: Thank you. That was the last question for today. I now hand the conference over to the management. Thank you and over to you, ma'am.
Paresh Mehta: I would like to thank everyone for being part of th is call. We hope we have given whatever possible answers you wanted to understand. If you n eed any other further information, please feel free to contact Mr. Deven Dhruva from SGA, our Investor Relations advisors or myself. Thank you.
Moderator: Thank you so much, sir. On behalf of Nirmal Bang Eq uities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Ashoka Buildcon Limited

Regd. Office: S. No. 861, Ashoka House, Ashoka Marg , Vadala, Nashik – 422 011, Maharashtra, India
hh hhTel. + 91 253 6633705 hh hhFax +91 253 2236704 hh hh www.ashokabuildcon.com
CIN: L45200MH1993PLC071970

To, To,
The Manager, The Manager,
The Department of Corporate Services The L isting Department
BSE Limited National Stock Exchange of India Limited
Floor 25, P. J. Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Ban dra (East), Mumbai – 400 051

Scrip Code: Equity: 533271 Scrip Symbol: ASHOKA
Debt Codes: CPs -729743/ 730307 / 730851/ 730880; a nd
NCDs - 976190 / 976191 / 976192

February 06, 2026

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on February 02, 2026 in respect of unaudited Standalone and Consolidated fi nancial results (Limited Review) for the quarter an d nine months ended December 31, 2025.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No.: FCS – 7377

“Ashoka Buildcon Limited
Q3 FY26 Earnings Conference Call ”
February 0 2, 202 6

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 2nd February 2026 will prevail

MANAGEMENT :

■ Mr. Satish Parakh – Managing Director – Ashoka Buildcon Limited
■ Mr. Paresh Mehta – Chief Financial Officer – Ashoka Buildcon Limited

MODERATOR :

■ Mr. Mudit Bhandari – IIFL Capital

Moderator: Ladies and gentlemen, good day, and welcome to the Ashoka Buildcon 3Q FY '26 Conference Call hosted by IIFL C apital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. I now hand over the conference to Mr. Mudit Bhandari from IIFL Capital. Thank you, and over to you sir.

Mudit Bhandari : Thank you so much . Good afternoon, everybody. On behalf of IIFL Capital, I welcome you all to Q3 FY '26 Earnings Conference Call of Ashoka Buildcon Limited. From the management, we have Mr. Satish Parakh, Managing Director; and Mr. Paresh Mehta, Chief Financial Officer. With this, I would request Mr. Satish Parakh to start wit h his opening comments, and then we can open floor for question and answer. Thank you, and over to you, sir.

Satish Parakh: Thank you, Mudit. Good afternoon, everyone. I welcome you all to the Q3 & 9M FY '26 Earning Conference Call of Ashoka Buildco n Limited. Thank you for taking out time to join us as we share our operational and financial updates for the quarter and nine months ended 31st December 2025. Joining me on this call is our CFO, Mr. Paresh Mehta an d Investor Relations partner from SGA.

The Indian highway sector is currently navigating a phase of measured transition where the emphasis is gradually shifting from rapid expansion to quality, sustainability and capital efficiency. While near term activity levels reflect moderation, the medium to long term structural outlook for the sector remains intact.

The awarding activity by the central agencies has remained subdued for the past 2 years and in this financial year the highway construction is expected to drop 10% to 15% to 9,000 to 9,500 kilometres from 10,660 kilometres in 2024 -25. The construction of national highways this financial year will be lowest since 2017 -18.

That said, there are several signs of improvements also. The ministry of road transport and highway (MoRTH) and NHAI have consciously recalibrated their focus to corridor -based development , access control highways and expressways. Under this approach the government is targeting approximately 11,000 kilometres by FY27 and 15,000 kilometres by FY32, up fro m 3,000 kilometres currently reflecting a sharper focus on economic productivity, safety , logistics efficiency rather than sheer scale.

At the same time the government focus on financial prudence at NH AI continues. INR35,000 - INR40,000 crores is expected for monetization of road assets in FY26 by NH AI, which will be used for supporting new investments without materially increasing the public sector leverage.

An important positive development for the sector is renewed push towards PPP models. A gainst this backdrop, Ashoka aims to leverage its strong execution capabilities, prudent capital management and experience across EPC, HAM, and BOT and assets monetization models, remain well positioned to navigate the cycle and participate in the next pha se of growth.

Now let me take you through some of the key developments during the period. We began with a significant portfolio monetization milestone in November 2025. Ashoka Con cessions Limited

completed the sale of its entire stake in five BOT SPVs to Maple Infrastructure Trust and its nominees.

The transaction was concluded for an aggregate consideration of INR1,814 crores and marks an important step in unlocking value from mature assets. I'm pleased to announce that this led to a significant reduction in our consolidated debt from INR4,910 crores in September to INR2,722 crores in December 2025 and aligns with our stra

tegic move towards deleveraging, thus reducing interest costs, and stren gthening our balance sheet.

Following this, Ashoka Buildcon Limited acquired equity shares in Ashoka Con cessions Limited and Ashoka Buildcon together with Viva Highways Limited, acquired the remaining Class A and Class B CCDs held by the investors. This w as done for an aggregate consideration of INR667 crores, resulting in a full acquisition of securities previously held by Macquarie SBI Infrastructure Funds.

This transaction consolidates our control and simplifies the ownership structure of ACL, which is now 100% subsidy of Ashoka Buildcon.

On the project execution front, two major letters of acceptance were received from BMC through joint ventures. The Adani -Ashoka -Aakshaya JV secured the Mithi River Development and allied work projects, valued at INR1,816 crores, excluding GST.

The project includes a 48 -month design and build phase, followed by 10 years of O&M. In addition, the Ashoka Aakshaya JV received an LOA for a flyover construction project worth INR1,041 crores, including GST, with a 24-month execution timeline. Ashoka has also secured an additional scope of work order, from the BMC toward the existing S ion-Panvel Highway flyover project, amounting to INR447 crores, including taxes, reflecting continue d confidence in our execution capabilities.

Lastly, we received an LOA from the Public Works Department in Daman for a construction of a signature bridge connecting Jampore Sea front to Devka Sea front. This project is valued at INR307.7 crores, excluding GST, with a completion timeline of 30 months. Coming to the order book status, the company has received four new project orders, including one additional work order, as discussed above from BMC and Daman Public Works Department.

As on 31st Decemb er 2025, our b alance order book stands at INR 15,927 crores. This is excluding orders received post 31st December 2025 of INR308 crores. So, as on date, it is INR16,235 crores of balance order book. Roads and ra ilway projects comprise around INR10,292 crore s, which is 65% of the total order book.

Amon g the road projects order book, HAM projects are to the tune of INR1,705 crores, EPC road projects are to the tune of INR 7,025 crores and railway is around INR1, 562 crores. Power T&D accounts for around INR 5,108 crores, which is approximately 32.1% of the total order book.

Total EPC building segment is to the tune of INR528 crores, which is 3.3% of the total order book. Our primary focus remains on maintaining a substantial EPC business in segments of

roads, hi ghways, railways, power transmission distribution, as well as buildings. I would now request Mr. Paresh Mehta , CFO, to present th e financial performance. Thank you.

Paresh Mehta: Thank you. Good afternoon, everyone. Starting with the standalone numbers : Our Q3 FY26 total income stood at INR1,492 crores as compared to INR1,816 crores in Q3 FY25 , a degrowth of 18%. EBITDA for the quarter stood at INR157 crores , a degrowth of 16% year-on-year with EBITDA margin of 10.6% , an improvement by 30 bps year-on-year. Profit before tax before exceptional items stood at INR50 crores.

Overall, PAT stood at INR102 crores against INR61 crores during Q3 FY25, up by 68 % year - on-year. O ur revenue contribution for each segment for Q3 FY26 is as follows. Road EPC 51.9%, road EPC HAM 13.2%, power T&D 21.9%, railways 9 .0% and other segments 4 .0%.

For 9 months FY26 stand alone, total income stood at INR 4,134 crores as compared to INR5,175 crores in 9 months FY25, a de -growth of 20%.

EBITDA for 9 months FY26 stood at INR468 crores, down 5% year -on-year with an EBITDA margin of 11.3%, an improvement over 9MFY25 of 180 bps. Profit before tax before excepti onal items stood at INR 150 crores and PA T stood at INR272 crores as compared to INR138 c

rores

in 9 months FY25, up by 97% year -on-year.

Coming to the consolidated results, total income for Q3 FY26 stood at INR1,866 crores as compared to INR2,426 crores in Q3 FY25, registering a 23% de -growth. EBITDA for the quarter stood at INR474 crore s, down by 30% year -on-year with EBITDA margin of 25.4%. Profit before tax bef ore exceptional items stood at INR 233 crores. PA T stood at INR2,111 crores during Q3 FY26.

Total consolidated debt as on 31st December 2025 stood at INR2,72 2 crores, down from INR4,910 crores. The standalone debt is at INR1,046 crores, which comprises of INR79 crores on equipment loans, INR300 crores on NCDs, and INR66 7 crores on working capital loans. In Q3 FY26, in our BOT division, the company recorded a total gross toll collection of INR77 .3 crores from Jaora-Nayagaon Toll Road Company. With this, we now open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the lin e of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, on the EBITDA margin side, we saw some impact on Q3 and also other expenditure was quite high at INR71 crores. So, is there any one -off and why the margins were lower on Q -o-Q basis?

Satish Parakh: On a Q-on-Q basis, I think the EBITDA stood at approximately 9%, . It's more an impact of a lower turnover and coverage of the fixed overheads which are there. Otherwise,

There was ECL provision, which has increased the other expenses.

Vaibhav Shah: What is the quantum of the provision?

Satish Parakh: It's INR25 crores.
Vaibhav Shah: And what is it regarding to INR25 crores?
Satish Parakh: Maybe I'll come back.
Vaibhav Shah: Okay. Sir, secondly, how do you see the margin going ahead in Q4 and FY '27?
Satish Parakh: So, as we have been saying the margins will improve over the quarters as we go ahead. Q4 '26 will typically remain similar, but FY'26-'27 definitely will be in the range of 9%, 9.5% plus.
Vaibhav Shah: We don't see that double -digit margin yet in FY'27. You are targeting around 10% to 10.5%, 11% in...
Paresh Mehta: Yes. we believe the bids which are there in the pipeline will throw approximately 10%, 10.5% and being a bit conservative.
Vaibhav Shah: Secondly, on the overall revenue side, we have seen quite a weak number s in the first 9 months. So how do you see the revenue for the '26 and what is your guidance for '27?
Paresh Mehta: So FY'26 probably based on current order book and the way the projects are moving, new projects having started a bit late, we believe that we may probably not be able to achieve last year's revenue and we'll be probably short by approximately 8% to 10%. But going ahead for FY'26-'27, we definitely believe that 15% growth would be there over '26.
Vaibhav Shah: Given the lower base of '26, so even if we grow at 15%, we will be still lower than our '24 and '25 revenue numbers. So, will you see scope of higher gr owth?
Paresh Mehta: Yes. It will also depend on certain new projects, which we are applying for and the order book, which will come, then probably we'll do a better numbers definitely.
Vaibhav Shah: Okay. And lastly, on the order inflow side. So, what will be our order inflow in terms of EPC value for YTD FY '26?
Paresh Mehta: Year -to-date, approximately INR5,200 crores is the order book flow for EPC in 9 months and another INR307 crores, which has co me post December.
Vaibhav Shah: So, what are you targeting for the entire year?
Paresh Mehta: So, we believe that we should keeping this 2 months available, around INR3,000 -odd crores order book should come in with probably NH AI, also pushing their biddings, probably in the last 2 months. I think INR3,000 crores should be an easy number to achieve for a for a new order book.
Vaibha

v Shah: Okay. Thank you sir. Those are my questions.
Moderator: The next question is from the line of Bhav in Modi from Anand Rathi.

Bhavin Modi: A couple of questions from my side. Sir, first, I saw your order book details and there was a few of the slowing projects like Kundalika, J aigad, Bankot, Gaimukh, Payegaon . So, like, how are we looking in terms of accelerating the speed of execution?
Satish Parakh: So, these projects basically are suffering in terms of land acquisition and probably, this would get over in another quarter. So next year, we'll see a good pickup in all these projects.
Bhavin Modi: Okay. Sir, second, in terms of the appointed date for Guskara, Bowaichandi. So, when it is expected?
Satish Parakh: So, we expect in February . February we should get an appointed date for this.
Bhavin Modi: So, what it to ok so long, because I think we c ompleted the financial closure two quarters back ?
Satish Parakh: Yes, we completed financial closure, but land acquisition is still very difficult in West Bengal. Now this will pick up only in these 2 months. That is what they are promised by Feb, they should be able to award us.
Bhavin Modi: Understood. So, third point was there are 2 things in the BOT assets we sold. One was the holdback amount. And second is the contingent consideration. So, like what is t he quantification in terms of the holdback amount and the contingent consultation? And what are the expected timelines ?
Paresh Mehta: So, on the holdback amount, in the HAM, we have approximately INR96 crores of holdback. And in the BOT project approximate ly INR50 crores. We expect both these numbers to materialize before March, all the compliances or whatever actions to be taken. So, between February and March, we should get those money released , along with th e sale of at least 4 of the 6 assets before March.
Bhavin Modi: Okay. And sir, what about the contingent considerations, there was some INR500 crores of BOT?
Paresh Mehta: The contingent consideration is consideration linked to extension of toll concession period, which will take approximately 1 to 2 years for it to materialize with NHAI, once the period is freezed, at that time the money will be released. So, it will be based on how NHAI gives us the extension for low traffic as per concession.

Bhavin Modi: Okay. But right now, we cannot zeroing on any number, right, sir? Because that we will only come to know once the NHAI gives the approval for the exten sion?
Paresh Mehta: Right.
Bhavin Modi: Sir, one point was, sir, you have created some impairment for certain subsidiary loans in your financials. So, which is the subsidiary and what is the loan amount?
Paresh Mehta: So largely, we have floated a subsidiary in Saudi for businesses in the Middle East, where we have incurred establishment expenses at around INR37 crores, which is taken as an impairment.
We are looking at the business being prudent, we have presently impaired it as soon as we get

business , probably these amounts will get reversed. This is the initial establishment expenses for the office established for overseas projects.
Bhavin Modi: Sir, last two questions from my end. These are regarding 2 things. One is th e timeline and the amount for the balance 6 assets to be monetized. And second is the sir, the NHAI the matter, which was published , we got actually the immunity from the court. But where is the matter now right at present ?
Satish Parakh: So, it's status quo, still, it has been stayed in the court, and we are bidding NHAI projects, all of the projects. So, there is no impact on the business as such.
Bhavin Modi: Okay. But do we expect any action fro m the NHAI or has it gone to any disciplinary committee the thing. So, like what is the status wi

th that?
Satish Parakh: They formed the committee and work is in progress. There will be series of meetings and then decision will be taken.
Bhavin Modi: Okay. Sir, the last question about the monetization of the balance 6 assets. What are the timelines ? And what are the amounts that we can expect?
Paresh Mehta: For the monetization of the 6 HAM projects which are yet with us, 4 of the HAM projects we expect to monetize by March, approximately INR750 crores plus and the last 2 projects approximately INR400 crores by June '26.
Moderator: The next question is from the line of Aditya Sahu from HDFC Securities. Please go ahead.
Aditya Sahu: Hi, sir. Thanks a lot for the opportunity. O n the bidding part that is mentioned, if you can help us on the what is the current bid pipeline that we have?
Satish Parakh: So current bid pipeline for NHAI is around INR65,000 crores
Aditya Sahu: Okay. Understood, sir. And just one other question would be on the HAM equity investment, what would be the amount that we have invested till date? And how much is the amount that we would invest going forward?
Paresh Mehta: So, on the equity investment balance for the current HAM portfolio. Approximately INR320 crores is balance, of which largely INR220 crores is for the new HAM project Bowaichandi and balance is for the TS III and TS IV that is Tumkur -Shivamog ga III and IV , which will be invested in the period of INR180 crores by March '26 , March '26-'27 INR72 crores and March '27-'28 INR72 crores.
Aditya Sahu: Okay. INR180 crores by March '26, and INR70 crores ?
Paresh Mehta: Sorry June '26 - it all depends on how Bowaichandi appointed date is declared.
Moderator: The next question is from the line of Mudit Bhandari from IIFL Capital Services Limited.

Mudit Bhandari: Out of the total order book of around INR15,900 crores. So how much is executable? I mean how much is any pending clearance, including appointed date or any other clearances?
Satish Parakh: So, this entire is executable. We already received appointed date and work is progress on all the projects.
Mudit Bhandari: Sir, but even if we, let's say, look at last quarter order book, so we are not able to execute in terms of reported numbers from revenue. So is there any other thing.
Satish Parakh: So, as I explained earlier, despite projects of bridges are stuck up due to land acquisition. They are slow moving. So, we expect that by quarter 1, we should be able to pick up on all these projects. And Bowaichandi project, which we explained you, we are yet to get the appointed date. So that we are expecting in Feb ruary . So, March onwards we should be able to carry out work on this project also.
Mudit Bhandari: Understood, sir. And from comparing Q -on-Q from 2Q to 3Q, how is the payment been from NHA I side or from DISCOM side across all our sectors?
Satish Parakh: Payment wise, there is not much issue either at NHAI level or DISCOM. DISCOMs are also funded from central points. Payment wise, there is not an issue. Execution -wise, there have been

challenges and that is how the order book has been very slow.
Moderator: The next question is from the line of Vasudev from Nuvama.
Vasudev: Congratulations on the monetization of the BOT assets. So, sir my most of the questions are answered just a few boo kkeeping kind of questions. So, these 5 BOT assets which we sold, what was the enterprise value and the equity value of these assets?
Paresh Mehta: So, equity value was approximately INR2,300 crores against which there was debt approximately INR2,500 crores. So, enterprise was approximately INR5600 -5700 crores . So, the debt has already been excluded from the consol now. And out of the total equity of INR2,300 crores , we have already realized INR1,750 crores and balance will be realized over a period of time, including contingent

consideration.
Vasudev: Sure, sir. So now after these monetization's , even we are hopeful of monetizing for other HAM assets. So, by end of FY '26, where do we see our debt levels?
Paresh Mehta: Once we monetize this 4 assets also, we should see our debt levels by March or April, there are certain debt like NCDs which are payable in April, considering that also as paid, we should be in the range of INR200 crore s to INR300 crores.
Vasudev: Okay. Sure, sir. And lastly, what is the capex that we did in Q3? And how much are you planning for Q4?
Paresh Mehta: So, for Q3, the capex was approximately INR15 crores. We expect another INR25 crores in Q4 to take it around INR75 crores to INR80 crores for the year.
Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: So, do we expect any further ECL provisions in Q4?
Paresh Mehta: ECL generally , are largely it's time -related provision for payments, which are slightly delayed. So, we believe that the recovery will happen by March. So, I don't think a large impact m ay be there for Q4.
Vaibhav Shah: Okay. And sir, secondly, you mentioned about the Saudi establishment expenses. So, when did we incur the expense? And why did we write it off so early?
Paresh Mehta: So, these expenditure was being incurred since last 1.5 years for the establishment. We are bidding for projects, unfortunately, they're not bagged . From a conservative view, because there was no order book at that office. We took a decision of making an impairment of it probably as soon as we expect a few orders in the next month or so in 4 to 5 weeks. Once that happens, then maybe post Q1 FY '27, we'll be able to reverse those impairments.
Vaibhav Shah: And what segments are we targeting from Saudi, which vertical?
Satish Parakh: All type of infrastructures - roads, power and buildings.
Vaibhav Shah: Okay. And sir, secondly, our PBT was around INR50 crores for the quarter. So, reported PAT INR102 crores. So, what was the adjusted PAT for the quarter ?

Vaibhav Shah: INR50 crores is PBT. So basically, – we are figure out what was the tax expense for the quarter, both on the normal operations and on the exceptional item?
Paresh Mehta: Before exceptional items, the profit was INR50 crores, which is approximately similar , almost on the same range of Q2 also.
Vaibhav Shah: Tax was negligible for the quarter ?
Paresh Mehta: Right, INR57 crores for Q2.
Vaibhav Shah: Tax was negligible for the quarter, tax amount?
Paresh Mehta: Tax amount was negligible because of the deferred tax reversal of the provisions which we made for repayments.
Vaibhav Shah: Okay. Got it. Thank you, sir.
Moderator: Thank you. Th e next question is from the line of Amit Kumar from Determined Investments . Please go ahead.
Amit Kumar I'm investor new to the entire domain of this entire EPC and project business. So, my apologies upfront if this is silly question to begin with. You're deleveraging the balance sheet, you've already done a lot in the first 9 months , you're still looking to further sell assets. And at a point in time where either the new project pipeline is like you said that this year has been fairly soft,

you're obviously expecting some improvement next year and even your existing projects are like slow.
I'm just trying to understand because EPC business involves a fair bit of debt any which ways

in terms of working capital basically. So, when you're basically selling those assets, I'm just trying to understand the balance sheet bulk up that you're looking to do, what is the purpose of that? And isn't the balance sheet as it stands today already support your future plan?
Paresh Mehta: So, see, there are two strategies this year. One is the

development projects which we have, which
we are monetizing and bringing cash in. This typically gives us opportunity to look at future development projects also like projects under solar or projects under BOT. Now the bal ance sheet being as it is around almost a net worth of plus INR4,000 crores and monetizing on these assets and deleveraging the debt to the extent of almost in the range of INR200 crores to INR300 crores only . I think so we'll try to make the balance sheet a bit leaner.
Amit Kumar: Yes. But , the projects that you have on your balance sheet, right? there is always a construction risk, a whole bunch of risk during the construction period in a project. You have executed these projects; they are now starting to throw cash. So, I mean let's even assume that fo urth quarter, basically, thes e four assets that you are looking to sell that happens , NCDs als o you pay back in April.
And you get to a INR300 crore s debt number, which is for the size of your company, I mean, that's a INR5,000 crores, INR6,000 crores kind of top line company that's actually quite small. So is there any need to basically further sell the assets that you have or at least s ell them strategically.
I mean, we are bidding for some huge projects than maybe might b e to sell some assets to basically fund it on that side. But let's say, beyond March and beyond April, is there any need to basically sell additional projects? As you have indicated in the past that we are pretty much selling everything. I don't think that you're planning to keep any operational either HAM or BOT whatever projects on your books basically. Is there any need to do that? That's my point ?
Paresh Mehta: Soyes, there is a lot of demand for assets, and there is a good arbitrage in selling these assets. These assets may be giving us an IRR of 15% to 17%. And the kind of projects are acquired by buyers, who are largely financial institutions or private equit y funds or pension funds.
They are generally discounting these cash flows at 10% to 12%. It makes sense in cashing them out and use this money for newer projects, which will bring the EPC order book also plus another asset with, say, 15% to 17% IRR, which again, will have an opp ortunity to flip to a new buyer.
So, this probably is the model of every EPC contractor c um developer , going ahead also , that you create ass ets hold for a couple of years maturity term, flip it to an investor who's happy with the 10% to 12% IRR.
Amit Kumar: So that's exactly my point. And your existing projects are for a 15%, 16% IRR. They're fairly safe cash flows to execute they are running essentially and I presume you'll also be managing the O&M for all of your projects basically. Again, like I said, I'm slightly new to the business and these companies, I'm not assured on that count also.

But and when you're taking a new project that also bring a fair bit of risk. But even leaving that aside, my principal point here is that this year, we have seen a very again, principally given the fact that you are in the almost 60%, 70% of your order book, 65%, 2 /3 of your order book is in the road sector.
We've seen a pretty soft bidding in FY '26. I'm not sure what changes in FY '27, if you seen the budget also, just less than a 10% increase in capex, what the government is basically talking about? And clearly, defence the other sectors high -speed rail corridors, etcetera, those seem to be the priorities.
So are you basically looking to expand material ly into some new sectors where traditionally, the companies are seemingly has been mostly on the road side and of course, there is a little bit of Power T&D, railways less than 10% or a share of order book that's fairly small.
So are you looking t o expand in a big way into some new verticals, new business lines because as far a

s the road piece is concerned, even the current balance sheet and let's assume the March, April, what you're basically saying also happens. Beyond that, the leftover projects that you have, which you have said that you would look t o monetize those.
What is the purpose would that serve? Because at least in the intermediate term, till such time that you can scale up your order book and get new projects which I think this year also, you're missing on your order book guidance at the beginning of the year, primarily because of slow bidding on the road side itself, right?
I mean that's the going to be cash sitting on the book’s earnings, what, like 6%, 7%. That interest rates are also like fairly low. So isn't it b etter to keep those projects at least keep having that 15%, 16% IRR or whatever it is, basically, definitely double -digit IRR, keep earning that IRR.

And then -- I mean, as and when you see the order book pipeline basically coming up, then you can probably -- selectively probably monetize some of those assets ?

Paresh Mehta: So actually, there are 2 thoughts to it. The assets which are monetizing and the core business of the company, are typically 2 different revenue streams. The assets which are monetized are giving a revenue stream of either financial income or toll revenue, which is not an effort driven. Once we have quality constructed, it's more of an economic impact on the project. So, we are not making any EPC effort. Our major source of revenue is EPC, which brings in revenue. Sodefinitely, our return expectation on EPC is better, and we expect 15% to 18% IRR on that kind of business, better to invest in EPC contracts to earn that income, which we have monetized at a discounting of 12%. So that is definitely one driver to that. And second also is the burden. So initially, with all these projects, which are the BOT projects , have high debt. Definitely there is a pressure on the balance sheet with a high debt. There was almost INR6,700 crores debt before Q2. And now we are in the range of around INR2,700 crores. Substantially bring down the debt burden on the consol level also. So, these two being in the main drivers and helps in creating cash, which could be used for various purposes, including probably also servicing the investors who are there today on board.

So, this Middle East impairment also INR25 crores, I mean, isn't running an office principally an operational expense? Why is this coming on the balance sheet side? And why are you impairing it? I'm not sure I understood this bit also basically. Fine there is an office in the Middle East, but principally the expense on that side woul d be operational and not capita? .

Paresh Mehta: That is true. But then the operations are being done by a subsidiary where the holding company which is Ashoka Buildcon has given a loan or equity to that subsidiary. So, in the books of ABL as a bookkeeping issue is an invested a loan. It's not an operational expense. Operation at the consol level, probably yes, what you're seeing is right, consol level, it would be merged as an expenditure. But at the standalone level, it is looking as a loan or equity invested. Now because of the business not coming in the way, we have preferred to do an impairment as a conservative policy over the quarters, prob ably we will reverse them.

Amit Kumar: Okay. So, this impairment then doesn't exactly show up into your consol basically then.

Paresh Mehta: No, it is not.

Moderator: The next question is from the line of Bhavin Modi from Anand Rathi. Please go ahead.

Bhavin Modi: Sir, in your order book details the Maharashtra in the Power T&D others, Maharashtra has increased by INR641 crores. So, can you help me in which product -- which project was included in this?

Paresh Mehta: Okay. I'll come back on this specific project you're t

alking about.

Bhavin Modi: Yes, yes. And sir, also in the EPC building, it has increased from INR462 crores to INR528 crores. So again, where this increase? Was it change in the scope or there was some new addition?

Satish Par akh: New addition.

Paresh Mehta: New addition of an EPC contacts, small EPC contracts.

Bhavin Modi: Okay. Sir, second thing, I just wanted to understand with the NHAI coming up with a stringent role about the network, so the formula on a broader level grow s like this 5x into the net worth minus the unexecuted value of BOT and HAM projects. So just wanted to understand this BOT and HAM project, the unexecuted value, will this belong only to the NHAI MoRTH or will it also belong to the state projects as well as other than the road projects. Like for example, there are water projects, which are also in the under -HAM category?

Management: They are all PPP projects; it will be all PPP.

Bhavin Modi: All the PPP across the state or across the segments, right?

Management: Yes. All PPP in the company.

Bhavin Modi: Okay. And sir, one more thing. Like sir, are we currently L1 in any of the projects?

Management: Yes, we are L1 in some of the projects, but we cannot disclose at this stage.

Bhavin Modi: Okay. Got it. And sir, last bookkeeping question, sir. There was exceptional item which has been recognized, where it was mentioned the we have created the obligation of something around INR3,600 crores for the obligations towards the inves tors in subsidiary, but of which we have only like an adjusted INR2,660 crores and balance INR953 crores was credited back to the P&L. So just wanted to understand in terms of bookkeeping, what is this provision about?

Paresh Mehta: So, over the years in t he past, because Macquarie was investor with us in our HoldCo company that is Ashoka Concessions. There was a provision created for the investors of around INR360 crores. After exiting their value of actual investment and amount spent for acquiring their CCDs, the balance amount of INR95 crores, which was on the credit side was brought to the P&L account as an income as an exceptional item.
Bhavin Modi: Okay. So, sir, over the period, what was the cumulative, the provision was INR361 crores. Was it like deb ited to the P&L like now that it is excess?
Management: Yes, it was .
Bhavin Modi: Got it. That’s from my side.
Moderator: Thank you. Th e next question is from the line of Vasudev from Nuvama. Please go ahead.
Vasudev: What is our current status and thoughts on monetization of Chennai ORR and Jaora -Nayagaon project?
Paresh Mehta: Chennai ORR, we continue to pursue sel ler. O n the Jaora -Nayagaon we are still holding it in our books as an investme nt. The revenues are strong and if any good interest comes, we would be telling and doing a dialogue. Chennai ORR we continue to discuss with investors , potential ones.
Moderator: The next question is from the line of Dr. Amit Vora from H omoeopathic Clinic.
Amit Vora: So just wanted to know, yesterday, our Finance Minister has told that INR12.2 lakh crores will be spent on infrastructure. So, what is your expectation for order book this year and next financial year and the margins?
Paresh Mehta: For FY '26, we are typically looking at order book intake in the next 2 months to the tune of around INR3,000 -INR3,500 crores. And based on budget promises which have been made, definitely we will look overall order book intake for the next year to the tune of around INR11,000 to INR12,000 crores we generally keep as a vision for the intake of orders .
Amit Vora: And what is the kind of margin, sir, that we are looking at?
Paresh Mehta: So generally, in the range of 10% to 11%.
Amit Vora: So, this INR11,000 to INR12,000 crores for next year includes only this central government orders or even Maharas

htra or state government?

Paresh Mehta: This would be all sectors, the roads, power and others.
Amit Vora: Okay. Thank you so much, sir. Thank you.
Moderator: Thank you. L adies and gentlemen, we'll take this as a last question for today. I now hand the conference over to Mr. Mudit for closing remarks. Over to you, sir.
Mudit Bhandari: Hi, sir. J ust last question. I think you said there was some impact because of extraordinary items of INR52 crores. So, if you could quantified the amount of tax, it will be helpful or otherwise, over to you, sir?
Paresh Mehta: Yes. We have already said approximately INR19 crores of reversal on deferred taxes based on the impact of the impairments and other impairments of investments all put together. So deferred tax reversal is of INR19 crores.
Mudit Bhandari: Thank you so much, sir. Y ou can procee d with your closing remarks.
Paresh Mehta: So, we thank everybody for having joined this call. We hope you've had the answers for what you are looking for. If you need any further information, you are free to contact me or our Investor Relations adviso rs, SGA Mr. Deven Dhru va. And thank you, everybody. Good day.
Satish Parakh: Thank you, everyone.
Moderator: Thank you very much. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you all for joining us today, and you may now di sconnect your lines.

Call: May 2026

Ashoka Buildcon Limited

Regd. Office: S. No. 861, Ashoka House, Ashoka Marg , Vadala, Nashik – 422 011, Maharashtra, India
hh hhTel. + 91 253 6633705 hh hhFax +91 253 2236704 hh hh www.ashokabuildcon.com
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May 27, 2026

Sub: Call Transcript

Please find enclosed herewith the copy of transcrip t of the Earnings Call held on May 22, 2026 in resp ect of audited Standalone and Consolidated financial resul ts for the quarter and year ended March 31, 2026.

Kindly take the matter on your record.

Thanking you,

For Ashoka Buildcon Limited

Manoj A. Kulkarni
(Company Secretary)
ICSI Membership No.: FCS – 7377

“Ashoka Buildcon Limited
Q4 & FY26 Earnings Conference Call”
May 22, 2026

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MANAGEMENT :
• Mr. Satish Parakh – Managing Director – Ashoka Buil dcon Limited
• Mr. Paresh Mehta – Chief Financial Officer – Ashoka Buildcon Limited

MODERATOR :
• Mr. Bhavin Modi – Anand Rathi Shares and Stock Brok ers

Moderator: Ladies and gentlemen, good day, and welcome to Asho ka Buildcon Limited Q4 FY26 Earnings Conference Call hosted by Anand Rathi Shar es and Stock Brokers. As a reminder, all participant lines will be in the listen-only mode a nd there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavin Modi f rom Anand Rathi Shares and Stock Brokers. Thank you, and over to you, sir.

Bhavin Modi: Hello, everyone. On behalf of Anand Rathi Instituti onal Equities, I extend a warm welcome to the Ashoka Buildcon Limited Q4 FY26 Earnings Confer ence Call. We are pleased to have with us today Mr. Satish Parakh, MD and Mr. Paresh Mehta, CFO. So without further delay, I invite Mr. Satish to share his opening remarks, fol lowing which we will open the floor for Q&A session. Over to you, sir.

Satish Parakh: Thank you, Bhavin. Good afternoon, everyone, and a very warm welcome to all of you joining us for Ashoka Buildcon Limited's Earnings Conference call for the quarter and financial year ended March 31, 2026. I appreciate your continued t ime, interest and engagement with the company. Joining me on today's call is Paresh Mehta , CFO, along with our Investor Relations adviser from SGA. FY '26 has been a transition year for infrastructure sector. Over the past few years, the industry witnessed aggressive expans ion, record awarding activity and rapid order book growth.

However, FY26 marked a shift in focus towards execu tion quality, financial discipline, monetization and sustainable growth. Awarding activ ity was slower than anticipated. Several project delays in clearances and land availability and execution momentum across the industry was impacted.

In addition, Q4 '26 has characterized by challengin g global macroeconomic environment, including geopolitical tensions, inflationary press ures, supply chain uncertainties and elevated input cost. Rising prices of key materials such as cement, bitumen, steel, fuel, along with labor shortages in certain regions, further impacted the execution pace across the projects.

The Indian railways and infrastructure sector conti nues to undergo a structural transition with an increasing focus on quality-led, capital-efficie nt and corridor-based development rather than volume-led expansion. The Ministry of Road Transport and Highways and NHAI are steadily aligning the project pipeline towards expressway, a ccess control corridors and logistic efficiency movements rather than kilometer-based aw arding.

The sector is broadly targeting 11,000 kilometers o f highways by FY '27 and 15,000 by FY '32. Looking ahead at FY27, the outlook for the hig hway sector remains constructive despite some moderation in physical execution pace. Road co nstruction is expected to be in the range of 9,000 to 9,500 kilometers during the year.

The government is also targeting approximately INR 75,000 crores of projects under the BOT toll model in FY27, reflecting a renewed push towar ds private capital participation in road infrastructure. In railways, the government has out lined a long-term capital expenditure plan nearly INR12 lakh crores to INR13 lakh crores by 20 30, focused on dedicated freight corridor electrification, safety system, station modernizati on and high-speed rail projects.

In Power Transmission segment, significant investme nt towards renewable energy, integration and green energy corridors are expected to create a large long-duration EPC opportunity pipeline. Overall capital expenditure in road secto r is budgeted at approximately INR2.9 trillion for FY27, representing an i

ncrease of 8% y ear-on-year.

Let me now highlight some key business development s during the quarter. During Q4, we secured several important project wins across geogr aphies and sectors, which continue to reinforce our execution capability and client confi dence in Ashoka Buildcon. One of the most significant development was the receipt of letter o f award in Kingdom of Saudi Arabia through our wholly owned subsidiary in a joint venture.

The project pertains to construction works for Diri yah-I hotel package with a total value of INR1,800 crores, in which our share of the project is INR900 crores. This marks an important milestone in strengthening our international EPC foo tprint, particularly in the Middle East. We also received a contract acceptance from the Minist ry of Water and Energy Angola for

rehabilitation of distribution networks valued at U SD72 million, which is approximately INR690 crores, further expanding our international T&D portfolio.
Additionally, we secured a road upgradation projec t in Liberia valued at around INR430 crores, which is USD 45 million, continuing our gro wing presence in international road infrastructure, particularly across African markets . In India, we received a letter of award from Bihar Rajya Pul Nirman Nigam for construction of a major bridge across River Gandak on EPC basis. The total project value approximately is INR474 crores with Ashoka's share as INR242 crores.
In our Tumkur Shivamogga HAM portfolio in Karnataka , provisional CODs were achieved across multiple stages, improving annuity visibilit y and strengthen medium-term cash flows.
Another notable development was the reaffirmation o f our credit ratings from acute ratings. The company's long-term rating is reaffirmed at AA stable, while short-term rating were reaffirmed at A1+.
On the asset monetization front, we continue to pro gress on the sale of remaining 6 HAM SPVs. The expected completion time line has now bee n extended to June 2026, subject to fulfilment of conditions precedent.
Coming to order book status, the company has receiv ed 4 new projects, orders and LOA, as discussed above, Diriyah Company Kingdom of Saudi A rabia, Bihar Rajya Pul Nirman, Public Works Department Liberia, Ministry of Energy and Wat er, the Republic of Angola and LOA from IGR, Pune.

As on March 31, 2026, our balance order book stands at INR15,312 crores. This is excluding orders received post 31st March of INR681 crores of Angola. The breakup of order book is roads and railway projects comprise around INR10,12 3 crores, which is 66% of the total order book.
Among the road project order book, HAM projects are to the tune of INR1,619 crores and EPC road projects are INR7,084 crores and railway is ar ound INR1,420 crores. Power T&D accounts for around INR4,627 crores, which is appro ximately 30% of the total order book. The total Building segment order book is INR562 crores, which is 3.7% of the entire order book.
The order book continues to remain diversified acro ss key segments, including roads, highways, railways, power transmission and distribu tion and urban infrastructure projects, domestically and globally.
I would now request Paresh Mehta, our CFO, to prese nt the financial performance. Thank you.
Paresh Mehta: Thank you very much. Good afternoon, everyone. Star ting off with the stand-alone numbers for Q4 FY '26. Total income stood at INR1,819 crores as compared to INR2,012 crores in Q4 FY '25, a degrowth of 10%. EBITDA for the quarter st ood at INR168 crores, down by 7% Y-on-Y with EBITDA margins of 9.2% an improvement by 20 bps year-on-year. Profit before tax before exceptional items stood at INR75 crores.
PAT stood at INR49 crores against INR60 crores for Q4 FY '25. Our revenue contribution for each segment of Q4 FY '26 is as follows: Road EPC c ontributed to 50%, Road HAM contributed to

10%. Power T&D contributed 18%, Rail way stood at 8% and other segments like building EPC and other contributed to 14% 1.
Now for the whole year FY '26, total income for the year stood at INR5,952 crores as compared to INR7,188 crores for FY '25, a degrowth of 17%. EBITDA for FY26 stood at INR636 crores, down by 6% Y-on-Y with EBITDA margins of 10.7%, an improvement of 1.3% (i.e. 130 bps) year-on-year.
Profit before tax before exceptional items stood at INR226 crores and PAT stood at INR320 crores. Coming to the consolidated figures. Total in come for Q4 FY '26 stood at INR1,992 crores as compared to INR2,755 crores in Q4 FY '25. EBITDA for the quarter stood at INR302 crores with EBITDA margins of 15.1%.
Profit before tax before exceptional items stood at INR173 crores and PAT stood at INR147 crores during Q4 FY '26. FY '26 has been a year of transition, execution focus and strategic consolidation. Revenues were impacted by project mi x, monetization activities and completion of certain projects.
However, we strengthened our balance sheet, divers ified order inflows and expanded our presence across domestic and international markets. During FY '26, the company successfully

1 Mentioned as 13% during the call, however, the cor rect figure is 14%

monetized 10 HAM and BOT projects, generating value and improving capital efficiency.
Total consolidated debt as on March 31, 2026 stood at INR2,778 crores.
And the standalone debt is at INR1,127 crores, whic h comprises of INR70 crores of equipment loan, INR300 crores of NCDs and INR757 crores of wo rking capital. In Q4 FY '26, in our BOT division, the company recorded a gross toll coll ection of INR76.9 crores from Jaora-Nayagaon Road Company as against INR66.4 crores in Q4 FY '25, recording a growth of 16% year-on-year. With this, we now open the floor for question and answers. Thank you.
Moderator: Thank you very much, sir. We will now begin the que stion and answer session. The first question is from the line of Vaibhav Shah from JM F inancial.
Vaibhav Shah: So firstly one clarification, this hotel order of S audi and the Mumbai Intelligence and Traffic Management System order, where have we recorded tha t in the order book slide that you have provided, the breakup one, Slide number 18?
Paresh Mehta: This is being executed in the SPVs. So they're not direct ABL order. This will be over and above the INR15,312 crores.
Vaibhav Shah: Both the orders?
Paresh Mehta: Both the orders, yes, they will be executed at SPV level. So at the consol, they will be captured. But at stand-alone ABL level, they are no t direct orders executed by ABL directly.
Vaibhav Shah: So we won't be doing the EPC work, so it won't be in the stand-alone books?
Paresh Mehta: No, EPC will be done by our subsidiary.
Vaibhav Shah: Okay. So it won't reflect in the...
Paresh Mehta: Standalone.
Vaibhav Shah: Okay. So both that Mumbai order as well and the Sau di hotel order as well, both won't be there in the standalone books?
Paresh Mehta: Exactly. In the console they will be added.
Vaibhav Shah: Okay. Okay. Sir, secondly, we have seen quite weak execution in FY '26. So how do you see execution and margins in FY '27 and in 4Q, what was the reason for such weak margin at EBITDA level?
Satish Parakh: So execution-wise, next year we should improve by 2 0%. Order book wise also, we expect to be at around 8% to 10% this year. And there has bee n pressure on margin due to prolongation in works and the overall turnover has also been aff ected due to fixed cost.
Vaibhav Shah: There is some disturbance in the sound. So if I got it correctly, revenue you are guiding for 20% growth in next year and order inflow of INR8,00 0 crores to INR10,000 crores?

Satish Parakh: Correct.
Vaibha

v Shah: Okay. Sir, secondly, on the margin side, what are w e guiding for FY '27?
Paresh Mehta: So for FY '26, our EBITDA margins for the whole year stood at around 8.5% plus. Our estimation for FY '27 based on the order book which we have, we will be in the range of 9.5% to 10.5% for next year. So we will definitely reach a 2-digit figure for next year.
Vaibhav Shah: Okay. Sir, what was the reason for miss in 4Q at 6. 9%?
Paresh Mehta: So largely, as we have indicated in our opening rem arks also, the geopolitical situation has brought some pressure on the price escalation. So w e have considered in our balance budget increase of around 0.5% to 1% of price escalations. And certain ECL provisions done at the year-end are contributors to a lower percentage. Ot herwise, we continue to maintain 8.5% to 9% EBITDA margin for '26. So that's the take.
Vaibhav Shah: What was the ECL provision in 4Q?
Paresh Mehta: INR28 crores.
Vaibhav Shah: Okay. And sir, lastly, on the working capital side, we have seen quite a bit of stretch in the year-end. So how do you see it going ahead? Last ye ar, we were around 110 days odd. This year, it has almost doubled. So how do you see it g oing forward?
Paresh Mehta: So because these are milestone-based projects and a couple of projects where we are awaiting appointed date and ROW clearances, we believe that we should go back to the old norms of 110 to 120 days, this is more of a transitory as in the last call also, we had said there was some buildup of receivables in our Power division, which probably by end of June and September quarter, most of things would get cleared. So we be lieve that we should go back to normalcy by post September.
Vaibhav Shah: Okay. Those were my questions.
Moderator: Next question is from the line of Bhavin Modi from Anand Rathi.
Bhavin Modi: Sir, can you provide us the guidance with respect t o what is the targeted order inflow, revenue growth, margins? And what is our bid pipeline looki ng like how much amount we have placed

the bids? And what are the segments that we are loo king for?
Satish Parakh: So order book guidance, as I said, it is INR8,000 c rores to INR10,000 crores. And this will be across the sectors, roads, railways, power T&D main ly. And this is domestic as well as international. In domestic, we are working for NHAI , MoRTH, NHIDCL and various states. And to date, now the company is working in almost s egments like railways, water, buildings. So we are very much hopeful of targeting INR8,000 c rores to INR10,000 crores.
Bhavin Modi: Okay. And sir, what about the revenue growth and EBI TDA margins?
Satish Parakh: As we have said, we are targeting 20% of revenue gr owth we are looking at.

Bhavin Modi: Okay. And sir, where do you see this revenue growth coming from? Because if I remove the 1 HAM project where the appointed date is still pendi ng, so we just have only INR500 crores of backlog, right? And there are only EPCs, I think pro bably T&D, right, from where we expect the growth to be coming in?
Satish Parakh: So entire balance order book of INR15,300 crores, o ut of that, whatever portion is targeted for this year, plus whatever new orders we get, this al l will contribute to a good revenue growth.
Bhavin Modi: Okay. And sir, if I see the order backlog, right, a part only from the 2 or 3 orders, all the order backlog are less than INR1,000 crores. So because a ll the places, the mobilization must have been done. So do you see some amount of diseconomie s of scale as the order backlog start shrinking?
Satish Parakh: Why order book backlog should start shrinking?
Bhavin Modi: No, orders are less than INR 1,000 crores...
Satish Parakh: If you can elaborate it will be better, yes.
Bhavin Modi: No, my only point is, sir, now the backlog, right, all the individual order backlog, most of them…
Satish Parakh: Individual orders,

individual projects.
Bhavin Modi: Yes, individual projects. they are less than INR1,0 00 crores now, most of the orders. So can that have any impact on the margins?
Satish Parakh: No, it doesn't have any impact on the margin becaus e margins are completely distributed throughout the project.
Bhavin Modi: Got it. And sir, can you give us the timelines with respect to the 6 HAM assets? What are the time lines and what are the expected concentration?
Satish Parakh: June is what we are targeting out of 6 at least 4 a ssets we will monetize by June end.
Paresh Mehta: So to continue on that, out of the 6 projects, 4 we are definitely targeting by June end, which will typically bring in cash of around INR750-plus crores. And the balance we expect by December, which should bring in another INR400 cror es.
Bhavin Modi: Got it, sir. That's it from my side.
Moderator: Next question is from the line of Aditya Sahu from HDFC Securities.
Aditya Sahu: In terms of the order inflow guidance you have prov ided INR8,000 crores to INR10,000 crores of order inflow in FY '27. However, if you could h elp me with what would be our bid pipeline as of today?

Satish Parakh: So if you look at National Highway project bid pipe line, we have around INR40,000 crores identified projects to be bid. In addition to this, there are new projects which will be announced in next quarters.
Aditya Sahu: Understood, sir.
Satish Parakh: States also throwing up a lot of opportunities like Bihar, UP.
Aditya Sahu: Right. So as and when they come for bidding that wo uld eventually be added to our bid pipeline. Understood, sir. On the 5 assets each tha t we have monetized, what sort of inflows have we had on the book side in terms of the cash i nflows for the HAM and BOT assets combined, if you can help me with that number?
Paresh Mehta: So in the HAM projects, we had an inflow of around INR1,150 crores. And on the BOT assets, we had an inflow of around INR1,800 crores.
Aditya Sahu: INR1,800 crores. Okay. So these are the combined in flows that we have for the 5 HAM and 5 BOT.
Paresh Mehta: 5 projects, yes.
Aditya Sahu: Right, understood. Sir, I had missed out on the 4 a ssets that you had mentioned, 4 assets to be monetized by June and 2 by December. Can you repeat the number, the inflow that we're

expecting on the 4 assets and the 2 in December and the balance of this in December?
Paresh Mehta: So the 4 assets, we expect around INR750-plus crore s and the 2 assets, which will happen by December, around INR400 crores.
Aditya Sahu: Okay. Okay. Understood, sir. Just one thing because I think last time we were sort of planning to get the assets monetized. So our initial plan wa s 4 assets by March '26 and 2 assets by June '26, which are sort of postponed. So like what is t he holdup over here? And if you could help me with that.
Paresh Mehta: So this is largely dependent on the PCODs being rec eived by us from NHAI. So based on the PCOD, we had targeted when it will be handed over t o the buyer.
Aditya Sahu: Understood, sir. Understood. And the HAM investment , I think we have invested about INR6 billion roughly in the HAM. And what would be the b alance amount that we are planning to invest in HAM assets? And the time line, if you can help me with on a yearly basis, that should be helpful.
Paresh Mehta: So on the equity side, the balance investment to be made in the HAM projects is around INR325 crores.
Aditya Sahu: INR325 crores.
Paresh Mehta: Of which the last HAM project, Bowaichandi, which i s yet to receive start date, appointed date, there is an expenditure of INR225 crores, whi ch will happen in '26-'27, INR75 crores and

'27-'28, '28-'29, INR73 crores, INR73 crores. So ov erall, INR75 crores for 3 years starting '26-'27. Balance approximately INR100 crores is for the las

t 2 assets of HAM where certain investment is still pending of around INR95 crores. For '26-'27, total investment would be around INR175 crores and '27-'28, INR75 crores, '28 '29, INR75 crores.
Aditya Sahu: Okay. So INR175 crores in '27 and '28, INR75 crores ?
Paresh Mehta: Yes.
Aditya Sahu: Understood, sir. Understood.
Paresh Mehta: So '26-'27, INR175 crores. '27-'28, INR75 crores. ' 28'29, INR75 crores.
Aditya Sahu: INR175 crores, INR75 crores, INR75 crores?
Paresh Mehta: Right, right, right.
Aditya Sahu: Understood, sir. Understood. And just one last ques tion over here because the working capital has sort of seen that increase over here, what sort of receivable days are we seeing in the sectors that we are operating. For example, in the power T&D, roughly the debtor days that you're seeing in the road EPC business, that should be helpful?
Satish Parakh: So as I said, we are bidding around INR40,000 crore s in road EPC for central level. INR40,000 crores for the various states. And then o ther various sectors will be combined together will be INR30,000 to INR40,000 crores. So more than INR1 lakh crores of billing is going to happen, out of which mix we are expecting is INR8,000 crores to INR10,000 crores.
Aditya Sahu: Understood. Sir, I was actually referring to the de btor days because now the working capital has sort of increased. So any flavor on that? What are you seeing on power T&D, what are you seeing on road EPC?
Paresh Mehta: Yes. So as we said, all these payments are mileston e based. General experience on the power sector is that the billing cycle is almost 5 to 7 m onths by the time which we get all money, almost part money of 30% to 40% received in advance , but balance is received after 5 to 7 months. This is the power, where we have an order bo ok of around INR4,600 crores. On the road sector, largely depend on milestone based on c ompletion of various stages, but there is monthly billing at state level. So the cycle is aro und 3 to 3.5 months.
Aditya Sahu: Understood, sir. Understood. That's all, I do not h ave any more questions.
Moderator: Next question is from the line of Parth from JM Fin ancial.
Parth: My first question is what would be our target debt levels by the end of the financial year?
Paresh Mehta: So by the end of financial year, today, as of March '26, our working capital debt is INR1,126 crores, less cash of around INR580 crores, so appro ximately INR600 crores. And we believe that the debt level will be in the range of INR500 crores to INR600 crores by March '27 also, keeping all almost similar kind of turnover with a 20% jump.

So it should not be a problem of maintaining a INR6 00 crores debt. Of course, we'll have additional cash inflows of the monetization, which may impact the working capital cycle and reduce it further. On the debt side, we have around INR2,778 crores of total consolidated debt,

of which almost INR1,300 crores would not be there as of March '27 because we would have sold those HAM assets. So we'll be in the range of the project loans would be in the range of, as of time, around INR500 crores to INR600 crores.
Parth: My second question is what would be the tax on the gain from asset sales?
Paresh Mehta: The rate of good capital gains of 12.5%. But effect ive tax, which we have paid at ACL level, which has monetized is almost nil, and at ABL level, approximately INR22 crores.
Parth: And the last question, sir, of the completed deals of 5 HAM and 5 BOT assets, when will we get the remainder of the cash?
Paresh Mehta: So there are holdbacks, which we expect to receive by between June and July, total amounts.
Parth: What would be the total amount around?
Paresh Mehta: Approximately INR130 crores.
Parth: Okay. Those were my questions.
Paresh Mehta: And there are certain deferred consideration, which is based on toll extension, which is approxim

ately INR550 crores, which will come in the next 1 or 2 years' time. This is dependent on NHAI's decisions on extension of toll for a couple of our BOT projects.
Parth: So that would come in the next 24 months?
Paresh Mehta: Yes. Approx, we expect by 24 months to 36 months, i t should happen once NHAI gives a decision, then the buyer will pay us the amount for the extended period.
Parth: Okay. Those were my questions.
Moderator: Next question is from the line of Vasudev from Nuva ma.
Vasudev: Sir, for the balance 6 HAM assets, can you give me what is the equity that we've invested in these HAM assets?
Paresh Mehta: Probably we'll take it offline.
Vasudev: Okay. Sure, sir. And do we have any plans on Chenna i ORR, Jaora-Nayagaon sale?
Paresh Mehta: So we do pursue the sale of these 2 assets in the c oming 12 to 18 months. And both assets are good assets to be sold and good interest is there f rom buyers. So we have launched a small process of monetization. As soon as we come to cert ain stages, we keep everybody informed.
Vasudev: Okay. Sure, sir. And lastly, sir, what is the capex that we did in Q4 and our target for next year?

Paresh Mehta: Q4, so total capex for the year was, INR67 crores, of which Q4 was INR16 crores.
Vasudev: Okay. And for FY '27, how much capex are we plannin g?
Paresh Mehta: We're planning approximately around INR100 crores o f capex, which includes certain capex on the international projects also.
Vasudev: Sure, sir. That's it from my side.
Moderator: Next question is from the line of Vishal Periwal fr om PL Capital.
Vishal Periwal: Sir, on this ECL provision that we have created, it is particularly coming from the delay in payment from which segment for us?
Paresh Mehta: So it's a mix of ECL on inventory as well as debtors. So for a project like Bowaichandi, where we have started certain mobilization and other expe nses. So we are waiting for the appointed date. And then other projects where payments are de layed, and we are in discussion with NHAI and other parties for finalization. So it's a mix of inventory and debtor.
Vishal Periwal: Okay, sure. Yes, that's all from my side.
Moderator: Next question is from the line of Vaibhav Shah from JM Financial.
Vaibhav Shah: Sir, what would be our order inflow number for FY ' 26 ex of the 2 projects which you are not taking in the stand-alone books?
Paresh Mehta: INR6,600 crores.
Vaibhav Shah: This is the EPC value ex of GST?
Paresh Mehta: Yes, this is ex of GST.
Vaibhav Shah: Okay. And sir, secondly, when you guide for a doubl e-digit kind of margin for FY '27, so there could be ECL provisions or you have factored in some provisions and then you're guiding for 10% margins? Because this year also, we were lookin g for a good margin, but there was sizable ECL provision during the year?
Paresh Mehta: It's an estimated amount but ECL is included in this for the working of this 10% because there will be stages as payments do come, there would be reversal of ECL also over a period of time. So it's a mix of provisions as well as reversions.
Vaibhav Shah: Okay. And sir, lastly, for the 6 remaining HAM asse ts, you mentioned that the amount is roughly INR1,150 crores. So if I understand correct ly, the investment was roughly around INR540 crores in those 6 assets. So gain comes arou nd INR600 crores. So what could be the tax on that at the ABL level standalone?
Paresh Mehta: So these would typically be in the range of 12.5% c apital gains tax because there's no set of

here. And so we can consider 12.5%. And in ACL, ther e are 3 assets where probably we'll

have a carry forward losses. So effective tax on al l the put together would be in the range of 6% to 7%.

Vaibhav Shah: Okay. Okay, sir. Got it. Okay.

Moderator: Next follow-up question is from the line of Bhavin Modi fro

m Anand Rathi.

Bhavin Modi: Once again for the confirmation, sir, which are the order book which is considered in the SPV. So the traffic management, right, IGR stamps, Saudi Arabia and Mithi River, these 4 are considered in the SPV level, right?

Paresh Mehta: No, Mithi River is not considered outside. It is pa rt of our order book because ABL will execute it directly, though the order has been rece ived by the SPV, but it will be on back-to-back contract. In the Saudi Arabia project and the IGR, the SPV itself will execute that work. So that is out. So Saudi Arabia INR900 crores and I GR INR1,100 crores are both outside the books of ABL. It will be part of consolidation.

Bhavin Modi: So the traffic management and the Mithi River, righ t, it's in the order book, right? So sir, where it is actually clubbed, is it clubbed in the power T&D and others?

Paresh Mehta: Others, others. In others, yes.

Bhavin Modi: Yes, second, sir, with respect to the Bangladesh or der, the order book stands at INR374 crores, which was same as the last year. So there is no pro gress there happening, right?

Paresh Mehta: Work is on, though it is at a slow pace. Work is on , and we expect to complete the whole order book in the course of time.

Bhavin Modi: Got it. Understood. And sir, last question, there i s one circular from NHAI, where they have mentioned that the bidders, they have now to disclo se if there is any casualty in any of their project in the last 2 years and they become disqual ified. So do we have to like really read this provision as strictly or there is some like submiss ion going from the Road Federation companies with respect to this provision?

Satish Parakh: Yes, Road Federation is discussing with them, and t hey are coming out with a guideline how they will define the casualties for debarment and a ll.

Bhavin Modi: Okay, got it. Got it, sir. Yes.

Satish Parakh: Unless it's a catastrophic kind of failure where th e failure is due to the structural defect, then only they will take such harsh situation.

Bhavin Modi: But they are not clearly defined, right, what is ca tastrophic or something?

Satish Parakh: No, that is what is being getting discussed with au thorities with NHAI and other authorities.

Bhavin Modi: Understood. Understood, sir. Yes, that's it from my side, sir.

Moderator: As there are no further questions from the particip ants, I now hand the conference over to the management for the closing comments.

Satish Parakh: Thank you, everyone, for joining this call and woul d update as we have been updating on a regular basis. Thank you very much.

Moderator: Thank you, sir. On behalf of Anand Rathi Shares and Stock Brokers, that concludes this conference. Thank you all for joining us, and you m ay now disconnect your lines.

Satish Parakh: Thank you.